Tata Elxsi Ltd. (TATAELXSI)

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De
ar Sir / Madam,
Sub: Transcript of the FY23 Q1 Earnings Conference Call
Pursuant to Regulation 46(2)(oa) of the SE BI (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find attached the transcript of the Earnings Conference Call held on July 15, 2022 .
The transcript can also accessible at the Company 's website - https://tataelxsi.com/investors
This is for your information and records .
Best Regards,
For Tata Elxsi Limited
Cauveri Sriram
Company Secretary

"Tata Elxsi Limited Q1 FY2023
Earnings Conference Call "

July 15 , 202 2

ANALYST : MR. SHASHANK GANESH - ERNST & YOUNG

MANAGEMENT : MR. MANOJ RAGHAVAN - CEO & MANAGING DIRECTOR – TATA ELXSI LIMITED

MR. NITIN PAI - CMO & CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED

MR. GAURAV BAJAJ – CFO – TATA ELXSI LIMITED

MS. CAUVERI SRIRAM - COMPANY SECRETARY – TATA ELXSI LIMITED

 Moderator : Ladies and gentlemen good day and welcome to the Tata Elxsi Limited Q 1 FY20 23 Earnings Conference Call. As a reminder , all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assist ance during the conference call, please signal an operator by pressing "*" then "0" on your touchstone phone . Please note that this conference is being recorded. I now hand the conference over to Mr . Shashank Ganesh from EY. Thank you and over to you, Sir.
Shashank Ganesh : Thank you very much Steven . Good afternoon to a ll the participants on the call. Good morning if you a re logging in from the western side. Before we proceed to the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. There fore it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results and ans wer your questions today we have the Senior Management of Tata Elxsi

represented by Mr. Manoj Raghavan - Managing Director & CEO; Mr. Nitin Pai – Chief Marketing & Chief Strategy Officer; Mr. Gaurav Bajaj - Chief Financial Officer ; and Ms. Cauveri Sriram - Company Secretary .
We will start the call with a brief overview of the past quarter b y Mr . Raghavan followed by a Q& A session. We would appreciate your cooperation and restricting yourself to two questions to allow participants an opportunity to interact . If you have any further questions you may join the queue and we will be happy to respond to them if time permits. Having said that, I would l ike to hand over the call to Mr. Manoj Raghavan . Over to you Manoj.
Manoj Raghavan: Thank you Shashank. Good afte rnoon to everybody and thank you for joining us today and hope you and everyone in
your family are safe and healthy.
I am happy to report that we had a robust first quarter performance , our growth momentum from last financial year continues. Our top line and bottom -line growth stay s strong. Our revenue from operations in the first quarter was Rs.725.9 Crores , growing 6.5% quarter -on-quarter and 30% over the same quarter of the previous year. This growth was predominantly volume led. Our EBITDA m argin for t he pe riod was 238.2 Crores growing 7.6% quarter -on-quarter and 58.8% year -on-year. The 36-basis point expansion of EBITDA margin over the previous quarter.
Our profit after tax for the quarter was Rs.184.7 Crores , showing a robust growt h of 15.4% q uarter -on-quarter and 62.9% year -on-year. Both of our key divisions , EPD and IDV , performed very well. EPD -our largest division - grew by 6.2% quarter -on-quarter and our Industrial Design and Visualization business too witnessed a strong growth of 6.6% quarter -on-quarter, fueled by design -led deals and AR /VR deals. The robust performance of our EPD division was contributed by all the industry verticals. Media and communication business reported a steady performance of 4.7% quarter -on-quarter and 29% year-on-year g rowth .
Our transportation business unit reported another strong quarter with 6.3% quarter -on-quarter and 41.8% year -on-year growth. Our healthcare business continues to do s

tellar performance and has grown by 10% quarter -on-quarter
and 53.6% year-on-year. This business is now almost a 100 Crores per quarter business , contrasting with just over 36
 Crores eight quarters before - almost a 3x growth in 2 years. So we are very happy about the growth of the healthcare
busin ess.
In terms of our performance by re gion: Our US geography contributed 42.8% of our revenue during the quarter and recorded a strong quarter -on-quarter growth of 10.6% and a year -on-year growth of 27.4%. Europe grew by 3% quarter -on-quarter and 28.1% ye ar-on-year. India rep orted a robust per formance of 1 6.5% growth quarter -on-quarter and 68.8% year -on-year.
We are focusing on deeper customer engagements and mining both for our top ten accounts and carefully curated portfolio of strategi c accounts beyond the top ten. This is actually helping us with both w allet and market share growth.
On the employee front I am happy to share that the Tata Elxsi family is now over 10 ,000 people strong. Our net addition during the quarter was 771 , which is more than double t he net addition of Q4 FY2022. This has been support ed by a concerted efforts on employee engagement, reinforcing our employer brand proposition to attract the right talent from outside. Our attrition rate has dipped marginally to 19% a s compared to the pre vious quarter .
To expand further o ur engagement wi th future design thinkers and to encourage young innovators to think out of the box, to bring sustainable solutions to the market we have launched iGNITE - a global design and innovati on contest for sustai nable design, coinciding with the W orld Industrial D esign Day on 29th June.
Overall it has been a pretty good quarter with consistent growth across our key divisions, key geographies and industry verticals. We continue to focus on gro wing our talent pool with both hiring and retention , while maintaining and building o n healthy margins. We are entering the second quarter with a strong order book and a healthy deal pipeline across the key markets and industry.
With that I hand it over for the Q&A session. Thank you.
Moderator : Thank you ver y much Sir. We wil l now begin the question ■and■answer session. The first question is from the line of
Bhavik Mehta from JP Morgan . Please go ahead.
Bhavik Mehta : Thank you and congratulations on a great set of results once again. I had a couple of questions firstly to Manoj and
Nitin . Can you plea se talk about what you are hearing from clients on their R&D budgets for this year as well as next year, given the macro concerns everybody is talking about and if you can also give a flavor across the key verticals on this to pic. Sec ondly , how are you loo king at the supply situation , given that attrition still remain at elevated levels ? Is there a plan to do another wage hike in FY2023 or shall we assume that the wage hike for this year is done, and the next cycle wi ll be in FY202 4? One question for G aurav is if you can just provide percentage of margins for this quarter.
Manoj Raghavan: Regarding what we are hearing from the market and from customers , I think yes we all are aware o f the macroeconomic situation, t he war and so on and so forth, inflation in the US and so on. We are a very niche
 engineering service provider working in the ER&D business . From all our major customers we really ha ve not

heard
any intend to reduce b udgets and also if you look at o ur deal inflow and deal pipeline , as well as the so rt of order book that we have . I think quarter -on-quarter it has only improved . Yes there is the m acroeconomic situ ation , we are aware of it, we are watching it very carefully, but we have nothing to report from either our key customers or what we hear fro m the market . That could chan ge maybe a

couple of quarters from now, but as of now I think it is busi ness
as us ual and our order book, our deal inflow, etc., continues to be pretty st rong. Your second question was about wage hike s and supply situation and so on. I think we will take it as it comes right, I mean, we have done a substantial wage hike in January for most of the junior level and w e have done one in April for all the senior people ; we will wait and watch, the attrition is still high, but I thin k we have come of f the peak of the attrition ; it is coming down. Supply is still a challeng e; I mean challenge in the sense that we really need to put in a lot of effort to bri ng in the resources and my HR and recruitment team has done an excellent job in the last quarter and the results are there to see. So I think the situation is i mproving , we will wait and watch . Whether we do a wage hike again ; at this point in time it is diffi cult to tell so maybe a couple of quarters from now we will look at the situ ation and then take a call.
Gaurav Bajaj : I think your third question was on the margin performance for the quarter . I think we are very satisfied with the margin that we will be able to deliver in this quarter and as I mentioned in our last earning call a lso, I think we feel very confident and not worried about the m argin situ ation . Of course there are inflationary pressures and we did th e wage hikes , but at the same tim e we have other levers which help us to mitigate and set off some of those wage hikes impact on our margins be it operating lever s, price hike s we were able to secure from the customers and also the SG&A, optimization of SG &A with the scale also help s us in terms of sus taining our margin as we did in the last quarter . This quarter we have als o moved some of our op eration into the SEZ which boos ted our profit after tax.
Bhavik Mehta : Okay that is very helpful , that is it from my side.
Moderator : Thank you. The next que stion is from the line of Vimal Goyal from Alchemy Capital. Please go ahead.
Vimal Goyal : Thank you for the oppo rtunity and many c ongratulations on robust performance. Sir my question was on the hiring
target that you have f or FY2023 . If you could highlight what kind of numbers are we looking at for the full year of FY2023 and what is the fresher intake possible in this year ?
Manoj Raghavan : Yes, in FY2023 we are looking at hiring about 3000 to 3500 fresh intake , and laterals will be as per business needs
and so on and we could add about 1000 or 1500 of laterals.
Vimal Goyal : Just t o clarify the 1000 to 1 500 will be included in thi s 3000 to 3500 or it is separate.
Manoj Raghavan: No, it is on top of that . The fresher's that we h ire from university is about 3000 to 3500 freshers .
Vimal Goyal : Sir, just wanted to get a sense again on m argins . If you could just maybe hi ghlight what is the 32 bps of expansion
that you have seen in your EBIT this time , or if you could just break up the impact of the wag e hike and your cross - currency impact , given that you have a pretty signifi cant exposure to Euro and GBP. Can you just highlight what was the headwind because of these two issues and what did you use to offset that ?
 Gaurav Bajaj : I will take your se cond question first , on the currency headwinds a nd all. If you see our resu lts, both actual and the
constant currency has delivered the same 6.5 %. Of course there were headwinds and tailwinds when we compare USD, Euro and G BP, one is appreciating other is depreciating , but our mix of the portfolio is done so both actual and the constant deliver at t he same growth rate , so there is nothing from those getting into the bottom line . On margin , I think as I already a lluded on the previous question , basically the expansion of the margin is because of the length of scale which optimize SG &A expan

ses that w e have , along wi th operating lever s in terms of the utilization -able to get
a bett er utilization this qua rter comp ared to the last q uarter - while also able to secure certain price hikes . While we would not be able to break down the precise impact , the 30 basis point s can be concluded towards the operating lever and utilizations pyramid and some of the hikes that we were able to secure from the customer s.
Vimal Goyal : Sir lastly , what is your forecast or outlook on the com munication s vertical ? Auto we all k now that it is in a structure
of spend , so if you can just really highlight what is your outlook on communi cation ? Also, you have also highlighted that healthcare will probably grow towards 20% and the progress th ere has been quite good , so if you could ju st highlight your outlook ov er there , given the macro s ituations we are in . Any headwinds that you are seeing in communication ? At this point in time it is a largest vertical -even larger than auto -so your outlook over there will help.
Manoj Raghavan: Yes, so I think a ll of the verticals have be en growing pretty satisfacto rily over the last 7 to 8 quarte rs or 8 to 9
quarters . Healthcare as I said is the fastest growing vertical and it has been growing pretty well this quarter , we grew 10%, but having said t hat, we have also talke d about how over a period of three years ho w the industry vertical mix woul d be 40/40 /20, 40% media and communication, 40% auto and 20% the healthcare and medical business ; If you see over the last many quarters , we h ave been trendin g towards t his particular ratio . Medical is about 15% or so , but I guess in another two years ' timeframe we would hopefully reach the 20% guidance that we have been giving. So, the media and communication ver tical, definitely over the last six quarters it has shown very good growth ra te, consistent

growth rate I would say . This quarter also we have had a pretty good growth rate . We continue to be very significant and very relevant to all our customers and there is of course new opportunity with 5G coming in , with lot of investments that we are doing on the AdTech space and the OTT space and so on . I continue to remain bullish on growth rates ; of course on quarter -to-quarter there would be plus or minus 2%, 3% . I do not think we need to make too much about it, but you can look at the long -term growt h path and see how it is consistent. So, I think all our businesses are now on a pretty ste ady wicket and I cont inue to be pretty bullish on the growth prospects of these three verticals.

Vimal Goyal : Got it Sir th ank you so mu ch and all the best.

Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest Investmen t. Please go ahead.

Bharat Sheth : Hi! Congratulations Mr. Raghavan and Nitin on the excellent performance and continuous performa nce over last 16 quarters . So, if I have to look at other player s who are also in engineering R&D , their grow th is lower tha n us and their margin is also lower, so what exactly we are doing differently from them to give this kin d of a confidence ?

 Manoj Rag havan: Thank you . Mr. Bharat Sheth , you are asking me to discl ose something which is very confidential and how do I do that?

Bharat Sheth : No Sir , I mean if you can give some color, or I mean b roader outlook. .

Man oj Raghavan: Whatever color I gi ve I will n ot be able to answer that q uestion . It does not make sense to answer that question in a public forum like this . Yes we have our strength s, we have our capabilities, we are focus ed, we have a very strong execution metho dology where we plan for the lon g-term and we execut e our strategy very, very carefull y and we stay consistent . That is the key for our execution.

Nitin Pai : Yes, maybe I can add a little bit. I would only suggest that one should look at it as a combinati on of our factors and levers , because i t is never one single thing th at contributes to success , it is really the combination of it . Therefore , if you look at how we have driven the focus on three key verticals, rather than focusing on only one where you are subject to huge market risk , or focus ing on many where we are then subject to lack of attention and focus . We have fixed a set of verticals where we believe that there is enough growth and space in these verticals to grow and we ar e investing in them deeply. We are also looking at the maturit y of the delivery process , which is again very differentiated and that maturity results in the ability to drive offshore , because it is not offshore just because you wanted offshore ; sometime s it is also offshore because the custome r trust you to be able t o delive r. So if you look at that offshore -onsite ratio, if you look at how we are driving fixed rate concentration . Again, the idea is not to become 100% fixed rate or 100% time material . I think it is the combination of these four or five elements that a re reflecting in our growth and margins.

Bharat Sheth : Nitin , how much will designing add as a capability to de liver mo re, aside from the inception stage ? I mean concept - level stage with the customer to deliver.

Nitin Pai : Yes, so I would enco urage that this should also be treated as one more element of what drives that overall growth and margins . Design by itself will not drive all the growth. We l ook at it as one more lever wher e you are able to say 'Why is Tata Elxsi different from the others ? Because we are able to look at the customer experience part of the objective '. We are also a ble to look at what products need , from a perspective of huma n- centric design that wi ll make it more desirable or mor e successful. So, in that sense , it gives us differentia tion when we stand there in front of the customer along with the same set of other ER&D company which we are referring to. The second is it also allows us to add a l ittle more value to the s uccess of the customer . Success of t he customer is not just in sch edule quality time and that project that we did well , it is really in the success of the product when it goes to market. So, I think it is just those little things tha t add if I may sa y, the masala that makes it more t asty, for lack of a better comparison.

Bharat Sheth : Last question . In this quarter particular ly, our India business has grown substantially . So how do we look at India business quarter -on-quarter ? Do we see this sustainability of India business in becoming a larger pie ?

 Manoj Raghava n: India business is a combination of factors . If you look at it , our SI business has grown, and that growt h come s entirely from India. So that has also contributed to the overall India business . Of course we work with lot of the captive MNC customers here and that business has also been growing pretty well for us.

Bharat Sheth : Thank you and all the be st both of you.

Moderator : Thank you. T he next question is from the line of Ravi Naredi from Naredi Investments . Please go ahead.

Ravi Naredi : First, congratulations on our market cap . It is now 50 ,000 Crores , which show s how dedica ted Manoj and your team are in for working of the company. Next, the tax rate in this quarter is 19% versus 27% in March , so what is the reason behind it ?

Gaurav Bajaj : I think I answered pa rt your first question . I said that we extended our capacity in Tr ivandrum where we had mov ed
into the SEZ office premises , which has help ed to bring our tax down and also last quarter , there was a one-time tax impact that we ha d took. So to that extent al so, there is a manua l comparison ; from the last quarter to this quarter there you will see a bigger contrast . Bu

t having said that , I think with the SEZ expansion helping bring down our overall effective tax rate , we believe that this year we wou ld be lowe r on our effective tax rate.

Ravi Naredi : Means this year we may have t ax rate around 19% to 20% right.

Gaurav Bajaj : We would not be able to project that but yes , it will be lower compared to the last year.

Ravi Naredi : Thank you very much.

Mode rator : Thank you. The next question is from the line of Arun Maroti , an individual investor. Please go ahead.

Arun Maroti : Thank you for the giving me the opportunity and congratulations to the management for this stellar performance. So
only I have a single questio n. Despite revenue growth , our other expenses are pretty m uch same as last quarter. So, I would like to understand the d elta gained, whether there was something one -off in last quarter or something else.

Gaurav Bajaj : You said other expenses.

Arun Maroti : Yes.

Gaurav Bajaj : Yes, so other expenses , it is no t directly proportionate to our revenue skills. Those are some of the other discretiona ry
expenses that we have at the company level. So, there we do not see any major variation in any of the cost line ite ms. Hence if you see , those are not very different fr om the last quarter . We have built our capacity and capability ah ead of our operations , knowing the growth rate that we are achieving and delivering quarter -on-quarter. So, to that extent there is no inc remental there.

Arun Maroti : Okay , thanks a lot.

 Moderato r: Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go a head.

Tushar Bohra : Thanks for the opportunity and congratulations to the management for excellent set of numbers. I would like to understand the Management's foc us and efforts being taken to in crease beyond our top three domains today . In the past, you h ave referred briefly to maybe aerospace, maybe off -road, railways and other verticals. If you can just hel p us understand what is the work that we are doing in these areas ?

Manoj Raghavan: So, I think what we have told earlier is that apart from the thr ee main verticals , we have adjacencies to these three
verticals. So, from a n automotive or transportation ind ustry perspective it is off -road, it is rail, it is a commerci al vehicle side and so on. I thi nk that is growing pretty well and even in the last quarter , we have won deal in the adjacency , especially on off -road vehicles and the commercial space . So that is something that we continue to invest in. From a media and commun ication verticals we look at the new media and the entire d igital space as an adjacency and there we have been doing pretty well ; a lot of projects that we have been doing on the OTT side a nd so on are part of this adjacency . From a Medical and Healthcare side, yes, again on the digital side as well as on the pharma side, we have been investing in . We have launched TEngage , that is our digital health platform and that is part of this overall strategy for the adjacency . I think we have shown that in multiple trade shows around the world with good traction -building and I think we are pretty satisfied with the adjacency framework that we have built, and we believe over the next three to five yea rs we will see a decent gr owth from these adjacencies which are essentially t o de-risk the main i ndustry vertical that we are in ; just in case those industry verticals go through any m acroeconomic situation and so on. So, I think from that perspective we are pr etty well covered, and I think I am pr etty satisfied with the growth t hat we see on all these three adjacencies . We are also looking at a few other areas that we are investing in Industr y 4.0 side, manufacturing side and the entire augmented reality a nd virtual reality si de and so on. So, there are a lot of other thin

gs that we are investing in ; building capabilities, building knowledge , doing trial pr ojects with customers and so on. So as of now it is still pretty small revenue numbers from those new areas , but as and when it gets significant we will get back to you.

Tushar Bohra : Just related to thi s, I wanted to understand ; we had this engagement with Panaso nic few years back on consumer
electronics, so if we have buil t up on that further , globally i f we are working with other players , any thoughts around that? And if I may quickly slip in a second question , how is our innovation thought process working out , meaning IT -based revenues or any clarity around that or any outlook for the future ?

Manoj Ragh avan: Panasonic continues be a key customer for us . We have se t up a offshore dedicated center for them in our Bangalore
facility and now we have completed five years of Engagement with Panasonic and I think we ha ve seen good business growth as well as goo d projects that we have done ; we ha ve built a lot of capabilities in the consumer appliances space . Apart from Panasonic , there are a few other customers that we work with in the consumer appliances space. From an innovations perspective /IP perspective , yes, we h ave built our own products, our own frameworks which we license to customers and get royalties and so on. So that continues to be our focus, we continue

to invest in new product s, building new products and so on, but again from a revenue perspective , it is st ill not very significant to repo rt; it is less than 5% . But we believe once we have good traction in this , it is another good
 opportunity for us to build up a good revenue base without really hiring a lot more resources and so on. So non-linear space is wh at we are driving at, but it is too early at this stage.

Tushar Bohra : Got it Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Hiren Ved from Alchemy Capital. Please go ahead.

Hiren Ved : Hi! Manoj, Nitin, Gaurav I do not have any questions but just wante d to congratulate on fantastic set o f numbe rs and great execution as usual. All the best.

Manoj Raghavan: Thank you Hiren. Thank you so much.

Moderator : Thank you. The next question is from the line of Apurva Pras ad from HDF C Securities. Please go ahead.

Apurva Prasad : Thanks for taking my q uestion and congratulations on the numb ers. Manoj, can you share some progress on the adjacencies across the different vertical s? You touched upon some of that, but if you could just expand further ? That is the first questi on, and the other one is on margins ; how should we look at it ? Do you think the current margins are sustainable and what are the different puts and t akes in the more near -term that you see on this ?

Nitin Pai : Hi! This is Nitin here, maybe I will take the first one. When we called ou t adjacencies and we called it out both as an opportunity to grow the addressab le market , as well as to de -risk the cyclicity , if any , in the indus tries that we currently operate in, and to that extent wh at we have also look ed at as a l ong-term goal is 80: 20 ratio . Again, we like to set some numbers , and the idea is that they c reate lighthouse directions for us , and it i s not a matter of whether we get that precisely , it is a matter of trendin g there . I thin k that is what we are doin g very well on, and for example if you look a t media and communications , our progress on new media far exceeds the milestone that we had set, so which means that we are going far, far better than what we had set out as milestones o n the journey of 80: 20. If you look at the transportation business , we had added off -road as well as rail and we looked at two markers there. So, one marker is about whether you a re adding marquee customers ; you just need to get tho se logos in first i

rrespect ive of the revenue or dollar numbers ag ainst them , the secon d is absolute revenues. I think we are doing well there , just about on target . While you look at healthcare , of course you have t o give them credit because they ha ve bee n so busy growing the primar y busines s that sometimes there i s no breathing space for anythi ng called adjacency , but I wi ll give th em great credit that they have done a lot of efforts in terms of building out the service portfolio for pharma and digital health and I think the launch of TE ngage which was done in March of this year I think is a very, very big milestone for us in that journey, because for that BU, part of the journey will be product and platform dri ven, part of it will be services. So again, I think we are making sure that they have the right milestones a nd markers for knowing that will make progress. So, to that extent I think we are still far from starting to declare what the adjacency numbers are and so on , it is not required because you see that it is an integral part of our growth , but we can assure yo u that w e are on track.

Gaurav Bajaj : On y our second question on the margin outlook , I think we tr ied to answer on some of the other questions. While we do not give an outlook of the pro jectio ns, but I think we can say that at least in the short -term, to the extent that we
 have visibility , and given all the macroeconomic environment and situations , I think we continue to believe and being confident with our tight execution and disciplinary focus objectives . We should not be too wor ried, we will continue to be in the range of that . Of course we have to see certain inf lationary pressure s though w age hikes are already behind us, but we have to see whether we have to do so something more or not . I think that is som ething very difficult to say at this point of time , but I think the other good factor is that given our target operating module , which is more offshore centric and end -to-end governance ; I think that gave us little bit more fle xibility and lever in terms of pricing some of those things and set ting off some of those inflationary pressure . I think from this we can have those l evers available to us wherever we can have the ex pansion or do more offshor ing. Also I think things other t han the oper ating levers such as expand ing into the SEZ which also help ed us to build at least on our profit after tax , giving the superior profitability , and that will continue because with that expansion our effective tax rate is going to come down t his yea r, so tha t will also add t o the bottom line when it comes to the EPS and the profit after tax.

Apurva Prasad : Got that . Just on the last point Gaura v, what is the one time in the ETR to the quarter and what should be our normalized ETR going forward growt h?

Gaurav Bajaj : It would be a o netime , we would not able to put up a number but we feel that at least 2% to 3% we can drop our effective tax rate.

Apurva Prasad : Versus FY20 22 ETR.

Gaurav Bajaj : Yes.
Apurva Prasad : And just on that margin point, so based on your me dium -term outlook of the de livery mix , do you think this 32 % plus
is a more sustainable normalized level or do you envisage additional inc rements and scope to bring the margin structure down ?
Gaurav Bajaj : No, I said that actu ally it is going to be in the range above . We do not feel that there will be a significant change or
the variation from the current level . Of course there could be certain expansion, certain discreti onary exp ense that may come back, but currently th ere are a lot of m acroeconomic things that has to be taken int o account. So, from short to medium -terms I think it should be okay , I think we were co mfortable there.
Apurva Prasad : Thanks Nitin and Gaurav for the detailed answer.
Moderator : Thank you. T

he next question is from the line of Rohit M. Ingole from first Global Securit ies. Please go ahead.
Rohit M. Ingole : First of all, congratulations to all the team of Tata Elxsi. I have only one question about the EBITDA margin . So what
were the reason s for our high EBITDA margin s?
Gaurav Bajaj : I think we have already answe red few times. We mentioned that the scale , the optimized SG &A with the economi es
of scale, and the top line growth and o ther operating leverage along with some of the rate hikes that we were able to secure from the cus tomer , allowed us to expand our EBITDA margi n by 30 basis points.
 Rohit M. Ingole : Okay Sir, thank you.
Moderator : Thank you. The next question is f rom the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.
Chirag Kachhadiya : Congratul ations on good set of number s Sir. I would like to know your broader outlook on American market and
European continent specifically.
Manoj R aghavan: The issues ar e different in both the mark ets, in the U.S. right now there is a high inflation scenario, peop le talk that
there is going to be a recession , but then if you l ook at it everybody has a job, I mean, the job market is very, very hot and at the same time pe ople say recession is happening. So, a little bit of a contradicti on there. Similarly in Europe , the issue is more about the war and other m acroeconomic situation out there . But having said that again , we are still a small to a medium -sized organization . From our perspective and the revenue s that we deliver , I believe these factors really do not play too much of a ro le for us. We have not heard anythi ng from our customers that they a re going to reduce the spend or they a re stopping some projects or any of that. So, to that ext ent in both the US and customers in Europe , we hope that we will conti nue to do well in the se markets. Of course, in U.S. we have the dollar becoming stronger and stronger and on the other hand in Europe you have both pound and euro becoming weaker. So of cour se that will affect the net real ization in INR in both these regions . But other than that , I think we continue to execute, we continue to keep close to our customers , we continue to deliver value to our customers and I believe unless something drastic happens -definitely not in the short -term, we do not see any short -term issue s- but mid-term to long term again there are a lot of factors , including how this war will continue and the effect of that on o verall glo bal economy and so on, but whatever happens , it would not be that it is something ver y specifically to Tata Elxsi . We will still be better off than a lot of our competition or other players in IT industry. So, whatever a ffects them will affect us also.
Chirag Kachhadiya : I have one more q uestion ; can I ask now, or shall I come in later ?
Manoj Raghavan: Go ahead please .
Chirag Kachhadiya : Sir, I have a question in terms of the constant currency calculation because the normal growth and constant currency
are both in the similar range. So, if you can shed some hi ghlight on the mechanics of this calculation ?
Gaurav Bajaj : I think Manoj also touched base upon th e fact that USD appreciated and is strengthening ; on the other hand , if you
see pound and GBP and some of t he oth er currencies , those have been de preciating . Given out the mix of the portfolio and the revenue we recognize this year, I think both kind o f played off to each other and hence actual and the constants are coming similar .
Chirag Ka chhadiya : Okay Sir fair enou gh. Thank you so much and bes t of luck.
Moderator : Thank you. The next question is from the line of Dipesh Mehta from E mkay Global . Please go ahead.
 Dipesh Mehta : Thanks for the opportunity. Couple of questio

ns. Sir , just want t o get clarity about salary hi ke. Salary hike we g ave
with effect from April ; was it fully given or a certain set of employe e-only hike was given ?
Manoj Raghavan : No, so I think we gave first salary hike for all the juniors, almost 60 %, 70% of the staff from January in the beginning

of the year , and the remaining set o f staff was given a salary hike in April , so it is fully done.
Dipesh Me hta: And if I look this quarter , your employee expenses grew less than your head count growth. So, in a way it is not
getting captured in terms of i nflation . So can you help us unde rstand that par t?
Gaurav Bajaj : No, I think if you see the person nel cost , it is inclusive of both the wage hike that has bee n done for the middle and
the senior management this time and also includes the increment al head count that has been adde d during the quarter.
Dipesh Mehta : That is right . Your head count growth quarter -on-quarter was 8%, your employee expenses or wage s grew 6%. Now
when you say you gave salary to almost half of the employees , it is not getting inflated, that i s why I am trying to get some clarity.
Nitin Pa i: Yes, maybe I can just clarify . It is because the added employees , they do not necessarily come in the beginning of the
quarter , so they do not count for the full quarter, we add them throughout the quarte r.
Dipesh Mehta : Even if you take average let u s say 8% is end -to-end if I take 4% is average , still it is hardly any gap between this.
Gaurav Bajaj : It can't be average d out and then it has to be getting the pyramid, the mix of the people, the regional makes, there are
a lot of facto rs which goes into there and the person nel cost also includes other the contribution to the funds and the staff rates and all other expense s. So that straigh t match will not work like that.
Dipesh Mehta : Second question I have is about the offshore mix which we are seeing very steady improvement over last few quarters. Do you think considering things are opening up , that trend will now stabilize or may have some reversal , or you thin k this trend like ly to continue ?
Manoj Raghav an: Yes, I think over the last few qua rters it has been pretty steady, yes, I think there i s a slight uptick in the on -site
revenues this quarter , but not a sign ificant uptick. So, I think I wou ld tend to continue that customers are reaping benefits from the offshore execution that we provide for these customers , so I do not think they will be in a hurry to move on -site.
Dipesh Mehta : So, you expect this 75 %-25% is bro adly stable , likely to happen eve n on medium -term perspectiv e.
Manoj Raghav an: More or less ; that would be a plus 1%, plus 2% here and there, but more or less it will be in that ran ge.
Dipesh Mehta : That is broadly 75%-25%.
Manoj Raghav an: Yes.
 Dipesh Mehta : Thank you.
Moderator : Thank you. The next question is from the line of Dev from Invest Yadnya. Please go ahead.
Dev: Thank you for giving me opportunity to ask the q uestion. My first quest ion was on pricing. So, you said that you had some price increase. So can you elaborate on that , which were the hot skills, which were suitable, so that you could get price hike from your custome rs and across which ver ticals was this ?
Manoj Raghav an: I would not say it is based on skills , of cours e there are certain skills that traditionally a lso command a premium . But
the price hike that we are talking of is customer engagements , depending on how long they have been engaged and what value that we deliver t o these customers over the COVID years and so on. So, we have been able to go back and negotiate price hikes with individual customers based on the value that we bring to the table.
Dev: And I have one more question, it was with respect to automotive verti cal. So what is your contribu tion to the new ag

e
OEM s versus the traditional OEMs in the automotive vertica l?
Manoj Raghav an: We continue to work with the new age OEM s as well as the traditional OEM s; the new age OEM s are primarily
around the electric veh icles, the connected car platfor ms, digital twins and all the new areas , whereas the traditi onal OEM s is a mix of the traditi onal businesses of infotainment, body chassis, powertra in, cockpit plus the elect rification scope and so on. At this point in time, we a re not in a position to t ell you how much percentage , we do not have the data.
Dev: Okay thank you.
Moderator : Thank you. The next question is from the line of Jayraman Krishnamurthy , an indivi dual investor. Please go ahead.
Jayraman K : I have a qu estion basically on the healthca re revenue . It is expanding more t han what would be projected , is this due
to any tailwind or there is a concentrated effort to expand the revenue , because what I know is we look at 20 % of the revenue to health care; the w ay we a re growing is there a possibili ty that you will exceed this 20 %? The second question is with regards to the revenue , how much percentage of the new business that we are get ting is from the existing clients ? If you are not able to share the percentage is it possible to at least share if there is any increase compared to the last financial year ? Thank you.
Manoj Raghavan : The medical business - I mean it is n ot this quarter alone , I think over the last eight quarters or, so we have been

showing a consistent high growth . So, to that extent it is not so mething new . Whether we will hit 20% or not , I think when we reach 20 % we will think about it , but at this point in time , as Nitin said, we put the target and we want to hit the target first . Of course , if there are oppor tunities to grow , we a re not sayi ng that we will not grow , we are not saying we canno t go beyond 20%. So, to that e xtent we will continue to accelerate our focus on medical , we have made a lot of investments in that area and I think we h ave built very, very strong capabilities that is relevant to our customer base and I think we have a pretty good team executing there. From your second question regarding new business, as I said in the beginning of the call , we have been focused on deeper ac count mining and staying relevan t

 to our key customers. So, to that extent I think almost 98 % of our revenues come from our existing customers even in the quarter gone by and new customer s only account for a very small fraction of our revenue. Of course, over a period of time the new customer s also grow and then become significant, but in the quarter in which we get into a new customer , it is typically it is about a 1% to 1.5% .

Nitin Pai : Just to add a little more color , the poin t is that given the nature of th e business that we are in , which is R&D and product development , typically customers do not start off with a big bang because they are not going af ter renewal contracts and so on. It is the small projects that you learn and the cust omer also learns and gauges you by, and you would build and expand on top of that, so that also kind of explains the ratio.

Jayraman K : Okay thank you very much for giving the opportunity . Thank you.

Moderator : Thank you. The next question is from the line of Amit Thawani , an individ ual investor. Please go a head.

Amit Th awani : Hi! Nitin, Hi! Manoj, good to speak to you again. Just one simpl e basic question, the annual report mentioned about three more industries : one was the semiconductor, second one was the telecom and the consumer electronics . In our presentation we d o not include that, so I am just wondering in which segments would these three come in ?

Nitin Pai : If you look at semiconductor -because they form the foundation for electronics in ever y sect or that you would work in-

so to that extent we d o have engagements even tod ay with semiconductor companies . Addressing certain key markets and what is in the public domain for example is Renesas , where we have been working wi th them o n automotive electronics and we ha ve also an nounce d the next generation EV innovation center which builds on top of silicon from Renesas and then brings in software that we develop. There are similar relationships when it comes to 5G and telecom . There are similar rela tionsh ips when it comes to healt hcare . So t hat is the semiconductor piece. Telecom is an integral part of media and communication. So, when you look at media and communications , that i s what we call that vertical, t elecom is that communications piece, we do not say telecom only for the rea son that nowadays telecom players are also media players ; they offer triple play, quad play and so on. So that i s why we call the ve rtical media and c ommunications. As far as consumer electronics is concer ned it partly reflec ts in media and communications b ecause there is some amount of consumer electronics involved in media , because when we work on set top boxes , when e work on gateways , fundamentally we a re working on consumer products . Part of it gets reflected in design.

Amit Thawani : Got it, I have no ot her questions. Thank you.

Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest investment. Please go ahead.

Bharat Sheth : Hi! Thanks for the opportunity. In our earlier a nswer we said that we pla n to add around 3000 plus freshers and 1000, 1500 lateral s. So that is around 40% to 50 % of existing head count. In a short to medium -term we loo k to be very bullish. Is that a fair understanding ?

 Manoj Raghavan: Sir you have to also take into account attrition , so there will be attrit ion also that we need to plan for . Of course this is the target that we have , 3000 or 3 500 fresher s, and in reality we may end up an ywhere between 2500 to 3000 or whatever , it depends on how many of them really join. So, while we would target , it is not th at 100% of the people who join us . So, I think we should be around 3000 p eople . This is what we target from fresher's and some laterals as I said depending on the demand and how attrition happens and so on. We will add anywhere between 1000, 1500 people.

Bhara t Sheth : Do we expect offshore to go up in the next four or five quarters ?

Manoj Raghavan: I think we have reached a good percentage for offshore . It could marginally go up but I think it wo uld not be significant.

Bharat Sheth : And last question , despi te us not adding much rev enue from a n IP business, does it really help us to improve our margin where we can deploy same into th e client service business ?

Manoj Raghavan: We have not yet reached that stage . Right now our IP , the product s that we have , is primarily helping us get a foot in the doo r and opening new accounts, new customers and so on. At a later point in time , hopefully when some of these are matured products and we get repeat orders and so on , what you s ay would happen.

Moderator : The next que stion is from the line of Khandelwal an individual investor. Please go ahead.
Khandelwal : Hi! Good afternoon. I just want to understand right now empl oyee cost is around 50.38 % so what is the trajectory
going in futu re, the trend , is it likely to increase or decre ase?
Gaurav Bajaj : Yes, I think maybe that calculation may not be accurate , but I think employee cost is directly proportionate to our
revenue . We have been working on other products and IP related and non -linear kind of revenue . So likely it will not exceed the current percentage. Of course, there would be interven tion in terms of the wage hikes and all those things as we go alon g, and there could be other things, but it i s going to be in the simila

r ran ge.
Khandelwal : Thanks a lot.
Moderator : Than k you. The next question is from the line of Mayur Matayni from Mahe shkumar & Company . Please go ahead.
Mayur Matayni : Thanks for the opportunity and congratulations to the management on excellent set of numbers . I have two questions,
one is related to our revenues from Asia apart from India. So it has been declin ing as a percentage of revenues. So , is it by choice that we are focus ing on other regions and that is why our revenues are lower because Asia is a big market for automotive and co mmunicatio n? My second question w ould be on the initial response that we have got ten on our new healthcare platform .
Manoj Raghavan: Coming to revenues from Asia , yes it has been declining . I think especially revenues fro m China has come down ,
because China has been hit by COVID really badly . People are not able to travel to China , even within China there
 are a lot of restrictions and so on . Similarly I think both revenues from Korea and Japan also have c ome down . I think
in all these countries , the macroeconom ic situation is not that good and customer spend and customers confidence is also down there in that parti cular market. So, I think naturally we do not see any large op portunities or big deals that are coming from that part of the geography. So yes the revenues are dow n but at the same time for us , from our perspe ctive, our other major markets Europe and U.S. and India has been growing very, very rapidly so from our manage ment focus also, we have been foc used to really grow the other geographies bu t at some point in tim e definitely China and Japan and Korea would also come up and then hopefully in the near future we will see growth there.
Nitin Pai : Just taking up the second question on the healthcare platform. I just wanted to clarify that we kind of announced and
launc hed that just at the end of March, so it has just b een about three months since we ha ve gone actively to market with it. You have to appreciate the fact that a digital platform like that is a fairly big and strategic decision for customers. So, in some sen se it does take time to make sure tha t customers see it, appreciate it, understand it, and then are able to move down the p ath of assessment and selection. But I think the big side effect for us is the fact that , even as we go into Greenfield opportunities where a particular target customer d oes not have a plat form and wants to adopt ours , we a re also already starting to see the benefits of Brown field where they ha ve platforms, they are not neces sarily going to switch with ours, but they are seeing that we are bringing all the relevant design and digital capabilities that are necessary for such platforms ; the elements of customer engagement, patient engagement, views that you provide for doctors, healthcare providers, patients ; these are digital and design s kills that are both compliant to industry standards, compliant to healthcare regulations a nd deliver the right experience. So, we a re already winning projects in terms of services that address digital healthcare platforms fo r customers, but our own wins ar e yet to come . But we have no doubt , we w ill win some of those, but I think the benefit will be both in terms of services that are coming off the platform demonstrations an d revenues that ar e coming fr om platform licensing and sales.
Moderator : Thank y ou. Ladies and gentlemen, we take the last question for the day from the line of Karan Danthi from Jetha Global . Please go ahead.
Karan Danthi : Hi! Management team , many congr ats o n the great set of results. I wanted to just dig in a bit a little more, just pressing the macro. Many software companies in the U .S. have started to see pressure , particularly from Europe and if you follow the hardware s upply chain within I guess a ser

ver complex , you a re starting to see some signs that
server depl oyment is slowing. So, it is very clear, and I think Morgan Stanley said this on the earnings call yesterday that there is a prioritization happening , where compani es are saying there are certa in projects that are prioritized and certai n parties that are not. Now I think we have done really well to orient to ourselves across I would call mission critical innovation tech projects , so I do not think we ha ve seen any -if at all - impact fro m this and the re is a good argument as to why that s hould continue to be the case but let us take a scenario where there is a recession in some parts of the world and the job market does get weaker in other parts of the world. What percen tage of yo ur project would you s ay discretionary for the custo mer i.e., they would do it if they could, but i f they have to put it off, they will, because the trade -off of being innovative versus saving money ; the math does not work at some point. So, it would be helpful if you could ju st frame that and t hen I have one follow -up.

 Nitin P ai: Yes, maybe I wi ll take a stab at the first one, because it i s a co mplex question and obviously we a re dealing with
possibilities here rather than somethi ng that is concrete. I think you a re right in the sense that over a period of years , consciously from our side and equally go ing through COVID , what has happened is a lot of the budget rationalizatio n in favor of what is strategic , what is important , has already been done. So, in that s ense I think COVID was a bigger recession than anything else because it really , truly squeezed decisions on what is important, what is strategic, what should stay, what should go from many companies. So, to that extent I think to a large, large extent the budgets th at we are dealing with now and the kind of projects we a re working on now are ,like you said , mission critical. If I were to then extrapolate to say now there is furt her pressure and customers still need to kind of th ink of what do they cut down on , I would still say that we st and up really good chance and I wi ll just justify why that is so. If you thi nk about what are their options, their options is to do it in-house, first option is not to d o it at all in wh ich case there is no debate, nobody wins, but if their option is to say we have to do something but have to do it at the lowest cost possible, I think we become the most attractive option on the table, because we have predominantly offsh ore, we are operating on very, v ery competitive rates, we deliver ownership and assurance of the objectives that the customer has or the outcomes the c ustomer has. So, in many ways I think we are a better option for continue , even if it is reduce continue , than a st op. So all I would sa y is that unless the decision of the stop and therefore they a re going to f ire their own employees , or they a re going to cut out all the work that they a re giving out , we would mos t likely still be the second last or the l ast on the option list , I can only envisage our future tha t way.
Manoj Raghava n: And the other thing I would say is that these events happened righ t, and we have seen it happen when COVID hit us
in the first quarter of the 2020 we did have a situation where customers did pull the pl ug and a lot of p rojects were scrapped and so on, but the good thing about Tata Elxsi is that we have seen this before and we q uickly reoriented ourselves and we we re able to come out of th at situat ion within the quarter, within a quarter by the nex t quart er we are up and running. So, I think there is a lot of confidence in the team that in the case of deep recession and deep budg et cuts and so on, we will figure out alternate ways to deli ver, to come back and continue our growt h and we have proven that during the CO

VID time also. So that is the confidence we think.
Karan Danthi : Great , thank you . My follow -up is about the transpor t business , as you l ook forward it seems like there i s a growing
course that the semiconductor shortages are essen tially moving in the right direction as slack in increasing consumer shifted and reallocated toward autos; does that benefit you in any way wi th production re bounds but I guess the budgets do not change people would ha ve to i nnovate either way but I a m just curious whether that has a kin d of a second derivative impact.
Manoj Raghavan : No, if the semiconductor price s come down , all our customers will be happy and as you know right now , if you go to
any auto dealer , you do not have too many opt ions; there is a huge wai ting lis t for most models. So, what happens is when all this pressure automatically comes do wn. OEM s are able to sell mor e which mea ns automatically they generate a lot more money in the bank and that will funnel a lot more new R&D proje cts, so definitely we will benefi t.
Moderator : Thank you. Ladies and gentlemen due to paucity of time and that was the last question . I now hand the co nference
over to the manage ment for their closing comments. Over to you Sir.

 Manoj Raghavan: Thank you. Tha nk you all the investors who attended today's call, this is a satisfying quarter for us, and we hope to
continue this trajecto ry and look forward to talking to you again after our Q2 results. Thank you so much.
Moderator : Thank you. Ladies and g entlemen, on behalf of Tata Elxsi Limited that concludes this conference. We thank you all
for join ing us and you may now disconnect your lines.

Call: Jan 2023

January 30, 202 3

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Dear Sir / Madam,

Sub.: Transcript of the Earnings ' Conference Call on Q3 - FY 2022 -23 results.
This is in furtherance to our intimation dated January 21, 2023, intimating the schedule of Earnings Conference call on Wednesday, January 25, 2023, for discussion on the results for Q3 of FY 2022 -23.
Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we herewith enclose the transcript of the above said Earnings Conference Call held on January 25, 2023, which has been uploaded on the website of the Company.
The transcript of the Earnings Conference Call can be accessed on the Company's website at: https://www.tataelxsi.com/investors .

This is for your information and record s.

Best Regards,

For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

"Tata Elxsi Limited
Q3 FY '23 Earnings Conference Call."
January 25, 2023

MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
M R. NITIN PAI – CHIEF MARKETING OFFICER AND
CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED
M R. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
M S. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.

Shashank Ganesh: Thank you very much, Faizan. Good afternoon, and good evening to all the participants on the call. Good morning, if you're joining from the We stern side. Before we pr oceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the businesses that would cau se further result perfo rmance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghav an, Managing Director an d CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer, and Ms. Cauveri Sriram, Company Secretary.
We will start the call with a brief overview of th e past quarter by Mr. Raghavan, followed by a Q&A session. Having said that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. Good evening, everyone. Thank you for joining the Q3 earnings call this evening. Wishing you all a very successful and prosperous 2023. I'm glad to report that in a challenging macroeconomic and business environment across regions and markets, we have reported a steady quarter with healthy growth in revenues and net profit and improvement in our margins as compared to last quarter.
Our revenues from operations during the third quarter stood at INR 817.7 crores, a quarter-on-quarter growth of 7.2% and a Y-o-Y growth of 28.7%. Our EBITDA for the quarter was at INR 246.9 crores, growing by 9% quarter-on-quarter. Our PAT for the quarter stood at INR 194.7 crores, growing 11.7% Q-on-Q. In constant currency terms, the company grew 3.5%.
We continue to lead design with our indust rial design business, reporting a 19% quarter-on-quarter growth in constant currencies. This bu siness continues to help us differentiate our offerings, seed entries into new projects and customers and set the foundation for larger downstream development projects.
SI business continues on its path of transforma tion and registered a healthy growth of 9.3% quarter-on-quarter in constant currency terms. It 's building the foundation for what we call the run services, including tools, infrastructure and operation support, to help engineering teams develop and deploy products into the market. This includes support for some of the platforms that we have built and licensed.
EPD division grew by 1.6% quarter-on-quarter in constant currency terms. Within EPD, if you look at it, we are witnessing sustained growth momentum in our transportation segment which reported strong growth of 7.3% quarter-on-qua rter in constant currency terms. During the quarter, we not only continued to scale with our existing customers but also won some strategic multi-year deals, including an STB program with a global OEM software organization and an offshore center of excellence for an EV systems leader from the US market.

Our Media and Telecom and Healthcare business units saw some impact of furloughs and delayed edition making. Also, this being a seasonally weak and shorter quarter, there was some impact on our Q-o-Q business growth. In constant currency terms, the Media Communication business witnessed a decline of 2.6% Q-o-Q basis.
Our Healthcare and Medical Devices business unit revenues declined by 1.9% Q-o-Q, but overall, in both of these businesses, we have done well to protect our business and position ourselves strongly for upcoming deals. We have also won key deals in strategic areas such as ad-tech and healthcare platform development that underscores the differentiation we bring to the custom

ers.
On the people front, we continue to do well with employee engagement and retention, with attrition declining for the third consecutive quarter to 18.4%. Our investments in hiring and training a large number of fresh engineers who joined us in the last quarter and before are actually starting to pay dividends as more and more of them are getting onboarded into customer projects. We will continue to add fresh engineers over the next four quarters and laterals in key lead portions across deliveries, technology and sales.
As we move to the last quarter of this financia l year, at an overall company level, we have a strong order book and a pretty healthy pipeline across key markets. So I strongly believe that we have a good story here. I'll now hand over the floor to Shashank for the Q&A session. Thank you.
Moderator: The first question is from the line of Bhavik Mehta from JPMorgan.
Bhavik Mehta: Good set of results and congratulations to the management. Two questions. Firstly, the weakness, you saw in media and health care vertic als, is this over? Or do you expect some

furloughs to continue into 4Q as well? So what's the outlook on these two verticals going forward? And the second question was on the wage cycle. If I remember correctly, last year we had wages in March and June quarters. So how are we looking at a wage cycle this year?
Manoj Raghavan: So regarding both the Media and Communication and healthcare verticals. We believe it will continue to be soft for a quarter or two, especi ally the Media and Communication vertical. In the healthcare vertical, we are a lot more bullish, we should be able to reco ver much faster. And we are seeing deals coming back. So I think we'll wa it and watch. Regarding the wage cycle, our next hike will be in Q1 and then based on how the deals flow in Q4, we'll take a decision, but the wage hike is currently planned for Q1 next year.
Bhavik Mehta: And lastly, the ESOP plan volume introduced, any early comments on how much impact this will make on the margins?
Manoj Raghavan: No, I think there won't be a very significant impact. We'll cover it up with our operational excellence. Once we talk to regulators, we will be able to disclose a lot more in the coming days.
Moderator: The next question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad: Manoj, I had a question on the IDV business. Now it seems that nearly half the growth has come from IDV sequentially. It seems co unterintuitive looking at its historical cyclicality and the current macro. So it'll be good to know what's driving growth here. Are there more synergy deals here with EPD? Or are these standalone deals outside the traditional transportation/media verticals?
Manoj Raghavan: Good question, Apurva, and for folks who have been listening to our commentary, we have been restructuring our design business over the last four quarters. We have done a lot of things to really scale that business. If you look at it on a quarterly run rate basis as compared to maybe a couple of years ago, we have almost gone up 2.5x, so over the two years, we have really done a number of things to really grow that business.
And whatever we are seeing now is a result of all those initiatives that we have taken. Design business continues to win design digital deals for the company across our key verticals and also helps us seed larger development opportunities ac ross the various verticals. So I think definitely, there is a lot of cross synergies with our current verticals.
We are pushing a lot more design digital deals in the three major EPD verticals. Of course, IDV also has their own customers outside of these three verticals. So that's something that definitely is positive. There is a lot of focus and emphasis on design aspects that are AR/VR-related, training-related and worker productivity, along with a number of ot

her things that we are doing that is really combining the design capability al ong with the engineering capabilities that we have.
So yes, we have grown the breakup of our ver ticals, primarily for the EPD division. IDV also contributes to the automotive, media and to health care verticals. So, at some point in time, we will take the decision of showing the real picture of the total revenues, including EPD and IDV in each of these three verticals. That's something that we have not been doing, but we are really looking at it. Now that IDV is scaling, I think it makes sense at some point in time to really show the overall revenues, both EPD and IDV, put togeth er for the three major verticals that we have.
Apurva Prasad: And my second question is on the top 5, which was flat sequentially. So is the performance uniform across the top 5? Or is it more top-client-specific? And if you could talk about what's the outlook and the funnel in this?
Manoj Raghavan: No. If you look at the top 5, it's not been flat. While the top 5 has grown, the growth has been slower than the next 5 and the next 20. So the growth that we have shown in this quarter has primarily been driven by customers outside the top 5. But the top 5 have also grown. You should also note that our top 5 accounts are bringing large revenues to the organization. And in a few cases, we have had furloughs and the impact of furloughs is also factored into the revenues that we have shown. So, to that extent, yes, you must have seen some slowdowns and so on. But the top 5 has grown. It's not flat.
Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management.

Vimal Gohil: Congratulations on a strong quarter in consider ably challenging macros. Sir, my first question was on margins. So last quarter, we had a fairly strong hiring. And the expectation was that there will be some cost effect into this particular qu arter. However, that has not really happened, if you look at the overall employee cost as a percentage of sales.

Also, there is a reduction in employee costs given the fact that we were facing supply pressure, especially in the automotive piece. So if you could just help us reconcile this. And also, I just wanted to check, again on margins, would it be fair to say that our IDV business, the margins over there are slightly above company average?

Manoj Raghavan: The second question, is about IDV margins. I thi nk we wouldn't want to disclose the margins at this point in time. Margins vary from deal to deal and IDV is a smaller business, so sometimes we are very aggressive to get that business and then build on it because it is not just the design business, but also downstream engineering. So we know that as an overall entity, we can make better margins. So it will be misleading if we really look at only IDV and say whether the margin is good or not. There are cases of standalone IDV deals where margins are extremely good. So it's a mixed bag, and it will be misleading if I give you a commentary that margins are great. But we don't look at it in that way. We look at it as a combined entity, how IDV really helps EPD and EPD customers and we look at account margins, not so much about whether IDV margin is better or EPD margin is better. But the first question coming back, I really couldn't get the context, if you could repeat that?

Vimal Gohil: I'll just repeat that. The question was that the second quarter had very strong hiring. So the expectation was that there will be some costs that will pass through in this quarter; and there could be some pressure on margins before the margins improve going forward. But improvement has just come slig htly better. So what helped that?

Gaurav Bajaj: So there are a few things there. I think you righ tly mentioned that there is some tailwind from the past quarter’s hiring because we will have that full quar

ter impact of this in quarter 3 compared to quarter 2 for both campuses along with the intake in quarter 2. But to offset that, I think we have superior topline growth and the people that we brought in across the previous quarter, have started to improve our utilization an d those people have been put into the billable projects this quarter.

Manoj Raghavan: Yes. And apart from what Gaurav said, we've also had a reduction in more expensive consultants. Because of the situation in the market, we had contractors that we had hired. So we've actually reduced the contractor’s headcount, and we've replaced them with our permanent employees at a lower cost. So I think these factors helped us to show better margins.

Moderator: The next question is from the line of Urmil Shah from Aegis Federa l Life Insurance.

Urmil Shah: Congrats on a good quarter. So my first question is, if we look at the business from a medium-term point of view with the transformation that we are undergoing on our SI business, should we look at it from the perspective of IT services companies wherein our SI business should

enable us to drive cost savings for our clients? And that budget could be channelized towards the EPD business. And if that is the case, which of the areas are we already seeing at least a discussion starting to happen?

Nitin Pai: Urmil, this is Nitin here. If you think about what transformation we are driving with SI, we don't want it to be orthogonal, in the sense that we do not want to try and grow it in conventional IT services and professional services areas. We are aligning it to the engine of EPD itself. We are in product engineering and more-and-more products are now getting connected therefore, the cycle of development is going to become a continuous integration and continuous deployment.

In some sense, like your connected car platform s, the digital health platforms or OTT, where you have constant updates of the software on the product, we want to be able to not just deliver the product that is on the assemb ly line. We also want to be ab le to manage th e assemb ly line that is delivering it.

So to that extent, the DevOps engineers that are required below the plumbing and the infrastructure that is required to deliver this continuous integration is what we are focusing on.

So in that sense, we are aligning it very strongly to complete the story for product engineering and to say that we are future ready for products that are going to be deployed and updated and managed continuously.

Urmil Shah: Thanks. Coming to my second question, you sound quite positive on the IDV business, should we understand it in a manner where the visibility which was there two years before has increased drastically? And that's why the growth over there should be much more consistent as compared to what it was two years before?

Manoj Raghavan: The visibility is definitely better. The synergies are playing out better now between IDV and EPD. But at the same time, I should warn you that it's still a small business . So, you should really not see it from a quarter-to-quarter basis, you shou ld look at it from a financial year perspective.

How have we performed last financial year versus this financial year, you have to look at it from a four-quarter basis.

It will be misleading if you really look at it fro m a quarter-to-quarter basis because they still do a lot of project-based engagements. There are deals that come in and once the deals are closed and we deliver, delays enter before next deal kicks in, and so on. So to that extent, there could still be a little bit of volatility

and so on. But definitely, we are much better as compared to two
years ago.
Nitin Pai: Yes. I think just to add to what Manoj said, I think I can just dr ive three directions. One is the synergy part. We are saying, look, try to minimize standalone deals, which do not lead to

larger downstream. So aligned to the verticals that you are in, let's scale in health care projects in HMI and UX and car automotive projects. Let's focus on delivering engagement and UI and experience for OTT and for media. So the point be ing that there, there is really a downstream play, and there is a continuous play as we continue to work with its customers even in deployment and downstream engineering. So that's the synergy piece.

Two is, I think we are selectively scaling around a set of customers. While earlier, we dealt with a whole lot of customers; we are starting to cull the number of customers we work with and start to build a base of fairly dependable customers, even if not dependable set of projects. So there are two, three things that we're doing that helps us mute volatility while providing for scale. But I think on the other hand, like Manoj said, there may be volatility at times.
Moderator: The next question is from the line of Naveen Bothra, an Individual Investor.
Naveen Bothra: Congratulations on a good set of numbers once again, and also congratulations to the management team for getting the board approval from the share-based incentive plans. My first question is regarding our recent announcement that on our TETHER platform, 5 lakh vehicles
have been registered. To Mr. Nitin, my question is, if you can throw some more light on it, from 5 lakh to 10 lakh, 15 lakh or 20 lakh vehicles on this data platform growth, how will this help us in terms of revenue and performance?
Manoj Raghavan: Yes. So rather than Nitin, I'll take it. So yes, I think what we have published is only the TML deal. There are other deals also that we have w on on the platform. And each deal is different; some deals are more NRE-focused. And then there are change requests to scale up the platform to meet larger numbers, we go back, and we do additional work; revenue streams come in and so on. Some of the deals are less of NRE and more of royalties per car. So in those deals, as the
volumes grow, definitely, it is a non-linear revenue stream that we get. So we have a mix of that. So definitely, as the installation s in the number of cars increase, there will be a lot more revenue
either because the platform itself needs to be scaled up, and there are changes that we need to undertake to address the larger numbers that we are onboarding. Or, in some cases, plainly, it is a royalty per car deal. So as the volumes increase, the revenues also increase.
Nitin Pai: Yes. Maybe I'll just add to that. I think to look at the press release as an indication and the declaration of the market that one, we have re ached a scale of 0.5 million cars, which is very difficult, to achieve in all markets. It demonstrat es the power and scalability of the platform. But what is even more in teresting is that we have now onboarded commercial vehicles, gasoline-powered or IC engines, as well as pure EV vehicles onto the platform. So what we're telling the market clearly is that across product types and product ranges, we are now able to handle any kind of connected vehicles, not even a connecte d car, but a connected vehicle need. So for us, the real benefits of the press release are going to be the deals that we signed further rather than what we get from Tata Motors itself.
Naveen Bothra: And the next question is to Mr. Gaurav regardi ng our overall human resource cost, the direct employee cost is direct line item. And as in the earlier questions, Mr. Manoj said that we have replaced the outside contractors' cost with ou r own staff. So Mr. Gaurav, can you throw some more light on the consultant cost in other expenses to get a better understanding about overall the cost of employees and consultants in our sales and revenue mix?
Gaurav Bajaj: Sure. As I mentioned earlier and what Manoj also said, the people that we took in the previous quarter, now are tr

ained and those people are put to the billable projects. And with that, we were able to replace the contractor with our own billable people. If you see the employee cost is an

equation of some of the tailwinds from the previous quarter, some cost increase because of the on-site resources, because of the exchange increase in the currencies and also, it's a mix of the utilization improvement compared to the previous quarter. So in a way, if you see the employee cost plus the contractor cost, that tailwind is ki nd of getting offset with the utilization and the contract reduction.

Naveen Bothra: Because in the direct cost, we are seeing in the TTM basis, more than 1% improvement is there in the employee cost. But since the cost of contra ctors and all the outsourcing agencies are in the other expenses, if you can throw a litt le bit more light in financial te rms, it will be quite helpful.
Gaurav Bajaj: It will be about 50 to 60 basis points.
Moderator: The next question is from the line of Ra vi Naredi from Naredi Investments.
Ravi Naredi: How do we plan to utilize the funds resting with the company? How do we utilize them for organic or inorganic growth, or do we distribute the gain?
Gaurav Bajaj: Okay. So basically, utilization is done at the time of the quarter 4. That is when we come up with our policy. And typically, what we have done in the previous quarter is that we have paid out the dividend. This time also, we will do internal discussion with the Board. And in the due course, during the end of the last quarter of the year, we will get back as what would be the stand for this year.
Ravi Naredi: Any inorganic growth acquisition in plan?
Manoj Raghavan: Yes. So that option is always there. And again, just want to make it clear that, look, we will really go that route only if we are fully convin ced that really helps us. Any of those inorganic activity should not decelerate our current performance. So there are many considerations. There are many deals that come our way, but we will look at those that really help us achieve our objectives. So yes, so we keep on the lookout. Th ere's nothing to report at this point in time.
Moderator: The next question is from the line of Mayu r Matani from Mahesh Kumar & Company.
Mayur Matani: Congratulations for the good set of numbers. I have two questions. One is regarding our employee addition. So during the end of the first quarter, we had mentioned that we plan to hire about 4,000 to 5,000 employees in the current year. And this quarter, we had seen that the net employee addition is negative. So I would like to know what are the plans for the employee additions in the next three months and the year going forward? Because generally, it is taken as a lead indicator as to what demand we foresee going ahead. And second is with regards to the geographic mix. Contrary to the expectations, th e European region did be tter than the US market.
So can you give some comments on that also?
Manoj Raghavan: Sure. I think we have to be very pragmatic about employee additions. Yes, in Q1, we were in a good position. We really believed that we will be able to add 4,000-plus engineers and so on.
And as a result, if you look at it, in Q1 and Q2, we did add a significant number of employees, headcounts and so on.

But in Q3, we had to be a little careful because of the macro economic si tuation, the market and also the fact that when you bring in so many employees, it's not a question of just bringing employees. It's also a question of how do you train them and how do you enable them to move in billable roles and so on.
So we had our hands full. We realized the numbers were pretty significant and we really decided that we need to take a pause there in Q3. But having said that, from Q4 and the subsequent quarters, we will continue hiri

ng and whatever we talked about. Even from a fresher hiring perspective, we'll definitely add anywhere between 400 to 500 engineers per quarter over the next four quarters. And we will continue to add laterals depe nding on the business. So yes, employee hiring will definitely continue. From a geo mix perspective, yes, Europe definitely did well. And as you would have guessed, Europe is a lot more automotive for us and US is a lot more media and health care.
So to that extent, if you look at it, the macro economic situation that is really working, affecting us in the MCV and the HLS busin ess is more US-centric. And as a result, the US growth is slightly lower as compared to EU growth.
Mayur Matani: And when do you see the recovery in media vert ical? Because right now also, the situation is not that great. So when do you see the pickup in the media vertical?
Manoj Raghavan: I think we are closely watching the media vertical. We believe there are no easy answers there.
It will take some more time, but we are a lot more confident that the medical/healthcare vertical will pick up faster. So maybe a couple of quarters more for the media vertical. We will wait and watch there.
Moderator: The next question is from the line of Hiren Ved from Alchemy Capital Management.
Hiren Ved: This is Hiren here from Alchemy at the outset. Congratulations on a good set of numbers. My question is that we've had a very smart growth in the automotive vertical this quarter, which has done the heavy lifting for the other two verticals. Do you expect to see the continued momentum in automotive like we've seen in Q3, while the other verticals take time to take off?
Manoj Raghavan: See, that's the strength of Tata Elxsi, right. A year ago or 12 months ago, the situation was totally reversed. It was MCV and medical that were pulling up and the transportation business was going down. So we strongly believe in having a good portfolio of service offerings which are relevant for the market. There could be temporary issues for a quarter or 2 in some of these verticals.

But overall, we strongly believe th at these three verticals, along with the strong design digital push that we have, gives us a lot of confidence that as an organization, we are well poised to really address the requirements of our customers. And that is what we would really focus on.

We are really not worried about these slowdowns, due to reasons not related to Tata Elxsi such as the funding situation, the macroeconomic situation, the war and some other things that can happen out of our control.

But overall, we still strongly believe in the relevance of our service offerings and in our design digital positioning that we have. And we strongly believe that, it's a matter of time before we recover in both the Medical and the Media and Communication business. So I think, yes, overall, I still believe you talked about the transportation business. We do definitely see a good order book and good pipeline there. But at the same time, we also know that there are risks; you talked about Europe. You talk about the fact that it's anybody's guess about how this war would go. Automotive business is heavily Europe-centric, so that is also true. But at the same time, there are customers that are really spending. So we don't see an immediate degrowth or anything happening there at this point in time. And I think, yes, we are confident that we will continue our growth.

Hiren Ved: And my second question is that the benefits that we accrued from better utilization and moving some of our own employees versus contractors - do you think we still have some scope to squeeze efficiencies and margins for that in Q4 as well, or whatever we had to obtain is already done in Q3?

Manoj Raghavan: No. Of course, our utilization is still not where we want it to be . So there are still operational parameters that we need to focu s on. There is still more juice that we can extract. So definitely, no, it's not that everything is done.

Moderator: The next question is from the line of Akshay Ramnani from Axis Capital.

Akshay Ramnani: Congrats on a good quarter. So my first question was on the software-defined vehicle deal which you have announced, I wanted to get some sense there. Is this engagement substantially larger than what we have been seeing historically in typical deal sizes? And do we have similar deals which are floating in our pipeline? Also, if you can just highlight competitive intensity for such deals, and how is Tata Elxsi positioned to drive multiple de als of such type.

Nitin Pai: Yes. So Akshay, this is Nitin here . So let me take that question. For us, this is a strategic entry rather than a size aspect. So to that extent, we have been onboarded into the next-generation software development platform that this particular OEM is developing. We have just been onboard into a few modules. We already are looking at deals that are sitting in the pipeline for the same customer, covering a lot more modules. So to that extent, for us, what is happening is we made a start. We're already in some areas. It is just for us to continue to grow. The highlight is actually about the entry into that particular customer because we've not had them in the software organization before. And we see a long runway ahead. As far as your question on other deals concerned, the pipeline for auto is very strong.

Akshay Ramnani: And another question was on margins. Last quarter, we saw frontloading of cost, which was led by some investments which we made in our talent, which also impacted margins sharply. Now this quarter, looks like we have stabilized on th at investment and improved it quite a bit. So I wanted to understand, do you have any investment pipeline over the next in two to four quarters which can impact margins. Excluding that, on an organic basis, how should we expect these operational efficiencies of incr easing utilization to aid margin s? How should I think about the margin trajectory going forward?

Manoj Raghavan: When we hire freshers from the colleges, typically, they would come in, in large numbers either in Q2 or Q3, depending on the business needs. That is when the impact of the large headcount will happen in our business. So we have already done that for this financial year. So yes, if it all, it will happen only again in the next financial year . And that's a hit we need to take because that's how our business is and that's how we plan for resources. In one quarter, we need to take that hit, and we'll get the benefits of that over the subsequent few quarters. So apart from that, Gaurav, if you have any views on that?

Gaurav Bajaj: No, I think that would be the investment we typically do every year in terms of the intake and then we train them and that is how the forward-looking investment is done from our side. Apart from that, I think we will continue to work on the other operating levers to neutralize that impact

of those costs from the intake that happens typi cally in the first two quarters of the financial
year, along with the growth that we will be able to achieve with those billable people.
Akshay Ramnani: And if I can squeeze in one for Gaurav. So our ATR has been hovering at about this 19%, 20% range for the past three quarters. So is that a sustainable range going forward? Or do you expect any of these SEZ benefits to reverse over the next year or 2? How should one think about that?
Gaurav Bajaj: So we have not done the assessment for the two years but for this year, the effective tax rate will continue to be in this range. But yes, in the coming year, there will be a couple of SEZ units that will be coming out of the first block of 100% exemption. At the same time, we are looking at how to continue expansion and the growth of

volumes in some SEZ units which will still have a higher exemption limit of 100%. We have to do that modeling for the coming year, but that will happen along with our business units. I think that's what we can tell at this point of time. In the coming quarters, we wi ll let you know more on it.
Moderator: The next question is from the line of Karan Uppal from PhillipCapital.
Karan Uppal: Just one question for Manoj. So in comms and media vertical, is the weakness concentrated to a few large accounts? Or is it broad-based across the customers? And also, I believe that our top client is from this vertical. So what's happenin g in our top client? Is it also showing some weakness?
Manoj Raghavan: Yes. So we did have some furlough impact in the quarter from the top customer. This impact is not only from the top customer perspective, it is at least the top 10 accounts. It's not as if the deals are not there, but we are not seeing the large opportunities moving forward, rather most of those deals are broken up into smaller deals. So there is caution in the market definitely. We used to have a lot more order bo ok visibility in this business, but right now, we see that large funnel breaking into smaller funnels. So that's how it is. But I think it's a question of a few quarters; the relationships are still intact. The intent from customers is also there. Especially with layoffs and other things happening, the customers are just waiting and watching. They don't want to take any large investment decisi on at this point in ti me, I guess, in a couple of quarters, we'll get better clarity.
Moderator: Next question is from the line of Anika Mittal from Nvest Research.

Anika Mittal: Just a simple question on the demand outlook in the medium term across all the segments that we are currently operating in, sir?
Manoj Raghavan: See, again, demand outlook is pretty strong. If you look at the automotive business, if you look at our entire design business, we continue to see very strong order book. Media and Communication, it's a little muted. The medical or healthcare business is a long lead cycle business and decisions are pretty slow. It takes anywhere between three to four quarters to six quarters before large deals are signed. So we're going through that process.
A part of our services come from the regulatory services, and for the European market that is a regulated service called EU MDR. EU MDR was mandated; all products have to be EU MDR certified by 2024. So there was a deadline and there was a rush by all companies to really get the product certified by 2024. What has happened is recently, maybe just about a quarter ago, the commission there relaxed the deadline from 2024 to 2027. So what has happened is with a lot of these companies, because the time lines are relaxed, what was supposed to be done in about 1.5 years can now be done over four years-plus. So a lot of the companies since decided to make use of that.
So the TCVs are intact, but unfortunately, revenues are now going to be spread out. Not all customers, a few customers have got into that. And that has affected us a little, and that is why if you look at it, our revenues have dipped a little bit. But the good part is, now the budgets that are available with the customers, they can use them for other activities, including new product development and other activities.
So we hope in the subsequent quarters, we will be able leverage this budg et availability to push for new product development deals. And as you know, we have been investing in the digital health platform for quite some time now. And that is another revenue stream that we are building up, we are engaging and having those discussions wi th customers. It does take some time to sign deals there. All of that will happen over the next couple of quarters. And that is where I'm a lot more confident that we'll be able

to recover the situation in the health care business.
Moderator: The next question is from the line of Tushar Bohra from MK Ventures.
Tushar Bohra: Congratulations to the management for a good set of numbers. Sir, just a couple of questions.
First, we continue to report our business along three verticals as on date today, the transportation, media & communications and healthcare. But over what period do you think that some of your

initiatives in other sectors and sub-segments would start to beco me fruitful so that you would
move on to reporting those segments separately? And does that happen in the near term?
Manoj Raghavan: That's a call that we need to take. Actually, if you look at it, the adjacencies that we called out are already pretty significant if you look at the individual verticals. So in some cases, they are close to 10%; in some cases, they're close to 15%, 16%. So that is something that is not out of focus. Adjacencies definitely are doing pretty we ll, and we are really monitoring them. So we will take a decision at the appropriate time to disclose those numbers. Ne w verticals, I think we

will continue to be cautious. We are incubating a few verticals and at again, at the appropriate time, we will bring that in.
Tushar Bohra Just to clarify on this, is defense or related area also an opportunity for us in some way?
Manoj Raghavan: It's not an active opportunity for us, though we are looking at the defense avionics side, and we do work with ISRO and a few companies in India. But again, it's not a large business, and I don't think it will be a large business because you really need to cater to the US defense industry or the European defense industry, if you want to make a big splash. But unfortunately, there are a lot of restrictions there - you need to have US citizens work etc. There are a number of restrictions there that doesn't make it easy for us to enter that sector.
Tushar Bohra Sure. So sir, second, just want to get some qualitative inputs on how our IPs are performing in terms of helping us win business or also in terms of actual revenue contribution and also some of the new work that we are doing. So in the previous call, we've highlighted about metaverse.
This call, you mentioned about the AR/VR project and the software-defined vehicles. Just some inputs that help us understand the opportunity would say, next three years or so in these areas?
Manoj Raghavan : Sure. So if you look at it, our products, we have done a lot of investments in the media and communication vertical from a product perspective, whether it is products like FalconEye, QoEtient, TEPlay. There's a number of advertisem ent-related platforms, there a number of things that we have done. At this point in time, I would say that is one area which is doing pretty well for us from a media and communica tion vertical perspective.
Automotive, of course, we have done a lot of investments, including on the ADAS side, the Autonomous Car, AUTOSAR and so on. Of course, we are working a lot on the electric vehicles, a lot of IPs and products that we are building from a validation perspective. But all of that is currently in the investment phase. We hope that we 'll be able to really push that into the market and get revenues.
From a medical health care business, yes, the investments that we have done on the digital health platform, that is a pretty significant investment . And we hope in the next two to four quarters, that will start generating returns for us. So I think as compared to a couple of years ago, number one, we have a lot more products in the market. Number two, a lot more products are generating revenues for us. That is also a positive for us. And I think this investment will continue because even though the numbers are not very significant, from a year-on-year perspective as per internal projections, we're looking at a 100% sor

t of revenue growth from the products and product-led business.
So that's something that we will continue to focus on and continue to make those investments. I think at some point in time, it will be significant, and we will hopefully hit a gold mine somewhere. But yes, we will continue to invest.
Tushar Bohra Yes, sir if I may just squeeze a couple more questions very quickly. Sir, one is on in the TCS con call, management interestingly made a comment about ChatGPT. And obviously, it's in rage

right now for a lot of reasons. Just wanted to understand if some of these technologies could end up being disruptive on either side, positive or negative for us and for our peers. If you can maybe throw some comments on some such technologies, which you hope to either avoid being disrupted or leverage better to actually gain better business wins.
And on a related area, in general, we've seen a lot of spending cuts and on the technology side, we've seen a lot of market corrections, valuations have come down for a lot of companies globally. Is there anything on the M&A side th at you are starting to sense where things are coming close to your comfort in terms of valuations, so that you may look at an inorganic growth.
Not immediately, but defin itely in the near term?

Manoj Raghavan: Sure. We have our targets, and we're looking at it from an M&A perspective. So again, as I said, there's nothing to report at this point in time. We are operating at 28.7% PBT and 30%-plus EBITDA, so we have to be care ful in terms of the impact of acquisitions. There are very few businesses out there that operate at that level. So we don't want any M&A to be disruptive to our own financials and so on. So we'll be careful, we'll look at it and we'll evaluate the synergies a lot more as compared to other companies. Because we are already operating at a very nice level. So, that's something we 'll be very cautious.

Nitin Pai: On the first part, maybe I can respond. In terms of ChatGPT, we think of that more as an anchor rather than as a specific point. I think the fundamental differentiation we bring in the application of digital technologies is that we are not out to build a generalized AI platform like many of the large IT companies talk of. We are very clear that we will do very specific AI.

So if we’re doing AI, we will do it in cars, it will enable autonomous driving. If we use it in media, we'll use it for personalization of content and for nothing else. If we’re doing medical, it will be to improve the predictabili ty and outcomes of the diagnostics that we're doing. So in that sense, if you look at it, these are not generalized AI problems. These are specific AI problems.

So to that extent, we are in a space which still continues to need what we do and the intelligence that we bring, as the intersection of domain and engineering. But equally, I think there are opportunities for us to use generalized AI techno logies like ChatGPT, es pecially as you move out of the product and then we get into the cloud, I think there is a lot more potential in those areas. So for us, I think we see it as an upside, because it allows us to go into areas that we don't otherwise address in general.

The same is true for others, by the way. If you lo ok at digitized technologies, really think of the deal that we called out, which is the use of AR/VR in worker and productivity training. It's actually the metaverse, except that we are applyi ng the metaverse for Indu stry 4.0. So again, there, we are seeing clear application of metaverse in gaming and in entertainment.

We are looking at the application of the metaverse AR/VR in the context of either improving engagement or experiences within cars, we're looking at within factories and so on. So in general, I'll just put it this way. For us, what is important about digital is the intersection of that with a

particular domain, and not digital for itself.

Moderator: The next question is from the line of Akshay Ramnani from Axis Capital.

Akshay Ramnani: Manoj, last quarter, you spoke about high on-site wage inflation, wanted to get an update on that trend? Has that moderated? Also, the new center in Germany, is this a la rge one for us? Should we expect any reversal in the offshoring trend which is holding up quite well for us?

Manoj Raghavan: I didn't hear the first question. Let me answer the second question, and then we can come back. So yes, I think we've recently opened a center in Frankfurt, we believe it's a good location for us. We get access to local talent there and there are a few customer engagements that we are going to execute partly out of that facility. We've always had a smaller center, this time we really scaled it up to a significant larger center. I don't think that our on-site offshore ratio is going to change drastically because of that. We still conti nue to be an offshore-c entric organization and if you look at the ratios also, I think we are more or less at the same level where we operate. So I think that doesn't change. Coming back to your first question, can you repeat that question?

Akshay Ramnani: Sir, that was around on-site wage inflation. You had called out a high on-site wage inflation last quarter. I wanted to get an update on that tre nd? Has that moderated or how are you seeing that?

Manoj Raghavan: Wage inflation is still high. It's early to talk ab out all these layoffs and impact of that on the on-site wage inflation. I think we will wait and watch. But I think until last quarter, the inflation continues to grow. But there is some softening in the market ri ght now with all the layoffs. But it's too early to comment on that. We'll wait and watch for until the end of the quarter.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like hand the conference over to Mr. Nitin Pai, for closing comments.

Nitin Pai: Thank you. And first of all, let me wish all the participants today, very happy New Year again. Thank you for joining us on this call. We look forward to meeting you again in the following quarter. Of course, this time, our results were delayed a little bit, not because we're not ready, but we have to enable the availability of the entire Board, which was otherwise occupied. So hopefully, we'll have our numbers coming up early as usual in the following quarters. Thank you, and have a good day.

Moderator: Thank you. Ladies and gentlemen, behalf of Tata Elxsi Limited that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C-1, Block G July 21, 2023
DGM – Corporate Relations
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI
Dear Sir / Madam,
Sub.: Transcripts of the earnings conference call for the quarter ended June 30, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2023 held on Monday, July 17, 2023.
The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors.
This is for your information and records.
Yours faithfully,
For Tata Elxsi Limited
Cauveri Sriram
Company Secretary & Compliance Officer
Encl.: As above

"Tata Elxsi Limited
Q1 FY '24 Earnings Conference Call"
July 17, 2023
MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED
MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to Tata Elxsi Limited Q1 FY2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, pleas e signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you and over to you Mr. Ganesh.
Shashank Ganesh: Thank you very much. Good evenin g to all the participants on th e call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it mu st be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.
We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to th em if time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. A very good evening to everyone. Thank you all for joining us this evening for the earnings call. We are happy to report a healthy operating revenue growth of 17.1% year-on-year in the current macroeconomi c environment, while delivering an EBITDA margin of 29.6%. In constant currency terms, our revenue grew by 1.2% quarter-on-quarter and 11.9% year-on-year.

During the quarter, our Healthcare and Life Sciences business reported a healthy quarter-on-quarter growth of 3.2% in constant currency terms, which is a significant improvement over the performance during the ea

rlier 2 quarters. This vertical also reported new product development deal wins for medical diagnos tics and smart hospital equipment. In the Transportation business, we continue to see good traction and a strong deal pipeline, especially in software-defined vehicles and electric vehicles.
The transportation business grew by 1.8% quarter-on-quarter and 17% year-on-year in constant currency terms. While some deal closures were delayed in this quarter, we won new deals, including a strategic multiyear multimillion dollar SDV deal with a leading Asian OEM for SDV platform and software development. We also won a multicurrency licensing and deployment of our Connected Vehicle Platform deal with a global top 5 OEM.
Our Media and Communication business performed creditably to retain and grow market share even though absolute revenue growth was muted. The quarter-on-quarter revenue growth was

at 0.2% in constant currency terms. We w on our first multiyear deal for our 5G network orchestration and automation suite with the lead ing telecom operator. This is an important milestone for the renewed portfolio we are buildi ng for this industry vertical. However, the media telecom and technology sector is still soft globally, and we remain cautious on the short-term growth in the sector while staying close to our key customers and focusing on intelligent AI-powered solutions and technologies, that will drive the next wave of transformation in this industry.
I am delighted by the all-round customer excelle nce demonstrated by Elxsians that has allowed us to grow strongly with our key customers and position us well for competitive differentiation and new project considerations around our customer base. Our successes in growing our business with our large accounts resulted in a share of revenue from our top 5 accounts increasing from 39.8% in the previous quarter to 42% in the first quarter of FY '24. Similarly, our revenue share from top 10 accounts grew from 49.4% in Q4 of the previous financial year to 51.9% in Q1 of this financial year.
On the people front, we continue to invest in our talent base with a net add of 422 Elxsians in this quarter. The Elxsi family is now 12,000-p lus strong with attrition dropping further to 15.6%. We have driven strong operational excellence across the organization and protected our EBITDA margins despite wage hikes and strong employee additions in the quarter.
Our effective tax rate in this quarter has increased on account of lower tax exemption due to the completion of 5 years for a couple of SEZ units, impacting our PAT margins. Our PAT margin for the quarter stood at 21.6%. It's a matter of great pride for all of us at Tata Elxsi to partner with ISRO and play a role in the Gaganyaan project. This collaboration will help push the boundaries of technology and provide us a unique opportunity to advance our capabilities while strengthening India’s space mission. We wish ISRO the very best as it progresses further in the ambitious Human Space Flight mission.
As we step into the second quarter of this financial year, the confidence of our customers in our differentiated Design Digital proportion and delivery excellence and a strong deal pipeline, especially in automotive, health care and design businesses, provide us the confidence and foundation for accelerating our growth throughout the year. With this, I will hand over the floor to Shashank for the Q&A session.
Nitin Pai: Shashank, before you go, this is Nitin Pai here. I have a brief update for the entire audience who's joining us today. We moved to a new fact sheet format and my apologies because I think we missed reporting the constant currency growth for the overall company. So, the intent, of course, was to move to a new format to make it more readable, more user-friendly, but I believe that we had a lapse on that front, that will be corrected. So,

you will continue to see a constant currency report at the company level too. So, my bad on that. Thanks.
Moderator: Thank you very much. The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. A couple of questions. Firstly, one was on the Transportation vertical. Obviously,

you mentioned that the deal closures are delayed, but have you also seen deal conversion
getting pushed out because of the macro and clients being a bit cautious? Because the growth has been a bit soft over the last 2 quarters in a row now. So, what's the outlook over there
going forward?
And secondly, to Gaurav, if you can give us the margin walk for this quarter and are the wage
hikes completely done in 1Q? Or can we expect some part of the wage hikes to come into 2Q
as well. Thank you.
Manoj Raghavan: Sure. Regarding the Transportation business, yes, you're right. I think some of the deals
closure is taking time but I think the deal pipeline is still pretty strong. There are large opportunities that we are chasi ng. And we are really hopeful th at we will have those closures
in Q2 and the subsequent quarters.
To that extent, I think that lack of conversion is really reflecting in the soft revenue growth.
But I think we are pretty confident that come Q2 and Q3, we will see accelera ted pipeline
closures.
Gaurav Bajaj: On the margin, our EBITDA is 20 basis points lower compared to the last quart er in spite of
the wage hike that has been rolled out during the quarter for the significant amount of the Tata
Elxsi employees. In terms of the brief margin wa lk, we have an impact of 140 basis points
from the salary hikes plus the ESOP cost that we have taken for a month in this quarter
because, as we mentioned in the last quarter, that we went ahead and we got an approval for
the employee stock option plan. So that has been rolled out and communicated to the employees in this quarter.
The cost for 1 month has come in. So, including both wage hike and the ESOP, the impact is
about 140 basis points. We continue to reduce our contractors since we have better bench
strength and the training on campus is available to us. So that provides us a leverage of about 40 to 50 basis points to do that reduction an d rollover from the TPC contractors to our own
employees. We have exchange movement gain of about 20-odd basis points on to the margin walk.
Another 50 basis points coming from the other operating leverage in terms of the pyramid
rationalizations and improvement in the utilization with the volume growth and the scale. So
that makes a total of 20 basis point impact on a quarter-to-quarter sequential basis on our
operating margins.
Moderator: Thank you. Next question is from the line of Vimal Gohil from Alchemy Capital. Please go
ahead.
Vimal Gohil: My question is again on automotive. Sir, how should we see the performance in the last 2
quarters versus what we are experiencing and reading about in the overall automotive industry, given the fact that most of the OEMs and Tier 1, Tier 2 suppliers are also talking of areas

where we are heavily invested in. These are high-growth areas and there is an urgency of
investments over there being spoken about by our potential and existing customers.
So how should we reconcile our relatively softer performance there? And what gives us the
confidence that Q2 should be much better? Is it all related to macro because macro clearly tells
us that, things are moving probably faster than what we expected in the automotive space, especially. Thanks.
Manoj Raghavan: Yes. I think I've answered that qu estion. So, the deal pipeline is pretty strong. We still have
pretty large opportunities that we have placed bids on and what was supposed to be closed in
early part of Q1 is still open. So , customers are definitely takin

g their time, especially on large
bids and so on. So, I think it is natural during the current macroeconomic situation. Customers are being careful before they roll out, especially the large deals and so on. So, I think the fact is
that we have a good pipeline, and we see closures happening in Q2. That's the discussion we've had with a number of our customers. we really hope that additional revenues will kick in
during Q2. So that's the confidence that we have.
Vimal Gohil: Understood. And sir, within Broadcast and Comms, have we essentially bottomed out will
things continue to remain soft for the entire year? And lastly, just one point on Transportation as well. Given our last 2 quarters of performance, do we expect FY '24 growth rates in
transportation to be lower than what we had in, let's say, '23. Would that be a fair assessment?
Thanks, that’s a ll from my side.
Manoj Raghavan: No, we wouldn't want to call out anything at this point in time given that we are only in the Q1
of the financial year. I think we would definitely want to wait and see at least a quarter or
more, right, to make that sort of a conclusion. But we still remain pretty confident that we are
in a good wicket as far as our transportation or automotive business goes.
Regarding the Media and Communications business, it's not just us, it's the entire industry.
You see multiple of our competition has also show n either degrowth or significant degrowth in
that business. Thankfully for us, we have held our ground. Even though we have not grown

significantly, but I think we have done a very good creditable effort to maintain our business directives.
And especially if you look at our top 5, top 10 customers, I think we've actually won deals and improved our market share as compared to our competition. Having said that, Media and Communication industry is still pretty soft. I wouldn't want to call it a washout for the full financial year, I think we would want to wait watch and see how the deal closures happen in Q2 and then take a call on how the industry is.
Moderator: Thank you. The next question is from the line of Anika Mittal from Nvest Analytics. Please go ahead.
Anika Mittal: Sir, my question is from the Healthcare segment side. So, what is your near-term outlook on this particular segment for FY 2024?

Manoj Raghavan: I think over the last 2 quarters, I think the Healthcare and Life Sciences business did not show the growth that we were expecting, and I think that is also because of the transition in the Euro MDR activities and that has taken us a couple of quarters to get over that. But I think this quarter, we have demonstrated good new deals and good product wins there. So that has really helped us to show a good growth.
We are pretty optimistic that we will be able to show this continued growth in the subsequent quarters also. But I will not be able to give you a number for the financial year. We don't give that projections. But I think we are on the recovery path, and we hope to grow back to our earlier growth rates in this business pretty soon.
Moderator: Thank you. Next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Thank you once again. Just on the margin bit, is wage hikes done for a large part of the employees or should we expect some wage hikes to come in 2Q as well?
And secondly, your net employee addition has seen an uptick this quarter. So how should we read that? I mean, is there a sign of improving demand do you see going forward? Or is this a way to optimize the cost by reducing the dependence on subcontractor where you want your own employees to be utilized more on the projects.
Manoj Raghavan: So, I'll answer that. So, I think we have given wa ge hikes in Q1 for all our junior staff. I think almost 70% of the headcount, we have given the wage hikes. For the senior staff, the wage hikes woul

d come in this quarter from July 1 onwards, right.
So, the new hires that we have been doing, I think it's something that we continue to do, we're not looking at a quarter-on-quarter basis to really squeeze the hiring. These are offers that we have made, and we continue to honor all the offers that we have made. We strongly believe that we need to build our resource pipeline fo r the future quarters. A nd I think this is an ongoing…, we're not really diluting that focus of stopping hiring and so on, we continue to hire at our normal rate. That's also because of our confidence that the industry will recover and the bench that we build today will be useful for us moving forward.
So, we are not taking a very short term-ish approach here. And I think since we have maintained our EBITDA margins and we are do ing reasonably well, that also gives us a cushion to really go ahead and not take those knee-jerk reactions.
Bhavik Mehta: Okay. Got it. And just lastly, on generative AI, how should we look at the impact of generative AI on the engineering services business? An y color over there will be very helpful.
Nitin Pai: Absolutely. This is Niti n here, Bhavik, maybe I'll take that. The way we see it, is twofold. On one hand, in products per se, especially because of the fact that we deal with physical products, whether it's a car, whether it's network equipment, boxes and services on medical equipment, the direct impact of generative AI on such products is very limited. Why? Because they all deal with, if I may use the word specific AI.

So therefore, the kind of training that you do, the kind of models that you build, the kind of algorithms that power an autonomous car, or me dical diagnosis, or recommendation engine are quite different from what would classically use ChatGPT or generative AI for. So, to that extent, AI becomes more and more relevant. AI becomes more and more predominant within the portfolio of customers, but it's not coming from generative AI per se.
In our view, generative AI has some impact on product development to the extent that we are working on how can you aid coding, especially as a starting point rather than starting from scratch, how we can improve testing using generative AI, especially where you had to spend time on creating test cases,

describing use case scenarios, there are certain benefits to using
generative AI, which are already in the works for us in each of our segments.
But the overarching comment would be that in the product engineering business, it has lesser
impact. It has far greater impact when you talk of areas like marketing, customer experience, customer care and so on. These are typical BPO/KPO activities. You can straight away
imagine that the impact there is far, far higher, and we have no play in those.
Moderator: Thank you. Next question is from the line of Rohan Nagpal from Helios Capital. Please go
ahead.
Rohan Nagpal: Could you talk a little bit about the demand trends that you're seeing across North America and
Europe? I see a decline in the revenue mix coming from the U.S. and an increase in Europe. So, can you give some color on the differential demand that you see?
Manoj Raghavan: Yes. I think just based on 1 quarter's data, it's very difficult to make any very clear reasons as
to why demand is lower in 1 region or another. If you look at it, maybe a couple of quarters
ago, I think our demand from North America wa s fairly strong and so on. So that keeps
happening. But in general, let me tell you, a lot of our Europe revenue is transportation-led,
whereas a lot of our North America is Media and Communication-led. So, to that extent, the
relative slowing down in Media and Communication vertical can be directly correlated to the North America market.
Having said that, the medical business is also pr etty strong in North America. So, we're really
hopeful that, that piece will pic

k up. So, we look at it, both North America and Europe as very,
very key strategic geographies for us. And we continue to invest in those geographies. You would have seen the press releases and we talked about opening a new office in Troy. So, we
continue to invest in these geographies. And we are hopeful that growth will return eventually.
Moderator: Thank you. Next question is from line of Arun from Subh Labh Research. Please go ahead.
Arun: First of all, congratulations to the management team for continuing with the steady good set of
numbers in a tough economic environment…
Moderator: Arun, your voice is not coming clearly.

Arun: First of all, congratulations to the management team for continuing with a steady operating
performance in the tough macro-economic situation. My question is to Mr. Gaurav. In the
current quarter's financials, we can see in both the segments, especially in software development segment, our absolute profit has increased much more than the revenue. But
some unallocated expenses have impacted our overall profitability. So, if you can share some more detail on the increase in unallocated expenses th at will be quite helpful.
And the second question is, this quarter our effective tax rate has increased due to tax already
paid completed in two of SEZ. So, can you guide for this financial year as a whole, whether this will be the benchmark rate? Or do you see any further changes in the effective tax rate?
Gaurav Bajaj: On your first question on the segment results. I think you are bringing it from the segment
results. Under segments, since we embarked on th e digital transformation, we did a little bit of
reclassification with internal changes in the methodology of the allocated and non-allocated expenses. To that extent, you see that there is a difference from quarter-to-quarter. But what
we have published in Q1 would be the basis going forward in the future. So, you should do the benchmarking and compare it on the quarter 1 basis going forward.
On your second question on the effective tax rate, I think we have been highlighting in the last
couple of quarters that we will be coming out of couple of undertakings in the SEZ where our
tax bracket exemption will move from 100% to 50% and you will see the impact of the same
coming in this financial year. So, whatever is the ETR for the current quarter would be the threshold and the range for the tax rate going forward in this financial year.
Moderator: Thank you. Next question is from the line of Satadru Chakraborty from Chakraborty Family
Office. Please go ahead.
Satadru Chakraborty: Congratulations on a decent set of numbers. I don’t have a lot of finance-related questions, but
a bit more on the macro side. So, the first question maybe is on the Transportation vertical per
se. The question is really around software-defined vehicles because I see a lot of Tier 1, Tier 2 OEMs going from a product to a solution side. A lot of them are now trying to sell SaaS
solutions.
So, my question really was how do you guys see al l of this integration in to the global market
going ahead? Because it seems to me that the market is just not having a lot of standardization. And then if you have a brake supplier, if you have a battery supplier, if you have an engine
component for you or they are doing their own soluti ons, how easy or difficult is it to integrate
all of these in the digital stack and then give this out as a package, if you will, to an OEM client?
Nitin Pai: Hi Satadru. This is Nitin Pai here. Maybe I'll take that. On one hand, if you look at software-
defined vehicles, I think it's fundamentally driven by OEMs, and it has been driven precisely

with that point in mind , which is that ultimately, the car is an amalgamation of software, hardware and mechanical elements coming from thousands of suppliers. And a lot of these are black boxes.

And therefore, if you're trying to drive performance out of all of those, if you're trying to speed it up or create agility out of how you update functionality and features in the car, you not only have to work with the same thousands of suppliers, but each of those changes cost you money and each of the changes require you to go through a full validation and certification cycle.

So, to that extent, I think the pr emise of SDV is exactly that, there are 2 opportunities. One, the opportunity to create agility in the features and functionality of the vehicle, both what is going to be delivered and produced newly, but also what is available already in the field through software updates. So that's part one.

And I think part 2, which is more interesting, is equally the monetization opportunity. Now you have a connection to the consumer directly, which was otherwise not available to OEMs, they were only connected through dealers. It's only dealers who had a relationship. So that relationship now cr eate opportunities to monetize. And th at monetization can take completely different paths, right, from subscription-based f eatures to over-the-top services that you can deliver and so on so forth.

So, I think the point remains that software-defined vehicles are here to stay. The level of software defined is always a question. I'll just call it software-centric because different OEMs will require and can afford different levels of ow nership. In some cases, it may not even be necessary to try and own everything. You may just choose to take a selective view on what software you own, what software you run. But I think the premise is very clear, agility and monetization. So that's, I think, a one-way street. You will see that change. So, I hope I kind of addressed what you want to do understand.

Satadru Chakraborty: Yes, absolutely. That's very helpful. Similar sort of question on the healthcare and life sciences space. I was sort of trying to read up on balance sheets of a few global medical device companies. For some reason, the last 2, 3 quarters have been very choppy for them. I mean the pharma companies are struggling, but the med devices are struggling even more. I just had a very generic question on how do you guys see the creativeness of this space going ahead? Because I know that gross profit margins are high. And I know that there are a lot of software definition happening in the med devices space, a lot of connected devices, IoT and then running analytics on top. So just give me a sense of how do you see the overall market getting better or worse? And how are you guys planning to play in this market, basically setting up and yourself for the future?

Nitin Pai: Sure Satadru. This is Nitin again. So, I'll take that. If you look at the premise on which we, in fact, even built a focus around th e medical devices and the health care indu stry, it was based on the fundamental presumption that in general, the health care industry has been fairly conservative. Product life cycles are very, very long. In fact, there are devices that were designed 15, 20, 25 years back that continue to run.

And the advent of cloud, AI connected devices essentially means that you can actually afford to deliver a far more superior customer experience, far more data-led insights that directly affect patient outcomes an d health. And therefore, it is essentia l that all products actually pivot

to, in some sense, equivalent of the car. You need to be connected, you need to be automated, I'll not call it autonomous, and you definitely n eed to look at electronification because a lot of the previous generation medical devices were electromechanical rather than electronic.

So that's the premise on which we've built the business, and you'll see that over the last 5 years, from the time we started, we have moved from 0 revenue to

about 15%, right? And that's been a business that's grown almost 10% quarter-on-quarter for a few years. So to that extent, I think there is confidence that the industry is actually behind the automotive industry in terms of the transition that it needs to make, even though there are no regulations that are driving it, unlike in the automotive industry, where you have sustainability, you have ESG concerns that put stakes in the ground as far as countries are concerned.

This is really an opportunity to change because that is what will sell in the future. That is what will create monetization in the future. So, to that extent, I think there is great confidence that, that pivot has to continue. Software, cloud, IoT, connected devices, intelligence. That is an inexorable path for medical devices. All of them have to get there.
The pharma industry has to adopt it to some extent, too, in the sense that as pharma industry moves from prescription-based billing to outcome-based billing, you will need to then monitor patient vitals, you will need to provide for patient tracking and so on. All these are devices that will do it, because the drugs will be then decided based on the markers and that will be personalized based on the actual patient profile. So, in our view, I think the fundamentals of electronics and software becoming the dominant part of what medical devices company you need to do, is a given.
The rate that we'll do it at is not driven at the same rate as automotive because automotive has priorities coming from regulatory and regional or country-based decisions that have been made on when they will stop or turn off eyes and so on. The medical device industry does not have that trigger but has a trigger of 'how do I make money in the future'. So that is what creates absolute confidence. And I think this is just the start of that.
We know it's the conservative industry. It's difficult to get in. There are barriers of entry, but we have a marquee set of logos that we work with, we are quite confident of our ability to stay incredibly relevant to these companies.
Satadru Chakraborty: Maybe just 1 last question from my side. This is let's say, mix of talent management/key factor that you guys train. It always fascinates me how a company can play in these 3 diverse EPD verticals and still be successful. I know the broad-based argument that if 1 sector doesn't go good, then you can diversify and so on and so forth. But if I look at a company -- if I look at the big, big outsourcing firms such as the Accentures, the Capgeminis or even a big brother like TCS. So, for them , that makes sense.
But I'm always curious how you guys think of talent because these are 3 are so diverse verticals where the domain knowledge is very different. The software standards are so different. So apart from the fact that, of course, you can have some basic level of integration, how do you guys just manage talent and just see these 3 very diverse vertical sustaining?

Because I'll be very frank, I haven't seen another company like Tata Elxsi doing so diverse verticals and still having so gr eat returns over so many years. So how do you guys look at talent management and these 3 diverse verticals in general?
Nitin Pai: So, Nitin, again. Again, just like Coke or KFC, I'm not going to reveal all our secrets. But having said that, maybe I'll start with the fund amental point, right, that when you have been doing this for 25 years and more, and this is the only business that you do, believe me, there's a whole lot of ingrained company knowledge that reflects in its processes and its quality systems in the way we both hire and ma nage talent. So that's the first fundamental building block that we build on.
Equally, we also acknowledge the fact that these 3 industries are so different that the domain knowledge, especially as we move quickly up the seniority and e

xperience levels, demands that you have training programs, you have training methodologies, you have quality systems, you have everything that is different for each of these verticals. And to our advantage, I think that's also a core competency. That's also what makes it very difficult for a generic IT player who depend on fungibility , who depend on training that is industrialized. I mean you would have trainings that people take us for 15 days, 1 month and they are ready for billing. For us, it's nowhere close to that. For us, it's multiples of that timelines to get people ready. But I think that's the way we do business. And hopefully, that's the secret sauce that we bring.
Moderator: Thank you. Next question is from the line of Chirag from as Ashika Institutional Equities. Please go ahead.
Chirag: Sir, I want to understand the development that is happening in the Indi a across the sector like the EMS, defense, automotive and rail. Order bidding is going to the global players, some of them are our clients. So, I want to understand our relationship with them - how are we going to benefit by taking orders from the global OEMs, wh ich are fueling the growth of the Indian economy for the diverse sectors?
Nitin Pai: Yes. Maybe I could take that. Very quick view is we definitely have this for mu ltiple sectors, whether it's automotive or whether it is rail and adjacencies, where there are programs that are won by suppliers to supply to OEMs or to programs in India, including rail. We find that we are supporting those programs. And our relevance becomes even higher, especially if you're competing with regional- or overseas-based competition.

So, to that extent, the fact that we are in India, within proximity, understanding of those customers, ease of communication, ease of coordination, I think only adds to our attractiveness. But please note, having said that, any program in India obviously comes from past equations that are quite different from, let's say, doing the same project for a deal in Spain or a deal in the U.S. and so on. So, you also have to live with that challenge, which is that you will have that much more of a pressure on the pricing and the deal value. So, it's a conscious balance that we have to strike in terms of what is right for us, what is relevant and despite the fact that we can win almost anything that we bid for.

Chirag: And how is the supply side scenario situation in Europe and the U.S.A. for manpower and other related sir?

Manoj Raghavan: Yes. I think as you know, 90% of our resources are based in India. It's only 10% that are based overseas. So, to that extent, I think we are less dependent on resources in the overseas market. Having said that, I think the reso urce situation definitely has b ecome a lot easier. We are able to hire resources on need basis. But in general, as Gaurav said, we are reducing the dependency on third-party contractors and filli ng positions using our own internal resources for better margins. So that will continue that approach.

Moderator: Thank you. Next question is from Akshay Ra mnani from Axis Capital. Please go ahead.

Akshay Ramnani: So, first question for Manoj. So, you said that the deal pipeline gives you the confidence of growth acceleration going through FY '24. Now this is despite another comment of soft Media and Communications at least in the near term. So, I just want to understand - is the strength of transportation and medical enough to power that growth acceleration going forward? And while you're talking about demand, if you can also talk about how do you see the IDV business going forward?

Manoj Raghavan: Sure. So, I think, yes, as I said, growth has come back in our medical business, and we definitely hope that we will see some accel eration in our transportation business moving forward. Media and Communication, yes, we are still hopeful though

it is very difficult to give a comment in terms of how much of recovery will happen. But definitely, as compared to a lot of our peers and other global play ers, we still continue to delive r value to our customers and at least not degrow in that Media and Communicatio n business. So that's something that we will constantly keep a watch on.

Regarding the Industrial Design business, as I said, it's a smaller business. It's a very, very critical business for us. As compared to last financial year, it has grown significantly. But however, on a quarter-to-quarter basis, we see some amount of flatness and some amount of ups and downs. It's still in the early stages to see how we can have a steady quarter-on-quarter growth there, but that's something that we are working on. We definitely are hopeful that the Industrial Design business will also continue to grow significantly over the next 3 quarters for the financial year.

So, I think all of that gives us the confidence that despite the Media and Communication business being a little soft, the other businesses that we have should definitely be able to continue the growth path and essentially help us to show a decent growth in the financial year.

Akshay Ramnani: Right. So, on IDV business, over the past 2 quarters we have seen a flattish performance. So, is this more to do with stand- alone IDV customers? Or is it some EPD vertical-specific customers where we have seen so me softness on the IDV side?

Manoj Raghavan: It is a combination of both. IDV also does a lot of work for the Media and Communication business. So that part of the business is a little slow, similar to our EPD business. But however,

IDV also has their own independent customers. And we are really focusing on that to see how we can grow that business.

Akshay Ramnani: Got it. Next question is for Gaurav. You talked about 1 month of ESOP cost impacting this quarter. When I look at the release, the release shows that about INR40 lakh of ESOP cost was recognized in Q1. So even for 1 month, that number appears quite low. So, if you can please help me understand this quarter's ESOP expenses and how do you see the sustainable cost which we should think about going forward?

Gaurav Bajaj: The first month, the cost is low. It depends upon the number of the grant units that has been communicated to the employees. There is still some communication, which is left to be done, which will be done in quarter 2. Hence, what we talked about in the previous quarter earning

call also, that going forward, the impact for the PSOP grants once done completely to all the employees would be about 0.4% to 0.5%.
Akshay Ramnani: Got it. And since we have also rolled out the wage hikes for the next 30% employees, so, what kind of margin impact would that have in Q2?
Gaurav Bajaj: So, we are still in the process of working out rate hikes and the impact for the remaining employees, which will happen effective quarter 2. But I think with the scale and the growth that we expect to have in the next quarter also, we don't see any significant impact. There will be some wage hike impact. But at the same time, we feel that can be compensated with the other operating leverage and the growth in the total volumes.
Akshay Ramnani: Got it. And then coming to the utilization part. Sir if you can just touch upon what level of utilization are we operating at? And what's the sustainable level which you think is good for the company.
Manoj Raghavan: I think currently, we are operating at 72%, 72.5% utilization. I think that is also because of the fact that a number of fresh engineers that we have hired have come out of their training period and now they are on the bench. So, the good part for us is we have pretty good bench strength now. As the business picks up, all the training investments and all the hi ring investments that we have put in, we will be able to use

them and grow our revenues.
So, for us, we would be really comfortable to s ee how we can push this utilization from 72% to 72.5% over a period of time to somewhat closer to 80% or so, right? So that will be something we are aiming for. And so, as you see, we ha ve enough headroom and leeway to utilize these trained resources. And that's something that we will focus on in the next few quarters.
Moderator: Thank you. The next question is from the line of Nitin Gupta, Individual Investor. Please go ahead.
Nitin Gupta: Yes. My question is with respect to hiring - what are the plans for the complete financial year?
Manoj Raghavan: So, for the complete financial year, if you look at hiring of freshers, we would be hiring around anywhere between 1,800 to 2,000 engineers, of course, depending on the joining ratios and so

on. Lateral hiring will be always need-based, based on specific projects or engagements, but given the fact that we have enough bench strength , I think we will first focus on utilizing the bench strength before going out and hiring laterals.
Nitin Gupta: And the last question would be - can we expect these kind of margins going ahead for the full financial year?
Manoj Raghavan: We don't give margin guidelines. You must look at our track record over the last 8 to 12 quarters. You will get the answers for your question.
Moderator: Thank you. Next question is from the line of Rajak Kumar, individual investor. Please go ahead.
Rajak Kumar: Just 2, 3 macro questions. The first one is on the ADAS technology. So, I just want to know, given that we are part of the Tata Group, how do you make insights with other vendors given our exposure with JLR and others, with competition like Samsung who are better placed compared to Tata Elxsi. So how do we overcome this?
Nitin Pai: Yes. So maybe I'll take that. Technically, we don't compete with Samsung. We are a potential supplier to Samsung. And when you say Samsung, I presume you mean it in the context of HARMAN. So, to that extent, HARMAN is a customer rather than a competitor.
So, in that sense, there is no c onflict of interest here. And it's not to do with whether we work with Tata Motors or JLR or not. The question is, do we have capabilities on the software side that add to what they are trying to do in terms of product engineering and product development. And to that exte nt, we're incredibly relevant.
Rajak Kumar: Okay. Got it. And second thing, are we developi ng any robots linked to the Da Vinci, over on the medical side? Because I've seen your website, it talks about the industrial robotics. So, I just want to know what work we are doing on the medical side?
Nitin Pai: Yes. So there is automation - I'm not call it fully robotized surgery or fully automated surgery, but there is a fair amount of work that we're doi ng, both with AI as well as robotics that has to do with automating and bringing in precision surgery. But at this time, that is all that I can tell you.
Rajak Kumar: Currently, that is the only US FDA approved robotic system, right?
Nitin Pai: That's right. So, to that extent, that's why I'm hesitant to say that we are working with fully robotized systems. But there is some level of automation and precision surgery that happens in multiple other spaces. Think about eye care, for example. You will see that there are laser-guided surgeries that work on cataracts and so on so. It's not that there is no robotic surgery in other areas.

If you look at cancer there are equally guided robotic treatments that happen for chemo,
radiation and so on. So, I would encourage you to look at is the fact that robotics and automation applies in many levels, just like in cars, from Level 1 to Level 5.

Rajak Kumar: Okay. No, my question is more from a strategi c standpoint. So, like on a 3-5-year standpoint,

will we be challengin g Da Vinci systems?
Nitin Pai: No, no. So please note, again, like we made the comment on Samsung and so on. We would hope that we work with Da Vinci and create many more Da Vincis by supporting them.
Rajak Kumar: And lastly, how is the opportunity from the in-flight entertainment, given that Air India is now part of the Tata Group? And there's a lot of things happening on the aviation sphere. So, are we going to leverage any of this and get more work in this space?
Manoj Raghavan: In-flight entertainment is a very niche area, and I think there is just a couple of companies that work on it. So, the opportunity is not very big in that sense. But however, as you rightly said, Air India definitely is a group company and there are a lot of other opportunities that we are working with Air India and supporting them, not necessarily on the in-flight entertainment. But yes, if there is an opportunity, we would definitely get involved because we bring in enough competencies on audio, video, the play out, the entire video capabilities that we have in the Media and Communication business is fully relevant to this use case.
But then there are definitely a lot of regulations, safety and a number of standards that you need to understand. So, to that extent, yes, the opportunity is not as big to really focus and go after that. And the number of players are also very, very limited. But we are in discussions with Air India for a lot of other opportunities. And yes, we will leverage Air India to see what we can do in the avionics or airline industry.
Moderator: Thank you. Next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.
Rohan Nagpal: You break out your vertical exposure for the Embedded Product Design segment. And you briefly touched on the vertical exposure to the IDV segment. Could you flesh out the vertical exposure in the IDV and SI segments as well?
Manoj Raghavan: I think about 3 to 4 years ago, IDV had its own set of customers and they used to go around. But we consciously took a decision to focus I DV capabilities around the same 3 verticals that we have, which is Transportation, Media & Communication and Healthcare. So today, if you ask me a majority of our revenues in the IDV space come from these 3 verticals. Of course, there are a number of other verticals that we go after that EPD doesn’t service.
So yes, so there is a lot of effort and focus that we have brought in, including from a sales perspective, to really cross-sell IDV into all our EPD custom ers. So that's something that we continue.
SI is a totally different business. SI is primarily based out of India. It provides system integration services to a different set of custom ers, not necessarily the 3 verticals. And that's something I think would be a little more opportunistic. And of course, even in SI, what we're trying to do is to see how we can leverage SI cap abilities to address the 3 verticals in EPD. It's at an early stage. IDV has pr ogressed a lot, but SI is still at a very early stage.

As we look at building our own products and so on, SI place a very, very key role on the run management part, especially on the cloud and data center and so on. That is where we intend to use their capabilities. But again, as I said, it is still pretty early stage there.
Nitin Pai: I'll just add one comment. At th is time, the fact is IDV is a little volatile, it's not exactly a constant number quarter-on-quarter and does not allow us to publish a mix because you cannot read very much from it. I think if you give us a few quarters, and that's something that we’re
consciously deciding, we'll be able to draw a clear signature to say, okay, this much percentage you can trust to come from automotive. This much you can trust to come from media. And we have a certain amount of sustainability or rather lack of volatility th

at makes it meaningful to
publish the breakdown.
Moderator: Thank you very much. Ladies and gentlemen, we'll take the last question from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Just 1 final follow-up question. And maybe feel fr ee to answer it as you see fit or not. This is really around the IPO of Tata Technologies, which is coming out. So maybe my preliminary observation is very bad. But I do see there are a lot of similarities. I mean, from the very quantitative stuff, I have seen that our related-party transactions happened in '21 and '22. Just help me understand why should we treat it as 2 different companies? And what is really the strategic differentiation within the Tata organization that we have to really differentiate between the two. And I know the history on the corporate structure and Tata Motors wants to spin this off. But just what is your two cents on this? What does an external investor look at?

Manoj Raghavan: Yes. So, as you rightly pointed out, Tata Technologies is a subsidiary of Tata Motors. And they also have a significant portion of their revenues coming in from group companies, which is Tata Motors and JLR and so on. And they primarily play in the mechanical engineering space. They do work on ERP, which is SAP and so on. And recently, they have built capabilities in the avionics industry with Airbus and so on. So that is what Tata Technologies stands for.

Tata Elxsi, on the other hand, is a full-fledged product engineering business. Majority of our business comes on electronics and embedded software domain. An d we work across 3 different verticals, right, Automotive, Health care and Media & Communications. So, to that extent, if you look at it, if you look at the auto motive industry, it might seem as if there is a clash or a conflict situation. But actually, we are pretty orthogonal, the service offering is pretty orthogonal. So, there are customer places where we work together and provide services and solutions to the customer. So, to that extent, I would say, we definitely can continue to co-exist as 2 different companies.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you all for taking the time out for this Q1 conference call. We definitely hope to see you again in the Q2 conference. And definitely, there is a lot of commitment from our side, from our employees, to ensure that we deliver good results in the coming quarters. So that's

something that we are very much aware of, and we continue to pursue these large strategic deals that will really help to show consistent quarter-on-quarter growth. And that's something that definitely we will stay focused on. Thank you so much once again and look forward to seeing you again next quarter.

Thank you very much. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Audio recording of Q1 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2023

October 20, 2023

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the earnings conference call for the quarter and half-year ended September 30, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter and half-year ended September 30, 2023, held on October 17, 2023.

The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q2 FY '2 4 Earnings Conference Call "
October 17, 202 3

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.

Shashank Ganesh : Thank you very much, Tom . Good evening to all the participants on the call. Good morning if you're logging in from the Western side . Before we proceed to the call, l et me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chi ef Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan followed by a Q&A session. We would appreciate y our cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we'll be happy to respond to them if time permits.

Having said that, I will hand th e call over to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan : Thank you, Shashank. Good evening, everyone, and thank you for joining us for the second quarter earnings call. Today, I'm happy to report that our revenue from operations in the second quarter stood at INR 881.7 crores, which corresponds to growth of 3.5% quarter -on-quarter and 10.1% year -on-year in constant currency terms. Our EBITDA margin for the quarter was just shy of 30% at 29.9%.

Our Transportation business un

it grew at 6.9% qua rter-on-quarter in constant currency terms.

During the last quarter, we won a landmark , multiyear large deal in the SDV space, which places us as a strategic development partner for one of the global automotive OEMs.

In the Media and Communication business, we continue to see challenges in both the key geographies of U.S. and Europe. And in such a challenging environment, our performance has been quite satisfactory. Our revenue from the business has declined marginally by 0.4% quarter -on-quarter in constant currency terms. We continue to engage with our key customers in helping them drive efficiencies in current operations and also help them create new revenue streams for their businesses.

Our Healthcare and Life Scien ces business performed well, registering a 3.2% quarter -on-quarter growth on a constant currency basis. During the quarter, we won a multiyear innovation and reengineering project of a critical care device platform for emerging markets.

I'm happy to share that in the last quarter, our industrial design unit crossed revenue of INR100 crores for the first time. The Industrial Design & Visualization business grew 4% Q -o-Q in constant currency terms.

From an HR perspective, talk ing about our net additions, we continue to invest in building a talent pipeline with a net add of 585 Elxsians in the quarter. So, we continue to invest in onboarding key resources. Also, our employee engagement and talent retention strategies have contributed to attrition further goin g down to 13.7%.

So, as we move into the third quarter, we carry the confidence of a healthy pipeline and some great conversations going on with our key customers. And I'll now hand over the floor to Shashank for the Q&A session. Over to you, Shashank.

Moderator: Thank you very much, sir. We have the first question from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil : Thank you for the opportunity. Congratulations on a very strong comeback, especially in the automotive vertical. I'm also pleasantly surprised by the growth rates reported in health care.
On the comms side, particularly, there ha ve been some initial signs of revival in the semiconductor space globally. Semiconductor sales have picked up. Does that have any sort of positive impact on our comms vertical as a whole? Do we have some exposure there if you can just give us some sense? And I have one more follow -up after that.
Manoj Raghavan : We have a very small exposure to the semiconductor side of the comms vertical. A lot of our communications business is driven through either operators or telecommunication providers or the folks who make devices that go into the telecom market . So, these are the main focus area s for us. Yes, usually, there is a la g between semiconductor sales and general market pickup. So, I'm really hoping that what you say is true and maybe in a couple of quarters from now, we will really see the impact of that.
As of now, I think we don't see a great uptick, but we are having a ll those conversations with some of our key customers, a lot of deals that we are pursuing - we can't predict the closure. So that is why we're not able to give you a very firm update that, look, next quarter, things will really look up.
Vimal Gohil: Yes. So, sir, I just wanted some sense on the strong deal s that we've had in auto. What would be the size over there? Any sense that we can get? And lastly, a question for Gaurav, could you give us the margin walk for the quarter? What was the impact of wage hi ke or what were the other tailwinds that we had during the quarter?
Manoj Raghavan: Sure. This was a pretty significant win for us. It's a new customer that we have been pursuing for, I think, 18 to 24 months. It's been a long pursuit, and we’re very happy to inform that we

have been able to close the deal in our favor. And it ’s a multiyear deal and a multimillion - dollar deal, a large deal in our perspective, which will definitely add to our automotive revenues in the subsequent quarters.
And more importan tly, it's in a software -defined vehicle area, which is where we have also been investing significantly. So, it's a validation of all the activities that we are doing in that area. And this will also be a landmark deal for us to really take it to other customers in the auto OEM space.
Gaurav Bajaj: Vimal, this is Gaurav. I'm happy to share that our operating pro fit for the quarter increased by 4.8% on an EBITDA level and on a profit before tax level of 6.3% and on a year -to-year basis, it is 16.3% and 20.4%. I think we're able to drive overall optimization in terms of the cost and efficiency t hrough various lever during the quarter. And this is in spite of the wage increase - Last quarter, we did only till the lower and the middle level. This quarter, we completed our wage hike cycle for the year, where we covered all the senior management and the executive s of the company.
So, salary increase for the remaining management people for the quarter has a cost impact of 160 bps. If you also recall, last quarter, there was a partial cost towards the RSU, which was launched by the company last quarter. This quarter, we h ave a full quarter impact of about 50 bps compared to the last quarter. So, salary increase plus the ESOP has an impact of 210 basis points. The net adds that we have done in this quarter, including the tailwinds of the net add done in the last quarter , was largely offset by the utilization increase in the scale of the volume revenue growth plus the pyramid optimization.
So there , it can kind of optimize and offset against each other. So, 210 basis points from the salary increases plus the ESOP impact was largely offset by the other improvisation s in the lever that we disposed of in this quarter, which includes the other expenses. So, we continue to optimize, rationalize our other expenses, be it travel cost, visa costs, sales promotions.
And we also signi ficantly reduc ed our third -party contractors, because we now have good strength in our bench, which we have put to the billable projects . At one point at the last year, it was a bit of worry, because the attrition was high. Now attrition is also well under control.
So that give us a lever in terms of rotating people third -party contractor s with our own people.
So, including a reduction in the third -party and other discretionary expense optimization, we have a saving of around 120 bps. And also, there is a large cost increase in the last quarter towards various hardware tools, because there were certain deals, which we kicked off in the last quarter -at the end of the last quarter - where we need to significantly invest as part of the lab setups, other cost towards the tool, hardware and software.
Those get more or less normalized in this quarter, which gave us anoth er 120 bps. So, this 240 bps of improvisation against 210 cost inflation kind of give you 30 basis points of improvement over the last quarter. And then - that is at the EBITDA level.

And then if you come to the EBIT level, there is an increase in the dep reciation, because we added to our facility capacity that we are having since we are adding people, we are growing. So, we added a couple of facilities as required by the company to accommodate increase in the headcount since all the people have also start ed to come back to office. So, at EBIT level that almost knock s off all the pluses and minuses and we continue to operate at the same 27.1% of EBIT, what we operated in the last quarter.

So, with the revenue growth, that gave you almost 3.7% kind of quarte r-on-quarter growth.

This quarter, on other income, we have a significant gain due to exchange gain, which came positive. Our hedging strategy worked well in terms of protecting us not only from the downside, but also provided some kind of exchange gain. A lso interest yield on our investment also helped us in terms of increasing our other income.

So overall, with the other income better from the last quarter at the profit before tax level, we're able to increase our profitability by 6.3% on a quarter -to-quarter basis and on a year -to-year basis by 20.4%. So, in spite of all the cost intake, including the wage hikes, including the RSU impact, we have other levers at our disposal, which help us to maintain our profitability and improve in terms of the absolute terms.

Moderator: Thank you. The next question is from the line of Ruchi Burde Mukhija from Elara Capital. Please go ahead.

Ruchi Mukhija: I have a couple of questions. Our industrial design revenue has crossed INR100 crores milestone, but how does this c hange your market position and does this open new scale opportunity for you?

Manoj Raghavan: Your line was not clear. So, the question was about industrial design, crossing INR100 crores. And if this is going to help us grow our revenues and what is the qu estion?

Ruchi Mukhija: Yes, I'll repeat the question. Hope my voice is a bit better. So, with this INR100 crores milestone, how does our market positioning chang e? And does this help us being eligible for new scale opportunities?

Manoj Raghavan: Sure. Okay . So, I would say just about 3 or 4 years ago, the Industrial Design business was a very small business. Our run rate would have been INR30 crores, INR40 crores per quarter.

And so today, I think we have invested significantly in the Industrial Design busi ness. And happy to say that, look, that business has really scaled up. So hopefully, on a yearly basis, if you take it, we will soon reach about INR500 crores of revenues annually. So that's the first target that we have.

More importantly, design is such a critical differentiator for us from a margin lever perspective, from a positioning perspective and any large deal that we usually bid for, there is a significant component of design, and that capability definitely helps us position the company very differently as compared to competition.

So, I'm very happy that stand -alone that business is scaling. More important, the combination of design and EPD business is what will help us scale rapidly moving forward. And that is th e focus of the company.

Ruchi Mukhija: Understood. In media vertical, you have mentioned that you are working in collaboration with clients to develop new offerings and partnerships. Could you please elaborate on this? What we mean by new offering s and partnership?

Nitin Pai: Yes. Ruchi, this is Nitin here. Maybe I'll take that question. Some of the partnerships are explicit. So, you'll find that we announced two significant partnerships just leading into IBC, which is the global broadcasting trade show. We announced a partnership with INVIDI, which is the world leader in targeted advertising. What they do is essentially provide technology for targeting very specific subscribers, especially in the video, OTT as well as digital video ecosystem to deliver ads.

So, the idea here is really that we are seeing the shift in OTT from subscriber -driven to advertising driven. And we believe that this will be the new revenue opportunity and the monetization opportunity for both broadcasters, who are running D2C business es as well as operators, who are running an aggregation service for video.

So, what we're looking at essentially is saying, look, there are two tracks that you can work with operators and broadcasters for. One is efficiency driven, which is to look at what are you spending money on now, how much of that

is engineering driven, how do we help you through a combination of talent, capability products and offshoring, help you get to be even more efficient.

I think the second strategy that we're deploying is grow th and customer experience. The customer experience part will be driven by design and the growth part or revenue part for customers will be driven by how you monetize the services better - can you look at ad deliveries, can you look at things like FAST, wh ich is the free ad -supported television ? So essentially, those are the partnerships that we're crafting especially in the Media and Communications vertical. Of course, what we have not declared to the market is the partnerships that we're crafting, especia lly with semiconductor vendors as well as hyperscalers that fuels some of the digital engineering that we're doing for SDV , for connected medical devices and so on.

Ruchi Mukhija: Understood. So, will there be a growth mover, let's say in 12 months or shor ter time or you see this scaling up very gradually and will take its own time?

Nitin Pai: Yes. So Ruchi, the partnerships are not meant to deliver immediate deals. I think they are a fundamental positioning tool. Because what you're trying to do is trying to make sure that you're relevant in the context that is changing for our customers. So, what's happening in the telecom industry is fundamentally you're being challenged for revenue, you're be ing challenged for growth.

And therefore, you either had to focus on efficiency or on new revenue streams. And I think we are doing both in different measures. On the revenue streams, we are partnering. On the efficiency, I think we are the best in the business.

Ruchi Mukhija: Understood. Now coming to the large deal in the auto segment. As my understanding, in your view , incremental work was the way to go and scale the customer. But this deal sounds like an exception to this trend. So, do you see these kinds of deals being more in the market compared to past trend? Or this was a one-off unique situation where you could break through with a large deal in a new client?

Manoj Raghavan: I think there's no one answer there. We do a mix of both types of deals. There are such large deals that sometimes when we go for a new customer, there is a pursuit that goes on and we close such deals. We also have deals wherein there are consolidation opportunities where it's more about how you can bring value proportions to customers based on the capabilities that you have, right, especially from an offshoring perspective.

And how can you take a larger pie of the current outsourcing from the customer. So, you have both type of deals that are available. A nd the good part is, yes, there is a portfolio of such deals that we are going after. And then as I said, this deal took a long time. So, some of these large deals are not closing like earlier where it used to get close d in 6 months or 8 months. Sometimes it takes 12 months to 18 months also for closure. But yes, but we have to be patient and to be focused on our objectives and especially when it is critical for us and an important customer to have, I think we have a very good track record in such deals.

Nitin Pai: So Ruchi, maybe I'll just add to what Manoj said. I just want to call out an important difference. You can think of in the IT context, renewal deals, where the contract given out to one vendor and when the contract period is getting over , you call out for a whole set of new vendors and look at who can do better.

But typically, who can do better is in terms of cost. The kind of entries that we are talking of are strategic entries where we are not replacing somebody else. We're getting all new because the customer is moving to an all new.

So, in that sense, there is a critical difference between the kind of entries we talk of vis -a-vis a

classical IT situation of a renewal deal where you may come in cold and win simply because you're deliver ing the best cost on the table. And I just wanted to leave that with you.

Ruchi Mukhija: Got it. That's helpful. The last one, we just heard your...

Moderator: May we request you to please rejoin the queue for follow -up questions. We have the next question from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congratulations on a good set of numbers. I have two questions. One on the media side, you mentioned we are closely engaged with key customers. So, can you give some color l ike for how many quarters this slowdown is likely to continue, based on whatever communication we do have with those customers?

Manoj Raghavan: It's very difficult to tell you how many quarters and so on. But I would say, there are fairly positive signs in some of our customer discussions. There are deals in the pipeline. And we hope that we'll be able to show some kind of growth over the next half year , I would say. But again, it's very, very early times. And so, I would be a little conservative on the Media and Communication side in H2, but we are closely working with some of our key customers. There are opportunities that we are going after. An d definitely as compared to, say, the beginning of Q2, I would say, beginning of Q3, we are in definitely a better shape as far as deal pipeline and the opportunities that we are chasing. So that gives me a little bit of confidence that look, yes, things c ould be better for us in the H2 from a Media and Communication perspective.

Garvit Goyal: Understood. And sir, secondly, on the overall business perspective, so considering this lower growth in other two segments. So, is it fair to assume this financial ye ar is likely to end with lower double -digit kind of growth in top line? Or do we expect something good as compared to first half to improve our annual growth?

Manoj Raghavan: So, every attempt will be made to continue the growth and improve on what we've s hown in H1, right? So, though we don't give projections and so on, the focus for us as a management team is to see how we can better our H1 performance.

Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Can I just ask the cost relating to ESOP? Is it already provided for, or is there something more to come?

Gaurav Bajaj: It has already provided for. I mean, the way the accounting happens for the ESOP, basically the cost expected out of the grant option gets amortized over the vesting period. Last quarter since grant was only rolled out in the month of June, it was a partial quarter impact . Since this quarter, we have had a full quarter impact, but that is already part of the financials for the quarter.

Sanjaya Satapathy: Okay. So, this kind of a quarterly expense will continue for next quarters as well?

Gaurav Bajaj: Yes.

Sanjaya Satapathy: Okay. And sir, the other question that I wanted to ask you is now that you have com e out of this SEZ and you're full tax paying now , is there any kind of such investment opportunity available to you to kind of plan for tax going forward?

Gaurav Bajaj: No. We continue to explore and evaluate what are the possibilities and opportunities available. But please remember that government is not approving any new exemption for the IT purpose for the SEZ. So, we have to wait and watch if there are any new scheme s and the policy of the

government comes out. But otherwise, we expect our ETR to continue at the rate what we have delivered in the last two quarters for the rest of the year.

Sanjaya Satapathy: Yes. And sir, last question is considering the new kind of d eals that you are signing, an

d you are also starting to have centres outside of India , will your mix of offshore to on -site change meaningfully from here or it will stay around this level?

Manoj Raghavan: No, I think for Tata Elxsi, we are known for our offshore execution and our entire proces ses and systems are built around delivering value from best cost countries , and our business model is also not about manpower, augmentation, on -site and so on . Over a period of time, we have really been able to move more work offshore and do a lot more development activities from our centers in best -cost countries. So, I think that will continue. I don't see it moving back in a hurry to the pre -COVID times. There could be minor variations here and there, but our main business model is around our offshore execution. So that will continue.

Sanjaya Satapathy: And your deal pipeline macro areas are looking pretty good because you are one of the few compan ies that has added employees again in this quarter.

Manoj Raghavan: Yes. So that continues, that shows the confidence that we can't take any shortcuts in our business, right? Because our business is all about people - even if in certain areas, you don't have full confirmed visibility, you need to go ahead and invest based on your business plan and what you have. So, we are sticking to our business plans. We're sticking to what we have laid out at the beginning of the financial year. Th ere will be all these quarterly pluses and

minuses from a revenue perspective, but from a resourcing perspective, we continue to go ahead with our original plan, because we're confident that, look, we are on the right path and the investm ents that we're making in our people will definitely yield us results in multiple ways once the economy picks up and so on.
So that's been our focus. And we are one of the few companies who are already going out and we are talking to colleges and we are r olling out offers for the next year . So, we continue to be focused on all of those activities.
Moderator: We will proceed with the next question, which is from the line of Ajaya Jain from Astute Investments. Please go ahead.
Ajaya Jain: TCS has recently si gned a $1 billion deal with Tata Motor JLR. How is it affecting us? Or is it coming into our area of operations?
Manoj Raghavan: No. To the best of my knowledge, it's not in our area of operation. It's primarily on the IT and the manufacturing support side . So, I think it's a great deal, but it doesn't affect us.
Moderator: Thank you. The next question is from the line of Ruchi Burde Mukhija from Elara Capital. Please go ahead.
Ruchi Mukhija: So, we've heard from one of your larger peer s about likely possib ility of volatility in the coming quarters given the geopolitical situation developing in Israel. Do you see any effect in

your early experience of this through a client going slow on conversation , decision -making? Is this something that worries you in the near term?
Manoj Raghavan: We don't have an exposure to Israel or any country there. Of course, we have a small exposure to Dubai and Middle East. Having said that, it is pretty early. So far, we have not heard anything negative from our customers based o n this. But if this spread s right, if the situation becomes volatile and if this war spreads, and there is a spike in fuel rates and all of that, associated foreign currency fluctuations, all of that could impact our business in some way.
From an end customer's point of view, it's too early. We've not heard anything so far. But I mean, if this spreads, I'm sure that there will be an impact, and it's hard to quantify that at this point in time.
Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.
Garvit Goyal: I just want your opinion on healthcare segment, lik

e it shows some sign of recovery in this quarter. So how do you see the segment for upcoming quarters?
Manoj R aghavan: Again, I think some good deal wins and some positive news, especially after a couple of quarters of relatively flat performance, I think we have been able to grow our healthcare business. That is definitely positive. So, all the initiatives around our digital space and connected health and so on , that's really helped us win new customers. Having said that, yes, there are a number of deals that currently we are talking to customers and so on.
And as I said, the medical space divisions , it takes tim e, especially those large engagements and projects. The decision -making process is pretty long. And that continues. There is definitely a number of deals that are under discussion, but it's very difficult for me to comment at this point in time whether tha t will all close in the coming quarters. We are pretty hopeful, but I would still be cautious, I would say, next two quarters, and we will see the trajectory. We will see how those deals move forward. And then accordingly, we will act.
Moderator: Thank you . The next question is from the line of Bhavik Mehta from JP Morgan . Please go ahead.
Bhavik Mehta: Manoj, can you talk about how the decision making by clients has evolved, last time, when we spoke in July versus now? Has there been an improvement or as a status quo, or have you seen some more deterioration given the macro across few verticals?
And secondly, any impact of this strike in the US by UAW, the auto union , on your clients and your projects ? Because this has come up only a couple of weeks back, so any impact we could see for your clients in the auto vertical in the US? Thank you.
Manoj Raghavan: Yes. Thanks, Bhavik. So, I think if you look at it segment wise and so on definitely i n the automotive business, we see continued traction. We defi nitely continue to see closures. We

continue to see large deals, pipelines. So yes, some of these decisions are taking longer. There

is a lot more commercial scrutiny. There's a lot more du e diligence that is being done.
But at the same time, customers ar e taking decisions. It's not as if decisions are getting postponed indefinitely. They are taking decisions. There could be occasional deals where it slips by a quarter or so. But in general, I think deal pipeline, the conversions are happening at a healthy pace in the automotive segment.
In the media and communications space, I don't know whether to call it green shoots or not, but we do see slowly some confidence in our customer discussions and so on. But again, I would want to wait for a quarter or so to really see whether this impact s the growth. I've already answered the healthcare piece in the last question.
So, I would say, overall, especially given all the macroeconomic uncertainties plus the war and all this happening, I think we've done well to be where we are, given all these uncertainties, and we continue to invest in our people.
We continue to invest in providing solutions that is of interest for our customers, right, especially what Nitin talked about in the AdTech space in the Media and Commu nication vertical and so on. We continue to see, what is relevant for the customers and proactively make those investments so that we are always in the line of sight for our customers . So that's been our focus. And there's enough moving parts that are avai lable for us to continue to be optimistic about H2 .
Bhavik Mehta: Okay. Got it. And second question of any impact of the UAW strike in the US, any conversations with clients regarding that, which could have led to some project pauses or deferrals?
Manoj Raghavan: There have been some delays in closure of projects and so on. But I'm not sure if that is because of UAW or because of anything else. No cust

omer has talked specifically about UAW
and its impact. But it's an evolving situation. W e'll have to wait and watch. This quarter, we will know exactly the impact.
Nitin Pai: Bhavik, this is Nitin here. I would call out a parallel to the semiconductor shortage. So, if I look at semiconductor shortage leading to the delays in supply of vehicles to the market, union strike would have the same impact, which is to delay production and therefore, supply of vehicles. I'm just drawing a parallel that the semiconductor shortage did not stop us.
Bhavik Mehta: Got it. And lastly, any early signs in terms of what are you hearing from clients on furloughs for the December quarter? Are they expected to be higher or lower? Or as of now, it seems like it would be similar to last year?
Manoj Raghavan: It could be similar to last year. There could be some impact on Media and Communication vertical. But otherwise, nothing unusual that we will have an extended furlough and so on.
We've not heard anything of that sort from our customers. So, fingers crossed because we know it is a short quarter. It's also a difficult quarter, especially from furloughs and a number

of working days and so on. But we ha ve done our internal planning. So hopefully, we'll be able to mitigate that exposure that we have.
Bhavik Mehta: Thank you and congratulation on a good execution.
Manoj Raghavan: Thank you.
Moderator: Thank you. We have the next question from the line of N ilesh Jethani from BOI Mutual Fund. Please go ahead.
Nilesh Jethani: Yes, hi. Thanks for the opportunity. Sir, my question was on the strike itself. Just wanted to understand, is it client specific in Europe where a couple of clients or a couple of players , who are facing this, and we were not present there, is that a scenario? Or in general, you don't see impact of strike on our business, which is more of ER&D media?
Manoj Raghavan: The strike is in the US, not Europe .
Nitin Pai: And I think like you said, because we are leading, which is the fact that, what we're doing is helping design vehicles for one years, two years, three years, four years, five years down. So, to that extent, sales and production, unless it has a direct impa ct on long -term, it does not have a big relevance; if it goes on for long and therefore starts to affect revenue significantly and therefore starts to look at discretionary spend and so on, we believe at this time, it is not relevant .
Nilesh Jethani: Okay. Got it. And second question was on deal wins to revenue conversion. So, a lot of peers, of course, not in the ER&D side, but mainstream IT services have commented that deal wins may have a laggard or a lag impact on the revenue going forward. So given our strong deal wins, I see many of read -throughs in the presentation for automotive segment, are we of the same camp where we believe revenue recognition would be delayed? Or do you believe normal course of business action?

Manoj Raghavan: A chunk of this qu arter's growth has happened from the deal closures that we have closed in last quarter and the previous quarter . To that extent, each deal is different, and I don't think that we will have a trajectory like what you've seen with IT companies. It will be a normal trajectory. And typically, what happens is, while you win deals and you close and you move forward, certain projects that come to a close . So, are you really covering up for all those revenues that go away, because you have completed certain project s? So that is a critical point of planning that we do internally to ensure that even while projects /deals come to a conclusion, there are enough items in the funnel and enough deal closures that can really take up that the engineering resources that were occupied in those deals who can be move d to these new deals, and that's how we operate.
Nilesh Jethani

: Got it. And then last question from the margin perspective. Just wanted to understand the little softness in the media space, etcetera. Do we expect marg ins to remain in the similar trajectory? I'm not asking for an exact number, but color on the same or the other businesses have capability to drive margins from here on also?

Manoj Raghavan: Margins, if you have seen, right, as compared to last quarter, in spite of all the employee costs due to salary hikes and ESOP costs, number of costs that have come in, we have been able to mitigate all of that, right, in spite of Media and Communication b eing pretty flat. So, we've modelled our business around that. And so, we are pretty comfortable where we are.
Nilesh Jethani: So, during COVID times, we saw margins in the range of 30% odd. So, 27%, 26.5% is the new normal now , that is the understanding?
Manoj Raghavan: Yes. During COVID, it was a different situation as all of us know. A lot of costs were not there, including travel and business expenses and even facility costs and so on. So that was unusual. We are doing pretty well where we are today. An d we have taken into account all the salary expenses and all of that. And as we grow our revenues and as we look at the utilization levers, we have enough levers still available for us to mitigate any impacts that come up.
Gaurav Bajaj: We are reasonably p laced, Nilesh, in terms of the margin profile . We can continue to make the right investment that is required for the people, technologies and developing new offerings. At the same time, there is a lever in hand in terms of the pyramid rationalization, util ization expansions and all.
And the last two quarters has been a testimony to that in spite of all the salary increases, as Manoj alluded , and all other costs, we're able to still mitigate and maintain our margin profile. That's the beauty of our operatin g model and connecting back to the verticals, some quarter s, some verticals will fire. That's how we have de -risked and diversified our portfolio in terms of having enough immunity in terms of all such kinds of ups and downs.
Nilesh Jethani: Okay. That ’s really commendable and thank you so much for replying for each question.
Gaurav Bajaj: Thank you.
Moderator: Thank you. The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.
Salil Desai: Hi, good evening. My question was on the client concentration mainly. We are at almost 44% in the top five, how would you see this shaping up going forward maybe in the next two years, three years? Is there any conscious attempt to either increase it or to reduce i t?
Manoj Raghavan: No. So, our focus would be to definitely look at growing the top 10 and the top 20 customers, right? So, we are not necessarily only focus on the top 5 customers. Top five customers are important, because they bring us volume, scale and we have a far stronger management connect with those customers. So, we'll continue that, because a lot of the growth of the organization come s from these top 5 and top 10 customers.
So, moving forward, two years to three years down the line, it's very dif ficult at this point in time to say that, look, we have to maintain this and so on. But as we grow, definitely, the top five and top 10 percentages will come down relatively. That will be the focus for us.
Salil Desai: But no deliberate attempts to work on this?

Manoj Raghavan: No deliberate attempts.
Salil Desai: Great. Thank you very much.
Moderator: Thank you. We have the next question from the line of Akshay Ramnani from Axis Capital.

Please go ahead.
Akshay Ramnani: So, this was about scale of customers in the auto vertical. We've seen tremendous success with JLR. If you were to take a look at your clients fr

om a scale perspective, how many strategic customers would you think you have in your current portfolio for OEMs or Tier 1 suppliers to get to the similar scale or higher what JLR is currently at?
And what would be the service areas be like for them to drive scale in those accounts? So, is it going to be more from SDV side, connected side or electrification side? So, if you can help us under stand that arithmetic there.
Manoj Raghavan: If I understand your question right, you're asking, how will we scale ?
Nitin Pai: So maybe I'll take that, and maybe Manoj, you can add on top. If you look at the portfolio of customers that we have in auto, we have enough customers, who represent the scale and size of JLR, because how you have to think about JLR is, here is a customer, here is an OEM. This is the kind of work that they do. This is the kind of technology that they deploy to the market. And in terms of market share and size, this is where we are.
So do we have customers, who are bigger than them, who represent much more scale, definitely, yes. Do you have an intent to grow some of them and hopefully all of them to sizes equal to JLR and more, yes. And that's the path we are on. So, I can be very frank about that. There is a whole set of customers, who have the same capab ility to scale as JLR ca n. But of course, it takes time. You need to build that strategic relationships and intent.
In terms of service areas, the way I see it, SDV is an overarching concept. But ultimately, if you break it down within, you will still hav e connected, you still have autonomous, you still have electric, because these are foundation pillars for what SDV will be built on. SDV will then further add an architectural layer, hardware aggregation layer and off -car data layer. So, in our view, every thing that we do is absolutely aligned to where the industry is going.
Akshay Ramnani: Got that. And Nitin, maybe if you can also add some flavor of timeline . So, for your customers - what is the time horizon to complete all of the SDV programs, the autono mous program, the reimagining of architecture inside the car? What are the customers' average duration timelines for completion of such projects in their models?
Nitin Pai: Yes. So, Akshay, that's the interesting part, right? I think we are set for a fairl y long -term transformation path for automotive . There is no one right answer, first of all . Everybody will experiment. And part two, there is no one right answer that will last forever. So, there's no one architecture that will be valid, let's say, five years down.

So that is why you will find generations of architectures that will come up , each of them being fuelled by what is the state of technology at that time, what is the state of compute and hardware at that time and what is the state of connectivity and what you can offload to the cloud, what we can do at the edge.
So, in my belief, we are in for a cycle where there are going to be three pivots, four pivots of the architectures for cars as you talk of SDV. So, there is no one single ideal architecture and the question only is about how fast do you get there ? And that is what makes automo tive so interesting.
Akshay Ramnani: Why I ask this is because auto industry is used to reusing and recycling the platforms they build, so that was the intention of that question, but I get your point.
Nitin Pai: Right and I think, I'll add one more item t o that, just to clarify. The other big difference that's happening with SDV is the fact that the car is connected means that you don't want to reuse to the extent that, okay, I've done this now. I don't need to do anymore. I think the whole point of SDV is , now that you have software, everything is software controlled , how do you drive innovation week by week ? So automotive customers are now going to think like an App

le and Google, which is what features do I deliver this week, what features do I deliver ne xt week.
Akshay Ramnani: That's very helpful. And the next question is for Gaurav. So, Gaurav, other expenses declined sharply this quarter and you explained it very well at the start of the call. But the question is more that this line item has been decli ning for three straight quarters and continues to be very volatile. So, from a sustainable basis, how should one think about this particular item?
Gaurav Bajaj: So, this has been declining. I think it has been a conscious effort from the company perspectiv e in terms of optimizing some of the costs. There was a sharp increase immediately after the COVID related closures was open and all those things. But I think we have made all the effort in terms of variabilizing all the cost in tune to the scale of the bu siness and wherever possible, optimize those costs.

This also includes the third -party contractor cost, which was heightened during the time of the COVID, and entire supply chain disruption was happening. So now with the bench strength that has been built by the company over the last few quarters with the trained people available, we are gradually declining our dependence on the contractor and rotating with our own people, which helps in terms of managing our people cost also and reducing some of the other costs, other expenses as well.
And also, I think this quarter, we have some collections and provision for doubtful debt reversals, which is a small amoun t, but I think, we would be able to sustain as a percentage to the other expenses as a percentage of revenue for the coming quarter. I think especially with the growth and the scale that we see in the coming quarters. So, I think we believe it is quite comfortable, and we are confident that we'll be able to deliver it at this level.
Akshay Ramnani: Got it. Can you please quantify that provision reversal, if possible?

Gaurav Bajaj: It's a small amount, but yes, it adds up. It's maybe 0.2%, 0.3%.
Akshay Ramna ni: Got that. Thank you and best of luck.
Gaurav Bajaj: Thank you.
Moderator: We have the next question from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Yes. Good evening. Thanks for taking my question. I have a question for Nitin. Nitin, you referred to the two tracks earlier in the Media and Communication vertical. So just wanted a sense on between the efficiency driven track that you referred to versus the second track of customer experience and monetization , do you see any change in either of those segments, say, from how the pipe was looking at the beginning of the quarter versus now?
Nitin Pai: I think it will be a little too early to say, Apurva. In the sense that if you look at it, on one hand, there is a b ig play of digital and AI in both tracks, because you can drive efficiencies through use of AI and digital. Also, all the new revenue streams that you're talking about are also predominantly technology and AI driven. I think the point that Manoj made, I th ink I'll use the same words. I think we are seeing green shoots of a lot more conversations and a lot more relevant conversations that promise to be deals. Now I think it will be still too early to say whether this will have an impact in Q3 or we ha ve to wait a little longer.
Apurva Prasad: All right. Got that. And just finally, the headcount addition, Manoj, how should we expect that for the next two quarters and run rate as this quarter?
Manoj Raghavan: We're not stopping our hiring engine. So that continues to go along. So that will be, of course, plus, or minus, but we will continue to add people.
Moderator: Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.
Tushar Bohra: Thanks for the opportunity and congratulations to the m

anagement for an excellent set of
numbers. Sir, in terms of the diversity, in terms of domains, can you highlight work being done in, say, space side in offshore and aerospace and things like that, which are still not yet categorized separately, but management is highlighting that at some point, we will do so .
Nitin Pai: Yes. Maybe I can take that, Tushar. I think if you look at it, our hands are full at this time with automotive. So, if you look at four years back, even before COVID hit us, we were starting to see certain signs of stress in the automotive sector, because everybody was pouring money into areas and things that they should not logically be doing, including shared mobility and so on. So, we believe d that there was going to be stress and we needed to de -risk. And the de -risking at that time was taken very clearly with the view of rail and off -road vehicles being the more stable, mature, if not as large , industries to go into. I think we have done very well in ramping up there. But the problem that we have now is that the demand in automotive is so much that it

is consuming everything that we can add. So, to that extent, we are actually starving some of the areas we already are in , just to be able to fuel the growth that we need in automotive. Aerospace, I think we bring all the right capabilities , because if you look at ingredients of what is needed in terms of software, in terms of machine critical capabilities, in terms of fail safe systems, we bring everything that is right. If you look at the kind of work that we've done for ISRO or HAL and so on, you will actually find a demonstrator. But is it worth getting our feet

and jumping in deep into the aerospace pool, we are not so s ure as yet. So right now, I think it will be a little bit of a dipstick model in aero, because we need to be very clear that we'll not only be able to get in, we'll be able to scale and differentiate. I think we are always very careful about qualifying tho se two parts. So, I think it will be a little bit of a skunkworks for a while.
Tushar Bohra: Second, sir, in terms of the disruptive components or I will say that technologies, which have the ability to accelerate like using meta, for example, virtual and augmented reality or the generative AI piece of it , if you can highlight anything meaningful qualitatively or quantitatively in terms of number of conversations or nature of conversations? Or how are you able to come up with some differentiated assignments , something that gives a view as to the next two, three years, how things could be for the company?
Nitin Pai: Yes, I just don't want to generate auto text on the subject. I think I'll simply put it this way. As Tata Elxsi, I think we're very, very focused on identifying trends that we believe will pick up. If not one year, maybe two years, three years, four years. So, we look at it in horizons. And in that sense, AR and VR is something that we've been doing from 2016. And you'll find press release s as old as that in terms of a tie -up with Unity to transform what will happen with verticals in AR/VR outside of gaming . Because we said, look, we don't want to go into the mainstream piece. We want to look at what we 'll do for everything else. If you take AI, you will find that we announced our own autonomous car technologies right from 2014. We won large programs in 2017.
So, the point I'm trying to make is that you can take any technology line, AR, VR, metaverse, you can take cybersecurity, you can take AI. AI is now taking the form of GenAI. You'll find that our investments actually date back to at the least three years, most likely, more like five, six, seven years. GenAI, I think it's just the latest piece on the bandwagon.
I think the interesting pa rt about GenAI is that it's all -pervasive, because it seems to have an impact on almost every

thing that is being done, especially if it's related to text image and voice, primary impact on customer experience and marketing, but then further into operations and product development. So, we have POCs going on. We have pilots going on. We have conversations going on.
Manoj Raghavan: We have projects also going on.
Nitin Pai: But to start projecting that as the future, I think I would hesitate.
Moderator: Thank you. We will now take the last question from the line of Santosh Kesari from Kesari Finance.

Santosh Kesari: Sir, I just had one question, and that was whether Tata Technologies is coming up with an IPO.
Manoj Raghavan: Yes, they are.
Santosh Kesari: So, basically I wanted to understand what's the difference between the line of business you're in and the Tata technologies?
Manoj Raghavan: Your question is about how Tata Technologies is different from Tata Elxsi ?
Santosh Kesari: Yes. I mean that.
Manoj Ragha van: Tata Technologies has always been there for many years . It's just that they are showing their IPO hopefully in this quarter. I think Tata Elxsi is very clearly a design -led embedded engineering organization, focusing on product designs. Tata Technologies does a lot of work, including mechanical , PLM, ERP and so on and so forth.
So yes, there are some complementary skills within both the companies. We have common customers and also occasions where we bid together on some projects. So, to that extent, I think they are a great company. However, their areas of operations are very different from what Tata Elxsi does.
Santosh Kesari: So, I can say that you are in high -tech engineering and they are into exclusively automotive customers, into ERP and production and factory -led engineering.
Manoj Raghavan: Yes, PLM and so on and so forth. Yes.
Santosh Kesari: Okay. Thank you so much, that was my only question.
Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Manoj Raghavan: Thank you, everybody. Q2 has been, I think, an incredible perfor mance given all the macroeconomic uncertainties and the challenges that we've had. And definitely, I would like to thank all the Tata Elxsians, who have contributed to bring this growth. As a management team, we are focused and to see that we continue this performance and the growth trajectory. So, our laser sharp focus will be on to see how we can grow H2 over H1. We are confident on the strategies that we have and we're confident on the direction that the company is moving. So, with that, I would like to conclude here and would look forward to interacting with you again

at the end of Q3 results.
Nitin Pai: And we'll, of course, wish everybody a very, very happy Navratri.
Manoj Raghavan: Yes, I wish everybody a happy Navratri, Dasara and enjoy all the holid ay season. Thank you so much.
Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Audio recording of Q2 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport t o be a verbatim record of the proceedings.

Call: Jan 2024

January 29, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the earnings conference call for the quarter and nine-month period ended December 31, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2023, held on January 23, 2024.

The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q3 FY '24 Earnings Conference Call"
January 23, 2024

MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
M R. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
M R. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
M S. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
January 23, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q3 FY '24 Earnings Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation conc ludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the pa rticipants on the call. Good morning, if you are logging in from the Western side.
Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors, therefore, must be viewed in conjunction with th e business risk that could cause further results performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.
We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.
With that, I would like to hand the call over to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank, and good evening, everyone. At the outset, let me wish you all a happy, healthy and prosperous New Year. Thank you for joining us for the third quarter earnings call.
I'm happy to report that our revenue from operations in the third quarter stood at INR914.2 crores, which corresponds to a 3% quarter-on-quarter and 9.4% year-on-year in constant currency terms. We continue to maintain ou r EBITDA margin well ab ove 29% and for

this
quarter, it was reported at 29.5%.
I'm also happy to report growth across our entire portfolio of customers, including, and beyond the top 5 and top 10, which reflects the differenti ated proposition that we bring to customers. If you look at our -- the split of -- split between different businesses, EPD came in at about 84.7%, IDV at 12.3%, and the system integration business at 3%.
In terms of regions, Europe grew well at about 5% quarter-on-quarter. We also saw smart growth in Japan and rest of the world, including some large deals and new customer wins,

especially in automotive sector. If you look at our various businesses within the EPD, our transportation business grew at 1.9% quarter-on-quarter in constant currency terms.
We had some delays in the ramp-ups in this quarter due to the shorter quarter and year-end holidays. We are in a good position to capture growth opportunities in the continued transformation of the automotive industry and the software-defined vehicle space with a strong deal pipeline. In the Media and Communications vertical, where business environment for the media, telecom and technology industry is challenging, our performance has been quite satisfactory overall.
Our revenue from this business has declined marginally by 0.1% quarter-on-quarter in constant currency terms. We continue to engage with our key customers in helping them drive efficiencies in current operations and also help them create new revenue streams for their businesses. You will note that we have significant contribution from the U.S. for this vertical and the media and technology sector was the most impacted in this region.
Healthcare and Life Sciences business performed strongly, registered a 3.9% quarter-on-quarter growth on a constant currency basis. During this quarter, we won some large deals, both in regulatory and new product engineering services.
Our Design Digital strategy is continuing to drive differentiation and growth for us. The Industrial Design & Visualization business grew by 11.7% quarter-on-quarter in constant currency terms. And during this quarter, our design teams have executed some landmark projects that spans user research, design and implementation and leading the way for our

customers to transform consumer experiences across industries.
I'd like to highlight the recognition of our Design Digital capabilities with the German Design Award 2024 for Excellence in Design. This award for the Gen 3 next-gen automotive HMI that we won along with Tata Motors truly showcases the power of design when aligned seamlessly with technology to elevate driving experiences for fu ture cars and electric mobility.
I'll now briefly discuss about our investments in people and capacity. We continue to invest in building a talent pipeline with a net add of 350 El xsians in the quarter. Th is brings the total net addition to over 1,350 in the first 3 quarters of the financial year.
Our employee engagement and talent retention strategies have contributed to attrition further improving to 12.9%. We're also investing in building solutions offerings in capacity for AI.
We are working with customers and executing some exciting internal projects to harness the power of AI and Gen AI, targeting to solve problems, drive efficiencies and drive and deliver completely new value for our target industries.
We expect to ramp up investments further in the coming quarters as we expand the purview of applications and offerings across industries, product life cycles and domains. As we move into the fourth quarter, we carry the confidence of a strong pipeline across our businesses and some great conversations going on with our key customers.

I would now hand over the floor to Shashank from E&Y for the Q&A session. Over to you, Shashank.
Shashank Ganesh: Tha

nk you very much. The first question is from the line of Vimal Goel from Alchemy Capital. Please go ahead.
Vimal Goel: Thank you for the opportunity. I hope I'm audible.
Shashank Ganesh: You are audible, sir.
Vimal Goel: Thank you. Sir, my question is around Transportation. We have been highlighting a strong deal pipeline fairly consistently despite whatever macro-related uncertainties that are ongoing.
However, the strong deal pipeline doesn't seem to be sort of [inaudible 0:07:41] for us, barring 2-2, we've seen soft revenue growth as compared to this year. So, what explains that? That is point number one. The second point is if you can just help us break, what led to - how much of our softness was led by shorter quarter and how much was led by delay in the closure of projects?
Manoj Raghavan: So, we continue to be very, very bullish about the deals that we're chasing in TBU. And in fact, in our Transportation business, we have closed some significant deal s in Q2 as well. But however, some of the ramp-ups are taking some time, which was expected to ramp up in Q3.
Part of that ramp-up has been pushed out to Q4. So, I think that's what we are seeing in the industry. I don't think it's something that is re ally bothering us at this point in time. We continue to invest in our talent and get ready to execute those programs as seen in the sort of strong hiring that is still ongoing.
So, it's a question of some of these deals, the start of these deals or some of the ramp-ups of these deals getting pushed a little bit here and th ere, again, due to customer-related issues and we've had some union problems and so on with our customers and so on.
So, some of those issues are getting sorted out. And hopefully, in Q4 and subsequently in Q1 and so on, we will see a strong ramp-up in these deals. So, we're not worried so much about that. However, the fact is that we continue to invest in talent, invest in our - building up the sales pipeline, and we are still very, very confident about the tran sportation industry.
The second question, I think, a lot of it, especially in the Media and Communications industry, what we are seeing is because of the shorter quarter that we have. And also, we've seen an increased furloughs in that particular industry, especially in the U.S. geography. That has also contributed to our Media and Communications, that business being pretty flat. We are taking steps to see how we can build up the funnel and pipeline there. But I think definitely that industry is stressed, and it will take, I would say, a couple of quarters more before we get a clarity on it. And there's a lot of changes happening.
There are M&As happening. There are cost takeouts happening. So, our focus is a lot more on consolidation opportunity and trying to increas e our wallet share within our customers. And because we are a lot more offshore-driven execution and so on. We are bringing that efficiency

to customers and saying that, hey, given the situation you are in, doesn't it make a lot more sense for you to move a lot more work offshore and let us execute it and then really take a lot more pie from our competition. So that's somethin g that we are working on. So, we will have a lot of consolidation and cost takeout deals where we are focused on. So that's something that we will focus on especially on the Media and Communications business.

Vimal Goel: Manoj, one follow-up there. In the transportation business, do you think that there has been a higher contribution of short cycle deals leading to a lot of volatility in the quarterly performance?

Manoj Raghavan: No, no. Absolutely not. There is - I mean, a lot of the deals are pretty long term, significant large - significant deals not so much. Three years ago, 4 years ago, we used to have many of these short cycle deals 2 months - I mean, sorry, 2 quarters, 3 quarters sort of

a deal. Now, we have got out of that scenario, it's - most of the deals are long-term deals.

Shashank Ganesh: Thank you. The next question is from the line of Karan Danthi from Jetha Global. Please go ahead.

Karan Danthi: Two questions. The first is a little more high le vel. As we are primarily an offshore driven business, will the advent of AI allow us to effectively move up the value chain and are we seeing evidence of that, i.e., the quality of work that you can do offshore with some of these AI tools should be significantly enhanced. And I'm wondering if you're seeing augmentation for your existing deals or perhaps even new deals where you're clearly doing higher value work.

And if you could just speak to some of the AI deal sizes or examples of AI work that would be great.

The second question would be on healthcare. You've shown a little bit of an acceleration, which was nice versus the previous quarter. Can you keep going? Can this vertical continue to accelerate as there are numerous other examples of AI applications, both within medical devices, drug discovery and other areas. It seems like it's an area that's ripe for AI to be used to bend the cost curve. So, I'm just curious whether that vertical can perhaps make up for some of the weakness of media and comm.

Manoj Raghavan: Yes. Let me take the healthcare question, first. Yes, healthcare has seen a good uptick in this quarter. And that's very satisfying for us because a lot of effort has been put in both from new deal wins and really going after new logos and so on, right? That is definitely there. Plus, we strategically really focused on a few top customers in our healthcare business and really deep dive in terms of farming deeper into those accounts and so on, taking new value propositions. You - rightly, you talked about AI-led value propositions and so on. So, we've been successful to, I would say, enhance our overall market share even in our existing customers as well as win some new logos there. We hope to continue this momentum that we have. However, it's pretty early. I mean the sense that we've had a situation last financial year with the overall MDR business falling off the cliff. An d I think we've done a significant piece of derisking there and our ability to withstand that sort of a business situation and come out of it and really generate new revenue stream.

I think I would like to give credit to the team who have done a fantastic job, both sales and the delivery organization to really retarget our offerings and embrace some of these new paradigms, including AI and bring in new opportuni ties for us. So – but again, it is a start, we would definitely want to look at a few more quarters to really be confident that, look, this is a secular sort of growth that we can expect. In general, on the AI, maybe I will request Nitin to address that.

Nitin Pai: Thank, Manoj. So, Karan, first of all, I don't th ink AI has particular inclination toward offshore or onshore. I would rather align it to the nature of the work that you do and the ability for AI to bring in value there, whether it's of efficiency or of completely new KP Is and value. To that extent, I'll just state that AI has been part and parcel of what we do for many years now, right? So, in AdTech and OTT, whether it's recommendation engines, dynamic pricing engines, all these are fundamentally AI based.

If you look at automotive, AI has been part and parcel of everything that we do in autonomous cars and ADAS features and so on. So, to that extent, there is progression even in that part of AI. We continue to work on that. Gen AI, I think, is the new paradigm where you're now able to capture learning, capture organizational learning and knowledge and then reflect it back into either faster time to market, better code or hopefully also discovering completely new applications.

I think for us,

AI is and continues to be part of parcel of what we do. Gen AI and how to use that to drive efficiency or to create completely new revenue streams, I think, it's a new journey that we are on. And you will see that we're ac tually starting to make fairly significant investments both in terms of new people, ramping up and training and retraining existing people as well as infrastructure and related investments that we are making in- house.
To that extent, I think, in our deal announcements, you will actually see AI reflected in 2 slightly different contexts. In one context, it 's about not only deliverin g consolidation in the media and telecom industry with a particular cust omer, but doing it on the back of offshoring, ownership and AI. While in the second deal, where it is to do with healthcare, we're actually making AI part of the process of automation and speed in order to bring that value to customers. So, we're actually seeing that already reflect in the nature of the deals that we are winning, and we are building. So that's where I would put it, Karan. Gen AI is still early, but we're already seeing some use cases we're able to leverage it. But for us, AI is well beyond Gen AI.
Shashank Ganesh: Thank you. The next question is from the line of Akshay Ramnani from Axis Capital.
Akshay Ramnani: So, first question is a follow-up to the question which a previous participant asked on the transportation segment. So, if I look at the tr ansportation growth on a Y-o-Y basis, it has moderated substantially what we were growing in, say, FY'22 and '23. So, on a 9-month basis -
- leaving this quarter aside, even on a 9-month basis, we would be at closer to about 16% growth versus what you are delivering at about 30% growth in FY'22 and '23.

Now this is compared to other peers who have either seen a steady or an increase in growth rate in automotive ER&D. So, I wa nted to understand what is leading to us seeing a slowdown or deceleration despite us having strong capabilities and conducive market conditions. So, if you can touch upon that aspect of how we are seeing a different trend versus other peers?
Manoj Raghavan: I'm not sure about other peers, but I can only talk about Tata Elxsi. I think year-on-year, 16% growth in this market is it's pretty creditable, I would say. And as I said, right, we have accelerated this growth a lot more because there are deals that are there in the bag. We have not been able to turn on the tap fully on resourcing because of certain constraints at our customers end. And it's a matter of time that those constraints are removed. And if those situations at the customers' end open up, we will be able to accelerate. And that's what we are looking at both in Q4 and subsequently in Q1.
And we're pretty confident, and that's why we ar e also investing in the resources and ramp-ups that are happening, we are having all those conversations with our customers. I want to also emphasize that yes, one part of the business is we are winning a lot of OEM opportunities, right? And that's a good part of our business. The other large part of our business is also the work that we do for Tier 1s. An d unfortunately, you know that th e Tier 1 situation, you have a lot of consolidation happening.
And Tier 1s are also - their business is also getting affected because OEMs are taking more and more ownership and more and more responsibi lity. At the same time, the Tier 1s are also setting a lot of captive centers in India and so on. So, there is some amount of, I would say, attrition in our Tier 1 business that gives you an impression that they are slowing down. But in reality, our push and focus toward the OEMs is still pretty strong, and that is really propelling our business forward.
The relative slowness, I would say, is attributed to the part of the Tier 1 business coming under stress, either due to Tier 1s t

hemselves losing business from the OEMs and so on because of what the OEMs are going through as well as the Tier 1s deciding to set up their own captives in India, and that's moving business away in some sense from us. But however, we have a long tier of customers, and our focus is to really focus on some of the large Tier 1s who have been our customers for the last 10 years, 15 years and go back to them with the consolidation proposals and features.
And our focus is not to really focus on the entire landscape, given the fact that market is going to be very difficult going forward. We are putting all our energies on some of our top customers there and consolidating business and winning market share. And that's something that we're working on. I hope that addresses your question.
Akshay Ramnani: Yes, yes, yes. But extending that discussion forward to the geographies part. So, if I again look at the incremental growth, majority or most of it has come from Europe over the past 9 months, like Americas is flat and I understand Media and Communications is - has a role to play. But even if I try to adjust for that, America even looks weak on an adjusted basis. So, if

you can help us understand, is there some particular weakness on the transportation side as well on North America, which may be impact ing growth there. How should one read this?

Manoj Raghavan: So exactly the same answer that I told you, right? A lot of our North American business has been driven by our Tier 1 supplier business. Th e OEMs there have been very, very competitive from a pricing perspective as well as for some of the terms and conditions of doing business has been very difficult, right? It's very difficu lt for us to accept some of those terms and conditions.

And so, we have been generally very careful with some of the North American OEMs, including unlimited liabilities and so on, which we know some of our competition has accepted. But these are things that we are very careful about and so our focus has been a lot more on the supplier side of the business.

And given the fact that we are having those situations with the suppliers, that's why you would see some amount of slowness in our North Ameri ca business also. Having said that, yes, there are a set of OEM customers that we are engaged with in North America as well, especially on the new age OEMs and so on. Plus, we've also been shortlisted by one of large OEMs for SDV program there. So, I think we are - it's not as if everything is going down there. We are carefully managing our business without adding risk to our overall portfolio wi thout really decelerating too much. But at the same time, focusing our energies on where we see maximum growth happening and where we see maximum returns for the investments that we're making.

At this point in time, both Europe and APAC in general, right, including Japan, we're seeing very, very good traction, especially I'm happy to report the APAC re gion recovering very significantly for us in automotive side.

And I think that gives us great confidence. We will be cautious on the U.S. business, but it's not as if that we are giving up on that. We have strategies in place to address that particular business. But yes, it is a tough business, and we need to navigate that very carefully.

Akshay Ramnani: That's very clear, Manoj. Just one for Gaurav, which is can you share the margin for the quarter, please?

Gaurav Bajaj: Yes. So, Akshay, I think our EBIT margin, op erating margin came 30 basis points lower compared to the last quarter. I think most of those investments and the cost that has been done is well calibrated and has been made keeping the long-term view of the organization in terms of the capability, building development of the infrastructure and other talent management.

Most of the expenses has increased in the other expense bucket. 70 to 75 basis poin

t increase toward the travel and the visa expenses in the quarter because there was a lot of sales pursuit, sales promotion activities and other events that has happened during the quarter, which was well known in terms of the investment that has to be done in this quarter for us. And it also

includes some of the training that we do for the campus batch that we have been taking over the last few quarters. So that is one.

Second, I think we have talked about in some of the earlier questions that we are making a little bit of green shoots and early shoots into the AI kind of investme nt, involving capability, building infrastructure development and training and retraining of available talent in the organization. So, we have started to make a we ll-educated investment into those - AI-related investment into the offering that is more relatabl e to the sectors and industry where we operate, which add another 40 basis points.

So that both put together is about 115 basis points. People cost was mainly in line with the volume increase and the revenue growth that we have registered on a quarter- to-quarter basis. So, it's hardly 10 basis points, I would say, on a quarter-to-quarter kind of an impact from quarter 2 to quarter 3. So overa ll, people plus other costs increased by 125 basis points. At the same time, you will see that our cost of sales has gone down by 55 basis points. It is, again, completely related to the project and th e cost undertaken under those projects.

Last quarter, we had significant cost toward the - some of the product-based revenue, including tools, hardware and software. Th is time, I think, the revenue has been more from the people-related effort and less on the ha rdware and the software. So that gave you a 55-basis point kind of a dip if you have to do a comparative analysis from a quarter-to-quarter basis point. And overall cost increased by 80 basis points.

And with the exchange benefit of 50 basis points, the EBIT has been down by 30 basis points.

And I think it has been within our range that we have narrative over the last few quarters that we like to operate in a range of 30 to 40 basis points in and around 27% on an EBIT basis. But if you see on a PBT basis, we have a slightly better other income due to the interest on our investments and the funds surplus available to us and also on the exchange side, and we're able to recoup some of the lost basis on the EBIT side. But at the PBT side, if you see, we are similar and at the same level of 28 .9% compared to the last quarter.

Shashank Ganesh: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: So, a couple of questions. Firstly, on the Transportation business, you highlighted the U.S. OEMs are being quite competitive on pricing, and we have been cautious over there. So, can you just explain to us what is driving this price competitiveness from the OEMs in the U.S.?

The second question is, I understand that 3Q was impacted by delay in deal ramp-ups in the transportation vertical. But going ahead, should we see ramp-ups normalized? Or it will be more of a gradual recovery over 4Q and 1Q? And lastly, on Media and Communications, I understand it's been quite weak over the past few quarters. What are you hearing from clients? Is the worst behind? Are we seeing any green shoots at all? Or do we still have to wait for a few more months before some clarity emerges?

Manoj Raghavan: I'll go the easiest question first. Yes, the Media and Communicati ons vertical is still pretty weak. I think we don't have full clarity yet in terms of how next financial year is going to look like. We are having discussions with our customers. And again, we - at this point in time, it's very difficult to say that, look, we are seeing some green shoots and so on. So, I t

hink we will wait for one more quarter to see how some of the moves in the industry, right, including M&As and including the cost pressures that are there on some of our customers due to their own revenue situation - revenue growth situation and so on, right?

So, I would say still that industry is under a lot of stress and - so the only option for us is to really stay relevant and see how we can gain market share and in a situation where the overall pie could remain stationary or even could decrease, right, could come down. How do we stay relevant? And how do we - what is the value that we can contribute so that we can take a larger pie of that business, right?

So that's where we're looking at from Media and Communications business. Transportation business, I think I discussed that detail where we are and so on. We are hoping that in Q4, some of those deals - ramp-ups would pick up, and we can definitely look at the end of this quarter, Q4, the situation and then assess further, right, what we need to do. What was the first question?

Management: I think, it was about the ramp ups in Transportation.

Manoj Raghavan: Okay. I hope I've answered...

Bhavik Mehta: Yes. So, the first question was what is driving the price competitiveness in the U.S. OEMs where we are being cautious and not participating to the extent we would have liked?

Manoj Raghavan: Yes, some of the deals are - you have 4, 5 vendors bidding together, and prices driven down drastically and also terms, right, terms. One is price alone in commercials. Other is the terms that come with those commercials, right, including legal terms, including payment terms and so on. If you put all of that together and when we are getting better deals in other parts of the world, right. So somewhere subconsciously, the teams tend to really move in those directions.

But for us, the focus of U.S. is a large market, and we cannot ignore it and so on.

So, we are being very selective in the type of deals that we are picking up. We are playing to our strength and really not going after all the deals that are there, which could be the margin dilutive, or which could create issues for us at a future point in time. So, some amount of discretion, some amount of caution we are looking at there.

Shashank Ganesh: Thank you. The next question is from the line of Omkar Sawant from Marcellus Investment Managers.

Omkar Sawant: Manoj, I had a question on the Design Digital strategy. So, one of the key deals that you have mentioned on infotainment and in- cockpit that looks to be similar to what the deals you have won so far. So, can you elaborate more on the Design Digital strategy? And how exactly is it different from the business that we have won so forth, maybe some other examples?

Nitin Pai: Yes. So, this is Nitin here. Maybe I can take that, Omkar. I think for us Design Digital is where - while design stays constant, what we're looking at is a part of digital, which is ever changing.
So, if you look at 4, 5 years back, you would - and I'm just taking automotive itself. The only interface available was really about touch. And that is the only thing that was digital about the infotainment system.
You look at what is happening now, you have touch, you have haptics where you have certain surfaces that vibrate or so on and so forth. So that you can better inform and better engage with the drivers and make sure that there's no driver distraction. And most importantly, there's also the interface voice, where voice is no w taking over certain functionality.
So, when you think of design and digital, remember the design has to now adapt continuously to what digital can offer. So, if you now have voice interfaces, how does your design incorporate voice interface as one mechanism of interacting with the e-car. If you now have haptics, where is ha ptics best delivered?
And at the same time, you

also have to make sure that you're not ballooning up costs. Because remember, each of these interfaces are very expensive. The in-cockpit lenses, whether it's of camera, whether it's of touch or of haptics, is a very expensive proposition.
So how do you drive the right balance of sensors that will deliver you the additional sensory inputs or output? How do you balance that with the design, which has to guarantee that the driver is not distracted? It is something that is intuitive enough for him to use. I think that is the moving target, and that is the holy grail fo r all designers. And I think that is where we really truly excel because we bring that deep understanding of how technology works, our absolutely fantastic knowledge of embedded technologies, coupled with design.
Omkar Sawant: And how exactly are we capturing downstream value here?
Nitin Pai: Yes. So, the downstream value was really the implementation of the HMI itself. The hardware and systems that now have to change in order to bring in these kind of sensory inputs or outputs. Two, the embedded software that has to implement the HMI on the infotainment systems. And if it is a connected car, how do you reflect some of this back in the app that the consumer uses too? So, in some sense, there is a downstream chain that is affected by, what design proposes first as the method of interaction.
So, what you would see as a new screen is not just a new screen. And it's very simple to think of it as here is a new web page. But remember, it's not a static web page, it is an interaction screen that has now been - behind it, there's a lot of codes that is now actually implementing what you want to do with it.
Omkar Sawant: And would we also take over the support of such systems?
Nitin Pai: That's correct. So, for us, I think the longer product life cycle opportunity is that, especially with connected cars, HMIs are not going to be constant. You will see updates every once in a quarter, if not more often in terms of sprint cycles of agile design. So, the intent is to support

two parts. One, the maintaining of the code in terms of DevOps cycle, CI/CD and so on. The second is in terms of the actu al incremental implementation that happens quarter-on-quarter, sprint cycle by sprint cycle. So, I think that is where we are starting to see that sustainability and stability of design and system integration business, which is coming from the fact that there is a tale of revenues that follows any project, and is no longer a project all by itself.
Omkar Sawant: Okay. Okay. And this is primarily in automotive, right?
Nitin Pai: No. So, this is true for media and telecom. Why? Because all our - work that we do in OTT, again, you'll find that whatever you're talking about in automotive is true in OTT because if you think about your search that's happening in your smart TVs or your OTT apps, you're using voice as much as you're using touch.
Shashank Ganesh: Thank you. The next question is from the line of Kireet from Jetha Global.
Kireet: So, the first question is regardi ng the transportation vertical. You've kind of alluded to how you plan to increase wallet share among existing clients. Can you maybe give us a sense of what the incremental opportunities are in terms of scope of work? It'd be good to understand what incremental, I guess, what this scope of work would be? And how much further and deeper you could go, for example, in the SDV vertical?
And the second question is relating to healthcare. So, you talked about retargeting new opportunities and how the sales team has done a commendable job there. So, can you share some color on what these opportunities essentially entail and what the margin profile for these projects would be?
Nitin Pai: Kireet, this is Nitin here. Maybe I' ll take the first one. I just wa nt to clarify that Manoj's point about the consolidation etcete

ra, was predominantly in the Tier 1 or the supplier business. I
think suppliers are starting to se e some amount of consolidation within themselves. You'll also
see that some suppliers are shedding parts of their business, which are not attractive anymore
and you have a lot of the Asian suppliers who are now buying out those businesses, which are more commodity while they retain only the very high-value, high-end electronics and software
business.
So, his comment was in response to the point that we are seeing a significant shift of our
revenues and very strategic to us intentionally from what was supplier dominated earlier to more OEM dominated now. So, the OEMs, it's a pure growth story and participation in SDV
and all the deals that we are getting into our strategy because we don't want to be tactical or
marginal to any of the OEMs that we work with, right. And that's why you'll find a lot of the commentary in the
U.S. is about that, that is possible to win deals, but there's no interest in being marginal or
tactical. It has to be strategic, and that's why the quality of revenues matters. The consolidation
part is where we are saying, look, instead of working with many, many suppliers, which, for
us, the universe is open because of our capabilities. We are taking selective bets on a few. And

what we want to do is to make sure that we grow very well and very sustainably with those
few.
Manoj Raghavan: Right. On the healthcare vertical, as stated, we had a huge exposure on the MDR piece -
regulatory piece. So, we have successfully retarget ed all of those skills into other regulatory
aspects of the business. So, our overall MDR dependencies on the regulatory business, we are hoping to bring it to less than 25%. It was at one point in time about 70%, 80% of our
regulatory business used to come from MDR, and we have been able to successfully retarget to
other areas, and that's been done pretty successfully.
We've - I mean we've also focused a lot on new product development, and that cycle has
started. I think during COVID, some of the new product development businesses was sort of put on hold and we see that cycle coming back. So that's something that we are focusing on.
And of course, digital is now a focus area for us, including in the medical space, and we are spending a lot of - we are winning deals on the digital domains there. And that's another area
for us that we would focus on.
So yes, I think that's - from a margin profile, I think healthcare does provide, I would say,
reasonable margin for us. We don't give out th e details, but I think it' s pretty satisfactory
margins as far as we are concerned and we definitely want healthcare growth to lead the
organization, especially in the next financial year and so on.
A lot of investments that we are making in that business, yes. So pretty bullish in terms of how
that business will span over the next 4 to 6 quarters. And I think we have talked about that -
this business to achieve about 20% of the overall revenues of the company by 2026. I think we are on track there.
Shashank Ganesh: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: Sir, I am listening to your call. You are giving answer of all questions. Can you give what is
our order book?
Manoj Raghavan: No, we don't give out those details, right, at th is point in time. We d on't talk about the order
book. So sorry will not be able to share the details with you.
Ravi Naredi: Okay. Can you give how many quarters order book we are having like this in soft way?
Nitin Pai: Not really, Ravi. I'm so sorry. But...
Ravi Naredi: No need of sorry. It is our system, and you should not break for me. Second, our employee
costs are higher in this quarter than year- to-year last year quarter. I think it was 50.5%, and it
is now 54.5%.
Manoj Raghavan: Yes, I think the investments that we h

ave made and so on, right? So, I think it's a temporary
scenario. And if you look at it - if you look at all the companies, they have only been
decreasing the headcount, right? I think we are one of the few companies that are adding headcount at this point in time. So, I think we will be a little cautious th is quarter and the next

quarter in terms of - and we have a healthy bench, right? So, there is no need to keep adding
resources.
I think we've reached a point; we have focused, or we have planned for all the orders that we
have won, and I think they're in a healthy position to be able to extinguish that bench as the

utilization picks up. I think as the business volumes grow back; I think we'll get back to our
older ratios of employee cost. It's a temporary situation. And we will keep a close watch on
this in Q4 as well as in Q1 to see that we don't add too many resources because we have –
already have a pretty healthy bench.
Gaurav Bajaj: The way things were, I think, during the COVID, on-site profile also went down a little bit.
Now it has come back to the more stable level of 25%. So that's also another factor that adds to it. But I think we have been mana ging this at a very stable leve l for the last few quarters now,
6 to 8 quarters.
Shashank Ganesh: The next question is from the line of Sulabh Govila from Morgan Stanley.
Sulabh Govila: My first question is more of a clarification on the comments made earlier. So, on the
healthcare piece, if I heard it correctly, you mentioned that it might take a few more quarters
for us to be able to say whether this growth is secular in nature. If that is correct understanding,
so I just wanted to understand whether the growth visibility for the next 1, 2 quarters, how is
that?
Manoj Raghavan: So, let me clarify that, right? Yes, we've seen pret ty good growth. That is deal pipeline that is
available. So, we are hoping to continue this growth path, right, given the deal pipeline that we
see. But however, since we've had a few tough quarters earlier, and we've sort of broken out of
that tough quarters, and we're able to show some decent growth, I just want to be cautious that
look, give us one more quarter, whether we can confidently say whether this will move
forward in the right direction or not. We are confident that we are on a growth path. I'm just
being extra cautious here. I hope that's understood.
Sulabh Govila: Yes. Okay. Understood. Very clear. And second bit is, on the last call, we had sort of indicated
that we will try to do better in H2 versus H1. And given that no w at least on a Y-o-Y basis, we
are tracking below in the third quarter versus 1H. Does that aspiration still hold? Because the
ask rate for 4Q then becomes a little high.
Manoj Raghavan: Yes. I think we were really hoping for a revi val of our Media and Communications business.
And unfortunately, that - we are hoping that at least in Q4, which is for most customers, it's a
Q1, right? Many customers in the Media and Communications have a Jan to December cycle. And we were hoping budgets to be opened up in the Jan to December cycle.
Unfortunately, that clarity is still not there. An d that's why we are being a little cautious about
that business. So having said that, we're st ill focusing on our transportation business,
healthcare business. If you have seen that we have significantly grown our industrial design business.

So, a lot of these businesses are actually helping to show the growth, even though our Media
and Communications business is muted. So yes, so I think that is the real situation that we
have. I don't have that data immediately with me to say over H1, whether - how much we will grow and so on. But it's our focus to really see how we can grow the overall portfolio over H1.
So, we have some setback – I would not call it a s

etback in terms of from our Media and
Communications vertical. We're not seeing that green shoots yet. If we had seen those green
shoots, we would have been a lot more confident. But having said that, all other businesses are
tracking reasonable growth.
Sulabh Govila: Understood, sir. One last bit, if I may. Just wanted to extend that discussion on the headcount
addition. Given that we are sitting at healthy le vels today, I just want ed to understand how
much room or leeway we have on the utilization bit to inch up in the next couple of quarters?
Manoj Raghavan: Yes. I think from a utilization pe rspective, definitely, we can move. I think we are - I mean,
okay, let me answer it in this way. We talked abou t all the deal wins that we have won over the
last quarter and the previous quarter. So, we have provided for all of the expansion, for all of those deal wins that we have.
If the ramp-up happens as per our expectation, without adding additional headcount, we'll will
be able to increase our revenues because all of those we have planned for, resourcing is already
planned for. I'm not giving you a number out there. But yes, from a perspective of addressing all the deals that we have won, we are ready. We have trained people. We are ready. We
should be able to pick it up.
Shashank Ganesh: The next question is from the line of Amit Ash ok Thawani from Clear Blue Capital Advisors.
Amit Ashok Thawani: My first question is, it seems to me at least from top Media and Communications are
underinvesting in technology or they are like behind the curve. Is that a fair comment? Or are
they doing the technology investment in-house?
Nitin Pai: Yes. So, Amit, maybe I'll take that. This is Nitin here. There are 2 parts here. So, there is capex
investments that have been significantly done over the last 2, 3 years, especially in 5G when
you look at operators across the world. There are certain operators who continue to do it. So, if
you look at India, we are in the middle of the cycle, right? So, there is capex investments.

These are fairly large and fairly long term.
I think the bigger problem that telcos are facing is, where is the money that is coming back to them in terms of subscriber increase, ARPU incr eases, premium value? So that, I think, is the problem. There is a gap between capex and expected returns and the actual uptick in terms of subscribers or per subscriber revenue.
Two, there has been a global slowdown in terms of OTT uptake. So, all through COVID, not only were consumers subscribing to 3 or 4 services, but it looked like they would be happy to consume more and more, both in terms of time and cost. I think, one, the fact that a lot of people have now returned back to offices, life is getting back to normal and not so much

COVID. There is inflation across multiple regions. Part of it, quite severe, especially in Europe. I think it's all leading to consumer spend, especially discretionary, impacting the amount of subscription and the money that they spend on entertainment.
So, you'll see that there are noises being made right from the likes of Netflix to others who are saying, no, look, maybe we should be thinking of ad-based revenues because subscription is not good enough. So fundamentally, Amit, the point I'm trying to make is, it's not that there's no capex spend, it's not there's no investments. There are investments that are committed investments. The big question is, are they bringing back money?
And therefore, a large part of what we are doing actually is driving two tracks and you would have heard this on previous calls, efficiency parts, which are - look, if you're going to be pressured on bottom line and how do you improve your own margins, then definitely on the engineering side, we represent a fantastic value proposition of offshore and responsibility and ownership. If you're looking at growth, we ar

e building very specific offerings around growth alone, right, from AdTech to others.
The question is, how much money are telcos and media operators and so on willing to spend at this time? Because you have to also remember like Manoj mentioned, there's a lot of M&A and consolidation that's been happening there.
In certain cases, M&A and cons olidation that is unrav eling too, as you would see in India and what is happening with Sony and Zee. But you're also seeing that industry being pressured into all of this, too. So that is why I think we are being cautious. We would like to say many things, but I think at this time, I th ink it's best to exercise caution in terms of outlook.
Amit Ashok Thawani: Understood. The other question I had is that traditionally, we've had a tailwind of currency - U.S. dollar appreciation, but we may now be in a different era of maybe lesser depreciation of the rupee, how do we plan to kind of - how do we plan to address that?
Gaurav Bajaj: Amit, there is nothing that we can do about the currency movement. I mean I think, the only thing we can do is that we can focus to remain strong on our business and do the execution and the delivery of the projects, what we undertake. I think for the currency management, we have a very robust hedging policy internally in the company, and we continue to monitor the currency on a daily basis and take the right hedge in terms of the exposure that is there in the organization.
So that is how we are well managing within the SOPs and the policy governance under the Board of the company. And I think we have been doing fairly well in terms of stabilizing any impact or the negative adverse impact from th e currency movement for the last few quarters.
Amit Ashok Thawani: My last question is, Manoj mentioned that some of our customers are getting acquired by AUM - OEM. And then the OEMs are doing the ER&D in-house. Can you maybe elaborate on that? And is that something to be concerned about as a broader trend?

Nitin Pai: Yes, Amit, maybe -- this is Nitin again. Maybe I'll explain a little more clearly. I think the reference that Manoj made was to suppliers. And what we are seeing is that suppliers who otherwise were tasked with and delivered full systems and subsystems to OEMs. And OEMs are very light on engineering. They typically focused on specifications making sure that suppliers understood their specifications, find the right supplier, ring the right price out of them and make sure there is supply and integrating everything that came back from suppliers into the vehicle to make sure that the vehicle works, and they meet all the required safety and regulatory requirements.
This was predominantly the domain of OEMs barring a few areas that they would directly

invest into, including powertrain and engines and so on. I think with software-defined vehicles, we are seeing OEMs taking a little more central role in the software that goes into cars, not necessarily hardware. They still depend on Tier 1s for hardware, but ther e is less dependency on full systems. And I think that is the part we were talking of.

Shashank Ganesh: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Manoj Raghavan: Thank you, Shashank, and thank you to all the investors for patiently hearing us out and hearing our answers. We will definitely look forward to a good Q4 and another session of a really good conversation. Business is so dynamic, and I really hope whatever we talked about today, we'll be able to talk with a lot more confidence in the next quarter. Yes, so look forward to talking to you over this period and all of you take care and hope this New Year is good for all of us. Thank you so much.

Moderator: Thank you. On behalf of Tata Elxsi, that conc ludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Audio recording of Q3 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2024

April 29, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir ,
Sub.: Transcripts of the Investors ' Conference C all for the quarter and financial year ended
March 31, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors ' Conference Call for the quarter and financial year ended March 31, 2024, held on April 23, 2024.
The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q4 and Annual Audited Financial Results for FY '24
Earnings Conference Call "
April 23, 2024

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi's Q4 and Annual Audited Financial Results for FY '24 Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.
Shashank Ganesh : Thank you very much. Good evening to all the participants in the call. Good morning for joining in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward- looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such forward- looking statements.
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan,
Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.
We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We appreciate your cooperation restricting yourself to 2 questions to allow participants and opportunity to interact. If you have any further questions, you may join the queue, and we'll be happy to respond to them as time permits.
With that, I'd like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan : Thank you, Shashank. Good day to all of you joining us for the Earnings Call for the Fourth Quarter and for the full financial year '23- '24. FY '24 has been a year of consistent operational performance with a revenue growth of 13% despite the global macroeconomic uncertainties and volatility in the media and communication industry over the last few quarters. We have done well to main

tain industry- leading EBITDA margins at 29.5% for the year, even while we continue to invest in expanding our talent base through all the 4 quarters with a net addition of 1,535 Elxsians through the year.
Now I come to a summary of the financial performance in FY '24, our revenue from operations were at INR 3,552 crores, a year -on-year growth of 13%, EBITDA margin at 29.5%, PBT margin at 28.5%, prof it before tax

grew 11.9% to INR 1,048.7 crores. And actually, th is is the first time our full year PBT crossed INR 1,000 crores.
Coming to the summary of the financial performance in Q4 of FY '24, our revenue from operations came in at INR 905.9 crores, a degrowth of 0.9% quarter -on-quarter and a growth of 8.1% Y -o-Y. And the operating revenue growth actually on a constant currency basis had a degrowth of 0.6% quarter -on-quarter and 7.2% growth Y -o-Y. EBITDA margin came in at 28.8% and the PBT margin at 27.9%.
The Board of Directors have recommended a final dividend of 700% that is INR70 per e quity share of par value of INR 10 each for the financial year
ending March 31, 2024, subject to the approval by the shareholders of the company at the AGM. We had laid down a strategy of integrating our design business deeply with our key industry verticals, complementing our software and digital business with a design -led proposition. This is now complete with
a seamless end -to-end proposition from id eation to market introductions.
This is enhancing our competitive differentiation , providing early visibility into customer product roadmaps , and creating larger downstream development deals. Over 90% of our industrial design and utilization revenues are now directed to customers in our 3 main verticals, while the remaining comprises of innovation and design- led projects in other

industries, including consumer packaged goods, retail, energy and utilities,
manufacturing, adding diversity to the application of digital design and feeding possibility for future verticals for the company. This has been
classified as others in the segment report.
Starting with this quarter, we are reporting this integrated view of our industrial design and visualization business in all 3 verticals and not stand-alone. So our software development services, SDS , combines the erstwhile EPD revenues and ID V revenues into the respective verticals as 1 segment with a system integration and support constituting the other segment.
Now let me provide a summary of the key industry verticals and segments for the company. If you look at our transportation business during the financial year, our transportation business grew strongly at 20.5% year -on-year in
constant currency terms and now accounts for almost 50% of our overall SDS revenues. A lot of this work that we do for OEMs constitute s over 56% of our
overall transportation business and we are now embedded into the SDV programs of 5 global OEMs. This business grew at 1.2% quarter -on-quarter in constant currency terms, despite delays in the planned scaling of SDV large deal that we have been awarded previously. I'm especially delighted with the German Design Award 2024 for our work on automotive HMI, which underscores the design- led proportion that we are now delive ring to
customers globally.

We were selected into the SDV program of another global OEM and are ramping up teams to support infotainment, ADAS and EV software track over the next few quarters. The quarter also saw a digital technology -led deal in the rail segment, for development of an advanced collision detection and warning system for a rail operator in North America. This leverages advanced sensor technologies and AI to provide an early warning system.
Coming to our Healthcare and Life Sciences business. This business registered a growth of 7.6% Y

-o-Y in constant curren cy terms in the financial
year. We have established a strong foundation for continued growth with the addition of 5 marquee customer logos in the year, and expanded capabilities and platforms in new growth areas such as digital therapeutics and connected health. The offshore development center for innovation and R&D we announced in March 2024 for Dräger Medical, the German- headquartered
leader in critical care and safety equipment, demonstrates the relevance of our technology and design expertise and deep domain capabilities for next -generation health care.
We are investing and winning deals with Gen AI -led solutions for the health care industry, including identification and elimination of toxic materials from the medical device supply chain. We are building platforms and winning deals for digital therapeutics, an emerging and strongly growing team for healthcare of tomorrow.
Coming to the Media & Communications business. This business declined 2.6% in constant currency terms during the financial year. This quarter saw a merger led impact of a deal ramp down with 1 customer. However, considering the severity of challenges in the media and telecom industry, we have done well throughout the year to protect business, add marquee customers and increase wallet share with key customers. We are seeing growth in operator revenues and our overall customer base. Even as customers continue to tighten budgets and optimize spends , we believe that there are opportunities in contributing to the revenues through advertising technologies or adtech and enabling opex reductions through automation and transf ormation of network operations. We are actively investing in offering platforms and partnerships for both areas. Both leverage AI and Gen AI to deliver speed and autonomous operations.
We are delighted with NEURON, Tata Elxsi ’s network transformation and automation suite being declared the platinum winner of the Juniper Awards for telco transformation. It was also the center stage of a showcase at the Mobile World Conference in Barcelona in February.
The power of our design- led proposition is best underscored with a

multimillion U.S. dollar program we won late in this quarter for the customer experience transformation of video services of a leading Africa plus Middle East operator operating in over 25 countries. This also demonstrates new

opportunities for us in new markets, such as LATAM, Middle East and Africa.

Coming to our system integration and support business, we continue to pivot to value -added services, innovation- led projects such as experience centers and supporting downstream deployment and run management of our products and platforms.

Q4 revenues and growth was impacted by hardware shipment delays due to the Red Sea shipping crisis, which did not allow us to deliver and build some revenues. Despite this, it grew credibly by 18.6% in the financial year '24 in constant currency terms, getting close to INR100 crores business in this financial year.

From a customer standpoint, we are transforming our customer base across industries with a significant shift towards OEMs in the automotive industry and operators in the media and telecom industry. While we continue to invest in deepening our key customer relationships, this is reflected in the strong growth in our top 10 and top 25 customers across the company.

From a talent perspective, we continue to invest ahead of time in building our talent pipeline. We are expanding our presence across locations in India and overseas. Our employee retention continues to be the best among our peers and industry at large , at 12.4%. We added 178 Elxsians , net - additions in the fourth quarter and 1,535 Elxsians in the full year, and we have a planned intake of fresh engineers and laterals through FY'25.

On the AI and Gen AI front, we continue to invest strongly in solutions, POCs and projects , and ramp- up of talent across the company. We have created and deployed specialized programs to be able to get 25% of our engineers AI ready by Q3 of FY'25. We are working on experimenting and innovating using Gen AI across design and software.

We are targeting areas that may be impacted by Gen AI and disrupt our business such as coding, automated testing that we proactively take to customers. Equally, we are applying Gen AI to workflows and processes, regulatory work, automation of network operations as a new service framework and solutions we can take to customers.

The large deal that we announced in the healthcare regulatory space already uses automation and AI to deliver efficiency, speed and higher quality to workflows for our customers. We are also enriching our reserves platforms such as NEURON, iCX, TEcare, with Gen AI to enable new use cases and customer experiences for our customers. In the quarter, we also hosted a Gen AI hackathon internally for our employees with over five to six teams participating across all industry segments.

Even as we step into the new financial year, we are pleased to announce two new members to the Board.

Mr. Soumitra Bhattacharya has had an illustrious corporate career, especially in automotive industry, with over 28 years at Bosch Group. He serves as the Chairman of Bosch Limited and is a Director for IFQM, an industry -led initiative focused on quality excellence and innovation.

Ms. Ashu Suyash is a highly respected leader and served as the MD and CEO of CRISIL, among leadership roles across many leading institutions. She has recently set up Colossa Ventures, an investment ecosystem for women entrepreneurs and is an independent director on a few boards, including Hindustan Unilever. We look forward to leveraging the rich experience in network, industry knowledge and strategic inputs from our new directors.

In summary, I ’m pleased with our overall performance and resilience in revenues, margins and customer additions throughout the year in a volatile macroeconomic environment. We are entering the new financial year with a commitment for growth and the continued confidence in our differentiated and integrated design digital capabilities.
This is backed by strategic relationships we have built over years with key customers, the qualitative change in revenues towards OEMs and SDV programs, entries into new operators and marquee healthcare logos, investments in talents and hiring that we have made and continue to make, investments in strategic technology areas in AI and a strong deal pipeline we carry into the new financial year.
Thank you and we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question- and-answer session.
The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Thank you. Two questions from my side. Firstly on the media client, can you just give more color in terms of whether it was in the media vertical or in the telecom space? And if you can quantify the ramp down as well for the quarter and is this something which is completely done, or should we expect some further ramp downs in the coming quarters as well?
Second question is on margins. We saw margins decline by more than 100 basis points this year. So how should we think about margins for next year, given that the demand environment has not changed? Are you targeting to maintain margins or do you still have levers where you can see margin expansions? Thank you.
Manoj Raghavan: Yes. So I think the dip that we had with one account was in the media operator segment, it impacted almost 3%, that one single degrowth that we've

had with one customer. Coming to the margins, I th

ink we are pretty confident with the sort of pipeline that we have and the levers that we have to manage our margins. So we are definitely looking to come back to the margins for the full year that we delivered in the last financial year. So I think that is what we would focus on.
Nitin Pai: Just to add, Bhavik, we are done with the ramp down. So that doesn't continue or decline further.
Bhavik Mehta: Okay. Just a clarification, this 3% impact is for the quarter at overall level, right?
Manoj Raghavan: No, at the MCV level.
Nitin Pai: So Media and communications degr ew just a little more than 4% for the quarter, out of which about 3% was attributable to the single customer and the single ramp down. We are done with that this quarter. So when you start the next quarter, we have no further impact from that customer.
Bhavik Mehta: Okay, got it. Thank you.
Nitin Pai: Otherwise, we would have ended up just about neutral. So that's the point.
Bhavik Mehta: Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila: Hi. Thanks for the opportunity. So my first question is on the transportation business. So I just wanted to understand that there are multiple moving parts in the sense that, on the one hand we have OEM -related business where we see SDV projects coming in. And then at the same time, there is a delay in the form of ramp -up of some of these projects? And also ex of OEMs, some of the Tier 1 business could be coming off. So just wanted to understand right now, the sort of growth that we have posted, which is 1.2% Q -on-Q, when can we think about this accelerating given that there are multiple moving parts there?
Manoj Raghavan: Yes, it is as we rightly talked about, currently 56% of our business comes from OEMs. So if you look at it in the previous financial year, I think our Tier 1 business was more like 50% and OEM business was more like 40%. I think we've done exceedingly well to transition this into a lot more focused on the OEM business and the sort of deals that we have been winning.
Yes, there have been some delays in one deal that we have won, but we definitely see that ramp -up picking up towards the latter half of this quarter.
So I think our focus is to continue to exploit the opportunities that we see in the OEM business. W e used to have a large portfolio of Tier 1, s o what we're

really focusing is to really focus on select key Tier 1s that we believe will
continue to grow strongly.
And in these Tier 1 businesses, we are looking at consolidation opportunities.
So we are not abandoning the Tier 1 business, because we still believe that
there are opportunities there and there are a lot of consolidation opportunities
that we are bidding for at this point in time. So that is something we will
strongly focus on.
We hope that the delays and the issues that we are seeing in the industry over
this quarter, we will see that coming to a close, and we'll hopefully be able to ramp up on all the deals, because we have done all the necessary work that is
needed for preparation, we have the pipeline available. So it's a question of
ensuring that we ramp up and the customer decisions are taken, and we move forward.
Sulabh Govila: Okay, understood. And my second question was on the media vertical. So I
just wanted to understand that while you mentioned that this particular ramp
down is now over and you also see some of the opportunities in other parts of
this vertical. So just wanted to understand that from an overall outlook for
this vertical in the coming quarters versus what we've seen overall in the last year, which is sort of a decline for the full year. So should we expect in the
coming quarters an improvement in the outlook for this vertical, given what
you see today?
Manoj Ragh

avan: We believe that we have bottomed out in Q4 for this vertical. Internally, we
have done some amount of restructuring in the way we go to market in this
particular vertical. We made some strategic choices. I'm pretty confident that
we will see growth coming back into this vertical as we move into Q1 and Q2 of this financial year. So the pipeline is building up, and I'm pretty bullish that we will see a recovery.
Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from
Alchemy Capital Management Private Limited. Please go ahead.
Vimal Gohil: Yes, thanks for the opportunity. Sir, two questions on auto. Firstly, on the
deal ramp up last quarter, we had roughly 2% growth. We would have
expected that with the deals that we had won in Q2 , they would have
contributed in Q4. And so this 1.2% growth includes those ramp- ups or this
1.2% has come without that, because we're talking about the delays in the deals that we won in Q2 as well, right? So how should we think about that match?
Manoj Raghavan: So we have ramped up a very small team. So the full ramp- up has still not
happened. So you can practically say that 1.2% doesn't include any ramp- up
from that deal. So we're expecting that ramp up to happen in the later half of Q1.

Vimal Gohil: Righ t but has that ramp -up already started?
Manoj Raghavan: Very pretty small ramp -up has started. The actual deal is a multimillion,
multiyear deal, but we have not been able to ramp up to the initial
expectations, because we had certain customer -related issues. And we are
hoping that will get over towards the end of this quarter.
Vimal Gohil: And how much has our OEM business grown as compared to FY '23 in FY
'24, if you can give me the number?
Manoj Raghavan: The OEM business was about 40% in the last financial year. FY '23 was
40%, FY '24 was 56%.
Vimal Gohil: Okay. So this 56% is for the entire FY '24, not for Q4?
Manoj Raghavan: Correct. E ntire.
Nitin Pai: So Vimal, maybe I can just add. The OEM business grew by about 40% year -
on-year.
Vimal Gohil: Okay. So, which implies that there is a significant decline in the Tier 1?
Nitin Pai: That's correct. That's correct.
Vimal Gohil: And we've bottomed out there is what we're saying?
Nitin Pai: That's right.

Manoj Raghavan: Yes.
Vimal Gohil: Okay. And next question is for Gaurav. Maybe if you can help us understand the puts and takes for the margin performance for this quarter?
Gaurav Bajaj: Sure, Vimal. So margin came down by 100 basis points, 30 basis points came from the cost currency headwinds. While we continue to invest and expand our talent base to capture the capability and capacity building and also keep investing into the talent pool in terms of the AI capabilities. So 80 basis points came from that cost towards talent build ing, which got added during the quarter.
We also done with the last batch that we on boarded for 2023 campus in this quarter, that together was 30 basis points from exchange and 80 basis points from people rate investment capability building, give you total 110 basis point dip. At the same time, we have some benefit from the cost of sales that we got to optimize that gave us a benefit of 10 basis points, and hence, the total EBIT drops from the quarter -to-quarter basis came at 100 basis points. But if you see at the overall company level P&L, the cost has not significantly changed, just in the quarter, there was a certain headwind in a

few of the verticals hence the revenue got a dip, which has an impact on the margin. But at the same time, we see there enough lever s available, capacity available to tap those levers available for us to get back to the margins where we operated for the full year in FY '24.
Vimal Gohil: And last clarification is the erstwhile ID

V business, which we have now merged with the software business that gets reported between Media and Comm's and the other verticals, right? N othing gets added to auto?
Manoj Raghavan: It adds to all the three verticals. J ust to explain why we had to do this - we have been talking about our integrated design digital offering and taking a design -led solutions to our customers. So we have been winning a number of integrated deals, and depending on which division was really leading it, the revenues are occurring to that particular division. So in some cases, IDV used to get that revenues. It is not only the design revenue s, it also included the software revenues. In some cases, the transportation or the Media and Communication vertical s, they were getting the complete revenues. So it was sort of a little misleading in terms of how to segregate what is designed and what is the EPD offerings.
It was getting very difficult to go on a case -to-case basis and make this differentiation. So we've decided that, look, let us have an integrated EPD plus IDV offering because it no longer made sense to really differentiate what is EPD and what is IDV.
And this value proportion also resonated very well with our customers. And it only makes sense when we look at it, when we give an industry breakup for all our revenues, we were only giving the EPD revenues. And that was sort of misleading because 12- 13% of our revenues, which used to come from IDV were not represented in this breakup.
So for apple -to-apple comparison , if you want to compare peers or if you want to compare us with any other organization, it made sense for us to give an integrated idea, what is the total market share of all the revenues that we are generating, how much is for automotive, how much for Media and Communication, and how much for Healthcare. So that was the reasoning why we decided that it is better to give a full view to the investors.
Moderator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Manoj, I basically just wanted to get your thoughts on two, three aspects. Number one thing was that we've seen some of your traditional IT service companies acquire ER&D companies with deep customer relationships in some of the large OEMs. So how do you think that, coupled with the fact that, as customer spending moves towards middleware aspect, how do those

two aspects impact competition for pure -play ER&D companies like us?
That's question number one.
The second question was with regards to just understanding your prospects in terms of FY '25 in terms of growth across different industry segments, like this year, growth was led by automotive in a very significant manner, while we had some challenges on the media side, while Healthcare started to pick up towards the later part of the year. So how should we be thinking about the growth dynamics across the three industry segments going into FY '25?

Manoj Raghavan: So I think, yes, it is a fact that we have seen large IT services companies trying to get into the ER&D space, especially the automotive space , by acquisitions. And that is a challenge that we need to face. I don't have a specific view on it. We would treat it as any other competition. H owever, we are pretty confident on our design digital offerings .

And we have built the capability organically over many years, right, almost 30 years , we have been in this business. So we clearly know what ticks in this industry. We have built the processes that we need to deliver value on a sustained basis to our customers. And many of the relationships that we have with our customers are more than 10 years, 15 years, 20 years sort of relationships that we have.

So yes, we are looking at some of the news that we read in terms of acquisitions and so on -- and we will take it on a case- to-case basis. From our side, we are deeply focused on our existing customer base. We are really deeply focused on building our executive connect and deepening our relationship with our existing customers and ensure that we grow with those customers.

Coming to FY '25 growth, we don't usually give our guidance. But I believe that I'm very happy with the sort of growth that we are seeing in the automotive industry in the last financial year. And the push for us is to really repeat that sort of performance .

At the same time , I talked about bottoming out of the MCV business. We are really hoping that MCV business will start contributing to the growth of the organization. I'm pretty excited with the HLS business. You know that we've had an issue with MDR and as a result of which, our growth rates slowed down in the last financial year. I think we have put all of that behind us, and we really hope that we will be able to accelerate that in the financial year.

So overall, I strongly believe that we should be able to put up a better performance from a growth perspective as compared to last financial year.

Nitin Pai: Just to add a little bit from my side. And this is Nitin here, especially because I'm a little closer to some of these M&A's that we see and read about , my comment would be as follows, right? I think one, we're in the right space in

terms of th e industries that we work in ; the fact that we have a presence in automotive, healthcare and so on. I think these are the segments that are growing.

Two, I think we have always been in the right service lines, very, very important. Software and electronics is where all the growth is. And I think we are absolutely in the right place for where growth is going to be. Three, I think we are winning the right deals. If you look at the pivot that we've made over the last few quarters, I think you're seeing not just the significant growth that we're driving from OEMs, but from the right kind of deals, including SDV. And lastly, I think we are in the right country because your scale, your capacity, your ability to deliver will all come from India.

In my view, I think some of the acquisitions that we're seeing is endorsing the fact that we have the right ingredients and the right ticks in the right boxes and many of the acquisitions are just an attempt to get into the same space with possibly companies that have relationships, legacy capabilities, and now they have a lot of lift and ship to do. That is the way I would read it.

Manik Taneja: If I can prod you on one more question. So you mentioned that we certainly expect FY '25 to be better for potentially bottoming out of Media and Communications vertical and while Transportation is expect ed to do well,

given some of these ramp -up challenges on the Transportation side in near
term, should one probably be expecting this growth improvement to be more back -ended with possibly near term being as subdued as what we've seen in
the more recent past?
Manoj Raghavan: We will grow out of it, right? I mean we've had an issue in our Media and
Communication business in the quarter. We definitely will grow out of it in the quarter. Similarly, from the Transportation business also, if you look at it, we will grow out of wh ere we exited last quarter, right? So in my perspective,
we definitely will do better, including in Q1, and that momentum will carry
forward through the financial year.
Manik Taneja: Sure. Thank you. All the best for your future.
Manoj Raghavan: Thank you.
Moderator: Thank you. The next question is from Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Good evening. Thanks for taking my question. So Manoj, I wanted your
thoughts on how should we look at a trade -off between growth and margins.
So what I'm trying to get at is, would you rather be okay with growth at the

current levels and 30% margins, which is what you have maintained in the
past? Or do you think there is a business case for reinvesting some of these
higher margins to chase better growth?

Manoj Raghavan: So the mandate from our Board is very clear Apurva, and I've maintained this
repeatedly - we can't chase growth at the cost of margins. So we definitely
need to maintain our margins as well as look at growing at a faster rate . The
focus from our point of view, from management point of view and the
strategies that we have in the organization, the sort of investments that we are
making is all towards accelerated growth without reduction in margins.
Nitin Pai: I think what we're also saying is that we have enough levers to make sure that
we can support the strong growth that we want and we are looking to without
sacrificing margins. So I think the point we're making is that kind of net
hiring that we have done over the last 8 to 12 quarters. In fact, you have to
step back to look at the fact that we've absolutely been consistently hiring in large numbers, all through the last 8 to 12 quarters. Not all of it is consumed
for sure. So we've been building capacity. So to that extent, I think there are enough levers.
Apurva Prasad: Okay. And to the earlier point that you were making, which are the subsegments that could be doing much better ? So you mentioned, I think
OEMs, which grew 40% for the year. So would you expect a similar run rate in the OEM subsegment and which would be some of the other pieces within the business that you expect to grow faster?
Nitin Pai: Yes, we won't comment on the growth rates. But definitely, what we can call out is to say that we expect the OEM part of the business to continue to grow strongly, partly because of the fact that we already won deals and have a path to ramping up. The other is we continue to focus on more, right? So to that
extent, I would definitely call out that piece as one of superior growth overall,
and nothing to do with last year, so I'm not doing a comparison.
The second is in the Media and Communication industry. I think we still have
a lot of faith in the relationships and the capabilities that we bring to operators. So we definitely see stress in suppliers and device vendors and so
on, just as much as we have seen the same in retail and suppliers in the
automotive industry. I think the operative pivot that you made and the
continued growth that we see there , because of our relevant services - not
because they have a lot more to spend, not because they are increasing
budgets - simply because we are more relevant. I think that will be the other
piece.
In healthcare, in general, I think we are in the right place. So we are winning
the right logos in terms of device vendors and the whole medical industry. I
think digital therapeutics and connected health, are the two interesting areas
that I think we will also see somewhat accelerated growth, obviously, on a very small base because industry service is just about picking that up now.
Apurva Prasad: Thanks for that, Nitin. Then just finally, you referred to the 3% Q -on-Q
impact from the dip in media operator. I'm just trying to reconcile this with

very strong growth in top 10. So would this be outside top 10? Or is there a
change in the top 10 classifications?
Manoj Raghavan: No. This particular customer is outside top 10.
Apurva Prasad: Got it, got it. Thank you so much and all the best.
Manoj Raghavan: Thank you.
Moderator: Thank you. The next question is from Bharat Sheth from Quest Investment.
Please go ahead.
Bharat Sheth: Good evening, Manoj and Nitin. Thanks for the opportunity. Manoj , in your
opening remarks, you talked about the transformation on the customer side, particularly on Transportation segment and Media on working

directly with
operator? And so can you give a little deeper insight into what exactly in
OEM has grow n? So how it will play out in coming quarters or coming years
and is there any kind of leverage that we can have in EBITDA also directly
dealing with OEM vis -a-vis Middleware people?
Manoj Raghavan: Sure. So I will maybe request Nitin to take that question.
Nitin Pai: Thanks, Mr. Sheth. A quick one. If you look at what we are saying,
essentially we're saying that in two industries, the value is now accruing to
the top of the value chain because typically, OEMs sit at the top of the value
chain in the automotive industry. But traditionally, R&D, product
engineering, delivery of systems and software has been done by suppliers
who then work with the OEMs against their specifications.
OEMs traditionally have taken the role of saying look, we are integrators. We are assemblers and we are going to run the brand and the service for
customers. Product and technology will come from our suppliers. And I think
that is changing. And that is now accruing to the OEMs who are saying, look,
there is economies of scale, there is greater innovation agility if we bring
back the software to us, and we can also optimize on the hardware
architectures and so on, which are all evolving ; where instead of having 50
boxes that do different things in the car, I can maybe have just one or two large computers, which now run all the software s, with enough safety,
redundancy and so on.
So the swing of software development to OEMs, it's not going to be 100%,
but there is more and more spend that is happening from OEMs at this time
and will happen for the next few years, simply because of this appropriation
of software and development and value from the suppliers. And that is a trend that we are now following and reflecting in our results. And we expect this will continue for a period of time.
The same is happening with operators, where operators traditionally have taken equipment from typically the likes of Cisco, Ericsson, Nokia and so on.

I think there is a strong move to open- source software, to software that runs
on the core, you dump down and make hardware more commoditized at the
edge and so on and forth. And I think that is exactly the trend that we are tracking in terms of who do we work with? Do we work with suppliers? Or
do we work with operators ?
In addition, I think OTT was a completely different one, where that opened
up additional opportunities to work with customers we never worked with before, like broadcasters, content studios and so on. Otherwise, we have
nothing to do for them. We suddenly found that we could actually help them
go direct -to-consumer with OTT platforms and so on. So I think that is the
trend that we are following. So I think both are consistent long- term trends
for these two industries. And I think that is what we are really tracking and reporting.
Now this does not have a direct bearing on EBITDA. So to the extent,
EBITDA is still a function of where do you deliver from, what services you
deliver and the quality of your delivery. I think that is where we excel in
general, and that is why our margins are superior, not because of the kind of customers who we work with, but because of the work we do. So that
continues. It's just that who you go it for is changing. In fact, sometimes

larger deals can also mean that you may have to give a little more in terms of
the pricing that you offer. But we are confident that we will have enough
levers to manage margins while we pursue growth. Sorry, it's a long answer, but I thought it's important to answer.
Bharat Sheth: No, no, it's fair. I sincerely appreciate that but with that, I mean, earlier we
were doing short -term project and small size. So now the project size is
increasing substantially and kind of a continuity, it is a little longer vis -a-

vis
what earlier you had in both those places?
Nitin Pai: That's correct. In fact, I would say that this is a trend that we' ve been both
reporting and sharing with analysts and investors at large. W e are slowly
seeing the shift of product R&D and ER&D to more strategic and less
discretionary and less project base d, partly because for a life cycle of the
product, especially with software where you're going into continuous mode of
improvement and updates , it doesn't stop with the launch of the product into
the market, it continues post the launch and the updates happen through the
air, updates happen over cable, over connected. So I think that is a trend that we are seeing in product engineering itself.
Bharat Sheth: And last question on healthcare . So what are the underlying changes that we
are seeing where we can have a sustainable longer -term growth ? Earlier on a
small bas e we were growing at very rapid pace, but there is now the pace has
become negative. So when do we expect those kind of a pace again coming
back on a larger base?

Nitin Pai: So I think on the healthcare side, you have to remember that about three
quarters back or four quarters back, we had one impact of a particular
medical device regulation for which we were, at that time, doing a lot of work that was suddenly extended and relaxed, which allowed customers to
pull the plug on what they were doing with us.
And we had an actual significant hole in our revenue streams in a single
quarter. I think the business unit has done very, very well to plug that, grow and show results despite that big hole in revenue that we saw on a very, very
short -term basis. So I think you have to reflect the growth of the (BU) in the
context of the hole that we were in rather than as year -on-year it was so much
growth previous year and what is your growth now. Part two, I think we've
added some very, very good customers over the year.
So I think the journey continues. I think they are in the right place. T he
medical and healthcare industry, obviously, because of the criticality, the
nature of that industry, the regulatory environment , is much, much slower to
change. I think they are in a place where they have to change. And I think we
are in the right place.
Bharat Sheth: And can I go for one more with your permission?
Nitin Pai: Yes, please.
Bharat Sheth: Manoj , we have integrated our designing with the respective segment s. So do
we see anywhere, I mean, with design -related manufacturing opportunity in
the future?
Manoj Raghavan: If you're asking about manufacturing, if Tata Elxsi is going to manufacture
products and so on…
Bharat Sheth: Or getting manufactured by a third -party with our design and the whole
software built in?
Manoj Raghavan: So typically, what we have been doing is we have been working with our customers, helping them in their design as well as when they take it to the
factory to enable the products to be manufactured effectively. So, that is
something that we have been doing.
We have been building, for example, samples for a customer, 50 units, 100 units and so on. We have not gone into mass manufacturing so far, but
however, from a manufacturing perspective, it's also an interesting
opportunity for us because manufacturing in India will definitely continue to
grow.
So we have services from an IoT perspective and industry 4.0 perspective
that we are incubating and we are building. And we believe that the
manufacturing sector itself could also be a new opportunity area for us that
we are incubating at this point in time. However, if your question was about

will we get into manufacturing of the products for customers and so on, we may partner, but I don't think we will go and manufacture ourselves.
Bharat Sheth: Okay. Thanks and all

the best.
Manoj Raghavan: Thank you.
Moderator: Thank you. The next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta: Just one question on Media Telecom, I think you said that you bottomed out and you should start seeing growth from here on. So what has changed over the last 3 months which gives you that confidence ? And secondly, within Media- com, if you can throw some color on what are the sub- verticals where you are more optimistic from a demand perspective?
Manoj Raghavan: With key customers and prospects, we sort of have a better visibility on the spend from a customer perspective, especially the key customers, the top customers that we have in that business, we continue to grow strongly with those customers.
As I've also said, we have made some changes in the way that business unit is structured. We've brought in certain new leadership. We have restructured the sales organization also. So there's a focused, I would say, campaign that we have run in the last quarter and we are definitely hopeful of seeing those results in the subsequent quarters.
Bhavik Mehta: Okay. And within Media - com, like any color on whether it's the operators or….
Manoj Raghavan: It's primarily the operators, so I think as Nitin has mentioned earlier, last year we have seen that we have moved from the devices and the product space to the operator space. So almost 70% of our revenues come from operators.
And I think that is a way to move forward and we will increasingly see a lot more of our revenues coming in from operators. Operators are also thinking of digital, Cloud, AI, Gen AI and so on. So all the capabilities that we are building are focused for the operator market.
Bhavik Mehta: Okay. Thank you very much.
Moderator: Thank you. The next question is from Salil Desai from Marcellus Investment Managers. Please go ahead.
Salil Desai: Hi Manoj, I just wanted to kind of reconfirm my understanding this -- the SDS reporting that you're now doing, is that just a reclassification or is there like an organizational change also that has happened in terms of reporting structures or business heads and so on?

Manoj Raghavan: At this point in time, Salil, it's a reclassification. We have not done a change in the structure internally for the organization. But however, we have put in certain processes to define what is the design revenues and how we will account them and so on from an individual business unit perspective and so on.
Nitin Pai: Yes. So maybe, Salil, I can just add a little more. This is the organic change that we have made over 8 quarters or so because the intent was that, look, if we had to really be able to co- sell, if you have to be able to package, integrate offerings and then take it to market , if we're able to be very seamless in how we can start with design, but then take all the views that we get, the inputs that we get, the conversations and the executive connects that we have and we're able to translate it in downstream, then the integration has to happen at multiple levels.
Manoj Raghavan: Okay. Let me correct myself when I answered that. We have integrated the sales organization. The selling happens seamlessly.
Nitin Pai: But the design plus digital is an organic integration that had done over 8 quarters. So in that sense, there are teams that are now fully aligned to each vertical. So you don't see it as two different business units now wanting to talk to each other, they're actually one team that are working with each other.
Salil Desai: And the second bit, I wanted to again reconfirm was you mentioned somewhere that the hiring is in a way that

you've done through the year is in
a way an indication of kind of hope for a better FY '25. These are what
profiles ? You've hired largely freshers, experienced people, middle
management ? Could you give

some color on what profile that we've been
generally having?
Manoj Raghavan: A lot of the hiring we do from the colleges and universities ; for fresher
hirings almost about 75% of the hirings that we would have done would be
from campuses. Of course, we do take in laterals as well depending on the
specific customer need and so on. But when we plan for a bench and when
we plan for building capabilities and skills, a lot of it is based on freshers that we would then train and keep them ready for project engagements.
Salil Desai: Great. Thank you so much.
Moderator: Thank you. Next question is from Karan Uppal from Phillip Capital India.
Please go ahead.
Karan Uppal: Thanks for the opportunity. I just have one question for Nitin sir regarding the comment which you made on automotive business. So Nitin sir, you
mentioned about the shift of software development work from Tier 1s to
OEMs. Now how much of the work is being done in- house R&D with OEMs
versus outsourcing to vendors like us?

Nitin Pai: That would be a tough one to answer. Why? Because I think the journeys of
different OEMs are different in the sense that if you look at couple of OEMs
they've all been about we don't want to give it to anybody. Everything will be done in our homeland and will be done by our nationality and so on. And I
think they also turned around and said, look, that it's not possible, not
feasible, it doesn't work and it's too expensive. They have been significantly
delayed in their own deliverables and their time lines. And they're now pivoted to saying, no, we need to work with vendors. We also need to work
with organizations that understand how this is done, because we are trying to
both learn and run an engine together and that doesn't work.
There are certain other organizations that have started working with a very good small set of strategic vendors and then also doing a captive in India or
wherever else, a nd therefore, running a dual view of what do I get done in my
home country? How do I use my own captives for certain work that I think
they are best for? And how do I use vendors where they are best for. So I
think there is no one single answer that I can tell you, and this is also
evolving over time. Remember, all this is just about 2, 3 years old in many ways.
Karan Uppal: Okay. Thanks a lot.
Moderator: Thank you. Next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadiya: Hello, thanks for this opportunity. I have one important question. Some of the global...
Moderator: Chirag, I am really sorry to interrupt but your voice is not very clear. If you're
on a hands free, request you to use the handset.
Chirag Kachhadiya: Now it's better?
Moderator: Yes.
Chirag Kachhadiya: I have one broad question to Manoj. Some of global OEMs ' software plan
with respect to EV mobility and those are the known ones . So what's your
thought on the revolving EV landscape like the growth which we are
witnessed in the past 2 years in the Transportation vertical will continue due
to those cuts? Or do you think that this will change as more and more people
are now talking about this hydrogen mobility and hybrid stock instead of
electric vehicle also?
Nitin Pai: Yes. So Chirag, maybe I'll take that. So what I understood from your question
is with respect to electric mobility, do you see the fact that electric mobility
may not be the only and single part that everybody pursues, but there are
options emerging. What does that mean for us? Is that correct?
Chirag Kachhadiya: Yes.

Nitin Pai : Absolutely. So I think there are 2 parts here. One is that while you look at electric mobility, whether there is enough sales, no sales is a different matter, but you have to have our portfolio of electric vehicles. So I d

on't think new OEM has an option to say, I will not do electric at all. It's only a question of saying how much of electric and how much of others, right? So to that extent, there is a path for EV with every OEM in the world. That's part one.
Part two is the opportunities that come out from any alternate that you try, including fuel cells, hydrogen and so on, only means that there are other areas and other opportunities that we can also target from a software perspective.
But I think the biggest point that I would make is the software -defined vehicle is not solely dependent on electric. Electric is one constituent of what goes into a software defined vehicle. But ultimately, everything that the car delivers, mobility, convenience, comfort, infotainment, connectivity, ADAS, everything is going to be driven by software. So to that extent, electric just represents one part of what we do.

Chirag Kachhadiya: Thank you so much and all the very best.

Moderator: Thank you. Next question is from Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Hello. Thanks for taking my question again. So my question was on the head count and the hiring in the coming year. Given that in FY '24, we have added head count, which is to the tune of 13% growth, and it is stronger than the revenue growth. So you had some capacity, as you mentioned. So how should we think about the hiring trends going into FY '25 including the fresher issues?

Manoj Raghavan: Yes. So I think we would continue to add people from a fresher perspective because that is the source of talent for us. But we will be a little careful in the numbers that we add. We'll definitely also meter this a little bit, again, based on how deals shape up and how the revenue picks up. So from a fresher addition perspective, we are looking anywhere between 1,500 to 2,000 engineers. And whether we will be at 1,500 or 2,000 would depend on the business situation and how the revenues are growing. Lateral hiring would be again on- need basis, and that we would continue to do again based on business.

Sulabh Govila: Okay, understood. And with respect to the type of contracts, so if I look at the on-site, offshore mix as well as the fixed and time material contracts then we had strong offshoring. But in the past 3, 4 quarters, that's something that has sort of come off. And then same is with respect to fixed price projects coming off. So I just wanted to understand what's the incremental nature of change in these contracts? If you could highlight that?

Manoj Raghavan: So those are just marginal changes. I don't think it is very significant, it is not as if that suddenly we are going from 25% on site to 40% or 50% -- it's marginal plus or minus shift to 1% or 2%. I think...

Nitin Pai: Sulabh, don't read much into it. I think there's no fundamental change in trend.

Sulabh Govila: Understood. Thanks for taking my question.

Moderator: Thank you. The next question is from Rajesh Chaudhary from Zenith . Please go ahead.

Rajesh Chaudhary: Good evening. My question is, do we have any opportunity or do we foresee any opportunity in the semiconductor exchange? B ecause India and Tata Group is making a lot of investments in the semiconductor industry in India?

Manoj Raghavan: Semiconductor industry is something that we have been involved in quite a few years ago . Ab out 7 -8 years ago, we actually exited the design space , however we continue d to work with semiconductor customers in the software, embedded and the firmware area. So definitely, we ha ve capabilities, especially relating to the vertical markets that we address, right, whether it's automotive, whether it's media , telecom or healthcare.
We build solutions on the chips for these particular industry verticals. So as far as anything to do with these 3 industry verticals, we have a play. But at this poi

nt in time, we really are not getting into the chip design aspects at this point in time.
Rajesh Chaudhary: Okay. So we would only be involved in the testing phase or?
Manoj Raghavan: Application development - all of that.
Rajesh Chaudhary: But that would only be related to the software part and not to any of the hardware part?
Manoj Raghavan: Yes, not into the chip design space.
Rajesh Chaudhary: Okay. Got it. Thank you.
Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.
Manoj Raghavan: Thank you, investors. It was an eventful FY '24. A lot of changes happening in our market. But I believe we, as a team, Elxsians, we have come out exceedingly well, shown a strong growth of 13% year-on-year. When I stand here looking at the new financial year, we're really confident that on the pipeline and the conversations that we're having with customers. And we really hope for another strong performance this financial year. Thank you so much.

Moderator: Thank you very much. On behalf of Tata Elxsi that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

July 15, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the Investors' Conference Call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter ended June 30, 2024, held on July 10, 2024.

The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q1 FY '24-25' Earnings Conference Call"
July 10, 2024

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
M R. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
M R. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
M S. CAUVERI SRIRAM – COMPANY SECRETARY &
COMPLIANCE OFFICER – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
July 10, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Tata Elxsi Q1 FY'24-25' Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning for logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.
With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. A very good evening to all of you, and thanks for joining us today for the Q1 FY '25 Earnings Call. I hope that you and everybody in your family are safe and healthy. I'm happy to report that we have delivered a steady quarter of growth. It was a good quarter for us, especially with our transportation business unit picking up growth momentum.
Our revenues from operations during the first quarter was INR926.5 crores, growing 2.4% quarter-on-quarter and 8.4% year-on-year in consta

nt currency terms.
Our EBITDA for the quarter was INR252.3 crores, staying flat at 0.3% growth year-on-year.
Our PBT for the quarter was INR252.4 crores as against INR262.4 crores in the previous quarter. We executed very well on operational excellence and fiscal discipline in this quarter towards bottom line performance despite the impact of an exceptional one-off expense in this quarter.
The company made a contribution to the Progressive Electoral Trust of INR19.78 crores for the quarter ended June 30, 2024, which is included in the other expenses. If not for this onetime expense, our EBITDA margin would have been 29.4% and our PBT margin would have been 28.4%. In terms of verticals, I'm happy to share with you that the transportation business reported a strong growth of 5.3% quarter-on-quarter and 20.3% year-on-year in constant currency terms. Our deep domain knowledge and strong focus on engaging with

leading OEMs and suppliers across the globe, positions us well to capture the growth opportunities in the coming quarters.
Given the current challenging environment for the media and communication industry, I believe we have done well by protecting our business and increasing our wallet share among our key customers, which has resulted in 0.5% quarter-on-quarter revenue growth in constant currency terms. Our commitment to strengthening client partnerships continues as we introduce new solutions aimed at enhancing growth and efficiency within the sector.
The acquisition of a strategic network transformation project from our top telecom operator in North America, facilitated by our NEURON platform is particularly gratifying. Our Healthcare & Life Sciences business reported a decline in top line by 4.3% quarter-on-quarter in constant currency terms, while a significant delay in the renewal of certain projects with a major client in the U.S. is primarily responsible for this revenue decline.
On the people front, we are doing well with our attrition rates declining further during the quarter. Since we normally do not add any freshers in the first quarter, the net employee numbers at the exit of Q1 FY '25 is a result of usual attrition plus some lateral hiring that was done on a need basis. We will add fresh engineers through the next 2 quarters as they graduate and become available.

We continue to invest in digital, AI and Gen AI technologies across our verticals, targeting efficiency and quality in product engineering as well as novel applications of Gen AI combined with domain and design expertise to solve complex business, product and engineering problems.

We are aiming to have 25% of our talent pool to be AI ready by December this year as we step into the second quarter of the financial year, with confidence of a healthy deal pipeline, continued growth in our transportation business and new customer wins and expansion of business with strategic customers across verticals. Thank you.

And with this, we would let the floor open, and we'll take questions from our investors.

Moderator: Thank you very much. Our first question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: So, my first question is on the growth piece. So, I just wanted to understand on the health care customer, the moderation that we've seen in this particular quarter, is there something which is over in 1Q, and 2Q should normalize going forward? Or this will see some effects in the coming quarter as well?

Manoj Raghavan: Maybe this will have an effect in H1, and we hope to normalize that in H2.

Sulabh Govila: Okay. Okay. Understood. So the related question to that is that last quarter, we had called out that we are sort of aiming to deliver revenue growth in FY '25 better than FY '24. So, given the

performance in 1Q as well as this health care custom

er moderation continuing in 2Q as well, does that outlook change? Or that sustains from here on as well?

Manoj Raghavan: No, we continue to stick with our guideline that we've talked about in the last quarter. We definitely want to exit this financial year with a better growth rate as compared to last financial year.

Sulabh Govila: Understood. And then with respect to the transportation vertical, just wanted to understand the strong growth that we've seen in this particular quarter. Is this broad-based? Or it's driven by the top client? In FY '24, we saw a strong contribution from the top client. So is that a trend that is continuing in 1Q as well? Or is there a change there?

Manoj Raghavan: No, it's a broad-based growth across multiple customers. Some of the deals that we had closed, their ramp-ups have actually started happening and all of those contributed to this performance.

Sulabh Govila: Okay. And the last bit is on the tax rate front. I just wanted to understand whatever we reported this quarter, is the tax rate we should assume going forward as well? And for how long will that continue?

Gaurav Bajaj: Sulabh, this is Gaurav. Yes, I think we indicated during the last couple of quarters that in this financial year, our tax rate will go up because we are coming out of the tax holiday in few of our SEZ unit. One more SEZ unit came out of 100% bracket to 50% bracket. So going forward in this financial year, it would be likely in this range only.

I think it will be very difficult to put any number beyond one year, because it also depends upon the various other regulations and disclosures or upcoming budget, we will see how to position it better for the company.

Moderator: The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Manoj, just wanted to understand your thoughts on wage hike cycles for FY '25 and also the hiring plans because last quarter when you spoke, you said we'll have much more measured hiring in FY '25?

Manoj Raghavan: Yes. So the wage hikes will -- we are dividing the wage hikes into the junior staff and the senior staff. So the junior staff would get their wage hikes effective Q2 from July and the senior staff would get their wage hikes from Q3, that is October.

Manik Taneja: Sure. If I understand correctly, this is different compared to the usual policy. And if you could also give us some sense on the quantum of wage hikes and the likely impact on the margin that we should expect on a go-forward basis?

Manoj Raghavan: The average wage hikes would be in the range of 5% to 6%. But I think we are well covered with respect to margins and so on. We have enough levers to address that. So, I don't see too much of an impact on the wage hikes or on our margins.

Manik Taneja: Sure. And if I can prod you further, if you could talk about how the center that you've put up in Michigan last year, how is that playing out in terms of improving our positioning with global auto OEMs, it'd be great to get your perspective on that, Manoj?
Manoj Raghavan: Yes. So, all these proximity centers are important for us basically from a view of being closer to the customer, right? So, it also shows our intent and our commitment to those markets. So from that point of view, it is very important that we take some of these initiatives. It's not just in Michigan, it's across the globe. We have opened centers specifically focused on certain specific customers and so on. So I think all those investments are definitely helping us in playing a role in revival of some of the large engagements that they're seeing.
Manik Taneja: Okay. The last one, if I may, you've been talking about FY '25 being a better growth year than '24, but last year, transportation was a vertical which led growth while we saw challenges in media and communication as well as to some extent, even on the healthcare side. Ho

w should
we be thinking about the growth mix across verticals from an FY '25 standpoint?
Manoj Raghavan: The same. I think from an FY '25 perspective, definitely, again, growth will be led by transportation. Our industrial design business is also showing accelerated growth. And actually, the initiative that we started in terms of design, digital and combining design with our embedded offerings is really, really resonating with the industry and we're seeing good traction. We are seeing green shoots in the media and communication space, a lot more discussion is happening, a lot more customer traction is there. There are significant consolidation opportunities that we are bidding for. So we are hopeful that we will see a turnaround in that particular business.
Health care, as you know, is a relatively smaller business. We have to really work through this one particular engagement. And unfortunately for us, in the healthcare business, the number of customers is also not too many. So we have some pretty good logos, good customer base. Unfortunately, even if there are some issues in one or two of those customers also, we will get hit, right?
So our aim is also to broad base our customer engagements in the healthcare space. And I think we will get there. And I'm not too worried about the situation because this is the ER&D business. We will always have one or two of these challenges. But I think it is very much contained and we should be able to recover and grow.
Manik Taneja: Manoj, if I can prod you a little bit further on this one, because you spoke about the focus on broadening our talent across some of these verticals. If I'm looking at your longer-term performance over the course of last couple of years' time, concentration has only gone up on account of the exposure to group companies, top two customer concentration has gone up. What will we have to do to essentially reduce the concentration at our end?
Manoj Raghavan: No. See, if you look at it from the size of our company, it is definitely going to be the top 10, top 20 customers will drive a lot of our revenues. There's no escaping that. There's no point to focus on a broad set of 100 customers and each of them not being significant enough.

So from our perspective, from the size of business that we have, we will continue to have a lot more focus on our top 20 customers because that is what will drive our growth. So we want to be a lot more relevant to these customers, build strategic relationships with these customers and grow with these customers. So that would be the focus. And I'm not overly concerned with that sort of a client concentration.
Moderator: The next question is from the line of Aayush Rastogi from B&K Securities. Please go ahead.
Aayush Rastogi: So just wanted to understand on the health care vertical side. So we are aiming to go ahead with 20% of the SDS revenue. How are we planning on that? ? Because if we see in the last 2 quarters, we are reporting a degrowth in this vertical. So can you just let us know what's the strategy behind that?
Nitin Pai: This is Nitin here. Maybe I'll take that question. I just want to clarify that the whole call out for a 40-40-20 mix was a strategy call, right, which is to do with how do you see ourselves in the long term? How do you see ourselves derisking?
The fact is that fundamentally in the ER&D business, you have industry cycles. Every industry will go through a cycle. Equally, you have geopolitical risk. You will have currency mix risk and so on. So the question was, how do you manage your portfolio well? But having said that, as much as all of you are fantastic portfolio managers, you would also appreciate the fact that you would leverage an opportunity when it presents itself. To that extent, automotive and transportation is the largest growth opportunity at this time and therefore we are not worr

ied
about it becoming 50% for example even as the percentage contribution of the other two shrink.
But having said that if I were to step back about 8, 10 quarters back all through COVID and a little beyond, automotive was the one that was delivering negative/flat growth, and it was media and communications and healthcare that were driving all the top line growth that we needed.
So to that extent, think of this as a larger broad guideline for the fact that we want derisking of industries, we want a little better mix of industries rather than overly concentrated industry presence. But having said that, the actual percentage of revenue contributions of any given industry at a given time would actually be dependent on the market opportunity. So please treat it as a guideline.
Aayush Rastogi: Thanks for the detailed answer. Just a second question on transportation. So transportation is doing phenomenally well. So is it totally driven by the top 20 clients and what kind of visibility are we gauging for the next set of, let's assume post-20 clients?
Nitin Pai: Yes. So maybe I'll take that question again. So if you look at the automotive industry you have to remember that we have a very large base of customers there. The base of customers comprises of OEMs, Tier 1 suppliers as well as some select tool software and Tier 2 suppliers within the same industry. So it's a broad-based portfolio. In fact, we have significant depth there.

Some of the challenges that we've had was also that not all segments of that particular industry are doing well. The OEMs are doing very well in terms of spend. Remember when I say I’m doing well, I mean it from a perspective of outsourcing and engineering. So we are in a process of also carefully pruning and curtailing the portfolio and looking at how do we consolidate and grow around the set rather than it being a question of whether you can derive revenues from a very large number.
So again this is a strategic call where the number of customers that we have is significantly higher in automotive and it’s a choice for us to kind of figure out where we want the growth to come from.
Aayush Rastogi: Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Thank you. So a couple of questions. Firstly on the transportation vertical, the strong growth we saw this time was maybe driven by the ramp-up of some of the deals we had won earlier. But how should we think about the trajectory from a sequential growth momentum perspective going ahead? Do we expect a moderation to happen given that this was something which was bunched up this time around, but maybe we see some moderation going ahead. So any thoughts over there?
Manoj Raghavan: I think we see a good deal pipeline and a good momentum that is there. I mean if you ask me, I would assume that we will be able to show similar growth. I'm not sure that we will better the growth or it will be around the same growth. So I know it's coming off a quarter where we've shown very slow growth. So I think it's good that we bounced back immediately, and we were able to deliver this satisfying performance.
We hope to continue this growth. So we have that visibility. It's now up to us to convert that visibility into revenues and deliver that growth. So there are opportunities and there is that visibility that we have.
Bhavik Mehta: Okay. Got it. And secondly on the margin side any reason for pushing out the wage hike because typically, it happens over 1Q and 2Q, but this time we are doing it over 2Q and 3Q. So any particular reason and related question is how should we think about margins from a full year perspective? Are we looking at flattish or is there a scope for some expansion as well?
Manoj Raghavan: I think we will continue to be within the stated margin range…
Gaurav Bajaj

: 28% to 29%.
Manoj Raghavan: Yes around 28%. Essentially the way to look at it is if you look at the entire financial year perspective, we hope to maintain last year's performance, maybe beat it a little bit and all of that depends on our revenue growth in the subsequent quarters and so on.

Yes, there are enough levers for us to manage that. I think in the previous year or the year before we've done exactly the same - July and October. So again we take a call depending on our wage budget perspective. We look at it and we model it, and we take a call. We typically want the people cost to be anywhere between 56% to 57% of our revenues. So we do a lot of modelling and then we take a call in terms of what is the right thing to do.

Bhavik Mehta: Okay. Got it. Just lastly outlook on media and telecom, are we seeing any green shoots?

Manoj Raghavan: We see some green shoots definitely. There are some large consolidation opportunities that we are bidding for and at the same time let me tell you that the industry is still under a lot of stress.

There is a lot of M&As happening. There is a lot of pressure to bring down the overall budgets and move work from high-cost countries to best-cost countries like India. So there are a lot of things happening in that industry, but we are on top of many of these and there are deals in the pipeline. So we feel a little bit more confident now.

Bhavik Mehta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Urmil Shah from Ageas Federal Life Insurance. Please go ahead.

Urmil Shah: So my question was on the transportation verticals. In Q4 earning call we had said that the rampup of the large deal would be done in Q1. So when we are talking about similar sort of growth in the near term, are there more such deals or there are smaller deals which are expected to drive the growth and also in Q4 we had spoken about the OEM share now being 56%. So is that part of the pie expected by the growth in the vertical?

Manoj Raghavan: Answering the latter part of the question, yes, definitely, we see a lot more traction in the OEM space. And yes, when you look at our pipeline, it's a bucket of opportunities, right? Not everything is large opportunity, not everything is small opportunity. There's a bucket of opportunities that we are chasing. And I can tell you it's a pretty healthy bucket that we are chasing. And yes, I think we are confident that we will be able to show good growth again next quarter.

Urmil Shah: And in the last few quarters, the transportation vertical growth has relatively been inconsistent versus what we have done earlier. So this time, you are more confident that the growth should be more consistent at least over the next couple of quarters, right?

Manoj Raghavan: At this point in time, sitting today, that's the visibility that we have.

Moderator: The next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar: Thanks for the opportunity and congrats on a good quarter. Sir, two questions. This quarter, we saw an increase in the on-site mix presumably maybe because of the ramp-up. But any color in terms of what could the mix be or what is a sustainable level? And the second is on the

headcount, anything that you want to add in terms of the numbers of headcount that we have seen for the quarter? Is this a one-off or the mix could keep on changing as you highlighted as you hire the freshers?

Manoj Raghavan: Yes, I think this quarter, we had a slight uptick in our on-site percentage, which is pretty normal, I would say, especially when you start up new engagements and so on. Customers would definitely want the initial phase typically to be on site. A sustainable level, I mean, from our perspective, it's definitely 25-75. And we will hover around that range only.

From a headcount perspective, so over the past four quarters, we have very, very diligently ramped up our resource pool in expectation of some of the large deals picking up. We see that some of these deals are really picking up now. So from that perspective, I think we are well placed. Further hiring would exactly be based on improving our utilization and utilizing the resources that we have already hired and so on.

When you look at a lateral hiring, it will be muted. However, it will be on a need basis. As and when we definitely need certain skills we'll go out and hire. But we won't be hiring in bulk, especially from a lateral perspective because we already have built a sizable bench, and we're pretty confident on the capabilities and skills that we have.

Fresher hiring, again, will be spread out over the next two or three quarters. And again, we will take a call based on the project ramp-ups and revenue uptick. So we will be a little cautious in adding costs, especially engineering headcount because we want to get back to our preferred margin, given that we had this one-time expense and so on. So we'll be a little cautious as compared to the last financial year. But having said that, we will keep our commitments in terms of the resources we have onboarded.

Abhishek Shindadkar: So just to clarify, the net reduction in the employee was more about prudence rather than an uptick in attrition. I mean I know the attrition number is flat quarter-on-quarter. But there is no change in the quarterly annualized attrition for us, right?
Manoj Raghavan: Annualized attrition, actually, has come down. But yes, so typically what we do is, even though we have attrition every quarter, the number of resources we had is far higher. But in this quarter, we have not added any freshers because Q1, typically, we don't add too many freshers. Even if we add freshers, it's usually in the last week of the quarter and so on that people join. But this quarter, we have not added. So that is why I think net addition has come down. Having said that, again, I say, we will be cautious moving forward.
Abhishek Shindadkar: Okay, sir. Thank you and that was very helpful. Best wishes for the year.
Moderator: The next question is from the line of Rajesh from Zenith. Please go ahead.
Rajesh: Yes. Good evening. My question is like you mentioned about one-time expense. I didn't get that. Can you please elaborate on that, please?

Manoj Raghavan: Yes. So the company made a contribution to the Progressive Electoral Trust of INR19.78 crores in the last quarter. So that is a one-time expense that we talked about.
Rajesh: Okay. And secondly, our revenue has grown but our profitability has been very constant for the last few quarters. So what can be done to increase the profitability in the company?
Manoj Raghavan: I'm not sure when you say that our profitability is down or...
Rajesh: No, I'm not saying it's down, just being very stagnant.
Manoj Raghavan: Yes. I mean we have peaked our efficiency right, EBITDA of 28% plus. Not too many companies in the industry have such EBITDA.
Gaurav Bajaj: And if you add that one-time expense, I think you can draw a better conclusion in terms of the absolute margin that we would have grown compared to the previous quarter.
Rajesh: And can we also expect some kind of a bonus in time to come or…?
Manoj Raghavan: Yes. I mean that is -- we've been discussing at the Board level as well. And we will inform the investors in market once we have an approval from our Board. These are items that we clearly discuss. At this point in time, we have nothing to share.
Rajesh: Thank you and all the best.
Moderator: The next question is from the line of Ashish Shriram Thavkar from JM Mutual Fund. Please go ahead.
Ashish Shriram Thavkar: Thanks for the opportunity. My question was related more so from the GCC angle. So given tha

t every day we are seeing a lot of setups happening in India and the narrative that they want to do more and more innovation work by themselves, would you like to comment on how that event is going to pan out for a company like us? Is it something which is coming into play, or do you feel in the near term, there could be some hiccups?
Manoj Raghavan: GCCs are both an opportunity as well as a threat. It's not that every company would move all the work to their GCCs. Most of our customers have a balance between what they give to their own centers GCCs and what they outsource or work with strategic partners like us. So we have not seen a case where 100% they only work with their own centers, and they don't want to work with anybody else. GCC is in the same market. They also struggle to get resources, to train resources, to upskill them and keep them ready and so on.
I think in most of our customer places even though they have GCCs, they also work with us. So we definitely bring in a certain set of capabilities built over 30-plus years of history that we have in doing ER&D business. There's not too many companies that have such a strong domain knowledge and deep history in this domain.
What is a GCC? GCC is just built by hiring people. So GCCs take time. You need to build that culture. You need to build that bonding. You need to build a talent base. And so it’s very easy

to look at GCCs and say they have set up a center and all the work will go there. Practically, that doesn't happen.
Nitin Pai: Yes. Maybe I can just add a little bit. This is Nitin. The risks are much higher when you're talking about typical back offices because what you're doing is you're outsourcing very classical IT work, BPO work and so on, where the risk of GCC is taking over what was otherwise done by IT companies is quite high. Engineering is a lot more difficult and a lot

more involved. At the same time, I'll also say there was a positive here, which is the fact that GCCs also break down barriers within the organization that we are working with about moving work to India.

So in that sense, we also see a positive halo around the fact that look, the very fact that the leadership is endorsing a GCC also means that there is that much lesser barriers to outsourcing and offshoring.

Ashish Shriram Thavkar: And just to take that point forward you also said that in terms of the feedback that is available, you'll be cautious on adding the talent. So whatever we had on our bench and we feel that is sufficient to take care of the growth for the next year?

Manoj Raghavan: No, I won't say that. And it's not that we are choking off or stopping hiring. We will still continue to hire on a need basis. It's not that we have all the capabilities ready for a large deal that comes up or ramp up and so on. At any point in time, if any deal comes up - 70%, 80%, 90% we will have the capability. We may still need to go out and add a few people depending on the technology areas and so on. But we will be cautious is the thing. It's not that I'll go out and add 1,000 people without that visibility. I'm not going to do that because I already have that bench.

Ashish Shriram Thavkar: Yes. That's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhinav Ganeshan from SBI Pension Funds. Please go ahead.

Abhinav Ganeshan: I had just 2 questions. If I look at your client concentration in top 5 and top 10 versus Q1 FY '24. In top 5, we have seen a concentration go up by almost 500 basis points and top 10 by 600-plus basis points. So would this be explained by the larger clients growing faster? Or how does this add up if you could give some color?

Manoj Raghavan: We can't say that it is only due to one customer growing or it's a mix - Top 10 customers also have a mix of customers not just only from the automotive industry, from the media indu

stry
as well as the healthcare industry. So there's a mix of customer base in the top 10. And I would say we have seen broad-based growth.

Our strategy has been to really mine these accounts deeper go for new buying centers, build strategic relationships, build deeper relationships with these customers so that we can have a longer-term business with them. I think that is a strategy that we laid out not just for the top 10

customers but for the top 20 customers also. And that is where we are seeing this positive business growth and positive outcomes. I think we are comfortable with that situation.

Abhinav Ganeshan: Fair enough, sir. Just a follow-up on that. When I'm looking at your geo mix also, when I look at it same time last year, America's contribution was around 40%, which has dropped down to 33% and Europe has gone up from 37% to 42%. I'm just trying to understand whether European OEM & transportation businesses have been doing better for us compared to say the U.S. telecom and U.S. health care. Is the understanding is correct?

Manoj Raghavan: Yes. So the transportation business for us is largely driven through Europe, whereas our media and telecom and health care both are largely dependent on the U.S. market. And if you look at it both those segments have not been growing aggressively. And that is how our US share is also dipping slightly.

Abhinav Ganeshan: Fair enough, sir. Thank you for the great understanding. All the best to you, sir.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Manoj, just wanted to get your sense with regards to what we've seen in the recent months or quarters is that the number of traditional IT companies have made substantial acquisitions on the automotive ER&D space, how does that change the competitive intensity for you? If you could share your thoughts on that.

Manoj Raghavan: True, yes. We have seen the likes of HCL, Infosys and so on make large acquisitions. So far, we have not seen an immediate impact in any of our customer base. Also, we understand that a lot of the companies that they've acquired are a lot more in the traditional mechanical engineering space - not too much of focus of capabilities in new age; whether it is digital space or the connected car space or the electrification space. We don't see any of them. So we are watching the space carefully. But at this point of time, we don't see too much of an impact on our current customers.

Manik Taneja: Sure. Thank you.

Moderator: The next question is from the line of Ashwini Kumar Singh from Statpro Fintech Pvt. Ltd. Please go ahead.

Ashwini Kumar Singh: Sir, my question is that in the previous con call, we said that almost 25% of the workforce will

be AI-ready by quarter 2 or quarter 3 of the current financial year. So I would like to understand, are we on that path or not? And which particular sectors are you looking at in the AI segment? And how it can add to the top line of the company?
Manoj Raghavan: Yes. So we are aggressively working on that, Ashwini. And the target is to have about 25% of our staff trained in these technologies by December. And we have more than 100 POCs across segments, right, automotive, media and communication, healthcare as well as there's some

very interesting design POCs as well. So it's broad-based across the organization that we are going ahead.
We are having some very interesting conversations with customers. So it's early days. And it's not just us, but even for our customers, it's early days. So, we're trying to really together figure out the impact of these technologies and what benefits we can bring. So, we are pretty excited on this, and that's something that we'll continue to focus on.
Ashwini Kumar Singh: And are we doing something in t

he semiconductor space?
Manoj Raghavan: We don't directly do the semiconductor chip design. But however, in each of our industry verticals, because we are in an embedded space, we definitely need to partner with the major chip companies to build solutions on top of the chips, right? So, whether it's on the firmware layer or the application layer. So, in each vertical, we have partnerships with the semiconductor companies. So, I think that's our focus and that's our strategy.
Ashwini Kumar Singh: So, the revenue for these should be flowing from the next financial years?
Manoj Raghavan: I mean, revenues are already there. We have revenues coming in from semiconductor companies as we speak.
Moderator: The next question is from the line of Moez Chandani from Ambit. Please go ahead.
Moez Chandani: I wanted to understand your outlook on utilization. Given that headcount has declined, do you see the utilization levels right now have peaked? Or do you think that there's still more leeway for increasing your utilization? And could that have an impact on margins as well?
Manoj Raghavan: Absolutely. I mean, utilization has not peaked at all, right? We have a long way to go. And that is where we are confident that we have enough levers to manage the margins. So yes, so that will be the focus in the coming 3 quarters in the years, right? We really need to ramp up our utilization. So, as the deals pick up, definitely, utilization will also increase.
Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.
Chirag Kachhadiya: Sir, I have one question on media and communication vertical. So, what's the behaviour of clients who experience for this vertical during the quarter? And what's the outlook going forward? Because in previous one of the calls, we mentioned that by end of the years, we were expecting that this vertical to bottom out. So, is it still intact? Or any behavioural change you witnessed even in the 1Q as well?
Manoj Raghavan: I explained about it in a few questions before. I believe that, look, we have bottomed out and there are some green shoots, some good opportunities that we are chasing. Yes, it's still a tough market. There are still a lot of M&As going on, a lot of focus on cost reduction. There are a lot of layoffs happening at our customer places.

There's a lot of push towards best cost locations and offshoring and so on and so forth, right? So, having said that, there are some good large consolidation opportunities and large deals that we are seeing. Of course, it will take 1 quarters or 2 quarters to fructify and move forward. But I think we are seeing some positive revivals.
Plus there are some good deal wins, especially with the NEURON platform that we have launched. So, we are really looking at opportunities in 5G and 6G space as well as we speak. So, these are all opportunities for us that can really help this vertical to grow in this financial years.
Chirag Kachhadiya: Okay, all the very best.
Manoj Raghavan: Thank you.
Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Manoj, could you give out how much would be the OEM mix with the Transportation in the

current quarter?
Manoj Raghavan: 66%.
Apurva Prasad: 66%. Got that. And on the Healthcare & Life Sciences segment, this delay in renewal, what would you attribute that to by the large customer that you mentioned earlier?
Nitin Pai: Yes, Apurva, I'll take that. In this particular case, I think it's simply business challenges at the customer side. They have had some growth challenges on their own top line and so on. So, there are very specific, I think, CFO-led initiatives to calm down on cost, which is affecting our R&D programs. So, we expect that to be short term. But having said that, we are keeping a

close watch.
Apurva Prasad: And would you expect a similar decline next quarter? I'm asking this because I believe last years, you added some marquee names in the vertical. And I think that goes along with the ODC setup. So, would that sort of offset the impact that you're seeing from this? Or this could likely continue for a quarter more?
Nitin Pai: To that extent, ramp-ups that we do in other deals, we cannot fully make up for what we have here. There is an expectation that some, if not all of the renewals should come through. And I think that is what we're aiming for. It cannot be 100% pullback of everything, which is okay. As long as we have partial, we should be able to fill up with what we're doing with other customers, some of the great logos that you won because there's a growth path there, even though typically, healthcare is a little bit of a conservative industry, it doesn't kick in too early too quickly but there's a good pipeline there.

There's a good visibility there. But it is important that, yes, we recover some of the renewals and get them going, even if not all. So, that is the only place where there's some dependency, Apurva, to that extent.
Apurva Prasad: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Manoj Raghavan: Thank you, everybody, for attending the investor conference. We really look forward to talking to you again the next quarter. And as a management team, we're really focused and keen to continue this growth path and continue on the recovery at least in some of the verticals like Media and Communication. We are fairly confident that we have a good sort of pipeline and fairly confident that we'll end the financial years positively. So, that's something that as a management team, we're really focused and committed. So, thank you again, and look forward to talking to you again next quarter. Bye.
Moderator: Thank you. On behalf of Tata Elxsi, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Oct 2024

October 14, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s,
Sub.: Transcripts of the Investors' Conference Call for the quarter and six months ended September 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and six months ended September 30, 2024, held on October 10, 2024.
The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q2 FY '24-'25 Earnings Conference Call "
October 10, 202 4

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q2 FY '24/'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning for joining us from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that would cause further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements .
To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session.
We would appreciate your cooperation in restricting yourself to two questions to allow participants a chance to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them if time permits.
With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Ma noj.
Manoj Raghavan : Thank you, Shashank. Good evening, everyone. Thank you for joining us today for our quarter 2 FY '25 Investor Call. Before we start discussing about the quarter 2 performance of the company, I'd like to take a moment to share the profound loss that the Tata Elxsi family feels in our hearts on losing Mr. Ratan Tata. He played a pivotal role in the founding of this company and had always encourage d the technology, innovation and d

esign-led business approach that Tata Elxsi is now well known for. This memory will forever remain in our hearts, and his vision and legacy will continue to shape our future.
Coming to our second quarter performance, we are pleased to report a steady quarter with revenues from operations growing to INR955.1 crores, registering a quarter -on-quarter growth of 3.1%. In constant currency terms, the operating revenues stayed flat, registering a modest growth of 0.2% quarter -on-quarter.
Our Transportation business continues to power the growth for the company, registering a healthy revenue growth of 4.4% quarter -on-quarter in constant currency terms. Our strong ADAS , connected, electric and soft ware-defined vehicle capabilities are helping us win large deals with global OEMs across the world, positioning us well for the continued transformation of the automotive industry. We won a landmark US $50 million multiyear deal from a global

OEM headquartered in Europe, with encompasses SDV and multiple domains of automotive engineering. This strategic engagement will enable SDV platform development and the next generation of mobility for this world-leading brand.
During the quarter, we also announced a strategic engagement with Nidec Corporation, Japan, to support their g roup technology initiatives, especially for automotive market. We also launched a global next -gen mobility innovation center in Bangalore in partnerships with Emerson.
Our Media and Communication business declined by 2.2% quarter -on-quarter in constant currency terms, largely because of pending customer decisions and some large deals that we have been pitching for, and also natural completion of some of the projects that we have been working over the last several quarters. That said, we see green shoots for growth led by our network transformation offerings and the digital Gen AI -led innovation for the future of media.
I'm especially delighted with our world's first RDK broadband implementation for Qualcomm, which allows global telecom operators to adopt to this first of its kind solution to deliver high-speed home and enterprise broadband services with a 5G network. We also won a strategic AI Center of Excellence deal with a leading Middle East operator, which will support their company -wide transformation initiatives, including reimagining products, customer experience, operations, customer support and software development.
Healthcare and Life Sciences business reported a decline in top line by 11.2% quarter -on-quarter in constant currency terms. This is due to delay in renewal and start -up of new programs with our leading US -based customer. We have added some new customers,

including a global renal care leader and a US headquartered healthtech AI leader , which should
scale over the next few quarters.
Skanray, a leading global MedTech R&D and Manufacturing company specialising in diagnostic imaging, critical care and surgery/OT solutions, has chosen Tata Elxsi as a strategic
partner for advanced surgical imaging core technology and software platform development.
This underscores our unique ability to bring together design, cloud and AI to re -imagine
healthcare diagnostics and patient care.
Also, we launched a state-of -the-art robotics innovation lab in Frankfurt in partnership with
Denso Robotics and AATech , designed to revolutionize automation and robotics for various
sectors, including precision surgery and health care. We are witnessing an unprecedented
convergence of design, software and digital technologies such as AI in how enterprises are
reimagining their product services and customer experience.
With our strong AI capabilities and design digital capabilities, we are well positioned to demonstrate and create value, win new customers and engage deeper with our global customer
base. Our operational and also delivery ex

cellence, fiscal discipline and differentiated offerings
have contributed to our EBITDA margins expanding by 70 basis points to 27.9% for the
quarter.

Our PAT grew by 24.6% quarter -on-quarter to INR229.4 crores, with a superior bottom line
performance further aided by R&D incentives and tax credits from previous years. Our
strategic focus on expanding our business in Japan, emerging markets and capitalizing on the
India opportunity is now starting to significantly contribute to our growth.
During the quarter, our revenues from India grew by 31.2% year -on-year, while Japan and
emerging markets grew smartly at 81.9% year -on-year. On the people front, at 12.5%, our
attrition remains under control as we prepare to onboard the next batch of freshers. We step
into the third quarter of the financial year with the confidence of a healthy deal pipeline,
continued growth in our transportation business, large deal wins and a recovery in our other
key verticals.
I now open the floor for questions.
Moderator: Thank very much. We will now begin the question-and -answer session. Our first question is
from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta : Thank you. So a couple of questions. Firstly, on the transportation vertical, we have seen very
strong growth in the last 2 quarters. But when the environment ha s a lot of global OEMs
cutting back on EV target and given your deal pipeline and the deals already closed, how
should we think about the growth in this vertical over the next couple of quarters going ahead?
Manoj Raghavan : Yes. What do you say is true. In general, the automotive industry, we see a lot of news out there. So the good part for us is there are deals that we have built and there are deals that we have won that we have to execute and ramp up. So while there is a sort of slowdown or
softness in the automotive market in generally , I think as far as Tata Elxsi is concerned,
because of some of the deal wins that we've had that we will ramp up and some of the deals
that we have already bid for, we are still hopeful that we will have a decent growth in H2.
Bhavik Mehta : Okay. Got it. That's helpful. Secondly, on the health care side, are the headwinds from the U.S. client all behind now? And do we see growth coming back from 3Q? Or will it take some more
time before this client comes back ?
Manoj Raghavan : I strongly believe that we have bottomed out. I mean, even in our Q1, we did indicate that we
have this softness in the market. We believe we have bottomed out in Q2 and Q3, we should
see a growth . Again, there are good conversations happening with customers and with the one -
off customer , there are some delayed decisions and we hope that we will recover in Q3.
Bhavik Mehta : Okay. Got it. And just last margin walk for this quarter?
Manoj Raghavan : I will ask Gaurav to take that question.
Gaurav Bajaj : Hi Bhavik, so our operating margin expanded by 70 basis points sequentially compared to the
quarter 1. The major ups and downs for the margin walk - I think we have a cross -currency
benefit of 160 basis point s. Most of the major currencies moved favourably for us in this
quarter. Our other expenses came down substantially during this quarter compared to the last

quarter. Last quarter, we had the one-time contribution. That has brought almost 130- basis - point uptick into the margins at the operating level.
We also mentioned last quarter that we would be doing the junior to mid-level salary hikes that we have done effective 1st July. That has an impact of 120 basis point s. And our cost of other goods, which entails some of the lab setups, tools and other hardware that is required for some of the larger program starting during the quarter, that has an impact of 100 basis points. So that sums

up to 70- basis -point increase in our operating margin on a quarter -to-quarter basis.
Mod erator: Thank you. Our next question is from the line of Sukan t Garg from Equible Research Private Limited. Please go ahead.
Sukant Garg: Hi. So I have 2 questions here. One is related to the health care segment. Is there any loss of customer in case of our revenues in the health care segment?
Manoj Raghavan : No, there is no loss of customer. We have had a delay in the start of new programs with existing customers.
Sukant Garg: Okay. And my next question is with regards to the t ransportation sector. So as we see the last quarter, the transportation sector has been growing pretty well and this quarter as well, there is a good growth. So how do you see this sector in the H 2 or the next year FY '26. Is that the same level of growth that we're going to achieve or is it going to subside down?
Manoj Raghavan : It's very difficult to talk about FY '26, given the dynamics that is happening in the industry and the trends that we are seeing, right? But however, as I explained in the previous question, which Bhavik has asked, we are pretty confident for H2 because of the deals that we have already won and the ramp -ups that we have to do . And also some of the new deals that we have placed in the last quarter, and ongoing deals that we are chasing this quarter also. So we see a good deal pipeline. And I believe we can continue the growth in H2.
Sukant Garg: So do we also see a consolidation a t headcount level? Or is it going to be bottomed out now, and we're going to increase the head count from now on?
Manoj Raghavan : You're talking about headcount?
Sukant Garg: Yes.
Manoj Raghavan : So we will be very cautious in adding headcount. We will only add headcount where there is any specialized skills that we don't have to execute the projects that we have won . So having said that, we will add the freshers from the universities that we have hired for during the campus last year, they will start coming in during Q3 and Q4.
Sukant Garg: Is it majorly because of the consolidation of the projects that headcount has not been happening for their own existing projects that's been going on due to which the headcount is stagnant ?

Manoj Raghavan : No. So the headcount, we have seen a drop in the headcount because we have stopped aggressively hiring. We used to hire anywhere between 500, 600 resources every quarter. That has dropped now this quarter. So we have taken a very, very careful view of adding more headcount at this point in time, this is from a lateral point of view . Having said that, from a fresher h iring perspective, we will continue to hire fresher s in the H2.
Sukant Garg: No, I want to say that if we are adding new projects and if we are not adding the headcount, what you want to say is the headcount that we have is currently enough ?
Manoj Raghavan : Yes, yes. We have bil lability. We have a utilization of around 69.5%. So we have enough headroom to manage the new projects with the headcount that is already available internally. We will still go ahead and hire only certain critical resources that we need to execute very, very specific projects and so on.
Mod erator: Thank you. The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.
Salil Desai : On the previous question, I want to kind of understand that a little better. The whole of last year or almost about 5 or 6 quarters now, we have added net headcount. And this quarter you are still cautious. So, is there any change in the way you're looking at the outlook for the last year's hiring pipeline as more than sufficient versus what growth expectations actually panned out? How should one see the change in view on headcount additions versus growth?
Manoj Raghavan : We have a healthy bench, at this poin

t in time. Our utilization is only about 69% to 69.5%. So given the overall status that we have in two of our major businesses, media and communication as well as the healthcare and life sciences , we are a little cautious in adding more resources in those businesses. However, from a transportation and the industrial design business that we have, we are ramping up headcount and resources . So if you look at our overall level, you might see a flattening or you might even see a dip in the headcount, but that is also because the last

financial year, in Q2, we have added freshers. We started the fresher
hiring in Q2 itself. This financial year, we have pushed that to Q3.
Salil Desai : And how would you like to comment on say how the overall supply side situation is? So if tomorrow in healthcare things change and if you were to ramp up, what chances that could be constrained on finding the right people?
Manoj Raghavan : I think at this point in time, people is not a big challenge for the industry. So I think that's not going to be an issue doing at this point in time. We can never know after two quarters what is the situation. But I think for the next two quarters, the supply side should not be an issue.
Salil Desai : Thank you.
Moderator: The next question is from the line of Moez Chandani from Ambit.

Moez Chandani : My first question was , you previously said that you expected to close FY25 at a better growth rate than FY24. I want to check if that's still something that you expect to do for this financial year.
Manoj Raghavan : That's a very difficult question to answer at this point in time. If the Q2 performance was a notch better, we would have still been confident. T hough we have a visibility and so on, the industry cycles are so unpredictable nowadays and the deal s that we are going after that we hope d to close in 3 months is now getting pushed to 6 months . So that is a general slowness in the market. But having said that, we still hope to show superior growth in H2 to return back to the growth that used to happen maybe four quarters ago or six quarters ago. So at this point in time, I would say, our target is definitely to end the year with a double -digit constant currency growth. I know it is asking much and it is tough . But why I'm a little confident is the sort of deals that we are pursuing and the sort of pipeline that we are seeing. We definitely don't want to lower our goals , we still want to go after that double -digit growth, and we'll put all our best to see whether we can reach that.
Moez Chandani : How has growth been with our top client versus growth across the rest of the auto OEMs? And are we still seeing pressure on Tier 1 suppliers versus the auto OEMs that we have noted previously?
Manoj Raghavan : So yes, I think auto OEMs are definitely growing faster than the Tier 1s , which is positive. So not just the top OEM customer that we have, the other OEM customers have also shown growth in the quarter. O nly a few Tier 1s are showing that growth. A lot of other Tier 1s are either remaining flat or there is some degrowth happening. But overall, at a portfolio level, the percentage of revenues from OEMs definitely has grown as compared to Tier 1s.
Moez Chandani : And just one last question on my side. Can I get a little more detail on the time lines for the large deal that we won this quarter? When do we start expecting it to contribute to revenues, and how long is the deal for?
Manoj Raghavan : It's a five -year deal, and the ramp -ups would start maybe middle of this quarter in a small way, but the major ramp -ups will start from January onwards.
Moez Chandani : Thank you so much and best of luck.
Moderator: The next question is from the line of Bhavik Mehta from JPMorgan.
Bhavik Mehta : Can you comment on the demand trends you're seeing in the m edia and telecommunicat

ions
side because this vertical has been weak for quite a long time now. Are there any signs of this bottoming out at all or do you think these headwinds can continue for the next couple of quarters as well?
Manoj Raghavan : Yes, frankly, media and telecommunications is a blood bath. Y ou look at any company in this area, if you look at any competition, you look at overseas companies, all of us are seeing tightening of budgets, and huge amount of consolidations happening in this industry vertical, a
lot of cost takeouts. The deals are primarily around cost takeouts and consolidations and so on.

So, I think while we are still staying afloat, we have invested in a set of products and solutions and IPs. We are really pushing some of those forward and really going to customers and saying "Hey, we can do things in a lot more efficient manner. We can help you take cost s out." So those are the value proportions that we are taking to customers.
I think, definitely, the confidence is there in terms of growing, but whether the growth will be significant or not, it's very difficult at this point in time because most of the deals comes with a huge amount of negotiations and cost takeout. We will grow, but will it be a significant growth or not, it is very difficult to say at this point in time over the next couple of quarters -H2.

Bhavik Mehta : Okay. Got it. And lastly, on the margin side, I think last time there was a target of maintaining the margins at FY24 level. So does that target still remain? Or will it come down given where Q2 has ended up?
Gaurav Bajaj : No. I think we continue to target our margin in the expected band that we had communicated earlier also. Of course, there would be one- off blips here and there. This quarter, there was a salary increase done for the junior to mid. But with H2, we expect it to be a better half compared to the H1. So we believe that we can improve on the margin from here on.
Moderator: Thank you. T he next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : So my first question is on the transportation vertical. So just wanted to understand the large SDV deal that we had won in Asia, which is providing some growth in this particular quarter , is this fully ramped up or it has tailwinds in the coming quarter as well?
Nitin Pai: Sulabh, I can take that. I think we have done a reasonable part of that ramp up, but we still have some room to go.
Sulabh Govila : And that would be fully done in 3Q or that will be an increasing momentum?
Nitin Pai: I think it w ill kind of peter out in about two quarters. So we should be done largely in Q3 with some amount of lift further in Q4.
Sulabh Govila : Okay. Understood. And with respect to the Healthcare vertical, I understood that we mentioned that it has sort of bottomed out. But I just wanted to understand, in this key customer where we were trying for renewals and new project starts, so do we now have the green light for these renewals and project starts or that is still pending?
Manoj Raghavan : We will have some partial restart this quarter. So to that extent, we have seen some visibility. And we hope by Q4, we'll be back to the full plan.
Sulabh Govila : Okay. So does that mean that whatever revenue decline we've seen in the past two quarters, that will fully come back in a couple of quarters?
Manoj Raghavan : That is the focus and that is the intent that we have.

Sulabh Govila : Okay. Understood. And the last bit is on this media and telecom side, the new program that you launched on taking the capability from media site to telecom on this RDK Broadband implementation. So just wanted to understand how big you think this opportunity is for you and how big can this become as a percentage of revenue or of this vertical as a whole? How should one think about that?
Nitin Pai: Yes. Maybe I can take that. I think we see it in two contexts. One is that telcos have typically stayed shy of broadband and so on. And the only options have been either certain open standards or very proprietary devices that come from incumbent device suppliers that telcos had to adopt . I think for the first time, this offer s a clear path where it's an open standard that is global adoption and somebody like Qualcomm backing it up.
We are going to see significant movement of operators to adopt this kind of technology, but try to understand, this is all going to be capex linked. So to that extent, I think you will see it play out over the next two years, to be clear. I think the big opportunity for us is not only to support that adoption and I think the biggest gain for us would be really our entry into telcos using this bench . So in that sense, for us, it's a very strategic long -term play rather than anything that we see in the very short term.
Sulabh Govila : Okay. Understood. And is there a particular billing model or monetization in this, which is involved? How should one think about that?
Nitin Pai: No. At this time, it is still clear product engineering, right? So there is no fancy model that comes in.
Manoj Raghavan : It will be outcome -based or it would be time & material, it's a standard model.
Moderator: Thank you. T he next question is from the line of Kamlesh Kumar, who is an Individual Investor. Please go ahead.
Kamlesh Kumar: First of all, I convey my condolence from Mr. Ratan Tata's demise, it is loss for not only Tata Elxsi or group companies but also the entire Indian population; such a great leader. Okay. Coming back to the question. I was just going through the presentation; I saw that there's major revenue coming from Europe and US, which is close to 70%. And considering the job loss data, which is released today, the drop of claims that are released today, there is an increase of around 20,000 . So do you foresee any impact due to any slowdown in Europe or America on Tata Elxsi outcomes in Q3 and Q4?
Nitin Pai: Maybe I can take that. If you understand our company profile, I think we excel in offshore delivery. So to that extent, we typically engage with customers with the promise of fantastic engineering delivered with talent that can scale from India. So our on-site revenues are fairly minimal, and they're predominantly driven to support projects that we already won because the

model of delivery also is a little bit of ownership driven. So to that extent, Europe and US job loss data does not have as much of a consequence. It should be a bit of a tailwind because that means that there are more jobs coming our way.

Moderator: Thank you. T he next question is from the line of Rajesh from Zenith. Please go ahead.
Rajesh: First of all congratulations for a good set of numbers in this challenging environment, and I must appreciate and thank all the management team over here for the continuous effort. My question would be, do you foresee any opportunities in the defence and semiconductor sector? And do we have the capabilities or are we trying to build any capabilities in that area?
Manoj Raghavan : Yes. I think both the defen ce and the semiconductor industry are of interest to us. So we've been working with the various DRDO labs , ISRO, and defen ce establishments on projects from time to time. Given the focus of the Indian government o n a lot of new projects, especially in defen ce from India and India -based companies and so on. So we believe it's a good opportunity, especially with the capabilities that we have in imaging, in hardware designs, and in wireless technologies. M ost of the defenc e electronics that come out are a combination of many of these technologies. So we are actively looking at

opportunities that come this way. And I think that is definitely an area of focus for us.
Similarly , on the semiconductor side, there are a lot of investments coming in fabs and foundries and so that is another area we would definitely look at . Currently, we are engaged primarily in helping semiconductor companies more on the software application side. But having said that, that is an opportunity for us to really look at chip design.
For many years, we've had that semiconductor. We had a unit that that focused on chip design, and we've actually taped out chips SoCs for our customers, maybe 10 years ago. So definitely, we know the domain. We know the field. Definitely an opportunity for us to really get back and see what sort of investments we should be making in rebuilding some of the capabilities that we've sort of led go right at that point in time. So yes, I think both of these are of interest.
Rajesh: Opportunity size is very huge, I think, as I understand.
Manoj Raghavan : Yes, it is . I mean each of these come with their own complications, right? T hese are really high-tech areas, right? They're not run -of-the-mill projects and so on. So we really need to have that capability to really enter the field and stay in the field . So that's something that we are evaluating from a future perspective.
Mode rator : Thank you. Next question is from the line of Vinesh Vala from HDFC Securities. Please go ahead.
Vinesh Vala: You said that we are expecting to bottom out in Q3 for the health care vertical. Am I right?
Manoj Raghavan : Yes. That's correct.
Vinesh Vala: Okay. Sir, another question I had was regarding OEMs g rowing faster than Tier 1. So what would be the percentage of OEMs of the total transportation?
Manoj Raghavan : This quarter, we have touched 68% from an OEM perspective of our overall transportation revenue.

Vinesh Vala: So it's 68%. And we expect that to increase going ahead?
Manoj Raghavan : Some of the large deals that we have won are all OEM deals. So yes, over a period of time, yes, next couple of quarters, we expect the OEM business to grow.
Nitin Pai: Vinesh - the bottoming out was referring to Q2, not Q3. Just to clarify for health care.
Mode rator : Thank you. The next question is from the line of Niket from MO Asset Management Company. Please go ahead.
Niket : Thanks for the opportunity. I just had 2 questions. One, if you can just give some color on how the JLR ramp -up has been happening? And what do you expect for the H2 of this year?
Manoj Raghavan : JLR has been a steady customer of ours and a lot of new age capabilities that we built based on the work that we have been doing with JLR, including software -defined vehicles and the complete EV powertrain area - we have a very, very strong lock-in with JLR . So that's been a fantastic journey for us. Having said that, we all know JLR is also going through its own issues. Their sales are going down. So while JLR continues to be an important customer, we definitely have built other OEM customers. And the H2 growth for us will definitely come. Of course, JLR will continue to grow, but there will be faster growth in other OEMs.

Niket : Got it. And the second question was , if you look at the business model of Tata Elxsi, obviously, auto has been a consistent good driver for you, with a bit of volatility on Healthcare and Media and Entertainment. Do you think that while these are 3 major verticals that you continue to run, of which 2 continue to remain fairly volatile, you would need 1 or 2 new verticals to come and ensure that the growth is much more, I would say, structural rather than a bit cyclical at least on a couple of those s egments that I mentioned about. So how would you look at newer verticals being added or any M&A kind of opportunity within the existing verticals to ensure that the growth is slight

ly higher than what you are currently?
Manoj Raghavan : No. I agree. It's not as if transportation was always firing, right? During COVID, if you look at it, transportation segment actually went down and it was the Media and Communications and Healthcare that actually grew at that point in time. So I think we are very much aware, but I think that is also the strength of this sort of 3 verticals that we have, right? It's sort of orthogonal and having said that, we are looking at newer areas, newer industry verticals to get in. There are many options that we have been evaluating. So yes, I think, hopefully, from our next financial year strategy perspective, definitely, there's a focus in building newer verticals. We will announce that at the appropriate time.
Niket : Got it. Perfect, thank you so much and I'll come back in queue.
Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja : Hi, thank you for the opportunity . I actually wanted your inputs on a couple of things. Number one thing is we see headcount come off in the current quarter. If I recall correctly, last quarter

while you've been talking about budget investments from a headcount standpoint this year, you have been talking about hiring pressures in the current quarter, and thereby expect the head count to go up. If you could talk about the plan on that front?
And also, with regards to JLR, if I see your Annual Report, the approval that one has taken in terms of labour party transaction limit that suggests that JLR will essentially grow in excess of 50% this year. Are we on track with some of the challenges that you spoke about in case of JLR in the near term? And also, how should we be thinking about the ramp up on the auto OEM deals given the way head c ount actually has been trending?
Manoj Raghavan : Yes. So coming to your question regarding freshers , no, we have not added any freshers in this quarter and in Q2. The fresher addition will happen in Q 3. So that is about the freshers. From a JLR perspective, what we have taken the omnibus approval that we have taken INR 1,000 crores . We looked at it from a 2 year perspective, so that we don't need to go again and again to the investors for approval. The intent was never to say that JLR will be INR 1,000 crores in this financial year. So I think JLR has been growing pretty well for us. But still there's a long way to go to achieve INR 1,000 crore s number that you're talking. That will be a good target for us eventually. Was there any other question?
Manik Taneja : Sir, my question was with regards to how should be thinking about the growth trajectory given the headcount has been coming off in the last couple of quarters? And the last question from my end. You had spoken about FY '25 and how you expected to have better growth year than FY '24. Clarification on that is, are we looking at this from a constant currency growth, rupee number or a dollar number ? Because if I do some math , the ask rate for second half is extremely high to be on constant currency?
Manoj Raghavan : So I think we've discussed that in a previous question as well. Yes, so when we looked at the end of Q1, we were pretty confident in terms of being able to better our growth in the last financial year. However, with H1 gone, while the intent is still there to see if we can get to a double -digit constant currency growth, I know the ask is huge. But the good part is that we have won certain deals, and we'll have to ramp up them over the next half year. On top of it, there are other deals that we are bidding for, that also gives us a good feel that, look it is possible. Having said that, I know it's an extremely difficult task. But we don't want to change our goals, short -term goals now. We will take a look at it at the end of Q3 and see where we stan

d.
Manik Taneja : Manoj, I know I'm pushing you, but given the speed of news flow from global auto OEMs in the recent months, and each of them essentially are seeing their own specific volume -related challenges or uptick on the EV side, do you think given the tailwinds that this industry has enjoyed in the last 3 -4 years, we could probably go through a phase of slow decision making and reprioritization trend and there by some pressure for the auto R&D segment?

Manoj Raghavan : It is true. I think this question was also asked earlier. So it is true that the general auto industry is going through slowdown. EV sales are not picking up, all of that is true. But having said that, there are deals that we have already closed that ramp -ups are happening. So the

confidence comes from the fact that, look there is a visibility that we have. And we are also looking at new deals, if I look at the pipeline that we have. And the good part is some of these deals are not necessarily from US or Europe OEMs, there are substantial deals in Asia and Japan and so on.

Where we see that some of these OEMs have been late to the party. And so they are in a hurry to catch up. So we would definitely see some of these deals closing. And again, we don't need 20 deals to close in our favour, right? All we need is 1 or 2 large deals every quarter. So I think we are there. We are seeing some of those deals. And even if the industry is going through a lot of turmoil and so on, all we need is those 1 or 2 deals that will really help us and keep us afloat.

Manik Taneja : Thank you and all the best to the team.

Manoj Raghavan : Thank you, Manik.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Manoj Raghavan : Wonderful. Thank you so much for all the questions. We will get back again end of Q3. And hopefully, we will have a better growth story at that point in time. And tha nk you so much, and good night. Good evening. Take care.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes today's conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2025

January 15, 202 5

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir / Madam ,

Sub.: Transcripts of the Investors' Conference Call for the quarter and nine month s period ended December 31 , 202 4

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and nine months period ended December 31 , 202 4, held on January 09, 2025 .

The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q3 FY '24-'25 Earnings Conference Call "
January 09, 202 5

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi Limited Q3 FY '24 -'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you Mr. Ganesh.
Shashank Ganesh: Thank you very much. Good evening to all the participants on this call. Good morning if you're logging in from the Western si de. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the businesses that would cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.
To take us through the results and answer your questions today, we hav e the Senior Manager of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the quarter by Mr. Ragh avan followed by a Q&A session.
We would appreciate your cooperation and restricting yours elf to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you Manoj.
Manoj Raghavan : Thank you, S hashank. Good evening, everyone. Thank you for joining us this evening for the Q3 Earnings Call , and I hope that you and everyone in your family are safe and healthy. I'm happy to report that we have delivered a steady third quarter in terms of top line in a seasonally weak quarter.
Our revenues from operations were reported at INR939.2 crores. During the quarter, EBITDA margins stood at 26.3% and PBT margin was reported at 26.1%. This was the first quarter in which the full impact of salary increases for all our employees wa

s seen. Margins in the quarter was also impacted by adverse currency movements in GBP, Euro and JPY.
It is important to mention here that our margins in the previous quarter were aided by onetime R&D incentives and tax credits from previous years. We continue to see positive outcomes of our strategic business focus on Japan, emerging markets and capitalizing on the India opportunity. During the quarter, our revenues from India has grown by 21.9% year -on-year, while Japan and emerging mark ets grew at 66.8% year -on-year.
This will serve us well over the next few quarters , even as we navigate geopolitical uncertainty, currency volatility and industry-specific challenges in Europe and US. Coming to our businesses. The automotive industry has seen significant business challenges in the past

few months with OEMs, especially in the U .S. and Europe reporting sales and growth challenges in their major markets.
This has impacted new deal closures and the Tier 1 supplier spend. Amidst this business environment, Tata Elxsi continues to do well to win and execute on large deals won over this year and demonstrated differentiated value to customers to protect and grow our revenues in a difficult quarter for the entire automotive industry. During this quarter, our transportation business grew 0.5% quarter -on-quarter in constant currency terms.
In the last quarter, we announced an offshore development center for Suzuki Corporation, Japan, to support their global technology software and engineering development. Suzuki's CTO, Kato -san, highlighted the importance of the center as a strategic and core component of Suzuki's innovation strategy, helping it accelerate software and virtual development across connected , autonomous and electric technologies. We are delighted to be launching our AVENIR Software -Defined Vehicle suite at the CES 2025 conference, which is happening this week in Las Vegas, the premier global showcase for technology and innovation.
AVENIR encompasses a cloud -native virtual development platform and a hybrid global validation platform and is powered by the Snapdragon digital chassis platform in partnership with Qualcomm. We offer a compelling proposition of a ready to adopt solution, coupled with deep digital and software expertise and scale talent base to help global OEM shift left and accelerate the SD V and future mobility road maps.
Our media and communication business reported a 0.4% quarter -on-quarter growth. We are positioned well to help customers in the media, entertainment and telecom industry on all 3 levels of growth, efficiency and innovation. We won a large multi -year deal with a U .S.

headquartered -operator to develop and manage their portfolio of applications and expect to ramp this up over the next few quarters. We are positioned well in some very large deals across the world with decisions and outcomes expected in the coming quarters and beyond.
Our Healthcare and Life Sciences business reported a growth of 1.1% quarter -on-quarter. We continue to win new marquee healthcare customers and our Gen -AI-powered regulatory, digital engineering and sustainability offerings are seeing significant traction in the market.
Our system integration business witnessed decision delays in some large projects that had a significant imp act on revenues in the quarter. While we are aiming to win and execute them over this quarter and beyond, we continue to work on pivoting the business away from project -based to annuity and service -based revenue streams. In terms of our employee base, we continue to do well with attrition remaining low at 12.4% during the quarter on an annualized basis. During this quarter, we've added net of 85 employees into the system. We step into the fourth quarter of this financial year with confidence of large automotive deal wins in the year and quarter t

hat will see continued ramp -ups even as we navigate the current volatility in automotive market.

The stability and return to growth in the healthcare and media and communication verticals and large strategic deals in the pipeline across all our key verticals. With this, we will open the session for Q&A.
Mod erator: Thank you. The first question comes from the line of Bhavik Mehta with JP Morgan. Please go ahead.
Bhavik Mehta : Thank you. Couple of questions. Firstly, Manoj, if you can talk about the outlook for the auto vertical in terms of when do you expect deal closure to normalize or deal ramp up s to normalize and by when we should go back to the kind of growth we saw in the first half? The second question is to Gaurav - if you can just give the margin walk for the quarter? And how should we think about the tax rate going forward because ta x rate has been quite low o ver the last couple of quarters? Thank you.
Manoj Raghavan : Yes. If I break the automotive market into 2 part s: Europe, in general, we see automotive market would take some time to recover. So, I would say a quarter or a couple of quarters is where we see continued pain in the European market. The U .S. market is seeing a little bit of traction. We are seeing some positive work happening, and that should recover maybe in a quarter or so. However, we're seeing a lot of good opportunities in Asia, in India as well as in Japan. We are hoping that business will continue to grow as we've seen in this quarter. We will accelerate the growth because we have won some good opportunities, some large deals, and we would definitely want to grow and focus on delivery excellence and really accelerate our revenues for Q4 and subsequently. So yes, Europe will be a little slow. APAC, India will definitely accelerate. U.S. will be steady. So that's the outlook for the automotive industry.
From a margin perspective, I would request Gaurav to take that.
Gaurav Bajaj : So, Bhavik, I think what we alluded, also Manoj mentioned that at constant currency basis we came flat. However, there has been adverse movement in some of the major currencies in which we operate, specifically E uro, Pound and JPY, which has led to almost 140 basis point impact on our margins. So, most of the differential margins that you see from the last quarter to this quarter on the operating EBIT basis is due to the currency impact.
This quarter also intakes the wage hikes that has been done by the company, which completes the wage hikes cycle for the company at overall employee base for this financial year. The wage hike impact was almost 100 basis points, but that was also compensated and mitigated through some of the other operating leverage and efficiency that we can bring in towards pyramid optimization, utilization improvement and also on -site salary cost due to the currency movement help ed in terms of the reduction in the cost. So, most of the wage hike has been compensated and mitigated through other means and leverages that we have on the operating front.
Apart from that, there is a slight increase in the other expenses because of the third -party contractor that we have to in take in this quarter for some of the positions that require to be filled, where we don't have the required skill set . Probably over the period, we can roll over those third -party contracts with the internal workforce. Also, some increase has happened on

the travel and the Visa front due to the renewals and some of the positions that were required to be fulfilled at the on -site.
This is an expense impact of 60 basis points. And apart from this, there is a reduction in the cost of goods sold towards the equipment and other parts to the related product revenue in the quarter and there's a dip in the depreciation and the fi

nance cost of another INR1.5 crores. So,
both put together , cost of goods sold and depreciation, would give you 45 basis point kind of a benefit into the margin. So, in all total, there's an impact of about 150 basis points when you compare 25% EBIT last quarter to 23.5% this quarter.
I think your second question was on the tax benefit and the tax rate for the current period and for the full year . I think we stated at the start of the year that most of our SEZ unit has come out of the 100% benefit slab and it's moved to the 50%, and we believe that this year, our tax rate would be upwards of 25%.
As you know, last quarter, it was lower because of one -off income tax refunds that we received last quarter. This quarter also , tax rate was at the same level or slightly lower to the last quarter for 2 reasons . One, due to the differential in the deferred tax asset because of reduction in the depreciation and we didn't incur any additional capex during the year . There is also the end -to-end for the exchange -related profit that is not computed for the income tax purpose when we do the tax provisioning. So that has led to the income tax rate for the current quarter at 22.2%.
With that, on a YTD basis, tax rate has been at 24.1%. W e believe that quarter 4 will not have those one -time off unless there are some other favorable tax orders that we can receive. On a normalized basis, I believe that our tax rate would be upwards of 25%, probably 26%, but we may exit the full year at an effective tax rate of something between 24.5% to 25%.
Bhavik Mehta: Okay, that's very helpful. Thank you.
Moderator: Thank you. Next question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management Private Limited. Please go ahead.
Vimal Gohil: Yes, thank you for the opportunity. Sir, if you could help me with what was the mix of OEMs within our auto verticals for this particular quarter?
Manoj Raghavan : You're talking about the revenues from OEMs, right?
Vimal Gohil: Yes.
Manoj Raghavan : Revenues from OEMs has increased I think from 67% to 72% this quarter.
Vimal Gohil: Okay. So, the Tier 1 continues to be a source of a challenge for us. Would that assumption be right?
Manoj Raghavan : That is true. That is the industry trend that we are seeing, especially in the Western world, the large Tier 1s are not winning deals , as a result of which their outsourcing towards companies

like us is also coming down. So, a lot of our revenues, we are focusing on the OEM side, yes, that's true.
Vimal Gohil: Right . And sir, in the auto vertical, most of your peers are also calling out a bit of softness. But are OEMs also relooking at their long-term spend on their EV architectures or their software architectures for, let's say, four years, five years out ? Is that also being reconsidered or are some of the near term typically what we've seen in a soft auto market in EU or the U .S. is that the immediate capex on the existing platforms is cut, but in this particular down cycle of autos in the West, are you seeing some of the EV platforms or the software platforms being reconsidered upon?
Manoj Raghavan : It is the near -term projects that are being reconsidered because as you would have read, most companies are really looking to refocus back on ICE and hybrids, so that is where we see that some amount of reprioritization in their near -term EV R&D budgets. Long -term EV strategy
continues, but it's just the near -term budgets that are being relooked at.
Vimal Gohil: And most of the projects that we are working on would be towards the long-term initiatives of these OEMs, right?
Manoj Raghavan : It's a mix. It's not that 100% of it is long term, but it's a mix of both near term and long term.
Vimal Gohil: Understood. Thank you so much. I'll come back in the queue .
Moderator: Thank you. Next

question comes from the line of Vijay Pandey with Nuvama. Please go ahead.
Vijay Pandey: Thank you for taking my questions. I have one question. I just wanted to understand like the electric vehicle services in Western market, particularly in the U .S. and Europe , are stagnated
but how do you look at how the software -defined vehicle and ADAS levels ? Is that also where you are showing seeing a slowdown, or is it continuing at the similar pace as what was

expected ? My understanding is since that it has slowed down, if you can highlight what is the level of penetration you expect particularly by end of the decade , by FY 2030, auto?
Manoj Raghavan : If I understand your question right, you're asking how is the software -defined vehicle market outlook for Tata Elxsi ?
Vijay Pandey: Software -defined and ADAS.
Manoj Raghavan : So yes, I think Tata Elxsi has been investing in building our own SDV framework. And we have announced it in the Consumer Electronics Show, CES, this week. It's AVENIR, which we have partnered with Qualcomm. It's built on a Snapdragon Qualcomm chassis. So, we are pretty confident that SDVs are here to stay . We have interest from many of our customers, not just the passenger car companies, but also commercial vehicles, because from a fleet management perspective, SD V makes a lot of sense.
So, we have ongoing customers where we are engaged on the SDV platform. Plus, we are also in discussions with a few OEMs, both passenger vehicles and commercial vehicle companies ,

to license the solution that we have and build over that so that we can give time -to-market benefits for our customers. So yes, I think SD V definitely has a lot of interest.
AD/ADAS , of course, it's another area that we have been investing for quite a few years now. We see continued interest in ADAS opportunities from the OEMs to bring in differentiated solutions to the market. There's a lot of opportunities also on the verification and validation side of AD/ ADAS . So that's something we believe the spend will continue. So, if you ask me by 2030, what is the outlook? I would say, especially if EVs pick up, definitely there will be SDV play both in the passenger car vehicles as well as in adjacent markets of commercial or off-road and other areas as well. So, we continue to invest in SDV.
Moderator: Thank you. Next question comes from the line of Ritesh Poladia with Girik Capital. Please go ahead.
Ritesh Poladia: Thanks for the opportunity. My question is on the automotive segment. S ir, with China EV exports rising maybe 2025 might be flat here. How does that change the segment for us?
Manoj Raghavan : So, I think a lot of the reason today for I would say the softness in the automotive market, especially in the West , is due to the rapid growth of the Chinese OEMs, right? And actually, if you look at it, many of the auto OEMs , you look at the big three in Germany, look at the U.S. companies, they used to make a lot of money in China. And China market used to be pretty big for many of these customers.
With the Chinese OEMs now launching EVs that are at par or even better than some of the equivalent models available from the Western car companies, many Chinese consumers are buying Chinese cars, which automatically means the market share of the Western OEMs in China is coming down. And hence, the top line and bottom line for these companies are actually coming down because of the effect of impact of the successful ramp -up of the Chinese OEMs like BYD and others .
So I think, yes, that is also one of the reasons why the western market is in a state of reducing their budgets , they are not clear, they're talking of nontariff barriers, the local governments are talking about putting up barriers for the Chinese OEMs to come into their markets and so on.
And of course, there's also a push towards

ICE and hybrid because in some sense, they believe that moving towards the EV is only going to strengthen the China ecosystem because most of the batteries and components, the motors, inverters, everything comes from China, even for the global OEMs, right? So, there's a little bit of competition, there is politics, there is everything intertwined there.
So yes, I think that is a challenge that the Western world is facing and it will be interesting to figure out how they will address it. And unfortunately, for us, our fortunes are also linked to how the OEMs are able to compete effectively with the Chinese car companies and grow their market share. So, it's a challenge. It's an opportunity for us to bring in solutions, bring in capabilities like the SDV platform that we have . We are investing in various other products, battery passport, BMS, and the number of things that we are doing.

And we are hoping that whatever investments which we make will help the Western OEMs effectively compete with the Chinese OEMs and win back market share. So, I think it's very

difficult to give a precise commentary of what's going to happen, but these are all the various moving parts that are there in the market today.
Ritesh Poladia: Sir, just to extend on this, even that R&D is all inside the country, do n't you think that is a much bigger challenge for a company like us to compete with China?
Manoj Raghavan : When you say, you are talking of the R&D of Chinese companies, right?
Ritesh Poladia: Yes.
Manoj Raghavan : Yes. The only problem with the Chinese companies have is, in general is that Western companies, especially the large major car companies , are wary of using Chinese software . So, they'll will always be a reluctance to rely completely on Chinese vendors. So that is something that companies in India can really tap into and provide those capabilities to the other global car companies.
Ritesh Poladia: Great, that's all from my side. Thank you.
Moderator: Thank you. Next question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management Private Limited. Please go ahead.
Vimal Gohil: Thank you, sir, once again. Since you're discussing China, a simple question arises : do we really sense an opportunity here? I mean, given the fact that there's so much happening there, do we really have a chance to tap into some of their software -defined architectures or BMS or whatever ?
Manoj Raghavan : No, so we are not ignoring the China market. W hile our customers, OEMs are competing with the Chinese companies , in some sense, they are also collaborating with them. We have heard of all those announcements in the market, right, where global OEMs are tying up with Chinese OEMs for the China market and so on, right? So, there are various collaborations that are happening.
So, through our customers, we are definitely engaged with both the Chinese OEMs and the Chinese suppliers. And so in some sense, we are aware of what is happening in the market . There is some amount of collaboration that is happening as we speak. So, I will not be able to give more details on it, but we are very much aware.
Whether we can directly enter China market and work for Chinese OEMs , I mean, we are looking into it, but I think it's a very, very difficult proportion at this point in time, because just the speed of the market and the culture, the language ; There are a lot of other challenges in the market that we need to address. But we are finding an indirect route by working via our customers.
Vimal Gohil: Understood. And sir, within our transportation vertical, I think a couple of years back or even more, we had spoken about some of the adjacencies; Is there any update over there? Has that

taken a bit of a back seat? How should we look at

that? I mean rail, maybe aerospace or
something like that?
Manoj Raghavan : Yes. So, there are a few adjacencies that we continue to focus on . Primarily, I think one is the commercial vehicle space. That is something that I have also indicated that even from a software -defined vehicle perspective, that is something we are seeing a lot of interest. On the Connected car or the Connected Vehicle perspective, there is a lot of interest in that space. We are also winning deals in that space. So commercial vehicles definitely.
Rail, we have invested heavily , it's sort of plateaued. We grew well, but it's sort of plateaued, and we are trying to figure out how to increase that because the number of rail operators or the OEMs are very limited. It's not as if it's a pretty large market, but we have not given up there.
We're really now focusing on three aspects: commercial vehicles, off -road and also the aero , avionics and defen ce. These are the 3 adjacencies from a transportation business that we are placing our bets on.
Vimal Gohil: Understood. Thank you so much, sir. All the best.
Manoj Raghavan: Thank you.
Moderator: Thank you. N ext question comes from the line of Sulabh Govila with Morgan Stanley. Please go ahead.
Sulabh Govila : My first question is with respect to the growth in transportation vertical that we've seen this quarter? So , I just wanted to understand that, if you were to break down this growth that we've seen, let's say, compared to last two quarters, then is this lower growth more a function of the ramp -ups that were expected to happen but did not happen on time? Or on those ramp-ups, they were as per plan, but there were other project deferrals or cancellations that were ongoing?
Manoj Raghavan : So yes, I would say we definitely have taken a hit in the transportation business from our customers in Europe because of the market conditions and some of the projects being deferred.

The spend has reduced there. At the same time, we have won certain large deals, and those ramp -ups have happened, but those ramp-ups have not happened to the extent that we would have wanted . And customers are also a little careful in terms of how much they would want to spend.

Plus, there are newer customers that we have announced like Suzuki and so on. Those ramp -ups have happened to the extent that we would want to, right? And those are the three buckets that we have. So , any time, even the next quarter, we will look at it in these three buckets and really push forward on those customers that have money and the willingness to spend, and that's something that we'll really, really focus on.

And the remaining two buckets, especially on the deals that we have already won, there's a slight deferment in terms of full ramp -up. Ramp -ups are happening but not happening to the extent at which we had expected. So we'll definitely push to see to get back to that original

ramp -up plan. And those customers where there's still a little bit of a hold in the budgets or pause in the budget , that is where we'll have to wait and monitor and see how it progresses.

Sulabh Govila : Okay. Understood. So just taking this forward. So, if you were to think about this particular quarter, 4Q, given where we are standing today, would you say that based on these multiple moving parts and the three buckets that you mentioned, a decent acceleration from the current levels is going to take some time because there are multiple moving parts here?

Manoj Raghavan : It's very difficult to sit here today and give an exact commentary. But from a management perspective, we definitely want to push all levers to really exit Q4 with a decent run rate. So that's something that we will be focusing as a management team.

Sulabh Govila : Okay. Understood. And then secondly, with respect to both the media and the healthcare vertical, now that they are sort of stabilized , would you expect them to continue to be stable and steady for some quarters before you think that the growth can return in these verticals , where we are today?

Manoj Raghavan : Yes. So , we have seen some green shoots in both these verticals. We've also had some large deals in both the verticals, plus we also have some deals that we are working on as we speak in this quarter and the subsequent quarters. Closures wil l happen over a period of time.

So we're pretty confident that we can bring back the growth. But you're right, it could take one quarter or maybe a couple of quarters to really get back. But we are seeing those green shoots and we would be laser -sharp -focused to really extract that value as soon as possible. That's something that we will stay focused on.

Sulabh Govila : Okay. Understood. And then the last question is on margins. So, if you look at the past several quarters, we have gone down from EBIT margin levels of 27% to now 23.5%. And there are obviously multiple reasons for that , slower growth being one of them. So just wanted to understand, do you think that these are the new normal levels of margins? Or we can go back to those 27% margins in due course of time. Or the third thing would be that margin uptick will also happen with time , and it's slow in the near term because of the lack of growth or moderation in growth?

Manoj Raghavan : We are heavily focused on ensuring that we get back to our margin profiles that we had indicated earlier. As Gaurav discussed in the beginning, this quarter, margins are tag lower because of the full impact of the wage hike that we had given. I mean those are things that we can't push beyond a particular time frame. So that's already a committed expense . So, we were working on margin levers. As you rightly pointed out, the biggest lever for us is improving our billability and that stems from growing our top line. And along with growth, the margin performance also will improve. So, we are very cognizant of that, and we're keeping a sharp focus on our overall costs. And that's something that in the short term to medium term, we will be working to improve the margin profile.

Sulabh Govila: Understood, sir. Thanks for taking my question.

Moderator: Thank you. Next question comes from the line of Nitesh, an individual investor.

Nitesh: Yes, thank you. Thanks for the opportunity. So, this is the first time I'm attending the conference call. So , I would like to know where do you see the growth coming, say, the coming quarter and also for the next financial year considering the various challenges what we are facing at the moment ?

Manoj Raghavan : So, there are headwinds and challenges that I've discussed in detail . So, in each of the industry verticals, we are really looking at adjacencies and how we can bring in growth . In the medium to long term, definitely, our focus is on the adjacencies in the transportation business, for example, Aero and Defen ce and the commercial vehicle side is something that we are really pushing to see if that growth can come back.

At the same time, we've also built a suite of products. We talked about SDV, talked about battery passport . In the m edia and communication vertical also, we talked about a number of products and intellectual properties that we have already invested in. So , while the market has been weak and our billability has been low, we have been using the time to really invest and build products that we can license subsequently and earn returns and so on .

So, I think mid to long term, I think we definitely have levers that we can use to bring back growth. And that's something that we're fairly confident that given all these uncertainties and so on, right, once we have a clearer picture, we will be able to really get back to growth. The fundamentals

of the company are still strong.

Tata Elxsi is known for its design, digital capabilities. We still have a very good name with all our customers. Most of our projects are executed in a timely manner, there are green projects. Our customer satisfaction is almost at the rate of 4.75 out of 5. So , we are tracking all of those parameters and all of the parameters are green for us. It's just a question of latching on to the growth engines and delivering that value. I'm fairly confident that we'll be able to get there .

Nitesh: Okay. I just have one more follow -up question. So are you looking for any acquisition considering the cash we have on the books of around INR 1,000 crores. And the second is how much are we dependent on JLR ? So, from the OEM perspective, are we heavily concentrated on JLR?

Manoj Raghavan : JLR is definitely one of our significant customers, no doubt about it. But there are a number of other OEMs as well that we work with. So, I think over a period of time , we have sort of ensured that our dependence on JLR as an account has actually come down. I'm happy with the level at which w e are operating with JLR today. And at the same time, I am happy with the growth in other OEM accounts, so I'm not overly concerned about that.

Regarding M&A and acquisition, yes, we continue to look out and scan for opportunities, especially in adjacencies and new areas that we want to invest in. Typically, we are looking for small -sized companies, we don't believe in big ban g acquisition. So, we will be careful and there has to be a rationale why we acquired a company, and it has to result in positive business outlook. So, there are number of filters that we have. In general, we take a lot of time to really

analy ze and only take those cases where we believe it makes sense for us. So we are very, very selective when it comes to M&A. Let me put it that way.

Moderator: Next question comes from the line of Rishi Maheshwari with Aksa Capital .

Rishi Maheshwari : Sir, just got off a call from TCS who mentions that the current quarter gives them significant hope of quick deal wins , low deal cycles , improvement in discretionary spend. And categorically speaking about how CY '25 is going to be much better than what we've seen in CY '24. Now from your commentary, we're not gathering the same confidence so far. I may have not been able to understand it in the same vein. I understand, 50% is automotive , and that is still reeling under some form of pressure.

But having said that, you've also mentioned in your press release that the Japanese and emerging markets wins gives you enough confidence in the near term. So help us understand and reconcile that thought that this is one year where perhaps we're looking at single -digit growth itself. So what can accelerate this to a double-digit growth for, if not this year, at least the next year? Or what are you looking at? Are you sensing the same forms of market sense that TCS has been speaking of?

Manoj Raghavan : Yes, I've not heard the TCS presentation, so I can't comment on that. But definitely, as you said, 50% of our revenues come from the automotive segment. And the major markets there, which is Europe for us is definitely, we are seeing a slowdown. We will get a better clarity after a quarter or a couple of quarters ; at this point in time, it's very difficult.

And that is also the reason why I cannot categorically say that automotive markets will definitely do well, especially Europe. But however, as I said, Japan, India and the rest of the world and U.S. we see a lot more positive indications. And that is something that we believe will drive our growth in the transportation business for the next financial year. Now whether that growth will overcome any sort of slowness that we've seen in Europe is something that we have to wait and watch.

Rishi Maheshwari : Sure. And just at the cost of reiteration, aside of the automobile, you mentioned that whether it's healthcare, whether it's media and communication, in those verticals, you've seen a distinct turnaround versus what we've seen in Q3. Am I right?
Manoj Raghavan : Yes. So you have seen that at least there are green shoots, at least there are deal wins happening, revenues are growing. So those are all positive indications for us.
Rishi Maheshwari : And margins, you alluded to getting back to between 25%, 26% in the near term, barring the one-offs that you had spoken off in the earlier remarks of your call, you would expect now that the wage cycle is behind and to get somewhere in the vicinity of 25% plus. Is that a fair understanding?
Gaurav Bajaj : Yes, I think that is a fair understanding, and that is our plan to get back to those margins . I think Manoj also mentioned during the previous question that the priority for us is to improve our billability and utilization, and that will come from improving our top line. So there are

enough margin levels available for us to get back to those band of margins in the short to midterm.
Moderator: Next question comes from the line of Vijay Pande y with Nuvama.
Vijay Pandey: I just wanted to understand about the U.S. market. So after the new government is in place, are you seeing any improvement in the automotive market? And any deals we think that is moving on that will come over the next quarter or coming quarters? A ny update if there is a turnaround in the U.S. market.
Manoj Raghavan : Your voice was breaking. So, your question is whether we are seeing any turnaround in the U.S. market, right?
Vijay Pandey: Yes. Yes.
Manoj Raghavan : And with the new government of Trump coming in, what is that impact, right? So, I think for us, the U.S. market is important because all the 3 verticals, which is automotive, the media and communication and the healthcare, has a significant preference in that particular market for us. So both media and communication and healthcare, we also have a sizable customer base and large deals h appening in the U.S. geography.
We're continuing to invest in the U.S. geography, in terms of enhancement of the sales team and a number of things that we are doing in the U.S. market to really ramp up our business .
Regarding our transportation business, yes, I think there are a number of discussions that are happening with both O EMs and Tier 1 suppliers there.
We have recently announced a strategic partnership with Qualcomm, those are also positive for us that we will together go and collaborate with customers that use Qualcomm chipset for SDV. So these are various discussions that are happening. And I think those are reasons why I'm a little more confident that there will be some recovery in the U.S. market for us.
Moderator: Next question comes from the line of Jalaj with S van Investment. Please go ahead.
Jalaj: Thanks for the opportunity. S ir, my first question was in this quarter or Q2. The growth has been predominantly driven by customers which are ex of top 10. So could you throw a little light on to that as in geography wise or maybe how do I match this with the growth coming from what sort of clients per specif ically ?
Manoj Raghavan : Yes, let me answer that before you go on. As I mentioned , a lot of the growth for us this quarter has come in from Asia Pacific reg ion, in Japan and so on. So these are all set of new customers that we have added. And that is why they will not form the part of the top 10 account for us. And a lot of the top 10 accounts are auto companies that are based in Europe as well as U.S. , and so this sort of general economic situation there results in the dip in some of those accounts and that's causing that top 10 to drop.
Jalaj: Understood. And my second question was w

ith regards to the other verticals. So maybe first,
I'll talk about transportation. So your discussions with clients, are they happening basically

specifically to the European clients, has there been a steep cutting the budgets on the ER&D spend or there's a reprioritization of this then, how has the discussion particularly happening there? I'll tell you why I'm asking this is because under pressure, ideally, the company should be spending a lot more on trying to defend their market specifically?
Manoj Raghavan : No, that's a theoretical way of looking at it. T hat doesn't happen often - For example, if car

companies have been investing heavily on the EV side and suddenly they see that, look, Chinese companies are coming into their own home country and selling cars. So that is a little bit of a rethink on their overall strategy: Do they invest more on hybrids and ICE and then talk to the government about tariffs and ensuring that the Chinese car companies are not able to sell? So, there are a number of things that are happening in the market. So I would say the speed at which all of this is changing has taken some of the car companies by surprise and that is also resulting in this confusion about budgets and spend and so on. So I think over a period of time, we'll get a little more clarity .

Jalaj : Got it. And one last question, maybe, sir, for both media and telecom and health care, at least it looks like the rate of degrowth has bottomed out for both the vertica ls. W hat sort of discussions are you having in terms of what the deal wins ? The pickup to happen in these both verticals, would it take a little longer or should happen quickly?

Manoj Raghavan : We are hoping that in both these verticals, the pickup of business should start from the next quarter onwards, in some cases from Q1. W e have won some large deals and those ramp -ups will happen next quarter and the subsequent quarters. And there are a lot of discussions that are happening as we speak. So all of those , depending on closures , will definitely bring in revenues in Q1 and so on.

Jalaj : Fine. Thanks a lot and best of luck.

Moderator: Thank you. Next question comes from the line of Abhishek Agarwal an Individual Investor. Please go ahead.

Abhishek Agarwal: So just wanted to understand in the a uto segment. If I take, let's say, U.S. and Europe as one cluster and India and other emerging markets where we've seen good growth as another cluster. Just wanted to get an idea of the differences in these two clusters in terms of competitive intensity, pricing power from the perspective of Tata Elxsi and billability or price sensitivity in general?

Manoj Raghavan : Especially in Japan and so on, we don't see that much of an issue with respect to pricing. Of course, in the Indian market we definitely see pricing will be an issue. But we're managing it through our exposure towards different markets are also based on what sort of price realization we can achieve.

So we don't see too much of a difference b etween the Western world whether it's Japan or Europe or U.S. O f course, competition intensity is definitely higher in the Western world because the bar riers to working are low . There is no language or culture barriers, b ut if you go to work with a company in Japan, you have a lot of other barriers.

It's not an easy not easy to work with Japanese companies , unless you have a history of working with them and you understand their quality processes, expectations, language, culture and typically Japanese companies, once you start working with them , it's typically a long -term engagement. They never sign a deal for 1 year and so on. It's usually a 5-year sort of a large commitment that is there fr om one company to other. So that's the advantage of working with companies in Japan. It takes time, b ut once you win a deal with them, it's usually for the long term.

Abhishek Agarwal: Understood. That's all from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Ajay Jain, an Individual investor. Please go ahead.

Ajay Jain : Thank you very much for taking my question. I have one question. There have been many collaborations with well-known companies in transportation, hea lthcare and media, including setting up centers of excellence for the last many quarters. Why are we not seeing any monetization of these? Can we see anything on these lines in future?

Manoj Raghavan : You are actually seeing monetization. And that is why , in spite of degrowth in a major market like Europe, we are still able to show growth in the transportation business. That is exactly because of the monetization of all the deals that we have won. So it's wrong for you to say that you're not seeing that. Yes, at the company level, you may not see that because of certain markets not performing the way it was performing. So that's the reason. If we had not done these partnerships or deals, then we would have seen a massive degrowth in our business.

Ajay Jain : Okay. But the grow th itself is less than 1% or 2%?

Manoj Raghavan : Yes, Mr. Jain, it's a very difficult market out there in Europe and U.S. We have been able to show growth. This is a very credible performance, I would say.

Ajay Jain: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Sanjay Chawla with Renaissance Investment Managers . Please go ahead.

Sanjay Chawla: Good evening. Thank you for the opportunity. Y ou talked about Western governments

responding or looking to respond to Chinese EV makers through tariffs and nontariff barriers.
But specifically, do you see a situation of U.S. and Europe pivoting away from EV by cutting down the subsidies of credit and scaling back EV penetration targets. Because all feels you have done so far is to let China become dominant in autos and start getting the best of the Western automakers?
Manoj Raghavan : Yes. But with Trump coming to power and with Elon Musk by side, I really don't know what decisions they would take and there is definitely pressure from the German auto motive industry lobby because Germany as an economy depends heavily on automotive industry. And there is a lot of pain out there with job cuts and factory closures . So definitely, there's a lot of

pressure on the government to take certain actions to ensure that the jobs are protected in those local geographies. So we will see some impact.
Sanjay Chawla: So you think the tariff and non-tariff barriers essentially seems to be a way to go as of now?
Manoj Raghavan : It doesn't matter what I think - I'm just saying that's what I'm looking at , what I'm reading and talking to people and so on. I'm not a politician who is deciding, but I'm just saying that is an opportunity. And I don't know whether it will happen or not.
Moderator: Thank you. Next question comes from the line of Shyam Ramakrishnan, an Individual Investor . Please go ahead.
Shyam Ramakrishnan: In the previous con call, it was mentioned that it was difficult to exit it might be difficult to exit FY '25 with a better growth rate than FY '24. So now that Q3 results are out, is there still any possibility that FY '25 could end better? Or is that a really optimistic view?
Manoj Raghavan : No. I think FY '25 will definitely be a soft year. We were hoping that these headwinds that we're seeing in automotive industry, we will still be able to find a way to recover. But with the Q3 performance, I think it will be very difficult for us to pull so much in Q4 to compensate for the flatness that we are seeing, right? So yes, it will be difficult, yes.
Shyam Ramakrishnan: And just one final question. Going for

ward, I think maybe next 2 years or 3 years, will the tax rate be upwards of 24%, 25%, is that the new normal?
Gaurav Bajaj : Yes, Shyam. I think the tax rate going forward would be upwards of 25%. As you know, there is no new approval happening on the increased rate units of India. So the remaining period for the tax holiday will continue for some time. So you can expect the tax rate to be upwards of 25%.
Shyam Ramakrishnan: Okay. Thank you. That's it from me end. Thank you.
Moderator: Thank you. Next question comes from the line of Kanchi Shah with MC Research . Please go ahead.
Kanchi Shah: So I had a question on automotive. So can you please guide us like how much does the U.S., Europe and Asia contribute to this market?
Manoj Raghavan : You're talking about geography contribution?
Kanchi Shah: In terms of revenue contribution, like how much are these geographies contributing to the automotive market, like since you have said that Europe is still expected to take time to recover. So Asia Pacific is do ing great for you, so could you give us the break- up?
Gaurav Bajaj : We don't provide the numbers of the geo by business vertical. We provide typically the revenue mix from the geo at the company level, but we can give you a little bit qualitative answer – In the automotive world, most of the substantial part of the revenue comes from the Europe then followed by the U.S. and the APAC market.

But of late, as Manoj mentioned, and we also mentioned in our Press Release, the automotive market and especially the Western OEM s are under certain pressure. At the same time, we see an uptick happening in the Japanese market and the APAC market. So there is some movement that is happening more towards the APAC and the Japanese market, which gets compensated from the slowdown in the European market. But still the European market is a significant part of the overall revenue mix within the automotive.
Moderator: Thank you. Next question comes from the line of Sanjay Shah with Pranishta . Please go ahead.
Sanjay Shah: Basically, I just wanted to try and understand what is this relationship or the collaboration that you have set up with CSIR National Aerospace, and how big can the opportunity be? If you could just elaborate on that? Is there a possibility for you to partner with many other such

enterprises within India or overseas for the UAVs and UAMs ?

Manoj Raghavan : Sure, absolutely. S o, as I said, we are building our Avionics and Aerospace and D efence vertical. And the tie -up with NAL is one such tie -up that we have , of course, for access to technology as well as access to their infrastructure and labs, right, especially when you look at UAVs and drones, flight control systems and so on. Some of the labs are very, very expensive to set up and so on.

Various companies like N AL, HAL, and others already had those infrastructure that is available. The tie up is definitely to, w hen we bid for projects, th ere is a need to have both technology and infrastructure in place. And we are trying to build that through collaboration with some of these organizations.

Sanjay Shah: Do you have a sense on what kind of an opportunity it could be in a few years' time? Let me ask it slightly differently. Just given the headwinds that you're facing and some of the participants have spoken about it , you've spoken about it , with respect to the automobile industry and also your initiatives in some of the other areas - if you could just elaborate on how Tata Elxsi of 3 years later would be as compared to where Tata Elxsi is in terms of its business mix?

Manoj Raghavan : So definitely, we see Aerospace, Avionics and D efence going to be a big opportunity area for us, not just in India, but also overseas. We talked about UAVs, drones, electrical vertical take-off right ,
eVTOL these are all very, very signific

ant opportunity areas for us 4 years t o 5 years down the line, when the technology matures. And so that is something that we are investing today. We have pretty ambitious plans there. I wouldn't want to put any number there. But if you ask me 4 years to 5 years from now, I think that piece of business will be a significant revenue earner for Tata Elxsi.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and -answer session. I would now like to hand the conference over to the management of Tata Elxsi for closing comments.

Manoj Raghavan : Thank you, everyone, for attending the Q3 conference. We look forward to really working hard on Q4 numbers and coming back to you with better news in Q4. Thank you so much for your time.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2025

April 21, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s / Madam ,
Sub.: Transcripts of the Investors' Conference C all for the quarter and year ended March 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2025, held on April 17, 2025.
The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
"Tata Elxsi Limited
Q4 FY '25 Ea r nings Conference Call "
April 17, 2025
MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED
MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you Mr. Ganesh.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're joining us from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors, therefore, must be viewed in conjunction with the business risk that could cause the result performance or achievements that differ significantly from what is expressed or implied by such statements.
To take you through the results and answer your questions today, we have the senior

management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Fi nancial Officer; and Ms. Cauveri Sriram, Company Secretary. W e will start the call with a brief overview of the past quarter by Mr. Raghavan followed by a Q&A session.
We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to take them forward.
With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. Good evening, and good morning to everybody who's joining us on this earnings call today. For the fourth quarter of FY '25, we reported an operating revenue of INR 908.3 crores and a PBT margin at 23.3%. We ended the financial year with a revenue of INR 3,729 cr ores and a PBT margin of 26.3%.
The Board of Directors have recommended a final dividend of 750%, that is INR 75 per equity share of par value of INR10 each for the financial year ending 31st March 2025, subject to approval by the shareholders.
Coming to the business. We reported a healthy quarter -on-quarter growth of 3.5% in constant currency terms in the quarter for Heal thcare & Life Sciences segment.
We have established a strong foundation for continued growth in our Healthcare & Life Sciences business with addition of 1 3 new marquee customers in the year and expanded capabilities and platforms in new growth areas such as sustainability and AI -powered diagnostics and therapies.
Our automotive business witnessed challenges in the quarter as some OEMs and suppliers paused new program starts in the face of geopolitical and market uncertainties and are focused

on conserving cash. We also saw delays in ramp -ups planned for ongoing deals won in the previous quarters that we expect to resume starting Q1 '26.
We won a strategic EUR50 million multiyear SDV and software engineering deal with a Europe headquartered global car OEM. That will actually start ramping starting Q1 FY '26. We are transforming our customer base with a continued shift towards OEMs and S DV in automotive industry, providing us with a set of customers and a platform for our long-term growth.
Our Media and Communication business saw some customer -specific issues in the quarter due to M&As and business restructuring, while the overall industry continue s to exercise caution in R&D spend and innovation. But I'm pleased to report a strategic multiyear

product engineering
consolidation deal of over USD100 million with a marquee operator in the media and communications vertical , which is the largest single deal in our company's history. We also won a strategic USD10 million consolidation deal with a global broadcaster for a streaming video platform engineering. Both these deals are with existing customers, and we won again st some of the best global competition. This again lends a strong foundation for the coming year as we look to bring back growth in this segment.
Our system integration and support business is pivoting to value -added services and innovation-led products such as experience centers. It worked with our design team to deliver the design and technology implementation to the prestigious Bharat Pavilion at the World Expo 2025 in Osaka, Japan, that was inaugurated earlier this month.
I'm delighted with the international recognition for our design digital proportions, with two IF award wins for 2025. We won the UX award for GameSense, our experiential solution that brings together UX design, AI and digital technologies to deliver enhanc ed fan engagement and monetization for global sports and live events. We also won an IF award for product design with our next -generation racing simulator gear design for Turtle Beach, a leader in gaming technologies.
Our design -led revenues have grown at over 25% in the year, clearly underscoring the strength of our design digital proposition. We are expanding our vertical presence with the addition of aerospace and defense, addressing emerging opportunities for space, unmanned aerial vehicles, software -defined systems and indigenization in the sector. We are pleased to have been associated with HA L (Hindustan Aeronauticals Limited) for the Combat Air Teaming System, (CATS) Warrior an unmanned autonomous combat air vehi cle, which was displayed at the Aero Show in February 2025.
We have signed strategic partnerships with NAL and Garuda Aerospace and have been empanelled with 2 global aerospace majors and a new age eVTOL company. We continue to invest strongly in digital, AI, engineering technologies across the verticals targeting efficiency and quality in product engineering and novel applications of GenAI combined with domain and design expertise to solve complex business, product and engineering problems.

Over 70% of our talent base is now AI ready, and we have built a pool of over 500 specialists across domains and application areas. We enter the new financial year, the foundation for

stability and long -term growth led by the large deal wins, the continued confidence of our customers across the world and a strong deal pipeline and a differentiated design -led proportion for innovation and product engineering.
So thank you, and let's start the Q&A session.
Moderator: Thank you very much. The first question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila: So the first question is on the large deals that you've announced. Just wanted to check, especially on the consolidation deals. What's the net new component there in the media vertical?
Manoj Raghavan: It's a multiyear deal. It's a 3 -year deal. So the net new component would be approximately 25% to 30%.
Sulabh Govila: Okay. Understood. And then with respect to the auto vertical, given that there have been changes globally with respect to tariff announcement, etcetera. Some of our clients, especially the top client , have made some certain announcements with respect to certain strategic changes that they are considering. So just wanted to understand how does that have any bearing on the business that we do with them?
Manoj Raghavan: Yes. So I think it's not just us, but I'm sure many other companies are facing the same challenges with our OEM customers, especially in automotive industry due to a

ll these geopolitical issues
and the tariff issues. So actually, in this quarter, we have s een a number of projects that we are working on - especially with our top customer - witnessing pauses. We are hoping that over the next couple of quarters, we will have a lot more clarity on this.
At this point in time, it's too early for us to have that clarity. However , with the new large deal wins that we have announced today, we're really hopeful that those projects will ramp up and some of these weaknesses will get covered up. We are in discussions with our key customers to navigate this difficult scenario.
Sulabh Govila: Okay. Understood. Just a follow -up there, and this is maybe both for auto and the media vertical. And given that there are multiple moving parts here , with respect to the current quarter which we are currently in, how would you think about the visibility currently given that there were certain pauses which were there an d some deals which will ramp up?
So on a net -net basis, how should we think about the visibility that we have? Do you think that we can improve from the fourth quarter that we had and get into the growth trajectory or that would be some time away?
Manoj Raghavan: The entire focus of the management team is to ensure that we grow back from Q4. I would say we have decent visibility and a lot of encouraging discussions with some of our key customers. We strongly believe that we will be able to grow back in Q1.

Sulabh Govila: Understood. And just one last question on the margins bit. The other expenses, they fell very sharply on a Q -on-Q basis. So just wanted to understand what led to that? And what should be a sustainable number going forward?
Manoj Raghavan: Yes, I will have Gaurav respond to that.
Gaurav Bajaj: Sulabh, I think this is a soft quarter and difficult times with uncertainty. So we have been very disciplined in terms of some of the discretionary spend that we have been doing. Along with some of the other expenses, non-people costs, we have been very cautious in terms of how much is to be spent and where it is to be spent. And most of that saving is coming from some of the third -party contractors, consultants, the travels and the visas and the office consolidation. So most of those savings are coming from those discretionary sp end, which we believe can be avoided for the time being until the time we see the better growth on the top line.
I think we put those measures into consideration and executions even before this quarter. So those started to give us some better results in the quarter, and we continue to measure those as we move forward in the next quarter and the next financial year.
Moderator: Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: I actually wanted to clarify on a couple of things. Number 1 thing is that if I see your last 3 years' performance, you've had challenges in 2 of the 3 industry verticals, Automotive was the one

which is driving growth. With some of these deal wins that you've announced in the current quarter, do you think we begin to essentially reverse the course of declines that we've seen in the other 2 industry segments. That's question number one . The second question was with regards to margins. Once again, I would presume that some of the margin decline is on account of revenue weakness as you are now saying that we should
probably be looking at stability to improvement in growth from Q4 levels. Does that mean that we should probably start to see an improvement in margins as well?
Manoj Raghavan: Yes, definitely, margins would improve with the growth in business . I think one of the key reasons for the margin decline has been the revenue degrowt h. So very clearly, our focus is to bring back the revenue growth which will automatically bring back the margin growth.
Reg

arding in each of these industry verticals, we have announced large deal wins.
Our healthcare business continues to grow, and we really expect that to continue to grow strongly over the next financial year. We won some very, very good logos in the last financial year. And for us, the focus would be really to go deeply and mine those logos that we have won in the last financial year.
In the case of Automotive and Media and Communication, the good part is because of the large deal wins, we will have stability in our long -term businesses. It is very important to really protect the sort of downside for us. And so these large deal wins gives us that confidence.

Now we really need to go and see how we can mine these accounts and grow faster, right? So those are the activities that we will really focus. And so FY '26 will all be about growing back, getting that momentum back and really focusing on these key deal wi ns that we have and really scaling them and mining them faster and better.
Manik Taneja: Manoj, just a question with regards to whatever we've been hearing from some of your IT peers in the course of recent deal s. Typically, you've seen first half being seasonally strong, second half because of the calendar effect and the usual seasonality tends to be weak. With the current backdrop, do you think you probably start slow and see an acceleration in sequential growth rates through the course of the year o r do you think it is difficult to essentially building that kind of a trajectory at the current moment?
Manoj Raghavan: No, I think for us, these large deal wins would mean that we really need to start expanding the relationship right from Q1. Of course, Q1 and Q2 would be a bit slow because these are consolidation deals, we would need to take over from existing suppliers, and there will be some amount of investments that we would need to put in to really build that business.
But from Q2 onwards and subsequently, we expect the full value of the deal to come in play. So for us, we would really expect that, look, we will see an accelerated growth as we move into the financial year.
Manik Taneja: Sure. So the last clarification is, do we also envisage a change in our typical on -site offshore mix as we consolidate some of our competition as well as how should we be thinking about hiring now even we've been trying to essentially keep cost in control and then thereby through the
course of this year, we've cut headcount.
Manoj Raghavan: Yes. From an on -site offshore mix, I don't think we will see too much of a change because some of these large consolidation deals have also been focused on servicing them from the best cost countries. Customers don't really want us to spend additional budg ets by having people on site and so on.
So the signature of the deals that we see going forward are a lot more on to best -cost countries rather than high-cost countries. So that is the signature of the deals that we see, whatever deals that we are closing. So that aligns with our philosophy as w ell that we are traditionally strong at deliv ering offshore.
So we don't see a big change there in terms of either having a lot more resources on site and so on. There could be some temporary blip as we take over and transition work and so on. But in the midterm to long term, we will be at the sort of on -site offsho re ratios that we see today.
Manik Taneja: Sure. And any questions or any response on the headcount metrics as to how should we see that play out, given you cut headcount in the course of the year focused on improving utilization, et cetera?
Manoj Raghavan: Yes. when I say cut headcount, we have natural attrition that w e have not replaced because we have a very good quality bench that is available. And we have been very careful to add laterals.

Of course, we do add laterals also on a need basis, but we have been very, very selective in the type of people that we bring in. So I think we would continue to be cautious over the next 2 quarters, I would say. Having said that, we will have a few freshers coming in this quarter and next quarter. But from a lateral perspective, we will definitely be a lot more cautious, and it will all be based on the business growth that we see.
Manik Taneja: And there is enough kind of bench strength to improve utilization and service the so-called improvement in demand that you foresee over the next 3-to -6 months?
Manoj Raghavan: Yes, absolutely.
Moderator: Next question is from line of Ashwini Singh from Statpro Fintech. Please go ahead.
Ashwini Singh : As you would be well aware that there's a huge capex currently underway for semiconductor fabrication and assembly plants in India. The largest being from Tata Electronics, which is a promoter group entity. So I'd like to understand if there's any opportunity for Tata Elxsi because I understand that Tata Elxsi is a leader in semiconductor space design such as VLSI design, etcetera. So whether you are in talks of some of the semiconductor companies which are coming up? And if you look at some opportunities over there.
Manoj Raghavan: Yes. So of course, yes, we are in discussion with the companies that are planning to set up fabs and so on. Right now, they are in the factory setup stage and so on. So there are discussions ongoing with these customers from a viewpoint of our design offer ings. Also, our manufacturing and Industry 4.0 offerings. We are having discussions with them.
It's pretty early from a chip design side because the focus right now is not really building new chips and so on. But however, those are discussions that we are having, but these are still early stages, I would say. We would definitely be interested to see how we can support the India semiconductor ecosystem moving forward.
Ashwini Singh : Sir, can you quantify what kind of opportunity size you're looking at like in the coming few years in this space?
Manoj Raghavan: It's very, very early, I would say, to give what you say, a business value. However, we are in close discussions with a few of these customers to see how we can be relevant to their plans . I think it will take at least another couple of quarters before we can formally get back and say what sort of value proportion we have for these customers .
So however, today, we are engaging with them. We are supporting them where we have capabilities, especially from the design side and the manufacturing side. And those are areas that we are focused on. On the chip design side, we are on a wait and watch, ri ght, to see what sort of opportunities evolve right for us.
Moderator: Next question is from the line of Hasmukh from Tata Mutual Fund. Please go ahead.

Hasmukh: Just have one question around FY '26 growth. So I do understand that you don't provide guidance, but considering the weaker exit and acceleration of growth from Q1 onwards, would it be fair to assume that you will be growing better than FY '25 in FY '26?
Manoj Raghavan: That is the clear focus of the management team, and we are a little more confident because of some of the deal wins that we have had in the last quarter, and we have entire 4 quarters now really to scale up some of these deal wins. So we're really hoping t hat we will be able to deliver better performance than FY '25.
Hasmukh: Okay. Got it. But just one follow -up here. So these large deal wins, are you witnessing any delay in ramp -up or those are, let's say, getting started on time probably as per you?
Manoj Raghavan: We have been in discussions over the last 4 quarters and finally the announcements are happening. And we are happy that we are seeing light at the end of the tunnel. So to that exten

t, I'm really happy that things are moving. So definitely, we really don't see too much of delays moving forward because the custom ers also have the need and the necessity to ramp up and move quickly. So this financial year, definitely, we will see a lot of revenue uptick coming in from these deals.
Moderator: Next question is from the line of Nitin from Green Capital. Please go ahead.
Nitin: My question pertains more as an investor. Now obviously, there are some risk mitigation strategies that the management would have liked to undergo in terms of trying to change the revenue mix, maybe reducing U.S. exposure and increasing exposure to rest of the world, China, Japan or increasing exposure to India or to EU?
Just wanted to get a sense of what the initial chats or feedback have been from some of your larger clients in terms of IT spending and some risk mitigation strategies towards that? Would love to hear the management thoughts?
Manoj Raghavan: Sure. I think as you would have seen this, the geopolitical situation with the tariffs and so on and with the war going on, of course, we are seeing Europe and U.S. two large geographies, really showing a slowdown across both automotive and media and communication. So consciously, if

you look at it, we have been really expanding beyond the 2 main markets. We're really looking at emerging markets, including India, Japan, the Middle East, Africa, LatAm and Southeast Asia. So we have consciousl y really expanded the bucket, expanded the markets that we would go into.

And I think we have had decent successes, I would say. Japan business grew pretty well for us in the financial year. Similarly, our India business really accelerated in the financial year. And I think that gives us a lot of confidence that there are a lot more companies based in India now who really appreciate the design digital offerings. And we have some wonderful successes in the Indian automotive industry.

We work with all the major players supporting them in a lot of the new product launches, a lot of the connectivity platform s that you see car companies launching in India have been powered

by Tata Elxsi's Tether platform. So there are a lot of interesting stuff that we are doing with India and India -based customers as well .

Of course, GCCs are a strategic play for us and we've also seen an increase in the GCC business, in our Automotive as well as in Media and Communication and the Healthcare space. So I think for us, India and the emerging markets will continue to be an important market for us in the coming financial year as well.

Nitin: Yes. So the follow -up to that is like I do see over the year in terms of revenue mix and the U.S. exposure has reduced from approximately 38% to 31%. India exposure has increased from approximately 16% to 19%, and rest of the world exposure has increased a bout 5.6% to 8.3%.

So I'm sure that there has already been a movement within the company to hedge a lot of exposure away from U.S. and maybe reduce Europe and get more specifically into LatAm, as you said, or Africa or Southeast Asia or more towards Japan or East Europe. So having said that, is it so easy for a company to change the revenue mix so quickly? Or does it take time? And does it take like a quarter or two ? Or will it be also clear with the situation maybe once the U.S. clients are clearer maybe after the quarter as to what specific tariffs and taxes are applying and how their spending is getting affected because not everyone will be painted with the same boat. Just some thoughts on that?

Manoj Raghavan: Yes. So these emerging markets that we talked about, it is not a 1 -quarter play, right? We have been investing and actually building relationships, building local partnerships, building sales channels, over more than 4 to 6 quarters, I would say. And I thi nk that is the derisking strategy tha

t we planned even the previous financial year has actually helped us now. I mean nobody could have predicted the current geopolitical situation and the tariff issue that we are seeing . But our strategy of expanding the universe of markets that we go after, right, has actually helped us in this particular situation. So it's not a knee jerk reaction only for the last one quarter. This has been planned out and it is that strategy of really looking out for newer markets has really helped us in this current difficult situation in both U.S. and Europe.

Nitin: Thanks, all the best of the management team go through this tough period, and I hope we come out of this much better as we go across the year.

Moderator: Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: So my question is related to the large deals in the Media and Communication verticals that you have announced. So if you can throw some more light in terms of what is the tenure of the deal? And in terms of margin, is the margin similar to the company aver age or generally the larger deals have a bit lower margins at the beginning. So is it similar to that? And is there any like rebadging also involved in this?

Manoj Raghavan: Yes. So this is an existing customer, as I talked about. It's a 3 -year deal. Of course, since it's a consolidation deal, it is a deal that has been won over all the major global competition .

I would say it's a very prestigious deal for us and the confidence that the customer has placed on us I think that is something that we really are very, very happy to see .

So yes, as I said, since it's a consolidation deal, we had to be competitive from a pricing perspective. So it definitely, I would say, comes at a competitive rate. But a good part for us is it gives us that stability over 3 years. It is up to us now to see how we can leverage this deal and extract the margins and there are a lot of things that opportunities are there, including AI, GenAI

and so on, how we will leverage this to improve our margins.
There is no rebadging in this particular deal. So to that extent, we don't take any unnecessary risk with local and on -site that we had to rebadge some high -cost resources and so on. So we don't have any of those challenges.
Gaurav Bajaj: And Amit, just to add to that point, I think large deals also come with a billable deployment opportunity for us. And with the quality of the bench available with us, that will definitely help us on our margins to move upwards from what we have seen in this quarter. That's what we said.
I think the margin is a direct function of the top line growth. So our focus is to get the growth back and the margin, you will see automatically start to get back to the normal levels.
Amit Chandra: Okay. And also on the Auto OEM 50 million deal, So these 2 deals, we have won in an environment when there is a lot of uncertainty in the macros. So these we think that these 2 deals have been committed by the clients despite of the tariff scenario and despite of the ongoing challenge or these factors like did not impact or maybe these are committed much earlier than the uncertainty started?
Manoj Raghavan: No, as I discussed in an earlier question, right, these are not new deals that come up just in the last quarter. Both these deals have been worked on over multiple quarters . So it is whether the current geopolitical issues and tariffs had influenced this decision, I mean, I wouldn't say that.
The customers had to do a lot of internal negotiations to work around, there were worker council related issues. There are a lot of regulations that they have to be careful before they take these decisi ons because these decisions also involves moving a lot of work from high-cost locations to best -cost locations like India. So there are a lot of sensitivities involv

ed when a customer announces such deals. So naturally it took a long time before they got a ll those internal approvals and so on. And that is a deal cycle nowadays, especially when you look at large deals.
Amit Chandra: Okay. And lastly, in terms of the deal to revenue conversion cycle. So anything has changed in the last 2 weeks in terms of the revenue conversion or everything is on track?
Manoj Raghavan: No, I would say everything is on track. We've not seen any undue or any negative things over the last 2 weeks to make us cautious.
Moderator: Next question is from of Debashish Mazumdar from Svan Investments. Please go ahead.
Debashish Mazumdar: So I have just only one question. If I remember the way you and some of your competition were describing the OEM situation last quarter and last -to-last quarter, it was like there was a lot of

pressure in the OEM's own business, some of those pressures are structural like not shifting to the Chinese and putting pressure on European OEMs and stuff like that?
In this quarter discussion as of now, it is more seems to be related to tariff -related uncertainty and seems to be those OEM limited uncertainties are behind us. Is my understanding correct?
Or is it that in your base already or new order wins or new deal wins are giving us this kind of confidence?
Nitin Pai: Yes. So Debashish if I may, and this is Nitin here. I think the points that we made earlier stay because there's nothing that has changed in terms of China still being a very, very credible threat to business. And China as a market is coming under pressure for a large part of the OEMs since global OEMs have traditionally have a large part of their revenues coming from that market, right? So that doesn't go away. That still stays true.
I think what tariffs have provided is an additional layer of complexity and uncertainty. And that is where we have seen even further delays in terms of either decision -making or pauses in terms of ramp -ups that we've seen in deals that we already won. So that is the pain. Why? Because we've built capacity, we have built bench, we have targeted it for the kind of business that we already won and seen. And that unfortunately has come under a pause simply because of this uncertainty and therefore customer -related indecisiveness on starts and stops.
The deal wins, I think, however, in response to the previous question, are made in good cognizance of all the uncertainties and the tariffs and so on. And therefore, we don't see an issue in those starting off ramping up and going according to plan. In fac t, some of the older deals are also hopefully c oming back for ramp-ups .
So just to address your point, again, tariffs bring another layer of complexity. It's not that the previous issues go away, they stay. But even as the OEMs are just starting to get their heads around those problems, I think tariffs have brought in another headache. So just look at it that way.
Debashish Mazumdar: So then are you saying that your FY '26 will be possibly better than FY '25? It is just because of the deal wins that you have done already or the pipeline that you are currently have a visibility.
Is my understanding correct?
Nitin Pai: Debashish. In general, I would say, look at it this way; The fact that we have a fantastic customer base. We have been in this business for a long time. So customers continue. It's just a matter of

whether all business renews, extends and you have new project starts.
So on one hand, there are a set of customers like Tier 1s, where we continue to see pressure on their business. Over the last 2 years, we are very strongly and smartly pivoted to OEMs, and
they are now 70-plus percent of our revenues. So that gives you one level of stability and foundation for growth.

Two is we locked into

LTV programs with a large number of these customers. LTV programs by nature are long term. They are not projects, projects in that sense. So that gives you stability from an annuity perspective.
Third, I think the large deals provide additional layer of confidence, which is that even as some project ramp down, Tier 1s kind of slow down a little more, you have now these new OEM wins that are starting to layer on new revenue and growth. So that itse lf is not the answer to growth,
but it provides confidence for growth.
Debashish Mazumdar: Okay. Okay. Understood. And one last question over the period of last 2 years, at least we have seen a significant pressure on our margin performance. Do you think that where we are standing today is this kind of bottom and is a very high possibility that we will turn back from here? Or in our model for the next 2 to 3 years should we built in a comparatively lower margin for Tata Elxsi as compared to what we have seen in the past?
Gaurav Bajaj: Debashish, this is Gaurav. I think we are very confident that in our operating model and all the operating KPIs that is there in the organization that we will bounce back on the margin. I think it is only the equation of the revenue and the growth coming back. We tend to believe that we will start to see the margin level start to improve as the growth comes back in the coming quarter.
We don't see any significant change in the signature of how we have been doing our business, whether that's on -site offshore mix or T&M versus fixed price. So all those KPIs remains very robust. We have a good bench available. utilization today is slightly lower to 70%. So we have a good way forward to improve our utilization, and that automatically helps in terms of improving our margin without doing much of the hiring that would be required for some of the large deal that has been won.
And our SG&A is also quite controlled, and that will not go up linearly in terms of the revenue growth. So all those levers are available for the company to improve on margins . While I cannot comment in the short to midterm, whether we will get back to our normal margins , definitely, there is a path and there is a very focused approach from our side to get back to our normal levels of margins where we used to operate about 1.5 to 2 years back.
Debashish Mazumdar: So just a small follow -up. So when you are saying normal margin level, EBIT like 20% to 30% kind of margin is the normal margin in your mind? Or is there something...
Gaurav Bajaj: Since you brought the point of margins 2 years back, so I'm just circling it back to the margins level that we used to see about 1.5 to 2 years back.
Moderator: Next question is from the line of Mayur from Mahesh Kumar & Company. Please go ahead.
Mayur: This quarter, after a long time, we have seen a growth in the Healthcare vertical. So if you can throw some more light on it, how is the growth looking at and the deal pipeline that you see forward ? Last 1 or 2 years were difficult for this segment , but now we have seen a pickup after a long time. So do you think that this kind of growth can be maintained in the times to come?

Nitin Pai: Mayur, this is Nitin here. Maybe I'll take that question. If you look at what hurt us for the last 5, 6 quarters in our healthcare business, there are 2 fundamental causes. One was something called medical device regulations, which is a large part of what we were doing in our regulatory services for the health care business. So that was set for a certain timeline to complete that was supposed to be a big volume of work that would continue. That suddenly disappeared because the implementation timelines were relaxed by another 3, 4 years. So customers suddenly have a choice of saying, look, let's not do anything right now? Or maybe I will insource some of this. So I have the lu

xury of time and so on, right? So that kind of put us on a revenue cliff, which is not expected. So that is part number one.
Part 2 was we had a very specific client issue, somewhere in the middle of the year, where the customer had a standard renewal coming up for a very large program that we were working on for them. This v ery prestigious, very next -gen program that was put on hold because of certain

signatures that they saw and that was not resumed. So we actually have climbed over 2 big holes that we have fallen into. One, a few quarters back, one a lot more recent in the last 2 -3 quarters. I think the positive signs there are the fantastic addition of customers.

So that's the part number one, which is how do you derisk your customer base? Because remember, there's a small business, not too many customers in the portfolio, each customer being deeply mined, but also, of course, creating a risk of a single customer f ailure. I think we have de-risked to the largest extent.

Two is, I think our portfolio has shifted significantly in the year to core product engineering, innovation and AI. And that takes away the risk of regulatory. So I think in that sense, I would say, truly, as we stand today and as we look at the year ahead and the years ahead, the health care business is in good health.

Mayur: So we had an ambition of 20% of our revenues coming from this vertical. So when do you see that happening? Or do you have any visibility that maybe 2, 3 years down the line, that can be a possibility?

Nitin Pai: Yes. So I think that will be a good time frame because please note, we want the Media and Communication, Automotive businesses to grow too.

Mayur: Sure. And my next question pertains to the Automotive vertical. So we have been talking of large deals coming in Media vertical but what is the pipeline of large deal s coming in the Automotive vertical as we have witnessed slowdown in Europe and all those markets. So there is after a certain time, there is companies always look for cost cutting. And do you see those opportunities coming to us for the next year or so where we can transform the company from a certain level to the next level in the Auto motive vertical?

Nitin Pai: Yes. So maybe I can take that again, Mayur. Definitely, yes, because I think 2 or 3 things are very true. One is that, unfortunately, you cannot relax on innovation and innovation fundamentally depends on software and digital and AI. The fact that for thes e skills, there is no better place to come to than India simply because you do not have the talent base and the talent base is going to be very expensive anywhere else in the world.

And if you're already under pressure on your revenues and your bottom line and yet you have to execute on your strategic R&D agenda and innovation agenda, we believe India is well placed and Tata Elxsi is best placed. And so that, I think, is the fundament al point that we're making about how we see long-term sustainability and growth in our business right?

Of course, we will see issues at times. There will be quarters where there'll be either customer - specific issues or structural issues like that is suddenly being announced that shape the world and cause them to pause for a bit. But in the medium and long t erm, we are very, very bullish on how we see automotive and our competitive advantage that we have in the automotive business.

Mayur: Okay. So earlier, we used to talk that the automotive verticals can grow up to 20% to 25% CAGR on a sustainable basis, but that has not happened. So what factors would contribute to that do you think? Because near term, I agree that there are a lot of chal lenges and all. But the 20% growth in the automotive vertical and with the kind of advantage that India has, that has not come to us. So some of our listed competitors have delivered a higher growth in th

e automotive segment. So just wanted to have your view on that.

Nitin Pai: Yes. So Mayur, there would not be a black and white answer to that. I think there are 2 parts to this. One, you will see that a large part of competition growth would also have inorganic components. You have to note that we are very, very organic in the wa y we do business.

Two is, their margin profiles are substantially different. We'll have to understand that the quality of the business and the nature of the business is different. We are very clear that while we want growth, we also want margins, right? So therefore, we're not constraining ourselves, but we are ensuring that what we do is at a certain level of quality and a certain signature of business. So look at it as constraints, but you'll have to remember that both inorganic and the nature and quality of revenues are not options that we have exercised at this time.

Mayur: Okay. And last question, what is the timeline which we have because earlier we used to have a short duration deal ? Has that changed over the last year or so? And last question is with regards to the payout. So we have a large cash balance on our books. So probably we can think to look at increasing the payouts in the times to come.

Manoj Raghavan: Sure. So our nature of deals, of course, moved to larger multiyear sort of deals especially with some of the deal announcements that we've made. I think those are all trended in a positive direction for us. Definitely, we'll take your point on payouts and so on. If you have noticed, we have increased the dividend payout from 700% to 750%. And so yes, we will take that note of that, Mayur.

Moderator: Next question is from the line of Apurva Prasad from Franklin Templeton. Please go ahead.
Apurva Prasad: Yes. Question that I have is on the automotive side. Actually, it's even beyond auto. How would the annuity mix have changed, let's say, over the past years and now across different verticals and generally, what is being done to increase the annuity mix.

Manoj Raghavan: I think at least Apurva from the top 10 customers, if you look at it, a lot of the top 10 customers are I mean, we have moved from project -based engagements to an annuity -based engagement. While in ER&D, some of these net -based projects definitely will spa n multiple years, 18 months, 24 months and so on. But having said that, the current situation in the market and so on, sometimes customers also take decisions of cutting off some of the long -term deals and so on, right?
In general, though, the annuity profile has increased, but there's always a risk that we carry that, look, even though there is a confirmed business that we have for 2 years or 3 years, a lot of it is also dependent on the macroeconomic situation and the f inancial situation of our key customers, our key automotive customers, right? So in general, I would say, yes, the annuity business, I would say the component has definitely increased for us. But at the same time, it doesn't mean that, look, there are no risks.
Apurva Prasad: Where would that number be Manoj now?
Manoj Raghavan: We should be around, I would say, around 45% to 50%, Apurva.
Apurva Prasad: Also on the GEC support or the GCC support, broadly trying to understand how is the current mix business around services around that. And I mean, if more such deals happen, is there a margin implication over the medium term?
Manoj Raghavan: Yes. So I think we are very, very careful and strategic about the type of deals that we do even with GCCs and so on. Given the fact that we have a large bench, and we have resources that we can deploy, so at times, we do take those strategic calls, right, especially if you have a junior resource pool, we are not so focused on the margin profile in some of those deals.
But having said that, we also limit the number of such deals tha

t we go after. If you look at our India business, it's not only GCCs, right, we also work with some of the OEMs and other product companies that are based out of India. And I think the margin profiles are pretty good. to that extentI think we've managed the overall portfolio Apurva. We are not going completely into the low-cost sort of deals.
Apurva Prasad: Got that. And that said, how are you thinking of, let's say, medium -term sustainable growth levels for the company?
Manoj Raghavan: I think from a medium term, I think we are in a very, very good position, right? The short term, yes, we will continue to see some of these challenges and so on. But from a medium -term perspective, in all the 3 verticals I believe we represent the best off shoring or best cost destination for a lot of our customers, right? It is not just only best location for just m anpower augmentation and so on.
The processes that we have put in place, the ability to take outcome-based deals, the internal processes that we have to deliver on the margins, they are all fantastic, I would say, capabilities that we have built in. So I think from the midterm to long te rm, we are very confident of our business model and the team that we have and the capabilities that we have built.

Moderator: Next question is from line of Chirag from Ashika Group. Please go ahead.
Chirag: So my question is on pricing. As the environment is very uncertain and even our clients also know that the tariff incident is there and that cycle will remain challenging and it will just delay decision making. How the pricing dynamics working in such envi ronment? Is it weaker than what we use d to have in quarters back also?
Manoj Raghavan: I would say for the next gen sort of capabilities that we have, the digital skills, the GenAI skills and so on, I think we still are able to work on a pretty good pricing and really maintain our margins and so on. However, and as I said, in case of some large consolidation deals, whether there's immense competition 12, 15 companies bidding for a deal and so on.
Yes, there will be some amount of margin pressures. So I think that is something that we will manage. So overall, I think especially for the areas that we are focused on and the capabilities that we have built, I think we still are able to extract a good pricing for us.
Chirag: And if I look at your annual growth in CC terms, can you guys provide like what percentage of growth has come in because of the price increase or exchange also.
Gaurav Bajaj: This is Gaurav. In terms of the price increases, consolidation, it's a mix back over the year. I mean there are

cases where we have received the price increases also. But at the same time, there are new projects, large consolidation deals where we also need to pitch the competitive rate. So
put up a number as a sub -segment of our constant currency growth over the year would be a
difficult thing but there are good rate increases that we have received in some of the customers
during the year.
While we cannot quote the numbers here , whenever we see an opportunity, we go back to the
customer as for those rate differentiation and the premium pricing for those. This will depend
upon the differentiated scale value propositions and the kind of the work we do with the
customers going up the value chain.
Moderator: We take the next follow -up question from the line of Debashish Mazumdar from S van
Investments. Please go ahead.
Debashish Mazumdar: Thanks for the follow -up opportunity. Sir, while we talked about the expectation of FY '26 being
better than FY '25 , which verticals would drive the growth here among media communication,
and transportation, health care specifically. So what I'm trying to understand is as we sit right
now, what sort of visibility in terms of the pipeline and the deals in hand, what would drive the
gro

wth in the next near term or the next year?
Manoj Raghavan: I think growth definitely will come in both from our T ransportation and the Healthcare & Life
Sciences business. Media and Communication business, of course, also would grow. But the confidence level is higher for
me from the Transportation and Healthcare & Life Sciences
business.

Debashish Mazumdar: Understood. And one last question quickly. So in the investor deck, you have talked about a new
vertical, which you are making investments that you are trying to scale up. Where are we in that
investment cycle or the skill development, capability developme nt on there? And when do you
expect it to become a sizable part so that you start to report it separately, and it starts to add to
the total number?
Manoj Raghavan: I think we have been building the aero and defense vertical, I would say, over the last couple of
years now. We've built a very good technical team, capable team, so we would definitely hope
that in this financial year, we will really be able to report rev enues. The good part is we have
had some empanelment already among some major customers, and we really hope to convert
some of that into revenues and win some large deals and make those announcements in this
financial year.
Moderator: Next question is from line of Ajaya Jain from Astute Investments. Please go ahead.
Ajaya Jain: I have one question. Is China a competitor in our international offerings?
Manoj Raghavan: No. I mean the Chinese companies are pretty strong in the domestic market. But given the current
situation between China and U.S. and China and Europe and so on, at least in the major markets,
we don't see them as competition. There used to be some amount of competition in the Japan
market.
But again, because of geopolitical issues between them, we see a lot of Japanese companies also planning a move from
China to India and so on. So I don't see them too much as a challenge in the international market. But definitely, in the
Chinese local Chinese market, they are very, very
competitive.
Ajaya Jain: And just a follow -up on that, will China start looking more at these kind of projects overseas
becau se of tariffs that have come in?
Nitin Pai: Sorry, this is Nitin here Ajaya, could you clarify?
Ajaya Jain: No, because of these tariffs. Services are not subject to tariff, right? So will that change their
approach to international business?
Manoj Raghavan: No, I don't think so.
Nitin Pai: Maybe I'll put aside differently. Services are never subject to tariffs.
Manoj Raghavan: Yes. Irrespective of that, they could have always competed with us in U.S. and Europe and in
other countries. We really don't see too much of them in the market that we serve.
Moderator: I now hand the conference over to Mr. Manoj Raghavan for closing comments.
Manoj Raghavan: Yes. Thank you, Shashank, and it was wonderful to have you all in the call. Of course, the industry has
been going through some tough situations. But I'm pretty confident with the deal

wins that we have had I think for us, as an organization, we strongly believe that FY '26 will

definitely be a much better financ ial year as compared to FY '25.
I hope to continue to see you in the next meet in beginning of Q2. Hopefully, we will come with a good set of numbers. So thank you so much for the support once again. Look forward to talking to you again next quarter. Bye -bye.
Moderator: Thank you very much. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

July 1 4, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
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Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub.: Transcripts of the Investors' Conference C all for the quarter ended June 30, 202 5

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter ended June 30, 2025 , held on July 10, 2025.
The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: As above

Tata Elxsi Limited
Q1 FY 2025 -26 Earnings Conference Call
July 10, 2025

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER – TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q1 FY 2025 -'26 Earnings Conference Call hosted by Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, Mr. Ganesh.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're joining us from the Western side.
Before we proceed to the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such statements.
To take you through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO , Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer , Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Sneha V. , Company Secretary.
We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.
With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. A very good evening to all of you, and thanks for joining us today for our Q1 FY ‘26 earnings call. I hope that you and everyone in your family is safe and healthy.
For the first quarter of FY ‘26, we reported an operating revenue of INR892.1 crores. EBITDA margin stood at 20.9% and PBT margin was reported at 21.1%. This quarter was challenging across key regions with geopolitical uncertainty and industry and customer -specific issues impacting R& D spend and deal closures across geographies . Our transportation business that represents over 50% of our overall revenues did well to exit flat in constant currency terms.
Automotive industry is still in the state of flux with the China business and tariff -related uncertainties, casting a cloud on R&D strategy and spend, while the Tier 1 supplier business continues to be challenged. We had announced large deals in the previous quarter in SDV vehicle engineering for Mercedes -Benz, a n European OEM and Suzuki. These are now ramping up, and we have the necessary capacity and capability to service them and grow over the next few quarters.

Our largest customer is stabilizing in the ir outlook and revenues, and we expect to stay steady for the rest of the year. We are in discussions for some large strategic deals with OEMs, including some new logos in Japan, U.S. and Europe. I'm pleased to report our continued progress in the adjacency strategy, with two strategic deal wins from the off -highway segment in AD-ADAS and connected vehicles. We're confident of the continued recovery and growth of our transportation business through the rest of the year, backed by deals that we have won, a healthy pipeline of large deals and a new customer logo.
Media and Communication business reported a decline of 5.5% Q oQ in constant currency. The large consolidation deals we announced at the end of Q4 FY '25 will contribute to revenue growth in the upcoming quarters. The transition investments that a

re part of such consolidation deals has largely contributed to this dip in this quarter. While the overall business environment in this industry continues to be subdued, we have been working on shaping some large deals, both for consolidation and existing clients and some strategic AI and automation led large deals with new logos . I'm also pleased to announce a strategic multimillion dollar design digital deal with the U.S. tech giant for next -generation AI and product feature development. We expect to bring back growth in this vertical in Q2 on the back of the deal ramp-ups and healthy deal pipeline.
Our Healthcare & Life Sciences segment declined 6.7% quarter -on-quarter in constant currency primarily affected by tariff - related impact on medical devices with two key customers in the U.S., which is the primary market for this vertical. This has impacted R&D and discretionary spend in the short term, and we expect recovery in the service line in the second half of FY '26.
We are expanding our customer base across geos, and I'm pleased to report two key wins, including all pharma and biotech leader from E urope and a Medtech leader from Japan.
On the talent front, we'll continue to add to our talent base with over 400 fresh engineers planned in this quarter. We expect a steady improvement in bottom -line and margin even as our two largest businesses, transportation and media and communications , return to growth in Q2 FY '2 6 and beyond, and utilization improves on the back of ready capacity and capability we have invested in over the past few quarters.
Before I conclude, I'd like to announce the launch of our new reimagined website, which went live earlier this week. I encourage all of you to visit our new website that positions Tata Elxsi at

the forefront of an AI -first design -led proposition for brands and business es to deliver reimagined products and experiences, improve the efficiencies and time to market.
Thank you. And with this, I hand it over back for a Q&A session.
Moderator: Thank you very much. Our first question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Thank you. A couple of questions. Firstly, on the auto vertical, can you com ment in terms of how the demand pattern has changed over the last three months, both in terms of deal closures

as well as deal ramp -ups? Are the clients still in wait and watch mode given the tariff situation or are we seeing them restart their spend going forward?
And the second question is on healthcare. Can you give more color on the two client specific issues? Is this cancellation of projects? Or was something ramp ed down, which should come back in the second half?
Manoj Raghavan: Thanks, Bhavik , on the auto sector, we see deals coming through in Europe and the APAC region . And some of the deals that we have won in the previous quarters , the ramp ups were a little bit slow. That ramp up has started accelerating. So, in the last quarter, we did see good ramp ups of the deals that we had closed in the previous quarters, and we expect that trend to continue in the upcoming quarters as well.
So, our US market is still a little bit slow. But other markets, we see a much better visibility , deal closures as well as ramp ups happening . Regarding Healthcare, these are primarily US customers, 2 large customers of ours, wherein some of the new projects that we are expecting to ramp up in the quarter , that was put on pause primarily because of lack of clarity, given all the uncertainties in their own business and so on. However, we expect that to get started in the coming quarters.
So, we are expecting that some of this will get started immediately in Q2 itself. However, we also have a set of other new logos that we have opened in the Healthcare space. These are still small busi

nesses for us, but we expect a continued growth of that, and we expect in H2, we will be able to ramp up a much bigger business with some of the new logos that we've opened.
Moderator: Our next question come s from the line of Manik Taneja from Axis Capital.
Manik Taneja: Manoj , I basically had 2 questions. The first question was with regards to the business outlook within the top single customer, which has continued to do very well and given some of the annual report disclosure that appears , you expect further growth in this account in FY '26. So, if you could clarify on that front?
And the n second question was with regards to the way our margins have shaped up through the course of recent quarters. While I do understand there is some element of limited revenue growth at play, how should we be thinking about spare capacity in the context of the fact that over the course of four of the last five quarters, your cut headcount and still your margins have been down . Do you now really think our margins can claw back to what we used to report in FY '23 or '24, or we might probably to adjust to a new normal in terms of margins?
Manoj Raghavan: Sure, thanks Manik. The situation at JLR is a little fluid, right, given their own sales and other related issues that they have. However, from our perspective, I believe that, look, we will be able to maintain at the current level . We may not have aggressive growth there. But I think we have enough visibility to maintain our business and also have some incremental growth there.

Coming to the margins, of course, as you rightly said, a lot of the margin situation is because of the drop in the revenues. And definitely, as the revenues pick up, we are confident of getting back to the margin profile. We foresee that over the next 3 quarters, we will gradually be able to pull back the margins.
It's not going to happen all of a sudden. But all efforts are on to really look at all the levers that are available to us and to focus on margin improvements in the coming quarters . So yes, I think if you look at it, because of the Q1 current situation, maybe from a financial year perspective, we could end up with a margin which is lower than what we have performed in the last financial year. But I think we should be able to pull up the margin gradually over the next 3 quarters.

Manik Taneja: Manoj, my question was more for the medium term. You used to operate at about 29%, 30% EBITDA margins. Do you think that 's the margin we should probably think about as the business improves not just in this year but beyond this year?
Manoj Raghavan: Yes, yes, that is exactly what we are aiming for. We definitely need to get back to those margin profiles. In the medium term, definitely, that's what our focus is.
Manik Taneja: Sure. And how should we be thinking about wage hikes for us, given typically you used to give wage hikes in Q2 for the junior folks ? Any comments that you could share with regards to what you think about for this year?
Manoj Raghavan: Yes. So most probably, those hikes will happen from Q3 onwards , October timeframe.
Manik Taneja: Okay. But as of now, you're still planning for wage hikes ?
Manoj Raghavan: Yes, yes.
Moderator: Our next question comes from the line of Muzzafar Shaikh , an Individual Investor.
Muzzafar Shaikh : I would like to ask about the government PLI scheme and factory, which is coming up in Gujarat. So where are we on that? And do we see it coming in the coming quarters?
Manoj Raghavan: Sorry, the semiconductor factory in Gujarat in Dholera is actually Tata Electronics, right? Tata Elxsi has nothing to do with that factory. Tata Electronics is a customer of ours , and we continue to support them in some of the projects that we're doing, but we are not really involved in the factory.
Moderator: Thank you. The next question is from the l

ine of Debashish Mazumdar from Svan Investments.
Please go ahead.
Debashish Mazumdar: One follow -up question, which Manik was earlier asking about margin. So, if I understand correctly, one of the reasons Tata Elxsi used to report a very strong set of margins because they are focused on offshore centric deals, but over the last 2 to 3 quarters, what we have seen is a consistent fall in margins. So, is it like we have shifted our focus more into on-site focused deals

also, where margins are initially low and will be able to catch up later , or it is like a normal process of business which is impacting our margins ?
Manoj Raghavan: No. So, our offshore -centric business continues, Debashish. There is no change in that. A majority of our business – more than 76% - continues to be offshore . So, there is no change. However, I think the margin is more to do with the top line degrowth that we are s eeing . Once we get back to our growth, our margin profile will come back.
Of course, also the type of deals that are there, the consolidation deals, the large deals that we have signed up, a lot of it also puts a little bit of pressure on our margins. And that is something that we are working on to see how we can improve using operational efficiency .
Debashish Mazumdar: Okay. And of the last to last quarter, the deals that you have won, which is A sia specific. So, when those deals ramp up happening, we are seeing some margin pressure. So, is it like those deals are contours of those deals are such a way that it's a kind of lower -margin business for us?
Manoj Raghavan: It's not lower margin business, but in some cases, we need to take over and manage the transition in some of those cases. We may not get revenues in the initial period. However, the revenues will start ramping up once the steady state happens and so on. So, we have some of those deals work affecting us at this point in time. But however, as the deals ramp up and so on, and then we take overall control of it, the margins will definitely come back.
Debashish Mazumdar: Sure, sure. Understood. But you are confident of kind of operating at 29%, 30% kind of EBITDA margin in medium term?
Manoj Raghavan: In the medium term, yes.
Debashish Mazumdar: Okay. And one last question from my side. You normally provide a good color around Tier 1 OEMs and Tier 1s in transportation, and also of market and passenger vehicle. So, if you can give some idea around the different segments, how different segments are doing for us and as an industry overall ?
Manoj Raghavan: Yes. As I said, automotive industry, I mean, if you look at our transportation business, in actual currencies, there's a strong growth. But in constant currencies, we have ended flat. I think that's a fantastic performance. Almost 72% to 75% of our revenue s now come from OEM, which is the passenger car makers. The Tier 1s have sort of reduced which is in line with what we see in the industry , moving forward.
From an adjacency perspective, we continue to see deals closures happening. I think we have announced some of the deals also, both in off-road segment and commercial vehicle segment. Our investments in aerospace and defense, we continue to build teams. We've still not announced any large deals there, but I think those are all in works. And hopefully, in the subsequent quarters, we should be able to announce some large deal wins there as well.

Moderator: Thank you. The next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Hi, Manoj, while you partially alluded to the investments in defense and aerospace, could you help us understand the likely investments that we will m ake in terms of expanding our G TM in these segments ? And will that probably create more headwinds i

n the near term from a margin stand point? Or these are limited investments and there you can manage other operating levers?
Manoj Raghavan: So, we have already ramped up almost 150 people team in this space. We have invested in building capabilities. We have, for example, we have built our own capabilities in drones. We have built capabilities in eVTOLs. I f you actually come to our campus, you can see some of these actually flying . We have shown demos to global players. We have been working with HAL, NAL and some of the de fense labs in Bangalore. There is a lot of interesting work actually happening. I wish we had a situation to really convert some of this into deals and bring in revenues. I think we're almost there, we should be able to hopefully announce some deals, some very, very good discussions happeni ng with potential customers, both the large players in U.S. as well as d efense labs and DRDO and ISRO in India.
By the nature of the business, these are all long lead time businesses, but the capability that we have built is fantastic. And why I'm saying that is because of the real interest that some of the folks that we have shown technologies , what we see from them, the interest that we see from them. So yes, I think we're not expanding the investment further. We really would want to close some deals into a revenue situation before we start investing again.
Manik Taneja: Okay. And any medium -term revenue targets that you would want to share with regards to these incubated towards segments?
Manoj Raghavan: I wouldn't want to put a number there. But I would say at least we would like to make a start this quarter, right? And what we're looking at is anywhere between INR50 crores of revenues this year, right, to get started. But i n the subsequent a couple of years or 3 years from now, hopefully, we will be able to ramp up significant business, in this domain.
Manik Taneja: Sure. Thank you and all the best.
Manoj Raghavan: Thank you.
Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital. Please go ahead.
Moez Chandani: Good evening and thank you for taking my question. My question was on the media and communications segment. So there, you said that the industry has been subdued for several quarters now. But anything incremental that you've seen in Q1 versus what you were seeing a couple of quarters back?

And what needs to change for this segment to really revive in terms of growth? I know that you're expecting growth to come back in Q2. But really, where do you see the industry going in the medium -term? And you see a material acceleration in terms of growt h there?
Manoj Raghavan: Yes. I think this industry globally has been very subdued. And it's not only for us. If you look at most players in the media and telecom market are reporting very, very muted numbers. There are successes in the industry as well, right? If you look at it, a lot of M&A is happening.
During COVID, this industry grew very rapidly. But after COVID, all of a sudden, you see that most operators, whether it's media services operators or telecom operators globally have not been able to add net new subscribers. Subscriber numbers are actually coming down, the ARPUs are coming down. So, there's a little bit of an issue structurally in this industry.
A lot of the deals that we see at this point in time are about efficiency -driven deals and 'How can we do more with less ' consolidation deals. And of course, we are starting to see AI and Gen AI led deal as well in this particular industry segment. We see M&A is happening. We see even large companies, whether it's Warner Brothers Disney or NBCU, taking decisions of hiving out the digital piece s as a separate company and the legacy pieces as a different company.
So, there are a lot of things happening in this particu

lar industry. From a telecom perspective,
again, 5G investments have really not brought in new revenue streams for operators. We're now getting into the 6G era. So again, we see a lot of focus on using of open source, bring down the cost, automation, how to improve operational efficiencies. So, these are all the themes that are playing out. And we are trying to capitalize on some of these . For example, we have built our own product called NEURON, right, which really helps in the automation piece . How can we help customers automate their deployment, their operations using automation frameworks using Gen AI and so on, so that without adding manpower, they can still continue to deliver better operational efficiencies for their customers.
So, there are various things that are playing in this particular industry. O f course, we operate from a services perspective. At the same time, we also have certain products that we licensed to customers, that sort of acts like a differentiator as compared to a lot of our competition. So,
they're trying different things to really open up the market and also to grab wallet share and so on. Efforts are on. But the market currently, I think, is in a very, very difficult situation.
Having said that, I think we have reached the bottom from Tata Elxsi's perspective. And some of this has also been because of the large deals that we have won and the transition period and transition costs. And all of that is now behind us. So hopefully, from the coming quarter, we should be able to report better results in this particular vertical .
Having said that, it's not an easy market at all. And most of the deals, large deals especially , are around efficiency themes here. Hope I answer ed your question?

Moez Chandani: Yes, thank you for that. My next question was on your system integration and support segment. I've seen a very sharp decline on a quarter -on-quarter basis at nearly down 30%. So how should we think about that? Do we expect that this is going to continue to decline going forward?
Manoj Raghavan: No. So, I think that is all because of one deal that we won in the last quarter, which was a one - time deal, a large deal, I think almost INR13 crores, INR14 crores worth of deal . Thats a small business for us, right? So, in percentage terms, you might say, there's a big drop. But actually, it's not that big ger drop. Okay. So don't go by the percentage.
What happened was last quarter, there was a large deal that is the Bharat Pavilion in Japan, in Osaka , where we delivered fantastic work last quarter. T here were other similar , experience-
design deals that we were bidding for in this quarter. However, closures did not happen on time.
And that's the reason why there is a sharp dip in that business, if you look at it from a percentage term perspective.
However that is the nature of the business. Y ou could get INR10 crores, INR15 crores, INR20 crores deals with a turnaround time of 3 months or 4 months. And then we really need to find replacement deals and so on. That's the nature of the business there. So, if you look at it , SI business will usually be around INR25 crores, INR30 crores a quarter for us.
Moez Chandani: All right, got it. Thank you for answering my questions.
Manoj Raghavan: Thank you.
Moderator: Thank you. We have our next question from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta: Thank you for the follow up. Just one question on the Media and Telecom segment. Can you explain how does the large-scale transition cost impact the revenue? I understand there are upfront costs because of knowledge transfer, which might impact the margin. But how does it impact their revenues? Just curious about that?
Manoj Raghavan: Yes. So, I think, Bhavik, if you look at it, it's a large deal that we have won, right? So, what happens is that

deal comes at certain commercial terms , which is lower than the rates at which we have been working in the previous quarters . Now, if you look at it, when we get into that deal, so for example, this was the first quarter of that deal.
So, our entire portfolio of business in that particular customer, the rates have been reset to a lower per unit rate because of the commercial construct of that deal. So, if you look at it, volumes have not gone down, but because of the rate negotiation that has happened on the overall portfolio, the business has come down. There is a commitment, it's a 3 -year commitment. So, we will be able to make up this over the next 3 years.

Bhavik Mehta: So, is this reset already happened in 1Q? Or should we see this being a headwind to some extent going forward?
Manoj Raghavan: It has already happened in 1Q, the first quarter.
Bhavik Mehta: Okay. Got. Thank you.
Moderator: Our next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management . Please go ahead.
Vimal Gohil: Yes, thank you for the opportunity. Manoj, m y question was on autos, given the fact that the entire sector is in a bit of a flux because of tariffs. And we've done good job of keeping our heads above water . But I want to understand the ramp-up of newer deals. And as to why will the ramp - up not get impacted because of the situation we are in ?
What leads to your confidence on the ramp-up of the la rge deals that you've won? And why will the existing deals not ramp up ? If the current ones that you've won in the previous few quarters are doing well, shouldn't the new deals do as well?
Manoj Raghavan: What is the confidence you asked, right? The confidence is because between the customer and us, we had to achieve certain ramp ups in Q1. And we have certain ramp up to happen in Q2 and beyond, right? So, I'm happy to tell you that the Q1 ramp up has happened as per expectation, right? So, we don't see any pullback. We don't see any slowdown that is happening from that ramp up perspective. Of course, given that the markets are not in a very favorable position and so on, the ramp ups have sti ll happened.
And the sort of engagement that we have having with customers, the sort of reviews that we are having on a regular bas is, gives us the confidence that this ramp -up, whatever deal that we have planned, is going as per original plan. We are not changing any of those deal terms .
And that is a commitment in Q2 as well that this is a ramp up that we will have, and we are progressing as per that schedule. There is no pullback. There's no budget cuts. The projects are coming in, engagements are happening with the customers. So, all of that is happening as per plan. So that's why we are pretty confident that those deals are going ahead as per plan.
Vimal Gohil: So, Manoj, again, it's encouraging to hear the new deal ramping up well. My follow -up then would be on the OEM business, which has done very well versus Tier 1 s sort of struggling. So why aren't our existing Tier 1 contracts showing the kind of growth that the newer deals are show ing?
Manoj Raghavan: The Tier 1 business globally is very, very stressed. That is because the Tier 1s are also not winning large deals, right? Many of them are losing deals because OEMs are taking over that role. OEMs are becoming more like Tier 1, like OEMs are really wanting to own software. So, we see that happening across the globe that in the automotive industry, OEMs are taking that

ownership. And even if there are Tier 1 opportunities, most of the Tier 1s have their own GCCs here. Whatever we've seen of the Tier 1s is a lot of the work is being done out of the GCCs. So, to that extent, our business from Tier 1s, we continue to see that decline. And whatever little bu

siness that we are seeing is from the GCC s and our engagement with GCCs.
Vimal Gohil: And Manoj, what about OEMs? How will the existing busines s from OEMs pick up from Q2, Q3, when do you expect that to pick up , notwithstanding the newer deals?
Manoj Raghavan: We're already seeing more than 72% of our revenues today is coming from OEMs. I think maybe a couple of quarters ago, it was at 60%. So, we are seeing the gradual move that more and more of our business is coming from OEMs . Of course, the large deals we have on that is also helping. But across the globe, we continue to see deal momentum in OEMs. A lot of the deals Whether it's in Japan or in APAC region and India, we see a lot of OEM movement thereEurope also , a lot the new deals that we are seeing are from OEM s. So that is also improving. U.S. is a little bit slow. Some of the OEM customers that we are engaged with in that geography, we have seen some amount of disruption. But we are not getting a clear idea as to when we will be able to restart some of those discussions with the U.S. OEMs. But minus U.S. OEMs, I think we're seeing a good recovery happening across the market.
Vimal Gohil: Fair enough Manoj. Wishing you all the very best for the rest of the year.
Moderator: Thank you. O ur next question is from the line of Karan Uppal from Phillip Capital (India). Please go ahead.
Karan Uppal: Yes. Thanks for the opportunity. S o the ramp up which you are seeing in the auto business, could you clarify which areas you are seeing t he demand? Is it EVs? Is it hybrid? Is that S DV poly engineering? Which are the areas in which you are seeing the demand?
Manoj Raghavan: We conti nue to see demand in AD -ADAS, in SDV as well as electrification. And some of our

older relationships we have, we still continue to see work on body chassis infotainment cockpit areas as well.
Karan Uppal: Okay. Also, just wanted to check all the Mercedes deal which you have announced, if you can provide the ballpark range, what was the deal size? And what is the scope of work given to Tata Elxsi? Is it around OS, middleware, cloud verification validation all these areas? If you can clarify that? And how is the pipeline for SDV -related work ?
Manoj Raghavan: Yes. So, I think we have whatever information on Mercedes , we have already issued a press release. So, we are not going to provide any further color other than what is already provided. But a lot of the business actually comes from the SDV area plus a little bit of powertrain as well out there.
Karan Uppal: And how are you seeing pipeline for SDV related deals, Manoj?

Manoj Raghavan: A lot of the OEM deals that we are signing up and a lot of the conversations are around SDV.
Karan Uppal : Okay. And the last question from my head is on FY '26 growth. So, in terms of vertical mix, how do you see each of these ver ticals performing? You have mentioned some ramp-up visibilities there in auto segment. And in media also, you are a bit positive. So, from a full yea r perspective, how do you look at the vertical risk?
Manoj Raghavan: I think of course, for the financial year, I think our growth will be led by the transportation busines s. That would continue because on the back of the deals that we have signed and also on the traction that we see in the market, the growth for the company will be led definitely b y the transportation business .
Media and communication business will recover and that's the plan that we are working on. So, we will see the growth from Q2 itself. Healthcare, I would be a little careful there. There's tariff - related issues and so on and the fact that it's a smaller business for us and we don't have a large list of customers. It's a select set of good customers that we have. So that will be a little volatile for us. W e hope in H2, we will start seeing the growth in th

at particular business. We have done a lot of investments there, including from a leadership perspective, from a sales perspective. We have done a lot of investments and we a re hoping that from H2 onwards we will see an uptick in business there And this business is also a little bit of a long lead cycle business. So, we are working on some good opportunities and so on, but closure takes time in the healthcare business. So, yes, so that's how the three businesses would plan out.
Karan Uppal : Okay. Great. Thanks, and all the best.
Moderator: Thank you. T he next question comes from line of Arvind Jadhav, an Individual Investor. Please go ahead.
Arvind Jadhav : Thank you for the opportunity. Sir I am looking on t he headcount reduction in the quarter -on-quarter and year -on-year, also the attrition rate is also increasing like in quarter -on-quarter and year-on-year. It looks like the business environment is quite challenging right now. So, is there any st rategy to bring back the past glory in the performance going forward?
Manoj Raghavan: No, of course, that's what we have been discussing all along. I mean, the business environment is definitely tough. We've discussed about how the three verticals. So, we also talked about how the growth will be led by the transportation vertical that we have and that's what we have been working. The media and communication also will come back to growth. Healthcare will take some more time. So, we are hopeful that what ever steps that we are taking, we will be ab le to grow our business. Yes, the head count has come down because we have not been aggressively hiring . We still have a decent bench that is available. And as the business grows, we'll be able to utilize the benc h at the same time, improving our margin as well. So, we're very conscious about the situation, Arvind . And hopefully, you'll see the performance come back in the coming quarters.

Arvind Jadhav : Okay. And any new strategy entering in the geography or any new verticals or any inorganic growth opportunity there?
Manoj Raghavan: We still would focus on the main geographies, right, which is U.S., Europe, Japan and India. Of course, we have entered into Middle East, Africa and Latin America and Southeast Asia. So,

these are new geographies that we have some business today, not a major business, I would say. But hopefully, we'll be able to ramp up our business there.
On M&A, yes, at any point of time, we have certain pursuits. But again, it will only be whatever we look would be a tuck-in sort of an acquisition, right? So ye s, and regarding new verticals, we are looking at adjacencies for each of our 3 main verticals. We are currently focused on the aerospace and defense as a new vertical, and we are investing. I think I talked about it in one of the previous questions. So that is what we will be focusing on in this financial year.
Arvind Jadhav : Are you optimistic on margin in the aerospace and defense sector?
Manoj Raghavan: Sorry, what is the question?
Arvind Jadhav : Regarding margin in the aerospace and the defense business ? Are you optimistic on that?
Manoj Raghavan: Yes. We are taking a very differentiated position and a very different approach as compared to some of the traditional companies that operate in aerospace and defense, right? So, we believe we have an opportunity to win deals at decent margins there.
Arvind Jadhav : Yes. Sir, any guidance regarding FY '26 revenue and net profit. Any some idea?
Manoj Raghavan: No, we don't give guidance as a revenue or profitability.
Arvind Jadhav : Okay. And the last question f rom my side, sir. Is there any plan for the stock split or any bonus issue , for regarding the shareholders?
Manoj Raghavan: The question was addressed in our AGM by our Chairman. A lot of our shareholders have asked about it and we will be considering

that in the Board, and we'll get back at appropriate time to the shareholders.
Arvind Jadhav : Okay. Thank you, sir. That's it from my side.
Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : Yes hi. Thanks for taking my question. My first question is with respect to the media vertical . So just wanted to understand this large deal that we had one last quarter. So, by when do we expect this to fully ramp-up? Can you provide any color around that?
Manoj Raghavan: Full ramp -up should happen by H2 of this financial year.

Sulabh Govila: Okay. So, you mean by the fourth quarter?
Manoj Raghavan: Yes. Between third quarter and fourth quarter, yes.
Sulabh Govila: Okay. Understood. And with respect to the mobility vertical, while you highlighted that there are certain deals which continue to ramp -up and there are more ramp -ups which are coming from 2Q onwards. Are there any potential areas of leakages that you still expect in the coming quarter, given that we mentioned that Tier 1 is continuing to be weak. And in JLR, we expect momentum to be maintained in the sense we don't expect an aggressive growth out there? And U.S. OEMs may also be weak. So, if I add all of that, so it's probably 3/4 of the portfolio. So just trying to understand if there is any area of potential leakage or weakness, which is there in the quarter?
Manoj Raghavan: Tier 1 portfolio would continue to be under stress , and that is purely because of the business issues that the Tier 1s are having. O ur revenues from Tier 1s have come down. I think we have reached a stage where I don't really foresee too much of a drop in that portfolio. But the fact is that their businesses are challenged. So there could be a little bit more of degrowth in the Tier 1s. But it should not impact us so much because the growth that we are seeing from the OEM side will be much larger and faster as compared to the degrowth. So, we should be able to show positive growth is our expectation.
Sulabh Govila: Understood. And then just the last question on margins. If you could provide the margin walk for the quarter, given that the cost increase this quarter is quite sharp. So just trying to understand what's the sort of investment that has gone in this particular deal on the media side?
Manoj Raghavan: Sure. I will ask Gaurav to take you through that.
Gaurav Bajaj: Hey. Hi, Sulabh . Sulabh, if you see our overall total cost, that has not gone up significantly. I think it is almost flattish or slightly up from the last quarter just by INR4, INR5 odd crores . But that cost increase is mainly on account of currency impact on the on -site people salary cost and some of the VISAs that has been applied during the quarter. However, the margin was the major flow-through and dip in the margin is because of the revenue sequential decline. Otherwise, on the operating side, the cost doesn't have any significant change.
Sulabh Govila: Okay. Understood. Thank you.
Moderator: Thank you. The next question is from the line of Rohan Nagpal from Helios Capital India. Please go ahead.
Rohan Nagpal: Yes. So, just continuing on the ramp-up within the OEM business. So, if I look at the imp ulse to spend and invest more in R&D and the electrification in SUV programs, etc, that has been

constant for the last 2 or 3 quarters or maybe longer, actually. And if I look at the macroeconomic environment, it seems to be stable, if not deteriorated. I mean, TCS called out continued

uncertainty and (inaudible) called out a demand contraction. So that is in contrast with what you are seeing in that, you are fairly confident of growth from the OE M side of the business for you. So, I'm just trying to understand qualitatively

, what is driving the growth? w hat has happened now that the OEMs are finally ramping up their spending and there is increased momentum in the momentum in the enclosure?

Manoj Raghavan: I'm not talking about all the OEMs certainly deciding to spend and so on. I'm talking of the OEMs where we have engaged and OEMs where we have signed some of the large deals over the last couple of quarters, they are shown inclina tion to spend. So, I'm confident in the set of portfolio of accounts that Tata Elxsi has handling at this point in time, given that we had better objectives in Q1, and we don't see any of the customers going back on the deals that they have signed. We are confident that will continue. I'm not talking about the larger overall macro and what is happening to the larger overall spend in the market .

Rohan Nagpal: Fair enough. I was just asking because you said that there is there is a slowdown, so to speak, in North America, you're not quite sure when that'll come up, but you said Europe and Asia, you see that ramp. So okay, I guess it's within that subset for you .

But if you're looking at the pipeline, are you seeing if opportunities are increasing ? Is the pipeline for follow -on work with your existing portfolio? Or are you seeing a slightly broader up in pipeline even for logos that you don't include you? Because I think you called out a new logos, right?

Manoj Raghavan: Yes. So, it is both, right? Existing customers of us. Also, we see an uptick in business in the subsequent quarters. And the new logos that we've signed on, we are seeing that whatever large deals that we signed on, from an execution perspective, we continue to ex ecute as planned.

Rohan Nagpal: Okay. But all of this momentum is solely within your existing customers? Is it going to be difficult to expand to other logos within this year ?

Manoj Raghavan: No, I'm not saying that . We do have pursuit s from a new logo perspective and new customers, right? So that continues. In fact, as we speak, there are other opportunities and deals that are chasing proposal being made. So, the good part is we are seeing all those discussions happening. Conversations with new customers happening. So that is positive.

That gives me hope that moving forward, in the next 3 quarters, we will be able to grow our business in the transportation industry.

Rohan Nagpal: Okay. So, I just want to confirm that I'm understanding this correctly. So, it's not just an increase in the momentum of say, deal ramps within your customers, so there is an increase in the momentum or at least velocity of conversations with the broader automotive ecosystem with OEMs in Europe and in Asia. Is that correct?

Manoj Raghavan: Yes, Europe and Asia. US continues to be slow for us.

Moderator: Thank you. The next question is from the line of Rajakumar Vaidyanathan from RK Investments . Please go ahead.

Rajakumar Vaidyanathan: Sir, so your revenue engines are not firing now. So, I just want to know if you have extensively invested in AI and GenA I, and whether you will be able to surpass performance in the past years with the benefit of AI and GenAI?

Gaurav Bajaj: I guess your question was that once the revenue and all the vertical s started to fire, whether we would be able to get back to our historical margin using Gen AI and AI. I think we answered that question previously that I think the focus is to steadily grow from here. And once the revenue gets back, I think we are very confident that we will get back to our historical levels of the margin, but that would be our big term aspirations to get to those levels of margin. But I think from here onwards, you will see there will be a gradual uptick in the margins. So, as we progress , steady revenue starts to build up on a quarter -to-quarter basis .

Rajakumar Vaidyanathan: Okay. Sir, just to labor on the same que stion. So actually, what I want to know is what is the impact of this AI on your head count? In other words, if you were using one head count earlier, has it brought down the number to 0.9 or 0.8, what is the number that you want to see?

Manoj Raghavan: No, of course, we are using AI and Gen AI. We are increasingly talking to customers and so on. But unlike IT or the BPO or some other industries, the impact of AI is not going to be very dramatic as we speak, right? There are a lot of legal issues , customers are talking of open -ended liabilities. There are a number of legal issues to be sorted off before you can see uptick of usage of AI in the engineering today.

So, you cannot assume that because AI and Gen AI is now available, you will be able to deploy lesser manpower and so on and so forth. Yes, for certain tasks, it is possible . For a certain type of projects, it is possible. But it is not generic for all projects . So, I'll be very guarded and not to mislead you in saying that, look, GenAI is a panacea for all issues that we're going to have. That's not going to happen.

Rajakumar Vaidyanathan: Okay. Got it. And sir, the next question is I just wonder how big is the gaming segment for you folks? And any outlook there?

Manoj Raghavan: No, we don't operate in the gaming segment. We used to maybe 10 years ago, but we have sort of moved out of the segment.

Rajakumar Vaidyanathan: Okay, sir. And lastly on housekeeping questions. So, I see the tax rate has moved to almost 27% in this quarter. So, is that the guidance for the whole year?

Gaurav Bajaj: 26% odd. I think we have been mentioning during the last few quarters that some of the benefit under the SEZ is coming to closure, and we have been moving from 100% tax bracket to 50%. And hence, the tax will move towards north of 25%, that's what we are seeing now. Last quarter was lower because there were certain tax order credit income tax difference orders were there. Otherwise, if you see our normalized tax rate for the last few quarters, it is now about 26-odd percentage.

Rajakumar Vaidyanathan: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the call over to the management at Tata Elxsi for closing comments.

Manoj Raghavan: Thank you once again for all investors for all the questions that you have. I look forward to seeing you again end of next quarter . And hopefully, we will come up with a much better performance that we anticipate in the coming quarter. Thank you so much and look forward to talking to you again soon. Bye -bye.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us , you may now disconnect your lines.

Call: Oct 2025

October 15, 2025

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Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and half -year ended
September 30, 202 5

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and half -year ended September 30, 2025, held on October 09, 2025.
The transcript of the earnings conference call can be accessed on the Company's website at:
https://www.tataelxsi.com/investors

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q2 FY 2025 -'26 Earnings Conference Call "
October 09, 202 5

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
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LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q2 FY '25, '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from E &Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you. Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have further questions, you may join the queue later and we will be happy to respond to them with time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to everybody who has joined us today for the Q2 FY '26 Investor Call. I hope all of you are doing fine. Before we begin today's investor call, I would like to take a moment to reflect on a profound loss that continues to be deeply felt across the Tata Elxsi family, the passing of Mr. Ratan Tata.

Today marks 1 year since we lost a visionary leader, whose legacy is woven into the very fabric

of our company. His values, vision and quite strength continue to inspire us every day.
As we move forward, we remain committed to honoring his legacy, not just in words, but through our work, our culture and our pursuit of excellence.

Coming to the Q2 performance. We reported an operating revenue of INR 918.1 crores with a growth of 2.9% in actual currencies and 1% in constant currencies quarter -on-quarter. During the quarter, we reported an EBITDA of INR 193.3 crores, corresponding to a margin of 21.1%. Our PBT stood at INR 214.7 crores at a margin of 22.2%. Our key markets continue to be volatile, but we delivered strong quarter -on-quarter growth across key overseas markets led by U.S. market, which grew 7.9% quarter -on-quarter.

Our Media & Communication business reported a smart 6.8% sequential growth, strengthened by ramp -ups of large deals, which we announced in the previous quarters and new deal wins. I'm pleased to share that the launch of MBC Now, Saudi Arabia headquartered content super aggregator catering to audiences across Middle East and Africa, is powered by our in- house developed OTT platform TEPlay. However, the industry environment continues to be volatile with business restructuring and M&A across leading operator s and broadcasters.

Our transportation business that accounts for over 53% of our revenues registered a growth of 0.7% in the quarter gone by. We are happy to report a robust pipeline momentum that is driven by global OEM SDV programs and other large deal wins. This quarter, we opened the second engineering center in a partnership with Suzuki that focuses on cloud hardware and loop simulation setup, enabling faster SDV transition.

Our a djacency strategy is also showing good progress with customer additions and deal wins. In the Aerospace and Defense segment, we are happy to report a turnkey airport guidance systems development program from a U.S. headquartered aerospace supplier.

Our Healthcare and Life Sciences business reported a decline of 2.3% primarily due to the conclusion of some large regulatory and MDR programs. We are building a strong pipeline of new customers and large deals across key regions in the Healthcare and Life Sciences business, and I'm confident of sustained growth in the coming quarters.

I'm pleased with the launch of the Dedicated Technology Center for Bayer devices and Radiology. The center is designed to co-develop advanced radiology devices and technology that enable early and accurate diagnosis and treatment of critical illness.

Our system integration business recorded a growth of 20.5% over a previous quarter. We're also pleased to announce the award we won from Dell Technologies for the Best Infrastructure Solutions Group supplier category. Enterprises are investing in on- prem infrastructure as a pivot to AI data centers and edge computing for their AI -powered enterprise applications and workloads.

This award recognizes our differentiated next -gen capabilit ies for infrastructure design

integration and run management as enterprises mainstream AI -led applications. We have delivered strong operational excellence and growth across customers, regions and industry verticals in this quarter, and we have created a strong foundation for sustainable growth. We look forward to carrying this momentum into the second half of the current financial year.
With this, we would like to open the session for Q&A. Yes, Shashank, please go ahead.
Moderator : Thank you very much. Our first question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: So 3 questions. Firstly, on the auto or the transportation side, how is the demand trending over the past couple of months given that trade days have been finalized, so the uncertainty has

gone away

. But how are you thinking about R&D spend coming back from the OEM side given the headwinds are away now? How should we think about the demand or the growth trajectory from here on for the auto vertical?
Second question is on the cybersecurity incident that happened with one of your top clients in the auto segment. If you can quantify what kind of headwinds on the revenues and margin you saw in 2Q? And what should we expect in 3Q as well given that they're going to gradually start the operations?
And lastly, just on margins, we have seen margins come off a lot over the past few quarters. But going ahead with the confidence and growth coming back, how should we think about the trajectory of margins over the next few quarters? Thank you.
Manoj Raghavan: Sure. Thanks, Bhavik. So I'll try to answer these questions . So I think from an automotive customer landscape perspective as compared to maybe last couple of quarters, I think as we sit today, I feel a lot more confident about the spend coming back, right?
If you look at the deals that we’re chasing, if you look at the funnel, if you look at the pipeline and also if you look at some of the deals that we closed and the ramp -ups that they're happening, I feel that H2 will be definitely much better than H1. And so I'm very positive on that from a trajectory perspective.
If you divide it a little bit between the various regions, if you look at Europe, I think we'll definitely grow, we see good traction happening there. Japan is very positive for us. We continue to grow. We continue to win new deals. We continue to expand our existing relationships with both the OEMs and suppliers.
India is also a pretty good market for us. We continue to do pretty well across all the customers that we have in India. U.S. is still a little muted for us, and that is something we hope that in the next half year, we will have a lot more clarity, but for us, at least the coming quarter will be a muted quarter. But we are hoping that changes from an automotive perspective. But from an adjacency perspective from aero and rail and off -road and so on, we do see a good traction building in the U.S. market. So overall, I would say, if you look at our transportation business across geographies, we believe that H2 will be better than H1.
From the cybersecurity issue that you talked about, yes, of course, we had some impact in some of the projects that we were supposed to start in September that had to be pushed out. I mean, rather than giving you a number and quantifying and so on, I would say that if that incident had not happened, we would have definitely shown CC positive growth. And that would give you an idea that, look, that instance did affect us a little bit.
From a margin perspective, I think we are definitely seeing a recovery. It's a slow recovery. I think as the top line grows and as the utilization picks up , as the revenue grows, we would see that margin gradually coming back. Our target f rom a H2 perspective, we definitely want to do much better than H1.

And I'm pretty confident that we will be able to achieve much better margins compared to H1. So we wouldn't want to quantify it at this point in time, from a management perspective, we are pretty confident to get back over a period of time .
So yes, we have improved our utilization from about 66% to above 70% in the last quarter.
And we see an increasing trend of that. So, the first focus for us is to get to 75% utilization by the end of this financial year.
And then next financial year to see how we can reach 80%.
That's a focus for us. And once we achieve those numbers, I'm pretty confident that our margins will get back to our earlier trajectory. So that's my answer to the three questions, Bhavik.
Moderator : Our next question comes from the line of Karan Uppal from Phillip Capital India.

Karan Uppal:

Just one clarification on the auto commentary which you mentioned. You said that H2 will be better than H1 in the overall transportation business. But it will be driven by the adjacencies, but not the core auto business. Is that what you said?

Manoj Raghavan: No, no. I said only about the U.S. market. All other markets, we see good traction in the automotive sector as well.

Karan Uppal: Okay, okay. Got it. The second question is within the auto business, which are the areas where OEMs are keen to spend on and where are they holding back right now? And also, are you benefiting from the increasingly offshoring trend which we are witnessing across players for the automotive business?

Manoj Raghavan: I'll answer the second question first . I mean Tata Elxsi is known for offshoring, right? If you look at the percentage of revenues that comes from offshoring and so on as compared to all the other competitors, our ratios are far, far higher than anybody else .

So yes, it goes without doubt that any trend in offshoring, looking at best -cost countries and so on, Tata Elxsi is a preferred vendor because of the capability, the experience, the process know -how and 30-plus years of experience of doing this . So yes, without a doubt, I think we would definitely benefit from the offshoring trend. Areas of offshoring/ demand that we see, The good part is, if you look at a lot of the large deals, new deals that we're talking about, it's all-around software -defined vehicles, the electrification side and so on EVs and so on.

We do see a lot of interest in AD /ADAS as well as the infotainment and cockpit and all of those areas. Interestingly, we also see a revival in the traditional powertrain ICE -related areas as well . So I think we are well placed to really capture all the areas that we are seeing traction in.

Karan Uppal: Okay. Very clear. Another question is again on automotive. So beyond U.S. and Europe, I know that you have a good footprint in Japan. But are you looking at other markets like India,

Korea, China as the growth markets? And one more clarification , how big is U.S. and Europe within automotive for you?

Manoj Raghavan: Our major markets are definitely Europe, U.S., Japan and India. China is also an important market for us, and we are really evaluating what we need to do there. Our business is relatively small there at this point in time. But definitely, we are looking at that market to see what we need to do. From a percentage or from a market share perspective, I would say Europe is number one and U.S. is number two. Of course, Japan and India also we get a significant business from these markets. So that's the pecking order.

Moderator : Our next question comes from the line of Manik Taneja from Axis Capital.

Manik Taneja: Manoj, the first question is once again on the automotive side. Given what you are seeing on the ground in terms of pipeline and your customer discussions, do you think we probably see a significant pickup in growth over the course of the next 4 to 6 quarters? And if you could give us some sense on when we can get back to the kind of growth that the industry, including you, enjoyed between FY '22 and '24?

That's question number one. The second question is related to our margins. Could you help us understand the different moving parts on margins given currency and the point that you highlighted about our high offshore revenue mix as to what were the moving parts on margins? And how should we be thinking about wage hikes for the year? Those are my questions.

Gaurav Bajaj: Manik, I will answer on the margin walk first. We got 90 basis point gain from the favorable currency movement, which is net of the cross -currency impact on the cost side also due to the higher salary cost converted into the actual INR reported. The 90-basis point of exchange gain got offset by the

40 basis points of the higher employee costs, which is due to the campus onboarding that we have done ; the last batch that was remaining has been onboarded during the quarter and also some strengthening has happened onto the sales side.

Another 30-basis point s was compensated with other expenses, which is typically towards the partnerships and AI -related infrastructure that we are building. So that gives you 20 basis -point uptick from the last quarter on operating margin. And if you see at the PBT (net income before tax) we have higher other income, which was on account of hedging gains and also the R&D credit that we get in the U.K. that added another 90 basis points. Hence, at the PBT level, you have a 110 basis -point sequential increase from the last quarter.

Manoj Raghavan: From an automotive industry growth perspective over the next 4 to 6 quarters, w hat I would say is based on the discussions with customers and some of the ramp-ups that we are seeing in deals that we have closed and some of the large deals that we achieved , we believe that next year, we will be able to look at a double -digit growth from a transportation business

perspective.
From a wage hike perspective, yes, I mean, we have already indicated that there will be a part of the team will be given hikes in Q3. So that is something that we will consider. We definitely

need to look at the impact that we talked about the cybersecurity incident. And we hear from our customer that the ir systems are up and everything is back to normal. So, we will wait till end of the month to take that decision. If things go well, yes, part of the teams will have a wage hike in October.
Manik Taneja: Sure. And with regards to this top customer where in you saw some delays in terms of projects during Q2. Are you beginning to see some normalcy emerge over there or probably this may remain some sort of near -term headwind?
Manoj Raghavan: We are definitely seeing a lot more positive conversations and at least people are coming back for discussions and so on. So we were prepared for the worst, but I think things are definitely looking much better now.
Manik Taneja: Sure. Thank you and all the best for the future.
Moderator : Thank you. O ur next question comes from the line of Moez Chandani from Ambit Capital. Please go ahead.
Moez Chandani: Hi, good evening and thank you for taking my question. T he first question was on the media and communications side. So we've seen that segment being challenged for quite a few quarters now. But there's a strong growth pick up this time around. So do you think that we've sort of bottomed out in this segment or was this just a large deal ramping up a nd do you think growth will moderate for the next few quarters in that segment?
Manoj Raghavan: I think it's true that we have the large deal that we've won, that ramp -ups have happened. So definitely, I believe that the growth will moderate in H2. This industry segment is still under a lot of stress with a lot of M&As and a lot of corporate action happening with our customers . So I believe we have to wait and watch, and we are not projecting a pretty large growth in the H2 for this business segment.
Moez Chandani: Got it. Understood. My second question was on your attrition levels. So that's gone up for the third quarter in a row now. Now given that your demand environment is weak across the sector, where exactly is the challenge in terms of attrition and then do you think that will also impact your wage hike if this continues going up?
Manoj Raghavan: I think attrition has gone up marginally. It's not very significant. We are aware of that. We're keeping a watch on it. I think it's also the fact that numbers in the denominator go down, so automatically the calculation goes up. So I think it's a factor of that. It's not a very significant th

ing for us. We will definitely be able to show much better numbers once the revenues pick up and I believe H2 will be better from an attrition point of view.
Moez Chandani: Okay. Perfect. Thank you for taking my questions.
Moderator : Thank you. O ur next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Hello. Thanks for the opportunity. M y first question is on the transportation vertical. If you can elaborate more on the deal that we had with Suzuki , the SDV deal, what is the kind of revenue potential or what kind of efforts has been deployed on that deal? And in terms of the revenue potential when can we see the ramp -up happening there?
And are there other OEMs who are planning to set up similar SD V centers in India ? And an extension to that is how do you see the OEMs, the vendor consolidation deals, a lot of OEMs, large deals are coming up for renewals, so how are we placed in terms of winning some of the vendor consolidation and the large deals which are coming up for renewals in the OEM space that is on the transportation vertical, if you can answer that?
Manoj Raghavan: Sure. I think we've announced a deal with Suzuki last year based out of our center in Pune and that has ramped up pretty well for us. So the deal that we announced recently was a cloud - based hardware and simulation deal, which will be executed out of a center in Trivandrum. Both these deals are long -term , 5 to 10 years sort of deals.
The peak headcount will happen after six or eight quarters. So still, I would say, early days , and we would definitely see ramp -ups happening. And as is with many Japanese companies, they would really want to first try us and ensure that we deliver. They want to see success. They want to see actual outputs. I think we have crossed all that stage with Suzuki now and we

have had fantastic relationships with the customers. So we're pretty confident that this ramp-up will happen and will continue. And it's a multiyear, multimillion dollar deal for us. So we are very gung- ho and we are very committed to this customer. And we are also committed because a lot of the work that we do wi ll eventually hit Indian roads and it is Indian consumers that will benefit a lot from the actives that we do. So to that extent, we would be proud that some of the technology that we built are actually getting into cars that we launched in India. In fact, the new car that was launched - Victoris - had a lot of components that Tata Elxsi was involved in. I am v ery proud of the fact that we were involved in that launch.

So yes, coming to vendor consolidation. In the automotive industry, we don't see so much of vendor consolidation deals. So a lot of the OEMs are really looking for technology. And it's not as if there is some legacy stuff that they want to give to the cheapest vendor and so do vendor consolidation. Traditionally, Tata Elxsi, we've sort of not been very strong in those vendor consolidation deals and so on. So we do see a number of deals with OEMs today. We also announced the other deal with another Japanese OEM that's also ramping up pretty well. Of course, we have deals that we have announced with the European OEM that's also ramping up well.

We have announced deals with Mercedes -Benz that has been also ramping up pretty well. So I think there are a number of deals that we have announced and those are all working pretty good for us. So yes, I think we continue to have these deal pursuits. E ven as we speak, there are a few deals that we are bidding for.

So I think we're in a good position with respect to capability, with respect to business models, with respect to address the needs of the customer and meet, I mean, deliver that incremental value that they need at the price points that the customer needs. So I think we're good.

Amit Chandra: Okay. And also within the transportation vertical, obviously, OEM is the part where we are seeing a lot of traction. Within transportation, there were some issues, or some drags that you were seeing from the Tier 1 supplier ecosystem. So if you can give some color, whether it has stabilized or are we seeing some more issues there or most of the incremental growth is coming from the OEM side? Will this continue or has the Tier 1 has stabilized and will start to grow again?

Manoj Raghavan: No. I would say in the last eight quarters, we have moved a lot of our business focus from the Tier 1s to the OEMs. So to that extent, definitely, the Tier 1 business has gone down. And that's the nature of the business, that's the industry. Tier 1s are definitely losing business with the OEMs. But for us, I think we still engage with some critical Tier 1s and we believe that those Tier 1s will continue to exist. So I think this quarter, we've stabilized with that maybe even slight growth in the Tier 1 business for us. So I think it's positive for us.

Amit Chandra: Okay. And sir, the last question is on the communications vertical. Obviously, we have seen strong growth ramp up in terms of deal wins, a ramp- up of the large deal wins. But last quarter, we had a pricing reset with some volume commitments in terms of incremental volumes. So has the overall volume commitment in terms of what has been committed has been achieved or can still we see some more volume growth there?

Manoj Raghavan: Yes. So I think the commitment - it's not that everything is fulfilled in one quarter, right? So whatever objectives we have said we have achieved. Of course, in the next half year also, we have to achieve certain volume commitments from our side. So we will work on that, right.

Moderator : Our next question comes from the line of Ankur Pant from IIFL.

Ankur Pant: So, my first question is on the automotive vertical. So, you've mentioned that Europe is holding up better. Europe, Asia is holding up better versus the U.S. So, what is the apprehension in terms of U.S. clients, which is holding them back, where as the European clients are able to spend more. So, what are you hearing in terms of client conversations?

Nitin Pai: Yes. So, this is Nitin here, maybe I'll take that. First of all, I want to clarify that the U.S. is doing very well, and we believe we'll continue to do very well on the adjacency side where you're talking of off -road, commercial vehicles, aerospace and defense, where we're making some strategic forays.

On the OEM side, you remember, there are two sets there. One is a set of new age OEMs where there are a different set of challenges. And the traditional/ legacy OEMs where the challenges are little different. So, to that extent, I think the withdrawal of EV incentives, the fact that the whole emission norms have been completely relaxed are kind of providing reprieve as well as a window of opportunity to continue to stay with ICE vehicles to stay with

limited EV conversion and so on and so forth. So that's causing a bit of a portfolio reset, both in terms of what you will engineer, what you will R&D, and what you will manufacture and deliver.
So, to that extent, that is a prime consideration with the legacy OEMs in terms of portfolio reset and product portfolio considerations. With the new age OEMs, you have to remember that there are just one or two who are winners, well funded and continuing to maybe grow. The
other OEMs are still on the horizon. Some of them are just getting into production. Some of them are still in development stage. And again, the fact that many of them targeted the U.S. as a key market, mid - to luxury kind of segments, the withdrawal of incentives, a little bit of color that's hanging and cloud is hanging over EVs as viable veh

icles for the U.S. market, I think is what is causing issues. So, to that extent, I think it's a little bit of a mixed bag, like I said.
Ankur Pant: Sure. And in Europe, have they moved past the impact of tariffs that we're going to have , and profitability, competition from China ? Have they moved past that and are ready to open their purses a lot more, or is that still lingering?
Manoj Raghavan: So, I think that issue is actually causing them to look at best cost locations and open up a lot more outsourcing, right? Because they have to do more with less.
Ankur Pant: Okay. And finally, a bookkeeping question. Your depreciation has been coming down over the last 3, 4 quarters, and the tax rate this quarter was significantly higher than what we generally see. So just wanted some clarity on the run rate for depreciation and the overall tax rate for the year? What should we assume?
Gaurav Bajaj: Ankur, this is Gaurav. Let me answer that question. First, on your depreciation one. I think there is declining depreciation in our books due to no new capex being added /significant capex that has been added . I think we are well managed capacity that we can live with it for at least some period or may be few more quarters before we have to do another layer of infrastructure development or capacity in addition to the required structure today.
So hence, you will continue to see depreciation keep coming down slightly on a quarter -to-quarter basis for at least two more quarters. On your effective tax rate, I think in the current quarter, it slightly went up just because of there was higher other income, which is not tax exempted and a little bit of low SEZ revenue. Otherwise, what we believe is that for the full year our effective tax rate would be anything that would hover around 26% to 26.5%.
Moderator : Our next question comes from Manik Taneja from Axis Capital.
Manik Taneja: Just wanted to get your sense with regards to what you spoke about achieving or hoping for double -digit growth in the automotive segment in FY '27? If you could also give us some sense on the other two industry segments because over the course of last 2 or 3 years, we've had some challenges in those verticals.

Manoj Raghavan: Yes, Manik. So as I said, I'm pretty confident both healthcare and automotive, we will be aiming for double -digit growth in FY '27, right? And Media & Communication, as I said, is still a little bit wait and watch. We would ideally also want Media & Communication to aspire to grow double digits next financial year. But at this point in time, given the visibility and so on, it's difficult to commit that, that is something that we can achieve. B ut we will relook at it in maybe Q3 and Q4 time frame.
Manik Taneja: Sure. And if you could share some thoughts around how are we thinking about the customer concentration across our industry segments ? Because that's also one of the challenges that we've faced historically .
Manoj Raghavan: Yes. So, I think both in automotive and health care, I think we have gone a long way. We have multiple now customers that are really touching that multimillion -dollar sort of mark . So I think next financial year, both in automotive and healthcare, we'll have a very, very good spread of revenues, especially with some of the new deals that we have won and ramp -ups happening and so on.
In the media and communication industry , definitely, we have a number of accounts, but we're not seeing that sort of growth happening. And that's why we're waiting and watching, right, before we commit that, we will be able to deliver.
Moderator : Our next question comes from Mihir Manohar from Trust Mutual Fund .
Mihir Manohar : Sir, you mentioned on the revival specifically European auto side. I just wanted to understand when we see the Germany car production data or exports data or the r

egistration data, that
number is not looking that encouraging. So, what is driving the revival in auto spend specifically in Europe? Is it a revival of the older programs which are already there or what is the status in development of the newer programs? Some color on that will be helpful.

Manoj Raghavan: Yes. So, we're not looking at current vehicle data or sales data and so on . While I understand that is important, these are all programs that will come out, I mean, in the next 2 years, next 3 years' time frame. And of course, all the German OEMs realize that, look, to compete with competition from China and elsewhere, they definitely need to up their game, build more features and compete aggressively with what the Chinese OEMs are able to bring in.
But at the same time, with a much, much lower total cost of ownership. So, if they don't invest now, I think their future will be bleak. So that is why most of these companies have restarted those investments.
Mihir Manohar: Okay, understood. So, this is largely revival of the older programs which are there, right?
Manoj Raghavan: Both - not just older programs, even new programs.

Mihir Manohar: Okay. Understood. And also, you can provide color on the industry side, I mean there were talks about the emission norms in Europe getting loosened, and so consequently, the new models getting pushed out. Some color around that will be helpful .
Manoj Raghavan: There has been some talk. Of course, we know in the U.S. that it has been relaxed and so on. But I think Europe - they are focused on the emission norms, right? I think a 55% reduction in carbon emission as compared to 1990 levels and so on, I think that is a norm that they have put in place by 2030 or so. So I think that continues. I don't think they have relaxed that .
Moderator : Our next question comes from Karan Uppal from PhillipCapital India. Please go ahead.
Karan Uppal: Just one question on the Bayer deal, which we have announced. So if you can give some sense on the size of the deal, and would this provide some catalyst for the growth revival in the Medical Devices segment in coming quarters? And also, which players did we compete with to win this business?
Manoj Raghavan: No, absolutely. I think this is a marquee deal for us. It is, again, a start of a multi year relationship, at least a 5 -year relationship. We competed with the best of the companies in India, and they did evaluate seriously a number of our competition, and they've selected us. So this is definitely a multi- year deal and a multi -million dollar deal. This will give stability to our business definitely at least for the next 3 years, if not more.
Moderator : Our next question comes from Hitesh Sharma from Goldman Sachs . Please go ahead.
Hitesh Sharma: See, I see your main clients are from Europe and America and Japan and India, whereas the competition is coming up from China. Maximum EVs are being built like big, big giga factories are coming up in China. So how you are going to compete with the Chinese?
Manoj Raghavan: So we are not competing with the Chinese . Our customers are competing with the Chinese, right? So number one. And in most countries like Germany, for example, the auto industry is the backbone of the economy there. And I don't think the German government or anybody there will allow that industry to go down without aggressively pushing and giving enough incentives and benefits and really ensuring that the German companies are able to compet e. So I think it's out of our remit to commit on who would win – would Chinese companies win or would European or U.S. companies, how they compete and so on, right? So as long as those companies exist and they need to compete with China, we would benefit.
Hitesh Sharma: But that will hold true for the similar companies in China supporting Chinese manufacturers. What is your

percentage of market share or business from China?
Manoj Raghavan: We don't do much. We have very miniscule presence in China. The China market is very, very different. And they definitely do a lot of collaboration internally. I've really not seen anybody from outside coming in and winning a large market share in China.
Moderator : Our next question comes from Tanmay Chaudhary from Ventura Securities . Please go ahead.

Tanmay Chaudhary: My question was on the health care part only. Like in the last financial year, the most confidence that we have was in this particular sector. But going forward in the last 2 quarters, not performing well. So what the exact uncertainty playing out there? And are we still aspiring for those high double -digit revenue mix on this particular sector?
Manoj Raghavan: Yes. As I said, right, I think definitely next financial year, we would see those double -digit growth. In fact, we have won some new deals, new customers. And that gives us a lot of confidence that H2 will definitely be much better than H1. So yes, I think, yes, we have a few projects from customers that were rolling off, and there was not a continuity in some of those projects. There was some amount of uncertainty there. I think we are over all of that now, and we're really looking at new customers, new businesses, and that gives us confidence that H2 will be better. And next financial year definitely will be better. We want to strengthen the team, both from a delivery standpoint as well as from a sales standpoint.

There are a lot of things that we have worked on behind the scenes over the last couple of quarters, and that also gives us a lot of confidence that we are attacking the right problem. We are addressing the right challenges that the customer has. We are really looking at a holistic value proportion to the customer rather than point engagement. So a number of things that are different in the way we are addressing the market, and that gives us the confidence that next financial year will be different for us in the health care space.

Tanmay Chaudhary: Okay. Sir, are we also looking for other geographies like from US or in this particular sector?

Manoj Raghavan: This business is primarily US driven, right? And a little bit Europe, so US is the main geography for the Healthcare business.

Tanmay Chaudhary: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Shivlala Khandelwal , an Individual Investor.

Shivlala Khandelwal : Are we now exploring anything regarding this semiconductor industry?

Nitin Pai: Yes. Hi, Shivlala . This is Nitin here. Not directly because we, of course, work with a whole set of semiconductor platforms and partners. We are largely focused on the software that needs to go on top of semiconductors in order to power applications. So you'll find key announcements that we made, whether it's with Infineon, whether it's with Qualcomm and so and so forth and across segments. On chip design itself, we do not have any significant presence and not an intent either.

Shivlala Khandelwal : But is it going to contribute significantly in future to our top line or something like that?

Nitin Pai: Software part, yes, it continues to. And we believe that much more than contributing directly to topline. It's a very, very important enabler because the work that you do, the partnerships that you carry with the folks like Qualcomm, I think, start to power some of the key

engagements that you have with OEMs who are adopting these platforms. So , I think it's as much a joint go-to -market and enabler as much as it is a direct revenue.

Shivlala Khandelwal : Okay. Thanks a lot.

Nitin Pai: Thank you so much, Shivlala.

Moderator: Thank you. Our next question comes from Pritesh from PL Capital. Please go ahead.

Pritesh: Yeah. Thanks for the opportunity. Just on this quarter, automotive side of the growth, I just wanted to quantify the impact coming from the Jaguar top account. If you were to eliminate another cyber impact coming through that account, what has been the growth for automotive in Q2, if I were to evaluate it?

Manoj Raghavan: Yes. We already discussed about it, right? Instead of a negative or a flat or a 0.5% constant currency negative, we would have definitely gone into a positive zone.

Pritesh: Okay. Okay. And do you expect the growth to accelerate from here in quarter 3, quarter 4, given the kind of commentary that you made on automotive side ramping up on majority of deals and again, positive commentary about it on the automotive?

Manoj Raghavan: Yes, yes, absolutely.

Pritesh: And lastly, we saw a significant jump on the fixed price contract by 200 basis points . Anything to read there? Is it more to deal with the ramp -up that we see on the automotive side?

Manoj Raghavan: Yes, I don't think we need to read too much into it. We've had a few deals that had come our way, which were fixed bid engagements, including in our system integration business, which showed a good increase in revenue uptick. I think a few of those deals came through. And I think that helped us in the quarter. If you look at it from a next H2 perspective, we don't see a big change in the ratios.

Pritesh: Okay. Thank you so much.

Manoj Raghavan: Thank you.

Moderator: Thank you. Our next question comes from Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: Yeah, hi. Thanks for the opportunity. So , just wanted to get some sense for the coming quarters. Now obviously, on the positive side, you said that automotive and health care are going to see continued traction. But then on the other hand, the media vertical is going to see a slowdown, given that this quarter had higher growth because of one deal ramp up and then it is also a furlough quarter.

So net -net, how should we think about the growth in the coming quarters at a company consolidated level?

Manoj Raghavan: I've talked about it earlier as well. We are definitely confident that our growth in H2 will be far better than the H1.

Rohit Jain: And how should we think about margins given that there is a tailwind from better growth, but then there are headwinds from maybe the V FX not being as supportive or not contributing as much as it did this quarter and then there is also a wage hike?
Manoj Raghavan: No. So , I think incrementally, right, as the revenues pick up, automatically, the margin profile will also pick up. Our utilization, as I said, we have touched 70%. The focus is to see how to get to 75% by end of the financial year. If we achieve that, right, those objectives, we will be able to manage the headwinds like wage hike and all of that, right, and still show margin recovery.
Rohit Jain: So, when you say still show margin recovery, that is versus H1 or that is versus the average of last year, the full last year margin?
Manoj Raghavan: Versus H1.
Rohit Jain: Versus H1. Okay. Thank you. Thanks a lot.
Moderator: Our next question comes from Karthik Vaidyanathan, an Investor. Please go ahead.
Karthik Vaidyanathan: Yeah , thanks for the opportunity. I have a couple of questions. I think first is I wanted to know if you are involved with any hyperscaler data centers. Do you work with companies like NVIDIA to integrate some of the AI -based solutions? Any light you can through on that would be nice?
Nitin Pai: Yeah, maybe I can take that. Yes, we do. In fact, I'm not boast ing about it, but we do have our own mini-NVIDIA data center that we set up ourselves for our own AI experimentation and workloads. If you look at the work that we're doing and the award that we announced with Dell, you'll automatically know that there it

has also to do with infrastructure that will go in to on-prem data centers and large part of them are targeting AI workloads. So , now the short answer is, yes.
Karthik Vaidyanathan: Okay. And what are those use cases? Is it on the ADAS side or the health care side? basically there is about efficiency , reducing the headcount, because you are able to take up the task ? Can throw light on that. Are there some new use cases that these AI services that are giving you that you're getting much more efficient ? Any light on that those use cases would be useful. Just to understand the long- term vision here, right? That's the question on that.
Nitin Pai: Sure. So , Karthik, maybe I'll try and keep it simple. I think you're looking at it in two parts. One is how can we operate and deliver better, which is essentially to do with what gains does AI and GenAI provide for productivity, for quality and therefore result ant cost benefit.

The other part is what does it do to innovation and features, right? So if you look at ADAS, if you look at the predictive analytical capabilities of radiology or MRI s and so on and so forth, they're always innovation of features because it is not doing what is already being done, it is actually driving something that has not existed before, right?
Karthik Vaidyanathan: Okay.
Nitin Pai: And not all of that is GenAI. Please note a lot of that is AI and not GenAI, that continues the journey that we strongly drive because ultimately, we are a product engineering company. And this is intimately connected to how products can function better and can deliver more features of value. I think this is a journey that we are taking very carefully in consultation and in conjunction with customers where you really get benefits of GenAI and productivity. And how much of that is clear of any infringement, liability and risk. So there, I think the journey is definite, but careful and calibrated. The first one, in innovation and features is all out, and that's a journey that we've been on for actually about 14, 15 years now given we announced our own autonomous journey starting 2014.
Karthik Vaidyanathan: Okay. Okay. Yeah, that adds. Thanks for adding more. Just one additional question related to what I just asked, right? Because you mentioned radiology, I just thought . There's also these use cases where breast cancers, whether they are benign or malignant. Those are health care-related stuff. Are you also working in those spaces ? Because that is also AI not GenAI just regular AI, just looking at patterns and trying to identify on the health care side.
Nitin Pai: Absolutely.
Karthik Vaidyanathan: Because that's a very strong use case, right?
Nitin Pai: Correct.
Karthik Vaidyanathan: I Just wanted to know, if you have excellent products where you can , you know, s can images just like that. And at least if you can identify these patterns that can go a long way in terms of studying them.
Nitin Pai: I think that's the direction health care is taking, which is how do you detect earlier, and how do you detect better. I think we are on both paths.
Karthik Vaidyanathan: Okay. Yeah. Very good to know. And good luck and wishing you all the best.
Nitin Pai: Yeah. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Manoj Raghavan: Yes. Thank you, Shashank, and thank you all for the patience and all the questions. We look forward to a much better H2 and look forward to talking to you again for the Q3 conference.
Thank you very much. Take care. Bye -bye.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

January 20, 2026

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and nine-months ended
December 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and nine-months ended December 31, 2025, held on Januar y 13, 2026.
The transcript of the earnings conference call can be accessed on the Company's website at:
https://www.tataelxsi.com/investors

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q3 FY '25 -'26 Earnings Conference Call "
January 13, 202 6

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR
AND CHIEF OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER
– TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA
ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q3 FY '25-'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star

and then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you, Dorwin . Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan : Thank you, Shashank. A very good evening to all of you joining today for the Q3 '26 investor call. At the outset, let me wish you all a healthy, happy and prosperous new year 2026. I'm happy to share with you that in the third quarter of FY '26, Tata Elxsi delivered a healthy performance, growing 3.2% on a constant currency basis over the previous quarter. This was largely volume -led, resulting in better utilization and operating margins.

Our

transportation business, which now accounts to more than 55% of our overall revenue , grew 7. 7% quarter -on-quarter. This growth was led by accelerated ramp -ups in SDV -led OEM deals won earlier in the year , and also normalization of work streams and programs with a strategic OEM client that was impacted in the previous quarter.

Our Media and Communication business registered a marginal decline of 0.3% quarter -on-quarter. This was largely due to some seasonal furloughs in the last 1 to 2 weeks of December and delays in some deal awards and paperwork. We have continued ramp- up and a strong foundation with the large deals we won in the year for this business, tractions with our renewed offerings and a healthy deal pipeline.

Our Healthcare and Life Sciences business has bottomed out in the quarter with the runoff from the end of some large regulatory programs. Our investments in future -powered , GenAI -powered regulatory workflows is seeing market success with multiyear deal wins during the quarter. We've also seen strong new customer additions throughout the quarter and year, and we're confident of bringing back growth in this business starting Q4 FY '26.

During this quarter, we performed well in key geographies of the U.S. and Europe with broad-based growth across key accounts and verticals, while India did see impact largely from the business from automotive suppliers. Our EBITDA margin improved by 220 basis points to 23.3% in the quarter, backed by operational excellence and improved utilization in line with business growth. Our PBT improved 200 basis points to 24.2%. This excludes a one -time exceptional item due to the new labour code.

Overall, I'm pleased with the performance and resilience in revenue, margins and customer additions throughout the quarter. We are entering the last quarter of the financial year with a commitment for growth and confidence in our design-led and AI -enabled engineering capabilities.

Thank you, and over to you, Shashank, for the questions.

Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. Our first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta : Thank you. A couple of questions. Firstly, on the auto vertical. Obviously, the growth was very strong this time mainly because of ramp -up of the previous won deals. But how should we think about the momentum sustaining going forward, based on the pipeline you see currently and the conversation that we are having with the OEM clients?

Manoj Raghavan : So Bhavik, yes, thanks. I think we've been working really hard on building the momentum in automotive industry. So the good part i s a lot of things came together this quarter, and we were able to show the strong growth. It's not just automotive customers or automotive OEMs, we have been able to leverage on the large deals that we have won and really accelerate some of the deployments.

At the same time, we've also really opened up some off -road and adjacency businesses for us. That has also helped us in the quarter. So I think we definitely expect steady growth moving forward. We're really looking to see accelerated momentum in the next financial year for the

transportation business for us. I think we are working hard, and we're pretty confident that we will be able to have a sustainable growth for us in the coming financial year.
Bhavik Mehta : Okay. Got it. That's helpful. Secondly, just on the margins. Gaurav, can you just highlight what are the utilization levels we're operating at right now and where this can go with growth momentum sustained in auto as well as if growth comes back in telecom and healthcare? I'm trying to understand where can the margins go back to in the next few quarters?
Gaurav Bajaj : Sure, Bhavik. I think on this quarter, we got a 35 basis point kind of benefit from

the exchange. I think our operating leverage has been improving, including the utilization. We

have been saying in the last few quarters that once the revenues start to go and demand comes back, the utilization will start to improve because we have the installed capacity, which we don't need to augment further. So that is coming into the play and helping us in our bottom line.
We get almost 200 basis point uplift from the operating leverage, including from utilization point . Other expenses also continues to be cautious, with our cost-discipline behaviour that we are driving within the organization leading to another 80- 85 basis points kind of margin upliftment.
If you add all the positives, it comes to almost 310 basis points. From that, we have done a wage hike for our junior domain staff during the quarter, which has a compensating impact of 110 basis points, which makes almost 200 to 210 basis point s of a positive movement in the bottom line.
Having said that, I think we continue to drive the operating model in terms of how we used to do it in the past. We believe there is still scope and runway to improve our utilization further as we see the demand coming back in the subsequent quarter.
I cannot commit in the short to midterm, but we are very positive that we can go back to the margins that we used to operate at maybe by the exit of the next year. But I think everything seems to be positive. We are confident that we will be able to move back to that trajectory where Tata Elxsi used to operate.
Bhavik Mehta: Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Debashish Mazumdar from Svan Investments. Please go ahead.
Debashish Mazumdar : Good evening to the management team and v ery good quarter, congrats on that. So I have a question on the transportation vertical. The 7.3% kind of growth that we are seeing quarter -on-quarter, can we get a qualitative breakup that how much is because of the anchor customer coming back and how much is because of the growth in the other customer s? And what kind of growth you are seeing from the ramp-up of the incentive on deals?
Manoj Raghavan : Yes. So there are multiple factors, as I discussed in the earlier question . Of course, it is the ramp -up with large deals that we have won. Of course, as we reported in the last quarter, one of our customers had an issue. And in this quarter, we had some accelerated ramp -up of the deals that really were put off from the previous quarter . That actually has helped us. And apart from that, we have growth from our adjacency business. So I would say all 3 of that put together has really helped us to show this good growth for the automotive sector.
That’s the confidence that we have look moving forward and moving to the next financial year; we believe we are on the right trajectory, and we should be able to leverage the capabilities that we have built, the teams that we have built, the sort of investments we have made in our platforms and products. I think all of this gives us the confidence that automotive should really help us accelerate our growth rate for the next financial year.

Debashish Mazumdar : If I just connect your transportation growth and Europe growth and top 5 customer growth, it seems to be a large part of the delta in this quarter -on-quarter 7.3% growth is driven by the anchor customer. Is my understanding correct? Or it is equally distributed between the 3 segments that you have just explained?
Manoj Raghavan : If you look at the top 5 or the top 10 accounts and so on, what we've also been saying is that we have seen a lot more automotive customers come into that band, especially because of some of the large deals that we have won and how we have been accelerating. So yes, I think it's a combination of multipl

e of these large wins that are really accelerating our top 5 and top 10 customer base.
Debashish Mazumdar : Okay. And Y -o-Y, the transportation vertical is still not back to the previous levels. So is the anchor customer is back to the earlier trajectory or it is still like 1 or 2 quarters away?
Manoj Raghavan : No, we're still not up to the previous run rate. So still, as you rightly said, we have maybe a

quarter or so more catch -up to happen, quarter or 2. So I think that is also something that we are working on and seeing how we can accelerate that.

Debashish Mazumdar : Sure, sure. One last question, if I may. If you see the geographical performance between Europe and rest of the world, it seems to be the 2 new OEMs that you have - one is out of Europe and one is out of Japan. The Europe customer has kind of f ired up; the Japan customer has still not fired up. Is my understanding correct? And if that is the case, can you give me some trajectories of these 2 new OEMs that you have won recently?

Manoj Raghavan : So you're right. I think the European customers, we have been able to ramp up. The Japan customers actually, we have ramped up the previous quarter , it's not as of that customer has not ramped up. We've already ramped up. And I think we are at a phase of consolidation, and eventually moving forward, there will be additional activities that we'll get involved in . So we can't look at it from a 1 quarter perspective.

Debashish Mazumdar : Sure, sure , understood. Thank you very much for answering my question.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Yes, thank you for the opportunity. And team, great comeback, especially in automotive vertical. I just wanted to get a sense, sir, you mentioned a lot of factors that have contributed to this revival. What's the sense on macros? Are we seeing receiving headwinds? Or has the performance been up to the mark despite the headwinds still being what they were in the past year that we've seen?

Manoj Raghavan : Yes. So I think at a very, very high level, macro level, headwinds are still there, from an industry perspective. But to the good partners our value proportion stands out very strongly. Especially for the customers in Europe and U.S. and Japan to really look at Tata Elxsi providing the sort of best value from best cost country location and proven offshoring capabilities and our ability to execute large complex programs and so on.

So I think all of that is really helping us navigate . T imes are still tough out there in these markets. But I think that gives us the confidence and our customers are confident that this is the right step to take.

Vimal Gohil: Understood. And Manoj , on health care and media and comms, how should we look at these 2 verticals going forward? Your commentary suggests that growth might be on its way starting Q4/Q1. Should we look at a similar trajectory, what transportation has delivered? Or will it still take some time?

Manoj Raghavan : No. So we are working really hard on it . So 50% of our business is in a decently good shape, right? And the remaining 50% is something we are hoping that will come in good shape in a quarter or 2 . Definitely, the Media and Communication business - some of the large deals have actually ramped up. We are in the process of bidding for a couple more large deals and outcomes will come out pretty soon in this quarter . So I'm pretty confident that in Q4, we should see some positive signs in our media business. And it's been a long, long journey. T he teams have put in a lot of hard work. There is some light at the end of tunnel, I would say. And hopefully, Q4, we'll be able to show some good performance in the Media and Communications space as well .

Healthcare, again, healthcare

is something that we're really, really working hard. And I think we have bottomed out in this business in Q3. And hopefully, the turnaround will again happen from Q4 onwards. Definitely, from a next financial year perspective, we are definitely focusing on both of these business also to accelerate. So that's what we are working on. And I think we have a good , clear line of sight of where both of these businesses are heading to. And I think I'm pretty optimistic in the midterm t hat we will be able to turn around both of these businesses.

Vimal Gohil: Great to hear that, Manoj. Just one question on hiring. So in this particular quarter, Gaurav, if you can just quantify or maybe give a qualitative comment on how much of margin improvement has happened because of the headcount rationalization that we've seen?

And given the fact that we are now seeing growth ramping up, do we see hiring coming back into positive trajectory? And will that offset some of the gains that we've seen in terms of margin gains?

Gaurav Bajaj : Yes. So Vimal, I think I answered that in the previous question asked by Bhavik. I think this quarter, we have an operating leverage of about 200 basis points into our bottom line. And we still have a little bit more scope to improve our utilization from here on. And I think the future model itself should not have revenue tacked to the headcount. That would not be the proportionate or the linear way of looking the revenue to headcount ratio. I think that model is undergoing a change. And we are very cautious, and we are looking in terms of the productivity of whole , including the AI kind of productivity into our business model.

So I think that we'll continue to work on those models and see when the headcount will increase. I think we will approach where we need the people, the specific skill set are require d niche, expertise are required. We will do very calibrated hiring from here onwards.

And depending on the demand, we will see how many people have to be brought in. But I think going forward, our methodology would be to calibrate the demand and the supply, a nd then what would be the most optimal model to continue to deliver towards 80% utilization.

Manoj Raghavan : Yes. So just to add there, I think we still have leverage from improving our utilization. So I think it's a quarter or 2 away before we'll start thinking of hiring and so on, and we would do it in low numbers , especially to meet certain specific customer requirements and so on. But large hiring, I think is still either a quarter or a couple of quarters away. And we will want to leverage on improving our utilization in the short term, right? So that's where our focus is.

Vimal Gohil: Perfect. Gentlemen, congratulations once again and best wishes for the quarter start. Thank you.

Manoj Raghavan : Thank you.

Moderator: Thank you. Our next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Yes sir, thanks for the opportunity. So my question is on the transportation vertical. Obviously, we have seen very healthy recovery. But in this recovery, have all the deals that we have won fully ramped up? Or we can see some there more ramp -up in the coming quarters?
And also in terms of the top OEMs in the Europe and the U.S. region, how are you seeing the spending patterns in terms of recovery, in terms of their discretionary spends and in terms of decision -making? And if you can provide some colour on that, how this has changed from maybe a quarter back?

Manoj Raghavan : Yes. I think some of the large deals that we've been talking of, I think we have had significant ramp -ups happening towards maybe the later part of Q2 and of course in Q3. So those ramp-ups - we have reached a steady state. Of course, there is still opportunity to grow further, again, depending on some new opportun

ities that we're talking to customers and so on.
But I think we have managed to really match the customer expectation in terms of ramp -ups to meet their specific needs and so on . So having said that, as I said, there are a few adjacency businesses, off -road businesses and so on that we have entered recently. And that is an opportunity once again to scale and so on in the coming quarters . So yes, it's a work in progress in some sense. But I think a good part of the ramp-ups have been baked in during the last quarter.

Amit Chandra : In terms of the OEM commentaries and the spend s in these specific areas , and in terms of the decision -making how are you seeing in this quarter versus what it has been 6 months back?

Manoj Raghavan : Yes. See, decision -making times are still a little bit slow . Of course, customers are making decision s but they are making very careful calculated additions . So to that extent, I think it all depends on the value proportion and what you've stand for ; what sort of problems at the customer end are you going to address based on your business model . So that's the key. And that's something that we have been sharpening over a few quarters . And I think we have a very,

very good value proposition for our customers. Yes, decision -making will still take some time, but customers are definitely willing to spend based on the value proportion that we are putting on the table.

Amit Chandra : Okay. And sir, in terms of the operating leverage, obviously, we have seen some good operating leverage coming out in this quarter. T ill what level of growth we have funded in terms of capacity, where we don't need to add more, if you can give some colour on that? So what is the kind of margin expansion we can expect?

Manoj Raghavan : I think we have addressed that question in the previous question as well . So we are operating at around 75% today. And we can go all the way up to 85%, right? So we are targeting to look at least moving around to 80%, before we start adding capacity and so on. So I think we do have operating leverage from a bench perspective.

Gaurav Bajaj : It is not that we are not hiring at the moment. We are hiring, but I think we are hiring selectively where we have those positions required to be fulfilled. But as we mentioned, the large-scale hiring probably can be seen after maybe a couple of quarters from now.

Amit Chandra : Okay sir thank you and all the best .

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant: Yes, thank you for taking my questions. Congratulations on a good set of results. My first question is on the transportation vertical. So would you put down this performance mostly to an anticipated ramp -up that we were expecting from 1H itself? Or would you also attribute it to some extent to an improvement in the demand environment? Do you see that? And in a similar vein, now having registered a strong growth in 3Q, it sets up a high base as we head

into 4Q. So would we be able to see growth on this number? How do you look at it?
Manoj Raghavan : I didn't get the first question clearly. But okay, from a second question, perspective, yes, of course. I think based on the order book that we see and based on the sort of funnel that we're looking at , I'm pretty confident that we will be able to grow over the number that we have delivered . So that's, of course, what the teams are focusing on. What was the first question about? Was it demand environment?
Ankur Pant : Yes. My question was that the growth was primarily driven by the ramp -up that you were already anticipating? Or did you also see an easing in the demand environment to some extent?
Manoj Raghavan : It's both - I think of course, we were able to successfully ramp up some of the deals that we have closed, and as you know, we had an issue in one o

f our customers, and there was a lot of pent-up demand which was really pulled in during the last quarter , And that also helped us to really accelerate in the quarter. And regarding new demand and so on, yes, of course, there are deals that we have won, and we've talked about, especially in the adjacency space that they're looking at. So those are all new deals that will add revenue streams again in the subsequent quarters.

Ankur Pant : And my other question is on utilization. Now it's an important margin lever going forward. But given that we work in three different verticals with - I mean, there's not a lot of fungibility between employees, you ideally would need even the Media and Communication growth to pick up before you can actually move utilization to north of 80%. So is it possible to move it upwards to 80%, 85% without a proper recovery in the Media and Communication vertical?
Manoj Raghavan : That's what we talked about, right? We are hoping that both Media and Communication and Healthcare, which contributes to 45%, 50% of our revenue , is something that we are very confident should be able to recover. And we have been working on that over the past few quarters, I would say, in terms of new customer outreaches and some large opportunities that we have placed our bets. And we strongly believe that some of that will turn around in this quarter, in Q4. And that will also help us improve our utilization. So it's not necessarily only automotive business. It is both Media and Communication and Healthcare, which is going to help us achieve a better utilization. So definitely agreed there.
Ankur Pant : And my final question is in 1Q, you had aspirations of double -digit growth in both transportation and Healthcare vertical heading into FY '27. Does that remain intact and for the overall organization?
Manoj Raghavan : Yes. So that is the aspiration from our next financial year perspective, if I understood your question right. So that is what our internal planning says and that's what we are aiming for. And we believe that if we can get a strong momentum in Q4, right, and leading into quarter 1 of next year, I think we should be able to achieve those objectives.
Ankur Pant: Thank you. Perfect. All the best.
Moderator: Our next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.
Abhishek Shindadkar : Yes, t hanks for the opportunity. And congratulations on a great quarter. The first question is on the Media business. If I heard correctly, did you mention that part of 50% of the business has recovered and you're hoping for the recovery in the balance ? Is that comment related to one of the larger accounts? And if yes, any status in terms of bottoming out of challenges in that account . That's first. And the second to Gaurav, sir, you mentioned the wage hike impact for juniors in this quarter. Can you also quantify the impact that could come in the fourth quarter for the wage hikes for the remaining? Thank you for taking my question.
Manoj Raghavan : Yes. So if I understood your question correctly, you're talking of the Media and Communication business and you're talking of the challenges in the top account, right? I don't think we have any challenges there in that account. In fact, that has been growing pretty well. So the confidence is from a number of other customer outreaches or a number of other bids that we are placing . We strongly believe that a few of them will come to a closure in this quarter, and that will sort of start the sort of recovery for our Media and Communication business . Healthcare business as well, we have a similar sort of a situation. And we definitely want to get both of these businesses also on a growth path as we enter the next financial year. So that's what we're focusing on.

Gaurav Ba

jaj : Yes. Abhishek, on your second question, hike for our junior to mid staff, which covers almost two-third s of the organization, will happen in Q4 . So you can expect the impact for that would be lower compared to what we have in Q3 , maybe probably 60- 70% of that.

Abhishek Shindadkar : That is helpful. And just a follow -up on the answer. Sir, if we look at the increase in the revenue by contract mix side and also see the recovery in utilization and the recovery in the top account , is it fair to assume that in many large accounts of each of the three verticals, our mix is primarily towards time and material?

Manoj Raghavan : No, it's a combination . It's not that all the large accounts are time and material. A lot of them are fixed bid and outcome -based projects as well. So it's a combination.

Abhishek Shindadkar: Perfect. Thank you for taking my question and best wishes for the rest of the year.

Moderator: Thank you. Our next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Yes, thanks for the opportunity. Just a few questions on the transportation vertical. Sir, you mentioned about normalization of spends going ahead. Just wanted to pick your brain around the areas which you are seeing good traction in, be it hybrids, EVs, ADAS , connected , if you can share some thoughts there? And in the pipeline, are you seeing large programs on the SDV front?

Manoj Raghavan : So a lot of the growth that we've seen is primarily coming from our SDV, the closures that we've had on the SDV side . So of course, as you know, we also have our own SDV suite called AVENIR and that is also bringing in a lot of traction for us. Apart from that, of course, electrification is another large play that we see in both BEVs and hybrid platforms. So new platform development is something definitely we are seeing. AD-ADAS, of course, continues to have traction. So, yes. So these are the top 3 areas that really are pushing our automotive growth. Of course, the connected car platform and the applications around it is also another area that we see a lot of traction going forward.

Karan Uppal : Okay. Second thing is for the outlook for this automotive business, is it broad-based across your, let's say, of 10 to 15 accounts? Or is it more concentrated between, let's say, 2 to 5 accounts where you are seeing deal ramp -ups?

Manoj Raghavan : I would say it's more on the top 5 to 10 accounts, right? That's what we are seeing a ramp-up. And these are happening across the geographies. It's not limited to any one geography. So that is positive for us because we are derisking from geography dependent situation as well.

Karan Uppal : Perfect. Thanks a lot, and all the best.

Moderator: Thank you. Our next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Okay. My question was with Tata Elxsi focus on design- led technology and recent partnerships in automotive and media, how do you see client conversion evolving? Are they

shifting from cost efficiency to co -innovation module ? What should the stakeholders expect as the defining theme from your leadership in this space?

Nitin Pai: Yes. I think just to clarify, I think the two are not exclusive in the sense that they tend to run together. I think in both industries, there has been extremely strong pressure on bottom line, especially because the top line are not going too well. Market share is not going to be climbing given the competition, for example, in the auto space for the Chinese and so on. So there's a clear mandate that look, whatever you do, you will have excel in technology, but at the same time, we'll have to deliver on cost .

So I think in that sense, Media and Communication vertical has seen that pressure on the top line for quite some time now and therefo

re, the cost takeout and the bottom line improvement has been a focus for some time now. I think you're finding this need to find right partners delivering from best cost countr ies, but delivering outcomes and results rather than just delivering headcount. I believe that is really what will carry us forward.

Sucrit D. Patil: Okay. My second question is to Mr. Bajaj. On the financial side, speaking beyond margins, how are you thinking about capital allocation in this phase like balancing dividends or investments in automotive innovation centres or any digital partnerships down the line? Do you see scope for a shift in capital deployment over the next 1 to 2 years?

Gaurav Bajaj : I think we have been discussing internally within the organization management and also along with the Board. Of course, there are certain plants that has been put into the place, and we have been tracking on those plants. At an appropriate time, I think we will let you know in terms of any outcome or change in the capital all ocation approach from our side.

Probably, we announced during the quarter 4 year -end during our AGM in terms of what would be the distribution that we do. But there are some strategy internally that has been discussed. So probably, I think we may not be able to disclose at this moment of time. But at the appropriate time, we will get to know what kind of plans and what are we thinking of that.

Sucrit D. Patil: Fair enough. Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Moderator: Thank you. Our next question is fr om the line of Sajal Kapoor from Antifragile Thinking . Please go ahead.

Sajal Kapoor: Yes, thanks for taking my questions . And c an you name a commercially successful idea that
initially looked unbillable or irrational, but it became com mercially successful thereafter?
Manoj Raghavan : Sorry, we couldn't get the context of your question?
Sajal Kapoor: So the context of the question is I just need an example - preferably in Healthcare, but even
automotive or otherwise - of a commercially successful IP , idea that you have in the
organization today, but initially, that was deemed kind of irrational or unbillable?

Nitin Pai: As an engineering company, we are quite rational. So to that extent, there's very little that we
do that is irrational. But having said that, if you look at it, most of the bets that we have taken
in products and platforms are future looking because ultimately, we are tracking standards,
tracking technology conversion and we are taking bets in advance.
And that is why you tend to have mixed success with products and platforms, not because they
are not right, but because many times, we are simply ahead of time. A good example is the
investment that we made in NEURON, which is a network automation and orchestration
platform. We believe it's ahead of its time simply because that's the most elegant way to reduce
cost in network management. And while telcos have been going after cost takeout simply by
throwing larger and larger deals for lower and lower cost, we believe the smarter way to go
around it is to actually start investing and automating and orchestrating your network with
technology and with automation rather than with people. But we also know that ahead of its time. Why? Because telcos are not going to be so keen to throw themselves on another
platform. Unfortunately, they have seen enough in life. So that's where I feel most of the time,
we are ahead of time rather than irrational.
Sajal Kapoor : That's very helpful and a great response. Thank you for that. And my second and last question
is, you know, there is always some sort of a tension between creativity and delivery discipline.
So when creativity conflicts with delivery discipline, which one loses and why?
Nitin Pai: So I think this is, in many ways two sides of t

he coin. The tension between creativity and
discipline or engineering, I think it is a good tension to have. And I can tell you this from my own experience as a designer.
We obviously used to have this debate when we are young as to
which designers are better. Were the ones that came from IDC IIT Bombay better because
they had an engineering degree first or was it the folks who came from NID because they were
pure creativity ? They were not schooled in engineering. Opinion is divided, but I still believe
that when you're schooled in engineering, the concept that you come out with are a lot more
manufacturable, feasible, productizable. Pure creativity at times is great for the heart but
doesn't work for the mind.
Sajal Kapoor : Yes. Engineering, the practicalities and the scale-up and the actual commercial viability is far
more important than just having plain on paper kind of creativity, if I understood it correctly?
Nitin Pai: Absolutely, anytime because that's the whole basis of the manufacturing world, but it has to be
realizable. Otherwise, it just becomes luxury art.
Sajal Kapoor : Absolutely, it does. Thank you so much for all these responses. Wish you all the very best.
Thank you.
Moderator: Thank you. O ur next question is from the line of Rishi Modi from RDM Advisory LLP . Please
go ahead.
Rishi Modi: On the healthcare front, we had seen a disruption in the past on the regulatory extension being
given in Europe, which, if I'm correct, it ends in 2026. So do you expect any sort of a pent -up
demand on that regulatory front coming for you in the coming year?

Manoj Raghavan : No, I don't think there is as a pent -up demand. In fact, the regulatory piece of our business is
over a period of time, really gradually coming down. In fact, what is happening is we are
moving the manual regulatory effort to more AI -based digital sort of focus. And I think we
have been able to successfully move there. So I don't think there will be a pent -up demand per
se, but we are hoping that using AI, Gen AI and so on will really help capture a larger piece of work that otherwise would have to be done manually . So there could be some sort of
acceleration based on the digital technologies that we bring in, but it's not due to the runoff in 2026 and so on .
Rishi Modi: Okay. Understood. Secondly, I wanted to understand our rationale on the defense business. In
the past, you were a bit un comfortable , I'm talking about 5 years , 6 years back when you said
that there's a receivables issue in the industry plu s some export issues to the U.S , so what has
changed for us in maybe the industry or in our view or in our working, which is now making us commit to the defense aerospace industry?
Manoj Raghavan : Globally also, we see aerospace and defense as a great opportunity area primarily because of
the spend that the industry is going through, so there are a lot of new technologies that are
coming in. There is UAVs and drones and warfare is changing. There is also commercial

applications of many of this in air taxis and so on.
So what we see today is a lot more technologies like electrificat ion coming in, in a big way.
So, of course, there are challenges with cycle times for the deals. And if you're doing defense sort of projects, especially in the U.S., you need to be ITAR compliant and so on. So there are still some of the challenges that we need to address.
` But otherwise, I think a fantastic amount of opportunities exist, especially in India, with the sort of both DRDO and labs , and companies like HAL. And, of course, a lot of global companies, right, who have set up their capability centers in India, in Bangalore and so on. So that also opens up a lot of good opportunities for companies like us .
So I think, yes, I think we are doubling down our focus on the aerospace and defense segment. And we have done some fantas

tic work in this space. So credibility is there, capability is being built. Now really we need to see how to have some commercial success. So that's something that we're working on.
Rishi Modi: And Manoj, do you think this will be a ROCE accretive l ike will the margins compensate for the receivables cycle in the future?
Manoj Raghavan : It's still early days. I think if we look at the overseas market, I don't see any concerns on either profitability or payments and receivables . But yes, if you really only focus on the defense segment in India, then yes, we do have some tweaks in our business model that we need to take care of. Otherwise , I think it's a great business. And especially with the type of opportunities that we see in India, it's a great opportunity to build capabilities and then really explore the same glo bally . So I think it's is a great opportunity for us.
Rishi Modi: That's great to hear. Finally, just a quick one on the non-PV transportation, which is the off - highway construction equipment railway that we had entered into. We'd guided for 20% of our

transportation revenue coming from this segment , I think we had guided for 3 years back then, but I think we've overshot. J ust wanted to understand where are we in that journey? Are we still tracking that 20% a nd when can it be achieved?
Manoj Raghavan : Yes, we are still tracking that 20 %. So I think today, we are about 7.5-8 % is where we are today. So, I think there's an opportunity in the next couple of years or 3 years to really look at 20%. The difference this time is that we really had some good logos that we've opened up and good opportunity in this space. And the spend in this industry is also growing. So, I think that's positive for us.
Rishi Mody: So we are at that point where we have right to win that business, like we've gone through that phase when we've established ourselves. And do you think like this adds up to our revenue in the next couple of years and we get to that 20%, like an extra 5%, 10% of our revenue?
Manoj Raghavan : Yes. That's what we hope for. Of course, it's a smaller market as compared to the automotive market. So to that extent, we need to be a little careful. But I think the opportunity exists.
Rishi Modyi: All right, all right. Great. That's good to hear. I'll come back in the queue for a more conceptual question, but if there are others, you all can go ahead.
Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : Yes. Thanks for taking my question and congrats on a good set of results. I had a couple of questions. So first is with respect to growth in the near -term , I just want to check my understanding if that is correct. So, what we spoke about from a 4Q perspective, or a near -term perspective is that we are expecting a recovery in both Media and Healthcare verticals versus what we did in the third quarter.
And even in the transportation vertical, while the SDV deals are largely in the steady state, the top account still has to return to the peak run rate. And there are other deals in adjacencies, which are ramping up. So, shouldn't 4Q be similar to better than 3Q from a growth perspective? I mean I'm just trying to understand, is there anything we should keep in mind which can change that trajectory as we enter into 4Q?
Manoj Raghavan : No, we don't want to give any indicator at this point in time, we don't do that. But you have rightly paraphrased all what we talked about . So I think your analysis is perfect.
Sulabh Govila : Sure, sure. Thank you. And the second question is on the utilization bit. So in the past, we've always talked about reaching a peak utilization rate of 80% odd, while today, it may be the first time we ever spoke about potentially reaching 85% levels. So just trying to understand, is there a

nything which has changed structurally for you in the delivery organization from a workflow automation perspective, which is changing this thought process on the utilization levels?
Nitin Pai: Sulabh, this is Nitin here. I think historically, we have hit 85%, 86% at the peak of our growth. It's just that at that time; we did not have all the benefits that come from what you have now as

tools and technologies. So technically, at that time, we felt a little constrained that, look, 85%, 86% kind of stretches a little too much and we don't have enough room to maneuver.
I think given the context that we are in today and the kind of work that we're doing and the kind of investments we're making with the AI and Gen AI that stretch is not as tight as it was before. So 85% seems comfortable.
Sulabh Govila : Okay, sir. Understood. Thanks for taking my question.
Nitin Pai: Thank you.
Moderator: Thank you. Our next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.
Rohit Jain: Yes. So, my question is on the anchor client. Now last to last quarter there was an issue, and then last quarter, it sort of came back. But given the issues ongoing there and the kind of debt situation that's developing, for the next year on a whole, do you expect the anchor client to grow from this year's level? Or do you expect it to be stable? How should we think about the trajectory on the anchor client side?
Manoj Raghavan : Yes. I think there are too many changes that are happening in the marketplace also . But if you ask me, our focus is to definitely ensure that all customers, including our anchor customer, at least the top 15, top 20 customers, right, we are a steady growth path. So that's definitely the focus. We don't have any indication at this point in time saying that we will have some difficulties or we'll have some surprises. So, we are hoping that we will be able to gro w, you know, our top 5, top 10, top 20 customers. So we'll be optimistic there.
Rohit Jain: And just last question on that anchor client again. Are you sort of gaining share of the work being done there? Or is the share stable and the growth depends on the increase in tech spends by the anchor client?
Manoj Raghavan : So if you look at it over the last 5 years or even a little more, you know, our share in the overall spend of this customer has only increased. So I think, again, it all comes down to the value proportion, right, especially in a tough market situation. The value proportion that we bring in is very, very strong. So I don't think we have an issue on that front.
Rohit Jain: Okay. Thank you. Thanks a lot.
Moderator: Thank you. Our next question comes from the line of Jalaj from Svan. Please go ahead.
Jalaj : Yes. Congrats on a good set of numbers. Sir, first question was with regards to this onetime adjustment for the labour law changes. So are we done for all the prior period adjustments or there is something which comes in the next quarter also? And second part to it was what would be the incremental impact of this as a going concern, in people cost or on the margins should we expect anything?
Gaurav Bajaj : Hi Jalaj, this is Gaurav. Let me answer your question. I think we have made a provision in line with our accounting norms and also assessed by our auditors for the new acts on the new

labour code that got enacted during the quarter. We believe that onetime catch -up is already being done in this quarter. And hence, we have also called this out as an exceptional item because this is something not going to be a usual line item in our financials going forward. However, given the change in the labour code and the definition of the wages, on the going-forward basis, we expect this impact to not be more than 15, 20 basis points, but probabl

y that will also get compensated with the other levers and the utilization factors that we still see there is a scope for the improvement over there.
So at large, we don't think there should be any impact for the new labour code going forward in the subsequent quarter. However, we continue to monitor. We continue to track in terms of more clarifications that probably would come around in this quarter or maybe the next quarter because the rules got republished, but those rules are still not notified and still not enacted.
So once we have the little bit better clarity, rules get notified, then we have to assess if there are certain more changes or adjustment to be required. But we believe that the larger part of it is already baked into the numbers. And as such, we don't see anything potential or significant coming in the coming quarter.
Jalaj: Got it. That explains it. And my second question was with regards to the business side. So I wanted to understand on the transportation side. So we understand that the top client has come back and has come back strongly, and there were a few projects which were stalled. So if you could give us some flavour as to what proportion of these stalled projects have, they ramped up to the maximum or there is more to come from that? Just trying to understand on the sustainability of the growth.
Manoj Raghavan : Yes. So I think as we explained earlier, there definitely has been some catch -up in terms of pent-up demand that we have fulfilled in this quarter. A part of it will definitely continue as we speak into the subsequent quarters as well. But again, the focus is for us to really look at the larger basket of customers, our top five , top 10 customers and see how we can ensure growth across these customers as well . So I think that's where we are, over a period of time, constantly

trying to diversify our concentration risk, if you may, in some sense.
We are trying to diversify our geography risk, if you may, in some sense. And I think each of those strategies are working out for us. And especially when times are tough in, say, some
geographies like U .S. or Europe, our focus on Japan and India has really helped us. So I think
at this point in time, if you look at it, a basket of customers and the various geographies that
we operate in.
And I think we are in a decent situation, good situation to be in, I would say. And we need not be overly dependent on a particular geography or a particular set of customers. So to that extent, I think we are de-risking and diversifying our overall portfolio, which in the midterm to
long term, I think will really help us.
Jalaj: Fair enough. Just a quick one on that. So the newer projects, what we alluded to, the newer
ramp -ups in the newer clients, are the margins for these projects comparable to the peak
margins we used to do historically or they are slightly at a lower price or a lower margins

because of whatever has happened in the transportation vertical as such because of the tariffs
and otherwise pressures? How should we understand that?
Manoj Raghavan : It's a basket of accounts, s o there is no one answer there. Depending on criticality of a
particular customer or the skills or capabilities that we need to bring in, we look at the margins
accordingly, there's no set rule that, look, this is the only margin that we would operate on . At
end of the day, it's our responsibility to really uplift the overall margins in the business . And
that's what we are focused on. How we do it , we take a portfolio approach or how we do it is
entirely dependent on what we see in the marketplace, what skills do we need to bring in, and
then what value are we creating to those customers . Based on that, we would really price in the
deal, and the margin movement will be according to that.
Jalaj: Understood. And then, sir, you alluded to that one o

f the reasons of the growth coming in transportation was the comparatively better macro or the comparatively better demand situation or discussions from the clients.
So how should we understand that over the past two, three quarters, has there been any
improvement in demand scenario or discussions at least have the clients started to think about
or talk about signing new deals or discussion? Because I understand newer launches or a
complete portfolio was postponed by a few quarters to a few years for a lot of clients or OEMs?
Manoj Raghavan : No, I think from an automotive perspective, we've already indicated that, yes, there are
discussi ons happening. There are new deals, new discussions, new customer additions and all
of that is happening, right? We are hoping that both in both Media and Communication as well
as Healthcare, we will be able to turn around that business .
And our focus is to really get back all the three businesses of ours to a growth situation, which
will give us a lot of leverage from an investment perspective, from a growth perspective, from a utilization perspective, from a return to higher profitability perspective. So a number of
things that we are really focused on. And I think in the next 2 quarters, you will see a trajectory
or a trend, right, that will give you an indication in terms of where this is moving.
Jalaj: Got it. Thanks for the answer and best of luck.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now
like to hand the conference over to the management for closing comments. Over to you, sir.
Manoj Raghavan : Thank you to all the investors who dialled in today evening. We really look forward to having
a more detailed conversation towards the end of the next quarter. We are really confident that, look, we have done a number of things right. We have done a number of investm ents right.
Now how do we leverage that and how do we move that into revenue growth and profitability
growth, t hat is what the team is really focused on. Thank you so much and look forward to
interact ing with you again in the next Investor C all.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for
joining us. You may now disconnect your lines.

Call: Jan 2026

January 20, 2026

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and nine-months ended December 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and nine-months ended December 31, 2025, held on Januar y 13, 2026.
The transcript of the earnings conference call can be accessed on the Company's website at: https://www.tataelxsi.com/investors

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q3 FY '25 -'26 Earnings Conference Call "
January 13, 202 6

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND CHIEF OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER – TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q3 FY '25-'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star

and then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you, Dorwin . Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan : Thank you, Shashank. A very good evening to all of you joining today for the Q3 '26 investor call. At the outset, let me wish you all a healthy, happy and prosperous new year 2026. I'm happy to share with you that in the third quarter of FY '26, Tata Elxsi delivered a healthy performance, growing 3.2% on a constant currency basis over the previous quarter. This was largely volume -led, resulting in better utilization and operating margins.

Our transportation business, which now accounts to more than 55% of our overall revenue , grew 7. 7% quarter -on-quarter. This growth was led by accelerated ramp -ups in SDV -led OEM deals won earlier in the year , and also normalization of work streams and programs with a strategic OEM client that was impacted in the previous quarter.

Our Media and Communication business registered a marginal decline of 0.3% quarter -on-quarter. This was largely due to some seasonal furloughs in the last 1 to 2 weeks of December and delays in some deal awards and paperwork. We have continued ramp- up and a strong foundation with the large deals we won in the year for this business, tractions with our renewed offerings and a healthy deal pipeline.

Our Healthcare and Life Sciences business has bottomed out in the quarter with the runoff from the end of some large regulatory programs. Our investments in future -powered , GenAI - powered regulatory workflows is seeing market success with multiyear deal wins during the quarter. We've also seen strong new customer additions throughout the quarter and year, and we're confident of bringing back growth in this business starting Q4 FY '26.

During this quarter, we performed well in key geographies of the U.S. and Europe with broad-based growth across key accounts and verticals, while India did see impact largely from the business from automotive suppliers. Our EBITDA margin improved by 220 basis points to 23.3% in the quarter, backed by operational excellence and improved utilization in line with business growth. Our PBT improved 200 basis points to 24.2%. This excludes a one -time exceptional item due to the new labour code.

Overall, I'm pleased with the performance and resilience in revenue, margins and customer additions throughout the quarter. We are entering the last quarter of the financial year with a commitment for growth and confidence in our design-led and AI -enabled engineering capabilities.

Thank you, and over to you, Shashank, for the questions.

Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. Our first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta : Thank you. A couple of questions. Firstly, on the auto vertical. Obviously, the growth was very strong this time mainly because of ramp -up of the previous won deals. But how should we think about the momentum sustaining going forward, based on the pipeline you see currently and the conversation that we are having with the OEM clients?

Manoj Raghavan : So Bhavik, yes, thanks. I think we've been working really hard on building the momentum in automotive industry. So the good part i s a lot of things came together this quarter, and we were able to show the strong growth. It's not just automotive customers or automotive OEMs, we have been able to leverage on the large deals that we have won and really accelerate some of the deployments.

At the same time, we've also really opened up some off -road and adjacency businesses for us. That has also helped us in the quarter. So I think we definitely expect steady growth moving forward. We're really looking to see accelerated momentum in the next financial year for the

transportation business for us. I think we are working hard, and we're pretty confident that we will be able to have a sustainable growth for us in the coming financial year.
Bhavik Mehta : Okay. Got it. That's helpful. Secondly, just on the margins. Gaurav, can you just highlight what are the utilization levels we're operating at right now and where this can go with growth momentum sustained in auto as well as if growth comes back in telecom and healthcare? I'm trying to understand where can the margins go back to in the next few quarters?
Gaurav Bajaj : Sure, Bhavik. I think on this quarter, we got a 35 basis point kind of benefit from the exchange. I think our operating leverage has been improving, including the utilization. We

have been saying in the last few quarters that once the revenues start to go and demand comes back, the utilization will start to improve because we have the installed capacity, which we don't need to augment further. So that is coming into the play and helping us in our bottom line.
We get almost 200 basis point uplift from the operating leverage, including from utilization point . Other expenses also continues to be cautious, with our cost-discipline behaviour that we are driving within the organization leading to another 80- 85 basis points kind of margin upliftment.
If you add all the positives, it comes to almost 310 basis points. From that, we have done a wage hike for our junior domain staff during the quarter, which has a compensating impact of 110 basis points, which makes almost 200 to 210 basis point s of a positive movement in the bottom line.
Having said that, I think we continue to drive the operating model in terms of how we used to do it in the past. We believe there is still scope and runway to improve our utilization further as we see the demand coming back in the subsequent quarter.
I cannot commit in the short to midterm, but we are very positive that we can go back to the margins that we used to operate at maybe by the exit of the next year. But I think everything seems to be positive. We are confident that we will be able to move back to that trajectory where Tata Elxsi used to operate.
Bhavik Mehta: Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Debashish Mazumdar from Svan Investments. Please go ahead.
Debashish Mazumdar : Good evening to the management team and v ery good quarter, congrats on that. So I have a question on the transportation vertical. The 7.3% kind of growth that we are seeing quarter -on-quarter, can we get a qualitative breakup that how much is because of the anchor customer coming back and how much is because of the growth in the other customer s? And what kind of growth you are seeing from the ramp-up of the incentive on deals?
Manoj Raghavan : Yes. So there are multiple factors, as I discussed in the earlier question . Of course, it is the ramp -up with large deals that we have won. Of course, as we reported in the last quarter, one of our customers had an issue. And in this quarter, we had some accelerated ramp -up of the deals that really were put off from the previous quarter . That actually has helped us. And apart from that, we have growth from our adjacency business. So I would say all 3 of that put together has really helped us to show this good growth for the automotive sector.
That’s the confidence that we have look moving forward and moving to the next financial year; we believe we are on the right trajectory, and we should be able to leverage the capabilities that we have built, the teams that we have built, the sort of investments we have made in our platforms and products. I think all of this gives us the confidence that automotive should really help us accelerate our growth rate for the next financial year.

Debashish Mazumdar : If I just connect your transportation growth and Europe growth and top 5 customer growth, it seems to be a large part of the delta in this quarter -on-quarter 7.3% growth is driven by the anchor customer. Is my understanding correct? Or it is equally distributed between the 3 segments that you have just explained?
Manoj Raghavan : If you look at the top 5 or the top 10 accounts and so on, what we've also been saying is that we have seen a lot more automotive customers come into that band, especially because of some of the large deals that we have won and how we have been accelerating. So yes, I think it's a combination of multipl

e of these large wins that are really accelerating our top 5 and top 10 customer base.
Debashish Mazumdar : Okay. And Y -o-Y, the transportation vertical is still not back to the previous levels. So is the anchor customer is back to the earlier trajectory or it is still like 1 or 2 quarters away?
Manoj Raghavan : No, we're still not up to the previous run rate. So still, as you rightly said, we have maybe a

quarter or so more catch -up to happen, quarter or 2. So I think that is also something that we are working on and seeing how we can accelerate that.

Debashish Mazumdar : Sure, sure. One last question, if I may. If you see the geographical performance between Europe and rest of the world, it seems to be the 2 new OEMs that you have - one is out of Europe and one is out of Japan. The Europe customer has kind of f ired up; the Japan customer has still not fired up. Is my understanding correct? And if that is the case, can you give me some trajectories of these 2 new OEMs that you have won recently?

Manoj Raghavan : So you're right. I think the European customers, we have been able to ramp up. The Japan customers actually, we have ramped up the previous quarter , it's not as of that customer has not ramped up. We've already ramped up. And I think we are at a phase of consolidation, and eventually moving forward, there will be additional activities that we'll get involved in . So we can't look at it from a 1 quarter perspective.

Debashish Mazumdar : Sure, sure , understood. Thank you very much for answering my question.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Yes, thank you for the opportunity. And team, great comeback, especially in automotive vertical. I just wanted to get a sense, sir, you mentioned a lot of factors that have contributed to this revival. What's the sense on macros? Are we seeing receiving headwinds? Or has the performance been up to the mark despite the headwinds still being what they were in the past year that we've seen?

Manoj Raghavan : Yes. So I think at a very, very high level, macro level, headwinds are still there, from an industry perspective. But to the good partners our value proportion stands out very strongly. Especially for the customers in Europe and U.S. and Japan to really look at Tata Elxsi providing the sort of best value from best cost country location and proven offshoring capabilities and our ability to execute large complex programs and so on.

So I think all of that is really helping us navigate . T imes are still tough out there in these markets. But I think that gives us the confidence and our customers are confident that this is the right step to take.

Vimal Gohil: Understood. And Manoj , on health care and media and comms, how should we look at these 2 verticals going forward? Your commentary suggests that growth might be on its way starting Q4/Q1. Should we look at a similar trajectory, what transportation has delivered? Or will it still take some time?

Manoj Raghavan : No. So we are working really hard on it . So 50% of our business is in a decently good shape, right? And the remaining 50% is something we are hoping that will come in good shape in a quarter or 2 . Definitely, the Media and Communication business - some of the large deals have actually ramped up. We are in the process of bidding for a couple more large deals and outcomes will come out pretty soon in this quarter . So I'm pretty confident that in Q4, we should see some positive signs in our media business. And it's been a long, long journey. T he teams have put in a lot of hard work. There is some light at the end of tunnel, I would say. And hopefully, Q4, we'll be able to show some good performance in the Media and Communications space as well .

Healthcare, again, healthcare

is something that we're really, really working hard. And I think we have bottomed out in this business in Q3. And hopefully, the turnaround will again happen from Q4 onwards. Definitely, from a next financial year perspective, we are definitely focusing on both of these business also to accelerate. So that's what we are working on. And I think we have a good , clear line of sight of where both of these businesses are heading to. And I think I'm pretty optimistic in the midterm t hat we will be able to turn around both of these businesses.

Vimal Gohil: Great to hear that, Manoj. Just one question on hiring. So in this particular quarter, Gaurav, if you can just quantify or maybe give a qualitative comment on how much of margin improvement has happened because of the headcount rationalization that we've seen?

And given the fact that we are now seeing growth ramping up, do we see hiring coming back into positive trajectory? And will that offset some of the gains that we've seen in terms of margin gains?

Gaurav Bajaj : Yes. So Vimal, I think I answered that in the previous question asked by Bhavik. I think this quarter, we have an operating leverage of about 200 basis points into our bottom line. And we still have a little bit more scope to improve our utilization from here on. And I think the future model itself should not have revenue tacked to the headcount. That would not be the proportionate or the linear way of looking the revenue to headcount ratio. I think that model is undergoing a change. And we are very cautious, and we are looking in terms of the productivity of whole , including the AI kind of productivity into our business model.

So I think that we'll continue to work on those models and see when the headcount will increase. I think we will approach where we need the people, the specific skill set are require d niche, expertise are required. We will do very calibrated hiring from here onwards.

And depending on the demand, we will see how many people have to be brought in. But I think going forward, our methodology would be to calibrate the demand and the supply, a nd then what would be the most optimal model to continue to deliver towards 80% utilization.

Manoj Raghavan : Yes. So just to add there, I think we still have leverage from improving our utilization. So I think it's a quarter or 2 away before we'll start thinking of hiring and so on, and we would do it in low numbers , especially to meet certain specific customer requirements and so on. But large hiring, I think is still either a quarter or a couple of quarters away. And we will want to leverage on improving our utilization in the short term, right? So that's where our focus is.

Vimal Gohil: Perfect. Gentlemen, congratulations once again and best wishes for the quarter start. Thank you.

Manoj Raghavan : Thank you.

Moderator: Thank you. Our next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Yes sir, thanks for the opportunity. So my question is on the transportation vertical. Obviously, we have seen very healthy recovery. But in this recovery, have all the deals that we have won fully ramped up? Or we can see some there more ramp -up in the coming quarters?
And also in terms of the top OEMs in the Europe and the U.S. region, how are you seeing the spending patterns in terms of recovery, in terms of their discretionary spends and in terms of decision -making? And if you can provide some colour on that, how this has changed from maybe a quarter back?

Manoj Raghavan : Yes. I think some of the large deals that we've been talking of, I think we have had significant ramp -ups happening towards maybe the later part of Q2 and of course in Q3. So those ramp-ups - we have reached a steady state. Of course, there is still opportunity to grow further, again, depending on some new opportun

ities that we're talking to customers and so on.
But I think we have managed to really match the customer expectation in terms of ramp -ups to meet their specific needs and so on . So having said that, as I said, there are a few adjacency businesses, off -road businesses and so on that we have entered recently. And that is an opportunity once again to scale and so on in the coming quarters . So yes, it's a work in progress in some sense. But I think a good part of the ramp-ups have been baked in during the last quarter.

Amit Chandra : In terms of the OEM commentaries and the spend s in these specific areas , and in terms of the decision -making how are you seeing in this quarter versus what it has been 6 months back?

Manoj Raghavan : Yes. See, decision -making times are still a little bit slow . Of course, customers are making decision s but they are making very careful calculated additions . So to that extent, I think it all depends on the value proportion and what you've stand for ; what sort of problems at the customer end are you going to address based on your business model . So that's the key. And that's something that we have been sharpening over a few quarters . And I think we have a very,

very good value proposition for our customers. Yes, decision -making will still take some time, but customers are definitely willing to spend based on the value proportion that we are putting on the table.

Amit Chandra : Okay. And sir, in terms of the operating leverage, obviously, we have seen some good operating leverage coming out in this quarter. T ill what level of growth we have funded in terms of capacity, where we don't need to add more, if you can give some colour on that? So what is the kind of margin expansion we can expect?

Manoj Raghavan : I think we have addressed that question in the previous question as well . So we are operating at around 75% today. And we can go all the way up to 85%, right? So we are targeting to look at least moving around to 80%, before we start adding capacity and so on. So I think we do have operating leverage from a bench perspective.

Gaurav Bajaj : It is not that we are not hiring at the moment. We are hiring, but I think we are hiring selectively where we have those positions required to be fulfilled. But as we mentioned, the large-scale hiring probably can be seen after maybe a couple of quarters from now.

Amit Chandra : Okay sir thank you and all the best .

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant: Yes, thank you for taking my questions. Congratulations on a good set of results. My first question is on the transportation vertical. So would you put down this performance mostly to an anticipated ramp -up that we were expecting from 1H itself? Or would you also attribute it to some extent to an improvement in the demand environment? Do you see that? And in a similar vein, now having registered a strong growth in 3Q, it sets up a high base as we head

into 4Q. So would we be able to see growth on this number? How do you look at it?
Manoj Raghavan : I didn't get the first question clearly. But okay, from a second question, perspective, yes, of course. I think based on the order book that we see and based on the sort of funnel that we're looking at , I'm pretty confident that we will be able to grow over the number that we have delivered . So that's, of course, what the teams are focusing on. What was the first question about? Was it demand environment?
Ankur Pant : Yes. My question was that the growth was primarily driven by the ramp -up that you were already anticipating? Or did you also see an easing in the demand environment to some extent?
Manoj Raghavan : It's both - I think of course, we were able to successfully ramp up some of the deals that we have closed, and as you know, we had an issue in one o

f our customers, and there was a lot of pent-up demand which was really pulled in during the last quarter , And that also helped us to really accelerate in the quarter. And regarding new demand and so on, yes, of course, there are deals that we have won, and we've talked about, especially in the adjacency space that they're looking at. So those are all new deals that will add revenue streams again in the subsequent quarters.

Ankur Pant : And my other question is on utilization. Now it's an important margin lever going forward. But given that we work in three different verticals with - I mean, there's not a lot of fungibility between employees, you ideally would need even the Media and Communication growth to pick up before you can actually move utilization to north of 80%. So is it possible to move it upwards to 80%, 85% without a proper recovery in the Media and Communication vertical?
Manoj Raghavan : That's what we talked about, right? We are hoping that both Media and Communication and Healthcare, which contributes to 45%, 50% of our revenue , is something that we are very confident should be able to recover. And we have been working on that over the past few quarters, I would say, in terms of new customer outreaches and some large opportunities that we have placed our bets. And we strongly believe that some of that will turn around in this quarter, in Q4. And that will also help us improve our utilization. So it's not necessarily only automotive business. It is both Media and Communication and Healthcare, which is going to help us achieve a better utilization. So definitely agreed there.
Ankur Pant : And my final question is in 1Q, you had aspirations of double -digit growth in both transportation and Healthcare vertical heading into FY '27. Does that remain intact and for the overall organization?
Manoj Raghavan : Yes. So that is the aspiration from our next financial year perspective, if I understood your question right. So that is what our internal planning says and that's what we are aiming for. And we believe that if we can get a strong momentum in Q4, right, and leading into quarter 1 of next year, I think we should be able to achieve those objectives.
Ankur Pant: Thank you. Perfect. All the best.
Moderator: Our next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.
Abhishek Shindadkar : Yes, t hanks for the opportunity. And congratulations on a great quarter. The first question is on the Media business. If I heard correctly, did you mention that part of 50% of the business has recovered and you're hoping for the recovery in the balance ? Is that comment related to one of the larger accounts? And if yes, any status in terms of bottoming out of challenges in that account . That's first. And the second to Gaurav, sir, you mentioned the wage hike impact for juniors in this quarter. Can you also quantify the impact that could come in the fourth quarter for the wage hikes for the remaining? Thank you for taking my question.
Manoj Raghavan : Yes. So if I understood your question correctly, you're talking of the Media and Communication business and you're talking of the challenges in the top account, right? I don't think we have any challenges there in that account. In fact, that has been growing pretty well. So the confidence is from a number of other customer outreaches or a number of other bids that we are placing . We strongly believe that a few of them will come to a closure in this quarter, and that will sort of start the sort of recovery for our Media and Communication business . Healthcare business as well, we have a similar sort of a situation. And we definitely want to get both of these businesses also on a growth path as we enter the next financial year. So that's what we're focusing on.

Gaurav Ba

jaj : Yes. Abhishek, on your second question, hike for our junior to mid staff, which covers almost two-third s of the organization, will happen in Q4 . So you can expect the impact for that would be lower compared to what we have in Q3 , maybe probably 60- 70% of that.

Abhishek Shindadkar : That is helpful. And just a follow -up on the answer. Sir, if we look at the increase in the revenue by contract mix side and also see the recovery in utilization and the recovery in the top account , is it fair to assume that in many large accounts of each of the three verticals, our mix is primarily towards time and material?

Manoj Raghavan : No, it's a combination . It's not that all the large accounts are time and material. A lot of them are fixed bid and outcome -based projects as well. So it's a combination.

Abhishek Shindadkar: Perfect. Thank you for taking my question and best wishes for the rest of the year.

Moderator: Thank you. Our next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Yes, thanks for the opportunity. Just a few questions on the transportation vertical. Sir, you mentioned about normalization of spends going ahead. Just wanted to pick your brain around the areas which you are seeing good traction in, be it hybrids, EVs, ADAS , connected , if you can share some thoughts there? And in the pipeline, are you seeing large programs on the SDV front?

Manoj Raghavan : So a lot of the growth that we've seen is primarily coming from our SDV, the closures that we've had on the SDV side . So of course, as you know, we also have our own SDV suite called AVENIR and that is also bringing in a lot of traction for us. Apart from that, of course, electrification is another large play that we see in both BEVs and hybrid platforms. So new platform development is something definitely we are seeing. AD-ADAS, of course, continues to have traction. So, yes. So these are the top 3 areas that really are pushing our automotive growth. Of course, the connected car platform and the applications around it is also another area that we see a lot of traction going forward.

Karan Uppal : Okay. Second thing is for the outlook for this automotive business, is it broad-based across your, let's say, of 10 to 15 accounts? Or is it more concentrated between, let's say, 2 to 5 accounts where you are seeing deal ramp -ups?

Manoj Raghavan : I would say it's more on the top 5 to 10 accounts, right? That's what we are seeing a ramp-up. And these are happening across the geographies. It's not limited to any one geography. So that is positive for us because we are derisking from geography dependent situation as well.

Karan Uppal : Perfect. Thanks a lot, and all the best.

Moderator: Thank you. Our next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Okay. My question was with Tata Elxsi focus on design- led technology and recent partnerships in automotive and media, how do you see client conversion evolving? Are they

shifting from cost efficiency to co -innovation module ? What should the stakeholders expect as the defining theme from your leadership in this space?

Nitin Pai: Yes. I think just to clarify, I think the two are not exclusive in the sense that they tend to run together. I think in both industries, there has been extremely strong pressure on bottom line, especially because the top line are not going too well. Market share is not going to be climbing given the competition, for example, in the auto space for the Chinese and so on. So there's a clear mandate that look, whatever you do, you will have excel in technology, but at the same time, we'll have to deliver on cost .

So I think in that sense, Media and Communication vertical has seen that pressure on the top line for quite some time now and therefo

re, the cost takeout and the bottom line improvement has been a focus for some time now. I think you're finding this need to find right partners delivering from best cost countr ies, but delivering outcomes and results rather than just delivering headcount. I believe that is really what will carry us forward.

Sucrit D. Patil: Okay. My second question is to Mr. Bajaj. On the financial side, speaking beyond margins, how are you thinking about capital allocation in this phase like balancing dividends or investments in automotive innovation centres or any digital partnerships down the line? Do you see scope for a shift in capital deployment over the next 1 to 2 years?

Gaurav Bajaj : I think we have been discussing internally within the organization management and also along with the Board. Of course, there are certain plants that has been put into the place, and we have been tracking on those plants. At an appropriate time, I think we will let you know in terms of any outcome or change in the capital all ocation approach from our side.

Probably, we announced during the quarter 4 year -end during our AGM in terms of what would be the distribution that we do. But there are some strategy internally that has been discussed. So probably, I think we may not be able to disclose at this moment of time. But at the appropriate time, we will get to know what kind of plans and what are we thinking of that.

Sucrit D. Patil: Fair enough. Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Moderator: Thank you. Our next question is fr om the line of Sajal Kapoor from Antifragile Thinking . Please go ahead.

Sajal Kapoor: Yes, thanks for taking my questions . And c an you name a commercially successful idea that initially looked unbillable or irrational, but it became com mercially successful thereafter?
Manoj Raghavan : Sorry, we couldn't get the context of your question?
Sajal Kapoor: So the context of the question is I just need an example - preferably in Healthcare, but even automotive or otherwise - of a commercially successful IP , idea that you have in the organization today, but initially, that was deemed kind of irrational or unbillable?

Nitin Pai: As an engineering company, we are quite rational. So to that extent, there's very little that we do that is irrational. But having said that, if you look at it, most of the bets that we have taken in products and platforms are future looking because ultimately, we are tracking standards, tracking technology conversion and we are taking bets in advance.
And that is why you tend to have mixed success with products and platforms, not because they are not right, but because many times, we are simply ahead of time. A good example is the investment that we made in NEURON, which is a network automation and orchestration platform. We believe it's ahead of its time simply because that's the most elegant way to reduce cost in network management. And while telcos have been going after cost takeout simply by throwing larger and larger deals for lower and lower cost, we believe the smarter way to go around it is to actually start investing and automating and orchestrating your network with technology and with automation rather than with people. But we also know that ahead of its time. Why? Because telcos are not going to be so keen to throw themselves on another platform. Unfortunately, they have seen enough in life. So that's where I feel most of the time, we are ahead of time rather than irrational.
Sajal Kapoor : That's very helpful and a great response. Thank you for that. And my second and last question is, you know, there is always some sort of a tension between creativity and delivery discipline. So when creativity conflicts with delivery discipline, which one loses and why?
Nitin Pai: So I think this is, in many ways two sides of t

he coin. The tension between creativity and discipline or engineering, I think it is a good tension to have. And I can tell you this from my own experience as a designer. We obviously used to have this debate when we are young as to which designers are better. Were the ones that came from IDC IIT Bombay better because they had an engineering degree first or was it the folks who came from NID because they were pure creativity ? They were not schooled in engineering. Opinion is divided, but I still believe that when you're schooled in engineering, the concept that you come out with are a lot more manufacturable, feasible, productizable. Pure creativity at times is great for the heart but doesn't work for the mind.
Sajal Kapoor : Yes. Engineering, the practicalities and the scale-up and the actual commercial viability is far more important than just having plain on paper kind of creativity, if I understood it correctly?
Nitin Pai: Absolutely, anytime because that's the whole basis of the manufacturing world, but it has to be realizable. Otherwise, it just becomes luxury art.
Sajal Kapoor : Absolutely, it does. Thank you so much for all these responses. Wish you all the very best. Thank you.
Moderator: Thank you. O ur next question is from the line of Rishi Modi from RDM Advisory LLP . Please go ahead.
Rishi Modi: On the healthcare front, we had seen a disruption in the past on the regulatory extension being given in Europe, which, if I'm correct, it ends in 2026. So do you expect any sort of a pent -up demand on that regulatory front coming for you in the coming year?

Manoj Raghavan : No, I don't think there is as a pent -up demand. In fact, the regulatory piece of our business is over a period of time, really gradually coming down. In fact, what is happening is we are moving the manual regulatory effort to more AI -based digital sort of focus. And I think we have been able to successfully move there. So I don't think there will be a pent -up demand per se, but we are hoping that using AI, Gen AI and so on will really help capture a larger piece of work that otherwise would have to be done manually . So there could be some sort of acceleration based on the digital technologies that we bring in, but it's not due to the runoff in 2026 and so on .
Rishi Modi: Okay. Understood. Secondly, I wanted to understand our rationale on the defense business. In the past, you were a bit un comfortable , I'm talking about 5 years , 6 years back when you said that there's a receivables issue in the industry plu s some export issues to the U.S , so what has changed for us in maybe the industry or in our view or in our working, which is now making us commit to the defense aerospace industry?
Manoj Raghavan : Globally also, we see aerospace and defense as a great opportunity area primarily because of the spend that the industry is going through, so there are a lot of new technologies that are coming in. There is UAVs and drones and warfare is changing. There is also commercial

applications of many of this in air taxis and so on.
So what we see today is a lot more technologies like electrificat ion coming in, in a big way.
So, of course, there are challenges with cycle times for the deals. And if you're doing defense sort of projects, especially in the U.S., you need to be ITAR compliant and so on. So there are still some of the challenges that we need to address.
` But otherwise, I think a fantastic amount of opportunities exist, especially in India, with the sort of both DRDO and labs , and companies like HAL. And, of course, a lot of global companies, right, who have set up their capability centers in India, in Bangalore and so on. So that also opens up a lot of good opportunities for companies like us .
So I think, yes, I think we are doubling down our focus on the aerospace and defense segment. And we have done some fantas

tic work in this space. So credibility is there, capability is being built. Now really we need to see how to have some commercial success. So that's something that we're working on.
Rishi Modi: And Manoj, do you think this will be a ROCE accretive l ike will the margins compensate for the receivables cycle in the future?
Manoj Raghavan : It's still early days. I think if we look at the overseas market, I don't see any concerns on either profitability or payments and receivables . But yes, if you really only focus on the defense segment in India, then yes, we do have some tweaks in our business model that we need to take care of. Otherwise , I think it's a great business. And especially with the type of opportunities that we see in India, it's a great opportunity to build capabilities and then really explore the same glo bally . So I think it's is a great opportunity for us.
Rishi Modi: That's great to hear. Finally, just a quick one on the non-PV transportation, which is the off - highway construction equipment railway that we had entered into. We'd guided for 20% of our

transportation revenue coming from this segment , I think we had guided for 3 years back then, but I think we've overshot. J ust wanted to understand where are we in that journey? Are we still tracking that 20% a nd when can it be achieved?
Manoj Raghavan : Yes, we are still tracking that 20 %. So I think today, we are about 7.5-8 % is where we are today. So, I think there's an opportunity in the next couple of years or 3 years to really look at 20%. The difference this time is that we really had some good logos that we've opened up and good opportunity in this space. And the spend in this industry is also growing. So, I think that's positive for us.
Rishi Mody: So we are at that point where we have right to win that business, like we've gone through that phase when we've established ourselves. And do you think like this adds up to our revenue in the next couple of years and we get to that 20%, like an extra 5%, 10% of our revenue?
Manoj Raghavan : Yes. That's what we hope for. Of course, it's a smaller market as compared to the automotive market. So to that extent, we need to be a little careful. But I think the opportunity exists.
Rishi Modyi: All right, all right. Great. That’s good to hear. I'll come back in the queue for a more conceptual question, but if there are others, you all can go ahead.
Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : Yes. Thanks for taking my question and congrats on a good set of results. I had a couple of questions. So first is with respect to growth in the near -term , I just want to check my understanding if that is correct. So, what we spoke about from a 4Q perspective, or a near -term perspective is that we are expecting a recovery in both Media and Healthcare verticals versus what we did in the third quarter.
And even in the transportation vertical, while the SDV deals are largely in the steady state, the top account still has to return to the peak run rate. And there are other deals in adjacencies, which are ramping up. So, shouldn't 4Q be similar to better than 3Q from a growth perspective? I mean I'm just trying to understand, is there anything we should keep in mind which can change that trajectory as we enter into 4Q?
Manoj Raghavan : No, we don't want to give any indicator at this point in time, we don't do that. But you have rightly paraphrased all what we talked about . So I think your analysis is perfect.
Sulabh Govila : Sure, sure. Thank you. And the second question is on the utilization bit. So in the past, we've always talked about reaching a peak utilization rate of 80% odd, while today, it may be the first time we ever spoke about potentially reaching 85% levels. So just trying to understand, is there a

nything which has changed structurally for you in the delivery organization from a workflow automation perspective, which is changing this thought process on the utilization levels?
Nitin Pai: Sulabh, this is Nitin here. I think historically, we have hit 85%, 86% at the peak of our growth. It's just that at that time; we did not have all the benefits that come from what you have now as

tools and technologies. So technically, at that time, we felt a little constrained that, look, 85%, 86% kind of stretches a little too much and we don't have enough room to maneuver.
I think given the context that we are in today and the kind of work that we're doing and the kind of investments we're making with the AI and Gen AI that stretch is not as tight as it was before. So 85% seems comfortable.
Sulabh Govila : Okay, sir. Understood. Thanks for taking my question.
Nitin Pai: Thank you.
Moderator: Thank you. Our next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.
Rohit Jain: Yes. So, my question is on the anchor client. Now last to last quarter there was an issue, and then last quarter, it sort of came back. But given the issues ongoing there and the kind of debt situation that's developing, for the next year on a whole, do you expect the anchor client to grow from this year's level? Or do you expect it to be stable? How should we think about the trajectory on the anchor client side?
Manoj Raghavan : Yes. I think there are too many changes that are happening in the marketplace also . But if you ask me, our focus is to definitely ensure that all customers, including our anchor customer, at least the top 15, top 20 customers, right, we are a steady growth path. So that's definitely the focus. We don't have any indication at this point in time saying that we will have some difficulties or we'll have some surprises. So, we are hoping that we will be able to gro w, you know, our top 5, top 10, top 20 customers. So we'll be optimistic there.
Rohit Jain: And just last question on that anchor client again. Are you sort of gaining share of the work being done there? Or is the share stable and the growth depends on the increase in tech spends by the anchor client?
Manoj Raghavan : So if you look at it over the last 5 years or even a little more, you know, our share in the overall spend of this customer has only increased. So I think, again, it all comes down to the value proportion, right, especially in a tough market situation. The value proportion that we bring in is very, very strong. So I don't think we have an issue on that front.
Rohit Jain: Okay. Thank you. Thanks a lot.
Moderator: Thank you. Our next question comes from the line of Jalaj from Svan. Please go ahead.
Jalaj : Yes. Congrats on a good set of numbers. Sir, first question was with regards to this onetime adjustment for the labour law changes. So are we done for all the prior period adjustments or there is something which comes in the next quarter also? And second part to it was what would be the incremental impact of this as a going concern, in people cost or on the margins should we expect anything?
Gaurav Bajaj : Hi Jalaj, this is Gaurav. Let me answer your question. I think we have made a provision in line with our accounting norms and also assessed by our auditors for the new acts on the new

labour code that got enacted during the quarter. We believe that onetime catch -up is already being done in this quarter. And hence, we have also called this out as an exceptional item because this is something not going to be a usual line item in our financials going forward. However, given the change in the labour code and the definition of the wages, on the going-forward basis, we expect this impact to not be more than 15, 20 basis points, but probably that will also get compensated with the other levers and the utilization factors that we still see there is a scope for the improvement over there.
So at large, we don't think there should be any impact for the new labour code going forward in the subsequent quarter. However, we continue to monitor. We continue to track in terms of more clarifications that probably would come around in this quarter or maybe the next quarter because the rules got republished, but those rules are still not notified and still not enacted.
So once we have the little bit better clarity, rules get notified, then we have to assess if there are certain more changes or adjustment to be required. But we believe that the larger part of it is already baked into the numbers. And as such, we don't see anything potential or significant coming in the coming quarter.
Jalaj: Got it. That explains it. And my second question was with regards to the business side. So I wanted to understand on the transportation side. So we understand that the top client has come back and has come back strongly, and there were a few projects which were stalled. So if you could give us some flavour as to what proportion of these stalled projects have, they ramped up to the maximum or there is more to come from that? Just trying to understand on the sustainability of the growth.
Manoj Raghavan : Yes. So I think as we explained earlier, there definitely has been some catch -up in terms of pent-up demand that we have fulfilled in this quarter. A part of it will definitely continue as we speak into the subsequent quarters as well. But again, the focus is for us to really look at the larger basket of customers, our top five , top 10 customers and see how we can ensure growth across these customers as well . So I think that's where we are, over a period of time, constantly

trying to diversify our concentration risk, if you may, in some sense.
We are trying to diversify our geography risk, if you may, in some sense. And I think each of those strategies are working out for us. And especially when times are tough in, say, some geographies like U .S. or Europe, our focus on Japan and India has really helped us. So I think at this point in time, if you look at it, a basket of customers and the various geographies that we operate in.
And I think we are in a decent situation, good situation to be in, I would say. And we need not be overly dependent on a particular geography or a particular set of customers. So to that extent, I think we are de-risking and diversifying our overall portfolio, which in the midterm to long term, I think will really help us.
Jalaj: Fair enough. Just a quick one on that. So the newer projects, what we alluded to, the newer ramp -ups in the newer clients, are the margins for these projects comparable to the peak margins we used to do historically or they are slightly at a lower price or a lower margins

because of whatever has happened in the transportation vertical as such because of the tariffs and otherwise pressures? How should we understand that?
Manoj Raghavan : It's a basket of accounts, s o there is no one answer there. Depending on criticality of a particular customer or the skills or capabilities that we need to bring in, we look at the margins accordingly, there's no set rule that, look, this is the only margin that we would operate on . At end of the day, it's our responsibility to really uplift the overall margins in the business . And that's what we are focused on. How we do it , we take a portfolio approach or how we do it is entirely dependent on what we see in the marketplace, what skills do we need to bring in, and then what value are we creating to those customers . Based on that, we would really price in the deal, and the margin movement will be according to that.
Jalaj: Understood. And then, sir, you alluded to that one o

f the reasons of the growth coming in transportation was the comparatively better macro or the comparatively better demand situation or discussions from the clients.
So how should we understand that over the past two, three quarters, has there been any improvement in demand scenario or discussions at least have the clients started to think about or talk about signing new deals or discussion? Because I understand newer launches or a complete portfolio was postponed by a few quarters to a few years for a lot of clients or OEMs?
Manoj Raghavan : No, I think from an automotive perspective, we've already indicated that, yes, there are discussi ons happening. There are new deals, new discussions, new customer additions and all of that is happening, right? We are hoping that both in both Media and Communication as well as Healthcare, we will be able to turn around that business .
And our focus is to really get back all the three businesses of ours to a growth situation, which will give us a lot of leverage from an investment perspective, from a growth perspective, from a utilization perspective, from a return to higher profitability perspective. So a number of things that we are really focused on. And I think in the next 2 quarters, you will see a trajectory or a trend, right, that will give you an indication in terms of where this is moving.
Jalaj: Got it. Thanks for the answer and best of luck.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Manoj Raghavan : Thank you to all the investors who dialled in today evening. We really look forward to having a more detailed conversation towards the end of the next quarter. We are really confident that, look, we have done a number of things right. We have done a number of investm ents right.
Now how do we leverage that and how do we move that into revenue growth and profitability growth, t hat is what the team is really focused on. Thank you so much and look forward to interact ing with you again in the next Investor C all.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2026

April 24, 202 6

BSE L imited National Stock Exchange of India L imited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Symbol : TATAELXSI

Dear Sir s/Madam,
Sub: Transcripts of the Investors' Conference Call for the quarter and year ended March 31, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2026, held on April 21, 2026.

The transcript of the earnings conference call will also be made available on the Company's website at www.tataelxsi.com.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer
Encl: As above

"Tata Elxsi Limited
Q4 FY '26 Earnings Conference Call "
April 21, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER – TATA ELXSI LIMITED
MS. NEHA V. – COMPANY SECRETARY – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Earnings Conference Call of

Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks,
uncertainties and other factors. Therefore, it must be viewed in conjunction with business risk that could cause actual result performance or achievements that differ from what is expressed or implied by such statements.
To take us through the results and answer your questions today, we have the Senior Management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Neha V. , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan , followed by a Q&A session.
We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits. With that, I would like to hand
over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghav an: Thank you, Shashank. Very good evening to everybody who has joined us today. Welcome to the Q4 - '26 investor call. I hope that you and everybody in your family is safe and healthy. I
am pleased to announce that we have delivered a healthy revenue of INR993.8 crores for the quarter, growing 0.9% quarter -on-quarter in constant currency terms.
In our transportation business, our revenues in Q4 FY '26 grew by 0.2% quarter -on-quarter in constant currency terms. We are delighted with two strategic wins, one in the APAC region from a new -age OEM and another

from a next -generation mobility services company in the
US, paving the path for busi ness growth in coming quarters.
Our investment and efforts to pivot towards OEM business is delivering continued success, underscoring our strength in focused execution of chosen strategies. OEM customers now represent 77% of the revenue in this vertical. Our Healthcare and Life Sciences vertical de-grew by 13.1% quarter -on-quarter in constant currency terms, impacted by delays in deal awards that we were expecting and prepared for in the quarter.

However, during the quarter, we opened an offshore development center for the Japanese MedTech leader Terumo Corporation. This center brings together the power of design, engineering and digital to innovate their cardiac and vascular solutions.
I am happy to report that our Media and Communication business posted a 5.6% quarter -on-quarter revenue growth in constant currency terms. This growth was led by continued deal ramp -ups, a strategic deal for AdTech and a Tier 1 US Telco. In the quarter, we also won a multi-year large deal from a world -leading device OEM for its portfolio of video and broadband products.
For the quarter, our EBITDA margin stood at 24.6%, improving by 130 basis points sequentially. This reflects a continued focus on operational excellence and margin improvement. In FY '26, we significantly advanced our adoption of GenAI. This was supported by partnerships with AI companies, launch of our own automotive SDLC platform
DevStudio.ai earlier in this quarter, curated tool stacks and agent inventory, investments in infrastructure, sandbox environments with IP protection and data pr ivacy, and rigorous
upskilling.
With these coordinated efforts, we are progressing steadily towards being an AI -native engineering organization, strengthening our differentiation and innovation quotient. I am pleased with our sustained and strong operational performance through segment -leading offshore delivery, continued transition to fixed- bid project ownerships, and the systematic and enterprise-wide adoption of AI -enabled efficiencies.
These levers strengthened execution discipline and productivity, driving consistent margin improvements throughout the year.
As we enter the next financial year, we remain focused on scaling our differentiated design -led and AI -enabled offerings, strengthening operational
leverage, and driving sustainable growth and healthy margins. Thank you and over to Shashank for the Q&A session.
Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Saj al Kapoor from Anti fragile Thinking. Please go ahead.

Sajal Kapoor: Yes, hi. Thanks for taking my questions. Sir, of the deals you have won recently, how much of the value is coming from existing customers expanding their engagements or wallet share versus entirely new logos, and how has this mix evolved over the last two or three years? That's my first question. Thank you.

Manoj Raghavan: Yes, I think if you look at it in any quarter, the new customers would contribute maybe 2% to 2.5% of the revenue. So a large portion of the revenues come from existing customers and the deals that we win with them. However, we also see a good new set of customers that are coming in. For example, this quarter we have announced a deal with Terumo,. that's a new customer that set up an ODC with us in the Healthcare and Life Sciences space. Similarly, the deal that we announced in the automotive segment with the APAC customer, that is also a new customer for us. The deal that we announced in the Media and Communication space, the

multi-year deal, that's an existing customer of ours. So it's always a mix of existing as well as new customers.

Saja l Kapoor: Sure. And just to follow up, I mean, is there a pattern where the new logos typically take X number of years to scale up or is there no such pattern? I mean, it depends from customer to customer?

Manoj Raghavan: It depends on business to business, I would say. Usually, even if you win a deal, for it to make a significant impact, it takes anywhere between 9 months to 12 months for ramp -ups to actually happen and start delivering.

Satjal Kapoor: Sure, that's helpful. And my second and last question is, you have highlighted AI -led productivity and a shift towards fixed- bid and platform -based delivery. Are these changes starting to alter pricing power and contract structures, or are they mainly improving internal efficiency so far?

Manoj Raghavan: It's both. Definitely, we are using a lot of that for internal efficiencies. However, there are customers that are demanding better efficiencies, productivity and so on, which automatically leads to, if you're able to deliver that performance and productivity, then a better pricing power. So it's a combination of both.

Sajal Kapoor: Okay . Thank you. I'll rejoin the queue. Thank you.

Moderator: Thank you. Our next question c omes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead.

Rishi Mody: Yes, hi. So my first question is pertaining to the quarterly result. So healthcare, we've declined 13% Q -o-Q on constant currency in our revenue. Last quarter, you called out that probably Q3 was the bottom. Just wanted to get your view that do we see Q4 as now the bottom or is there something which has changed over the past three months for us there?

Manoj Raghavan: Yes, I think we were very optimistic that the healthcare business has reached the bottom and we will turn around. We were pretty confident because there were a few deals that we were bidding for, and we were pretty confident that we will be able to close those deals. Unfortunately for us, those deals have not closed, and that resulted in this situation that we've had. But, h owever, we still continue to carry those items in our high -probability funnel. And in fact, a few of them actually we have closed in a couple of weeks in the new quarter , right? So I think I'm pretty hopeful that last quarter, Q4, was the bottom and we will be able to recover this. If we had closed these deals earlier in the quarter, then we would have had a fantastic exit to Q4 with all the three businesses really firing and so on. That is what we were all aiming for. But hopefully, it is just shifted by a quarter and we should be able to recover that position in Q1.

Rishi Mody: Got it. So say Q1 plus Q4 combined should have positive growth over Q2 and Q3 if that's how I have to look at it. Second, on the USA business, the media and communications industry, the

consolidation seems to have happened. Are we now going to go back on the higher growth trajectory here, or is there something which needs to be recalibrated in USA a nd the medi a and communication both, sorry?

Manoj Raghavan: No, so the media and communication business has smartly grown, especially for us in the US. But overall, the US business has declined a little bit. That is primarily because of the healthcare piece, because healthcare for us is largely US -focused.

Rishi Mody: Okay, got it. Finally, more on a structural question. You'd mentioned in the past that now incrementally we are

doing fixed contracts, which may or may not be a trend that we are following, but also we are doing longer -tenure contracts, which are not as profitable in year 1
as, say, the earlier shorter -term contracts that we were doing.
But if you were to take, say, a two -year, three-year profitability combined, do we even out on our margins, or we'll take the hit on the margins, but we'll get higher absolute amounts? Is that the approach, or we have levers to get margins ramped up in year 2, year 3?

Manoj Raghavan: Yes, so obviously, when we look at a three -year or a five -year deal, right, the initial one year would have a lot of costs involved. There could be sometimes rebadging costs, there could be acquisition costs and all of that. But, however, when you look at a three -year or five -year, we definitely would be looking at seeing how we can improve our margins sequentially, quarter -on-quarter and year -on-year. That is the focus for us. So definitely, we would want to bring back, and especially now with using AI, GenAI and so on, we have many, many ways of really bringing out the margins in a positive way. So I think that's what we're focusing on.
Rishi Mody: All right. Finally, just a bookkeeping one, if I could get the utilization rate for the quarter?
Gaurav Bajaj: It is about 73%.
Rishi Mody: 73%. Got it. Thank you. That's it from my end.
Gaurav Bajaj: Thank you.
Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital. Please go ahead.
Moez Chandani : Hi, good evening and thank you for taking my question. My first question was on the broader transportation segment. So last year's been turbulent for the entire segment, but looking at Q4,
I think things were flattish. What's your outlook for the transportation segment going into FY27 ? And for the overall business, is the aspiration still double -digit growth for the financial year?
Manoj Raghavan: Yes, I think the good part for us is while, as you rightly said, the overall market outlook was sort of mixed throughout the last financial year, but we were still able to win some large deals and so on. In fact, even in Q4, we won some fantastic good opportunities for us, multimillion-dollar deals. So what we are confident is that , look, some of the new deals that we have won,

we will be able to scale in the next 6 to 12 months ' time period. So that is what will help us really deliver growth in the automotive space.
Of course, on top of it, as we have been updating all the investors that we have been gradually moving to more and more of our business from the OEM side. I think today we are looking at about 77% of our revenues, 77% of the automotive revenues coming from OEM. So I think that pitch is also -- shift to OEM business is also helping us.
So I would say I'm still pretty optimistic about the overall automotive market. But , however, given the current geopolitical and all the war and all that, while we have the deals in hand and we will definitely look at ramping up and so on, there could be some amount of uncertainty.
We are still talking to customers on that. Having said that, I think maybe we would look at a high-single digit exit, may not get into a double -digit for automotive.
Moez Chandani: Understood. And the second question is on margins. Again, margins saw a very sharp improvement this quarter. What seems to be driving that , especially I think since utilization is still at about 73%, like you said ? And then in terms of sustainability for this margin improvement going forward, what would your comments be?
Gaurav Bajaj: Hi, this is Gaurav. Let me answer that question. I think we have been talking about the margin for the past few quarters and I think we have been mentioning that we are making constant effort to go back to our original margin band, which is about 27% to 28%. So I think the work has been happening towards that in terms of the operating model, operating efficiencies, and the leverage. It's not only about the utilization.
Of course, utilization was below 70% at one point of time. Now we are almost inching towards mid-70. So every 1% increase in utilization also helps at least 25 to 30 basis points on the margins. So that is helping, one.
Second, I think some of the fixed-price contracts, that increase that has happened, that is also comes sometimes with a better

margins because you are able to have a better optimized and rationalized pyramid on those deals if you are able to deliver and execute on those contracts, the way you have contracted for.
I think third is that pyramid in terms of managing the pyramid and the further hiring. So that is well calibrated in terms of the future requirements, supply -demand state. So that is giving me almost 65 basis points kind of improvement on a quarter -on-quarter basis. And yes, I think

there has been some currency tailwind, which is also helping margins for the current quarter.
So if I have to put in terms of the margin walk, probably 150-155 basis points is coming from the currency movements against most of the cross -currencies has improved compared to the INR. 65 basis points would have come from the operating efficiencies across different levers that is into play.
And also, we have done the salary increase for the rest of the staff for in the organization effective 1st January. So that would be 90 basis points kind of impact on the quarter. So that

sums up to almost 130 basis points improvement in the operating margin on a quarter -on-quarter basis.
Moez Chandani : Understood. And just one last question, if I can squeeze in. So media one of the concerns that were there last year in terms of consolidation, and again that a lot of deals were getting cut. So do you think that phase is behind us now? Or do you think looking at the very strong growth we've had in media, or do you think that the segment is still challenged from a growth perspective for the next few quarters?
Manoj Raghavan: I think, in general, I would say, we are still challenged, the entire media and telecom industry is challenged. But however what has happened for us over the last quarter and the financial year is we had won some large deals that, especially from some of the large customers, those ramp -ups have really started happening. And we've seen those ramp-ups happening in Q3 and Q4 as well.
On top of it, we won a large deal in Q4, which we would be literally taking over the engineering for one of our customers, all their legacy products, and so on. And that's a pretty significant deal for us. And that single deal actually also bumped up our overall growth in this segment.
Having said that, deals are still consolidation deals and cost-takeout deals that are there on the table. And we are still participating in those deals selectively. So overall, yes, I think we're still not out of the woods in this particular industry segment. However, because we have won a few good deals for us, we are able to show this growth.
Moez Chandani : Understood. Thank you so much for taking my questions.
Moderator: Thank you. Your next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Hi, thank you. So just wanted to understand on GenAI, how are the client conversations evolving? Are you seeing clients asking for productivity pass -throughs or pricing discounts if they want you to implement more of GenAI into the projects? Or is it still at a very nascent stage where it's not part of the conversation in a big way so far? And different for the three different industries you cater to?
Manoj Raghavan: Yes, so I think from a Generative AI perspective, I think we are seeing a lot of conversations happening in the media and telecom space, not so much in automotive and healthcare. Yes, there are conversations happening and so on. Those are more in terms of , for example, in the automotive space, there's a lot of interest from OEMs and customers in terms of how do you manage for example, cybersecurity and confidentiality requirements and so on and so forth, right?
So that's why we have built our own DevStudio.ai toolchain to address some of the concerns that customers keep asking us, right? So I th

ink in both in automotive and healthcare, there are

those initial conversations happening. There is an interest to see how we can use some of these technologies for better efficiencies and so on.
Not so much conversations around cost and cost-takeout and so on at this point in time. But media and telecom, we see a lot more customers asking if can we use GenAI to overall what do you say, help in efficiencies at the same time also manage with their budget situation.
Bhavik Mehta: And any sense on what could drive this different customer behavior between, let's say, automotive and media? Is it because media is under more pressure right now and hence the clients are more desperate for cost efficiency versus the other two sectors?
Manoj Raghavan: Yes, I think automotive in some sense, it's still very regulated and automotive software development follows certain processes. And using a generic AI tool will not, it'll be very difficult for automotive companies to pass various regulatory requirements and so on, right?

And that is why you need to build custom tools for automotive. Healthcare is also the same, right? It's more a very regulated industry.
Whereas media and telecom that sort of very, very strong regulatory requirement is not there in terms of , that if you if you do something, it's not going to cause an accident or kill somebody and so on.
Nitin Pai: Yes, and maybe I can just add to that. I think in general, the telecom industry, especially telcos, are actually at the forefront of deploying data centers, building the infrastructure and the connectivity that you need to deliver AI and GenAI. So to that extent, in many ways, I would say they are ahead of the curve, at least between industries.
Nitin Pai: In terms of being ready, in terms of being comfortable and already having sorted out some of the key questions around how do you deliver.
Bhavik Mehta: Got it. And just lastly, Gaurav, how should we think about the trajectory of margins from here on? Because it's been increasing since the last three quarters, which is good to see. Should we continue to expect similar kind of expansion even next year or do you think it could slow down a bit, given that most of the levers have been utilized in FY '26?
Gaurav Bajaj: So Bhavik, I think we will have a sustained effort in terms of improvising our margins from here. Probably it will not have a huge uptick on a quarter -on-quarter basis. Probably it would be more gradual increase or the improvement that will happen on a quarter -on-quarter basis.
And also, it needs to be tightly aligned with the top-line growth.
So focus would be on the top-line as well as the bottom -line. But you know, some of the margin will come back as we see some of the growth coming back and most of our verticals start to deliver on the top- line. Having said that, of course, there could be a quarter where the margin can have a left or right shift depending upon some of the one -timers and other events.
For example, if whenever in the quarter we have to do salary hikes, there could be an impact in those quarters for the margins. But overall, if we have to see in the mid to long- term, probably

I think the idea is that if we can exit the next financial year somewhere near to 27% kind of a margin , not for the full year, but maybe for the exit of this financial year Q4.
Bhavik Mehta: And just a clarification, is 27% at the EBITDA level or the PBT level?
Gaurav Bajaj: I mean at the PBT level.
Bhavik Mehta: Okay, got it. Thank you.
Moderator: Thank you. The next question comes from the line of Abhishek Shindadkar from InCred Equities. Please go ahead.
Abhishek Shindadkar: Hi, sir. Thanks for the opportunity and congrats on a good quarter. Sorry, this could be a repeat, I joined a little late. But just

wanted to understand the Healthcare & Life Sciences traction. The anticipation was that the deals won earlier could help traction in terms of growth for the current quarter. Was the -- did Healthcare perform as anticipated at the start of the quarter, or was there any mid -quarter or late-quarter challenges in terms of delay in decision - makings, so on and so forth?
Manoj Raghavan: Yes, I think I discussed that earlier in a question that came up earlier. Yes , we were hoping on a couple of deals because we were very close to signing those deals, and those were large deals that could have really helped us with improving the numbers. Unfortunately, both those deals did not come through in the quarter, and they have been pushed to Q1.
So I think it is more a shift of some deals. At the same time, there have been a few projects that have also closed. So a combination of that has created this situation for us. But I think I'm very confident and hopeful that we will be able to recover in Q1.
Abhishek Shindadkar: Understood. Sir, just a clarification . So this planned out or this happen ed more in March or was it a phenomenon starting January itself? Just trying to understand the behavior of the clients in this context?
Manoj Raghavan: In fact, these deals started in October itself. It was more, we were hoping that it will definitely close, but it took 6 months. And that was the delay. We were not expecting that it would take so much of time to close these deals.
Abhishek Shindadkar: Understood, sir. That's very helpful. And the second question, again, maybe a repetition, I just wanted to get clarification. So when there was a question about margins, our answer suggested that we are okay to let go margins in the interim to win larger deals. Is the understanding right? Because what I'm trying to understand is, we are also talking of a 27% PBT number for next year. And at the same time, we also made a comment about leaving margins on the table for growth. So I'm just trying to put a context to both these commentaries.
Manoj Raghavan: No, the 27% we talked about was the exit margin in Q4 this financial year. It's not the margin for the year, okay? So that is very clearly, and that is where we were aiming for , right? I think

today, we are upwards of 25.6 in Q4 last financial year, we want to take it to 27 in Q4 FY '27, right? So that's the indication that Gaurav talked about.

I don't think we made a statement that we are leaving money on the table or we want to -- it's not a generic strategy that look, from now on, we will drop rates and go out. Yes , there could be certain specific deals which are from existing customers, which are large deals, and we feel that we would not want to let competition in or we want to vacate that space.

Sure, for those cases, we'll definitely look at seeing how we can be competitive. But as a generic strategy, we still definitely want to improve our margins and we have not given any guideline to our sales team or to our finance team that we can drop our margins.

Abhishek Shindadkar: Super helpful, sir.

Nitin Pai: Yes, if I may just add a line. Also note that even in those deals, there is a path to improving margins. It's not that you would win it and it would stay where it is, right? The understanding is there are some deals, they constitute a small percentage of your incremental revenues every quarter.

Some of those deals may need that investment period ranging from a quarter to more, but the expectation is over the longer -term, especially because you're going for longer -term foundational revenue baselines, you would start to recover some of that margin back and hopefully you would improve well beyond too.

Abhishek Shindadkar: Perfectly understood, Nitin sir. Thank you for taking my questions and best wishes for the next year.

Nitin Pai: Thank you so much, Abhis

hek.

Moderator: Thank you. Your next question comes from the line of Prateek, an Individual Investor. Please go ahead.

Prateek: Yes. Can you please share the margin breakdown for this quarter once again in terms of what led to the 130 bps Q -o-Q increase?

Gaurav Bajaj: Sure, Prateek. I think I mentioned earlier also. But quickly, just to summarize, what we are saying is 155 basis points from the currency, 65 basis points from the operating leverage, and then we have a 90 basis points impact due to the salary hikes that have been done during the quarter. So that adds up to 130 basis points.

Prateek: Understood. That's it from my side. Thank you.

Moderator: Thank you. Your next follow -up question comes from the line of Rishi Mody from RDM Advisory LLP . Please go ahead. Rishi sir, your line is unmuted. Please proceed with your question.

Rishi Mody : Hi, can you hear me?

Moderator: Yes, sir. We can hear you now.

Rishi Mody: Yes, hi. So, Manoj, one fundamental question on how the market is behaving. How is competition behaving in terms of pricing aggressiveness, especially with AI benefits being priced into, say, contracts? Are you seeing rationality or irrationality in the market currently and how are we tackling this?

Manoj Raghavan: No, I don't think we have seen irrationality in general, right? Because see, ER&D is still a very, very specialized -- it is not that we can use AI or GenAI across the board, right? So having said that, yes, we have seen a few contracts where there has been competition that has priced very, very aggressively, and we are also a little bit surprised.

We don't know whether it is because that they have used GenAI or they have assumed that GenAI will lead to certain productivity. See, GenAI, I don't think we can use GenAI as -- you can cut and paste in all situations, right? That is a very wrong way of looking at GenAI. And there are -- I know that there are a few competition who are pretty aggressive in using some of this.

But even customers are very, very careful before they accept a complete GenAI -based solution and so on, right? So largely, I would say, we are not seeing irrationality that you indicated.

There are a few cases here and there, but we are not sure whether it is GenAI or some other factor that are playing.

Rishi Mody: Got it. And are we being conservative, moderate, or aggressive in pricing and in efficiencies from AI in our bids?

Manoj Raghavan : No, so we are definitely looking at AI, and we have in all the projects that we are bidding for, there is a component of it which we attribute to AI and we track it. And we want to see how we can use that to really improve

our efficiency, productivity, and ultimately, margins, right?
So those are things that we are definitely tracking internally. So I wouldn't say that we are aggressively going overboard. At the same time, we are not conservative at all.
Nitin Pai: Yes, so Rishi, if I may, I think much more than cost, I think we are double -clicking on value. I think what GenAI does, coupled with domain expertise, is that I think it allows you to move up the time to market and quality factors as much as cost. And I think in the ER&D space, that is invaluable. At times, it's much more valuable than simply cost, because engineering cost is a fraction of your overall product and product development cost. So, I think the opportunity is actually in enhancing value rather than reducing cost.
Rishi Mody: Understood. So bigger contracts should, or at least execution speed for existing contracts is more likely to be the outcome for us rather than, say, cost efficiencies, which might be for other traditional IT services. Is that understanding, correct?
Nitin Pai: Yes, although I don't want to generalize that again. But all I'm saying is that the simple factor of only cost is not the only consideratio

n.

Rishi Mody: Got it. Thank you. This is helpful. That's it from my end. We can move on to the next one.
Nitin Pai: Thanks Rishi.
Moderator : Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra : Hi, thanks for the opportunity. My question is on the transportation vertical. Obviously, we have seen a good recovery there. And now it's stabilized also. And you mentioned in the PPT that 77% is from the OEMs. So, if you can share some more light in terms of how the Tier 1 portfolio has been doing and how most of the recovery is from the OEM portfolio, and how the Tier 1 portfolio has stabilized.
And also, in terms of the overall spending or the recovery that we have seen from transportation, is it only from the top client recovery and the ramp-up of deals that we have won, or is it higher spending across the OEMs, both in the US and the European geography?
So how is the mix, and what is the confidence that we move to a double -digit growth there in the transportation vertical?
Manoj Raghavan : Yes, so definitely recovery is broad-based, I would say. It's not just as you said; OEMs contribute more than 77% today. And these OEMs are primarily, of course, spread across, right? It's not just US and Europe that we are talking of. We are also talking about India; we are talking about Japan.
And we are also talking to some Chinese OEMs and so on, still early days. But I think those are the -- so essentially, for us, it's a global market and we are not really constrained to only one geography. Tier 1 portfolio, I would say, continues to shrink. Tier 1s, I mean, if you look at it, are having a tough time given that OEMs are taking more and more responsibilities and so on.
However, we are deeply entrenched with a few Tier 1s and that business definitely continues.
Yes, so deal sizes also with Tier 1s are smaller and so on, right? So, for us, growth will continue to come from the OEMs.
Amit Chandra : Okay. And as you mentioned from the AI side that the adoption of AI, especially in transportation OEMs, is less versus the other verticals, but are we also seeing -- in terms of the impact of renewals when the contracts come for renewals -- AI-led deflationary impact or higher discounts that the OEM clients are asking in terms of the AI benefits? Or obviously in terms of the higher spend related to AI, it's not seen, but are we seeing the impact on the cost side or in terms of higher discounts in terms of renewals?
Manoj Raghavan : I think it's very, very early days, right? So, it's not as if we have contract renewals coming every now and then and so on. At least those contracts that have come up for renewals, we have not seen the impact of AI.

But having said that, I think it's very difficult to predict 6 months to 12 months down the line what will be the change in the buying behavior of OEMs. Today, I think AI or GenAI is not the most important thing that OEMs focus on.
Thing that OEMs focus on. It's more on value and how are we able to support them with the various projects that they have. And it's about the people that you have and how you are able to deliver value to them, right? So, that's the more focus, not so much on AI and GenAI at this point. But as I said, 6 months, 9 months, 12 months later, it's very difficult to predict what sort

of demands will come in.
Amit Chandra: Okay. And so, on the margins part, obviously, we have not been adding headcount and we have enough capacity. So, till what growth rate or till what kind of growth you think that the existing capacity is sufficient or we need to add capacity maybe in the next one or two quarters?
Manoj Raghavan : Yes, we are at 73% utilization. So, I think we can go all the way up to 80% or slightly more than 80%, right? It's

not that we're not adding people. We're adding people wherever we need them. But we're not aggressively adding headcount, right? We are really metering the headcount additions and so on. Only when there is a real requirement do we go out and hire, right? So, yes , I think we can, once the utilization touches 80% or 82%, that is when I think we will be looking at adding more in larger numbers, right?
Amit Chandra: Okay. Okay, sir. Thank you and all the best.
Moderator : Thank you. The next question comes from the line of Ankur Pant from IIFL. Please go ahead.
Ankur Pant : Hi. Thank you for taking my question. My question is around the fact that last quarter for FY '27, we were aspiring for a double -digit growth for the business overall for FY '27 and led by transportation and healthcare verticals. Now, this quarter, healthcare has been a bit of a disappointment. And last quarter, if I remember correctly, we were expecting growth in transportation in Q4. We've come out at flattish. So, just comparing your expectations for FY '27, how was it last quarter? And what would be the aspiration as we start FY '27?
Manoj Raghavan : Yes, I think a lot of things have happened in the quarter, right? Geopolitical situation has changed. Customer spend when we started, when we last quarter, when we talked about it, we had high hopes that, of course, transportation would continue the growth momentum as well as, Healthcare and Life Sciences will be able to get back to growth. And I've explained the reasons why Healthcare and Life Sciences . I think automotive, we have governed the circumstances, governed the challenges and so on.
I think we have done reasonably well to exit, flat or, small growth, right? So, today, I mean, sitting today, looking at what is happening around the world and the conversations we are having with customers and so on. I think for us overall, we might be looking at a single digit, higher single digit growth for the financial year. We may not look at a double -digit growth.
Ankur Pant: And that, and the verticals that would lead it would again be transportation now?

Manoj Raghavan: Transportation, yes. I mean, we ideally would want all the three businesses to grow, right? We've had a very difficult, I would say, 12 months where multiple businesses went into a downswing at different quarters and so on. But from now on, we are really hoping that all the three businesses will start showing growth.
Ankur Pant: Yes. And the other question is now, given the tough geopolitical issues that we have had in this quarter, did we see clients now pushing back on the signing of deals or decision -making cycles getting slightly elongated, which may again mean that the recovery that we were expecting may also get pushed back by a quarter or two? Are you seeing signs of that as well in this quarter?
Manoj Raghavan: We are seeing both sides, right? We have also announced deals that we have won in the quarter. We also know that there are cases where the deals have been pushed off. So, there is no one answer to your question, right? It is, both are happening.
Ankur Pant: Sure, but the expectation of recovery that you had, is that still, I mean, are you still hopeful of the same trajectory or does that get pushed off a little bit, seeing what is happening around?
Manoj Raghavan: Which is where we -- when we look, when we started -- when we came in the last quarter, we were hoping for a double -digit growth aspirations for the quarter. But looking at the situation today, maybe, I would be a little more conservative and say maybe a higher single digit is what we should look at.
This could change in the next three to six months, right, when we look at the deal momentum and so on. Sitting today, the visibility that we have, conversations that we are having and the deals we have closed and the deals that we are purs

uing, this is what we feel.
Moderator: Our next question comes from the line of Mayur Matani from Mahesh Kumar & Company.
Mayur Matani: My question is regarding, pertaining to the fixed- price contracts that we have. So, over a period of time, we have seen that our fixed -price contracts have now increased quite a lot. And I believe that fixed -price contracts have a better margin trajectory. So, with regards to signing more OEM deals, how do you see that trajectory going forward on a sustainable basis? Is there a further scope to increase the fixed -price contracts?
Manoj Raghavan: No. So, yes, some of the deals, large deals that we have closed are on fixed -price contracts.

The challenge is that if you do not execute on those fixed- price contracts correctly, then it could also lead to revenue leakages and profitability dip. So, it is not advisable that we continue to shift more and more of our business to fixed price.
So, I think that is a careful decision that we need to take because the entire processes in the organization, the SMEs that we have -- the architects that we have . Any deal that we pick, we also need to be able to execute it, deliver on time with the margins. Only then we can show the margins.

So, it is in some sense a double -edged sword. So, we will be a little careful in terms of how this goes. It is not our objective suddenly to move to a 70% or an 80% fixed price. That will be putting too much of risk on us.
Mayur Matani: With regards to your transportation verticals, we have been talking that whenever there is a slowdown that structurally you see that some of the orders or some of the projects, new projects might get offshored. So, are you seeing that traction or there is indecisiveness from the customer's side currently?
Manoj Raghavan: No, we are seeing a lot of that. Especially when there is a need in the customer space that they have to continue their engineering activities and there 's a slowdown. The only option for such customers is to see, hey, can they do more with less? With less of a budget, can they do more?
And that is where best -cost countries like us and companies like us come into play.
So yes, I think we continue to see such customers who are looking at which is the right organization that can deliver outcomes without too much of oversight. Because if you are doing offshore, it means a lot of the work the OEM has to hand over .
And they should have the confidence that Tata Elxsi is a company that can take up this complex work and deliver outcome remotely. And that is the track record that we have. And that is why customers trust us with a lot more offshore delivery.
Mayur Matani: We have been speaking about it quite a lot. But over the past one or two years, I think that has not reflected in the overall revenues. So when do you think that change might happen? Or is it due to the fact that the profitability of the legacy players are impacted? That is why we are not getting that kind of business?
Manoj Raghavan: So if you look at it, the industry went through massive -- what do you say, situation over the last I would say 12 to 18 months . So it is not as if such deals have not happened. Such deals are happening. Some of them are ramping up as per plan. Some of those ramp- ups are still slow. So it 's a work in progress. So we are seeing the shift happening.
Mayur Matani: Okay. And last question with regards to the -- yes, sorry, please continue.
Nitin Pai: If I may just add, I'm just adding a little perspective. I think you have to remember all our revenues and growth or lack of it is organic. A lot of the growth that we have seen across many of the peers that we see in the industry has been actually coming from inorganic. Real organic growth has been lacking. If you ask me, not very different. I think what is different for us is the fact that you

will see that consistent offshore track delivery.
Nobody else carries that kind of an offshoring capability. Two is you are seeing that gradual but consistent shift to fixed price. Rightly, like Manoj said, the intent is not to simply improve margins; it is to make sure that we can continue to deliver greater and greater value. But the most important point I think everybody has to remember is ER&D is not very large deals locked in for five years and so on.

It is a set of projects that continue to run off. So every quarter, you will lose 10% to 15% revenues; you have to make it up with new contracts. So that is the challenge. It is not the proposition or the value that we carry; it is the ability for you to continuously refill that funnel, right?
Mayur Matani: Right. Okay, thanks a lot. And last question is with regards to the media vertical. So we have been telling that media is still not out of the woods. So do you think that in the media vertical, if we are able to manage the revenues over a three-to -five -year horizon, do you see that trajectory changing? Or what circumstances may bring the revenue in the media and telecom vertical back?
Nitin Pai: Yes, so if I may, again, I think two, three things. One is that we have seen a plus, minus, plus,

minus. So there are some quarters of growth, there are some quarters of degrowth. So the media and telecom vertical for us has been very volatile. And overall, it has not delivered growth. And that is fundamentally reflecting the state of industry, which is whether it is the telecom operators or whether it is the large media streaming companies and content studios . They have all been under tremendous pressure for top-line growth. And therefore, a lot of the focus has been bottom line. And bottom line means then it's more of an efficiency and cost takeout game rather than an innovation game. So to that extent, I think what we have really done very, very well if you ask me over the last six quarters is the building of confidence both in ourselves as in customers that we can execute. We can win, and execute very, very well on large consolidation deals. So remember that we have typically not played that game too much. We've always been about do the new and less about consolidate. We will take over what you are doing, we'll make sure t hat efficiencies are delivered.

So it has been always less of that, more of do the new. I think that muscle that we have built, whether it is in automotive, whether it is in media and communications . I think is the biggest single factor that you are able to go there and win $ 100 million deals that you are able to go there and win $50 million deals.

I think that creates that muscle and discipline to say, look, can we build a foundation of revenues that even if there is some volatility, you can stay protected? And hopefully, there is growth in certain quarters, there is growth in certain areas. But the real big answer will be that innovation has to come back to the industry for true big upticks. And you will s ee moderate growth in our view.

Manoj Raghavan: And also, the industry is also going through a lot of mergers and acquisitions. M&A is happening. So that is also sort of what happens when two media companies come together -- there is duplication of engineering.

So there is a lot of resources available and there is no need to really depend on an external supplier to come in and support them and so on. So those things are also happening.

Mayur Matani: Right. Thanks, thanks a lot. And one last question, if I may. We were looking at some new verticals, so i f you can share something on it?

Manoj Raghavan : So I think we were focusing on, for example, the aerospace and defense is one vertical that we are looking at. And we have some very exciting thin

gs happening there. But it is very difficult to -- I mean, unless these result in some large revenues and so on, it is very difficult to practically tell you what is happening.

We are doing some very, very good work with the defense organizations in India, with HAL, with the Aeronautical Development Agency, some large deals that we are bidding for. We are also working with some global players there. So I think till we reach a size, I think we will continue to invest there.

We continue to build capabilities and also win those initial projects and trial projects and so on; we will keep you updated there. We have also started focusing on the battery energy storage. That is a big opportunity because of all the data centers that are being built, especially because of AI and GenAI, a lot of power is needed, right? And for that, battery energy storage is in huge demand i n the market.

And that is something that we have picked up and that is something that we would -- and of course, even for EV , you know, powering up EV in remote locations and so on, you need that battery energy storage. So that is something we have incubated, and I think the coming financial year, we hope that that will be a reasonably sized vertical for us.

So we will make those announcements at the appropriate time. We've also started focusing a little bit on the manufacturing side. We've built certain capabilities, we've won some initial customers. That is another area we continue to invest. Again, so all those three areas we continue to build that muscle, build that strength, do those initial projects, build those capabilities. And we are hoping that look, next four to six quarters at least one or two of these will start showing results.

Mayur Matani: Sure. Thanks. Thanks a lot.

Nitin Pai: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you. Thank you to all the investors for the call today. I think we are still optimistic that FY'27 will be a growth year for us. And as I said, the growth has to be led uniformly across the three verticals. And that would be the focus for us as we enter into the new financial year.

Thank you so much for your time today.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

Call: Apr 2026

April 24, 202 6

BSE L imited National Stock Exchange of India L imited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Symbol : TATAELXSI

Dear Sir s/Madam,
Sub: Transcripts of the Investors' Conference Call for the quarter and year ended March 31, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2026, held on April 21, 2026.

The transcript of the earnings conference call will also be made available on the Company's website at www.tataelxsi.com.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer
Encl: As above

"Tata Elxsi Limited
Q4 FY '26 Earnings Conference Call "
April 21, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER – TATA ELXSI LIMITED
MS. NEHA V. – COMPANY SECRETARY – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Earnings Conference Call of

Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks,
uncertainties and other factors. Therefore, it must be viewed in conjunction with business risk
that could cause actual result performance or achievements that differ from what is expressed or implied by such statements.
To take us through the results and answer your questions today, we have the Senior Management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Neha V. , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan , followed by a Q&A session.
We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.
With that, I would like to hand
over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghav an: Thank you, Shashank. Very good evening to everybody who has joined us today. Welcome to the Q4 - '26 investor call. I hope that you and everybody in your family is safe and healthy. I
am pleased to announce that we have delivered a healthy revenue of INR993.8 crores for the quarter, growing 0.9% quarter -on-quarter in constant currency terms.
In our transportation business, our revenues in Q4 FY '26 grew by 0.2% quarter -on-quarter in constant currency terms. We are delighted with two strategic wins, one in the APAC region from a new -age OEM and another

from a next -generation mobility services company in the
US, paving the path for busi ness growth in coming quarters.
Our investment and efforts to pivot towards OEM business is delivering continued success, underscoring our strength in focused execution of chosen strategies. OEM customers now represent 77% of the revenue in this vertical. Our Healthcare and Life Sciences vertical de-grew by 13.1% quarter -on-quarter in constant currency terms, impacted by delays in deal awards that we were expecting and prepared for in the quarter.

However, during the quarter, we opened an offshore development center for the Japanese MedTech leader Terumo Corporation. This center brings together the power of design, engineering and digital to innovate their cardiac and vascular solutions.
I am happy to report that our Media and Communication business posted a 5.6% quarter -on-quarter revenue growth in constant currency terms. This growth was led by continued deal ramp -ups, a strategic deal for AdTech and a Tier 1 US Telco. In the quarter, we also won a multi-year large deal from a world -leading device OEM for its portfolio of video and broadband products.
For the quarter, our EBITDA margin stood at 24.6%, improving by 130 basis points sequentially. This reflects a continued focus on operational excellence and margin improvement. In FY '26, we significantly advanced our adoption of GenAI. This was supported by partnerships with AI companies, launch of our own automotive SDLC platform
DevStudio.ai earlier in this quarter, curated tool stacks and agent inventory, investments in infrastructure, sandbox environments with IP protection and data pr ivacy, and rigorous
upskilling.
With these coordinated efforts, we are progressing steadily towards being an AI -native engineering organization, strengthening our differentiation and innovation quotient. I am pleased with our sustained and strong operational performance through segment -leading offshore delivery, continued transition to fixed- bid project ownerships, and the systematic and enterprise-wide adoption of AI -enabled efficiencies.
These levers strengthened execution discipline and productivity, driving consistent margin improvements throughout the year.
As we enter the next financial year, we remain focused on scaling our differentiated design -led and AI -enabled offerings, strengthening operational
leverage, and driving sustainable growth and healthy margins. Thank you and over to Shashank for the Q&A session.
Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Saj al Kapoor from Anti fragile Thinking. Please go ahead.

Sajal Kapoor: Yes, hi. Thanks for taking my questions. Sir, of the deals you have won recently, how much of the value is coming from existing customers expanding their engagements or wallet share versus entirely new logos, and how has this mix evolved over the last two or three years? That's my first question. Thank you.

Manoj Raghavan: Yes, I think if you look at it in any quarter, the new customers would contribute maybe 2% to 2.5% of the revenue. So a large portion of the revenues come from existing customers and the deals that we win with them. However, we also see a good new set of customers that are coming in. For example, this quarter we have announced a deal with Terumo,. that's a new customer that set up an ODC with us in the Healthcare and Life Sciences space. Similarly, the deal that we announced in the automotive segment with the APAC customer, that is also a new customer for us. The deal that we announced in the Media and Communication space, the

multi-year deal, that's an existing customer of ours. So it's always a mix of existing as well as new customers.

Saja l Kapoor: Sure. And just to follow up, I mean, is there a pattern where the new logos typically take X number of years to scale up or is there no such pattern? I mean, it depends from customer to customer?

Manoj Raghavan: It depends on business to business, I would say. Usually, even if you win a deal, for it to make a significant impact, it takes anywhere between 9 months to 12 months for ramp -ups to actually happen and start delivering.

Satjal Kapoor: Sure, that's helpful. And my second and last question is, you have highlighted AI -led productivity and a shift towards fixed- bid and platform -based delivery. Are these changes starting to alter pricing power and contract structures, or are they mainly improving internal efficiency so far?

Manoj Raghavan: It's both. Definitely, we are using a lot of that for internal efficiencies. However, there are customers that are demanding better efficiencies, productivity and so on, which automatically leads to, if you're able to deliver that performance and productivity, then a better pricing power. So it's a combination of both.

Sajal Kapoor: Okay . Thank you. I'll rejoin the queue. Thank you.

Moderator: Thank you. Our next question c omes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead.

Rishi Mody: Yes, hi. So my first question is pertaining to the quarterly result. So healthcare, we've declined 13% Q -o-Q on constant currency in our revenue. Last quarter, you called out that probably Q3 was the bottom. Just wanted to get your view that do we see Q4 as now the bottom or is there something which has changed over the past three months for us there?

Manoj Raghavan: Yes, I think we were very optimistic that the healthcare business has reached the bottom and we will turn around. We were pretty confident because there were a few deals that we were bidding for, and we were pretty confident that we will be able to close those deals. Unfortunately for us, those deals have not closed, and that resulted in this situation that we've had. But, h owever, we still continue to carry those items in our high -probability funnel. And in fact, a few of them actually we have closed in a couple of weeks in the new quarter , right? So I think I'm pretty hopeful that last quarter, Q4, was the bottom and we will be able to recover this. If we had closed these deals earlier in the quarter, then we would have had a fantastic exit to Q4 with all the three businesses really firing and so on. That is what we were all aiming for. But hopefully, it is just shifted by a quarter and we should be able to recover that position in Q1.

Rishi Mody: Got it. So say Q1 plus Q4 combined should have positive growth over Q2 and Q3 if that's how I have to look at it. Second, on the USA business, the media and communications industry, the

consolidation seems to have happened. Are we now going to go back on the higher growth trajectory here, or is there something which needs to be recalibrated in USA a nd the medi a and communication both, sorry?

Manoj Raghavan: No, so the media and communication business has smartly grown, especially for us in the US. But overall, the US business has declined a little bit. That is primarily because of the healthcare piece, because healthcare for us is largely US -focused.

Rishi Mody: Okay, got it. Finally, more on a structural question. You'd mentioned in the past that now incrementally we are

doing fixed contracts, which may or may not be a trend that we are following, but also we are doing longer -tenure contracts, which are not as profitable in year 1
as, say, the earlier shorter -term contracts that we were doing.
But if you were to take, say, a two -year, three-year profitability combined, do we even out on our margins, or we'll take the hit on the margins, but we'll get higher absolute amounts? Is that the approach, or we have levers to get margins ramped up in year 2, year 3?

Manoj Raghavan: Yes, so obviously, when we look at a three -year or a five -year deal, right, the initial one year would have a lot of costs involved. There could be sometimes rebadging costs, there could be acquisition costs and all of that. But, however, when you look at a three -year or five -year, we definitely would be looking at seeing how we can improve our margins sequentially, quarter -on-quarter and year -on-year. That is the focus for us. So definitely, we would want to bring back, and especially now with using AI, GenAI and so on, we have many, many ways of really bringing out the margins in a positive way. So I think that's what we're focusing on.
Rishi Mody: All right. Finally, just a bookkeeping one, if I could get the utilization rate for the quarter?
Gaurav Bajaj: It is about 73%.
Rishi Mody: 73%. Got it. Thank you. That's it from my end.
Gaurav Bajaj: Thank you.
Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital.
Please go ahead.
Moez Chandani : Hi, good evening and thank you for taking my question. My first question was on the broader transportation segment. So last year's been turbulent for the entire segment, but looking at Q4,
I think things were flattish. What's your outlook for the transportation segment going into FY27 ? And for the overall business, is the aspiration still double -digit growth for the financial year?
Manoj Raghavan: Yes, I think the good part for us is while, as you rightly said, the overall market outlook was sort of mixed throughout the last financial year, but we were still able to win some large deals and so on. In fact, even in Q4, we won some fantastic good opportunities for us, multimillion-
dollar deals. So what we are confident is that , look, some of the new deals that we have won,

we will be able to scale in the next 6 to 12 months ' time period. So that is what will help us really deliver growth in the automotive space.
Of course, on top of it, as we have been updating all the investors that we have been gradually moving to more and more of our business from the OEM side. I think today we are looking at about 77% of our revenues, 77% of the automotive revenues coming from OEM. So I think that pitch is also -- shift to OEM business is also helping us.
So I would say I'm still pretty optimistic about the overall automotive market. But , however, given the current geopolitical and all the war and all that, while we have the deals in hand and we will definitely look at ramping up and so on, there could be some amount of uncertainty.
We are still talking to customers on that. Having said that, I think maybe we would look at a high-single digit exit, may not get into a double -digit for automotive.
Moez Chandani: Understood. And the second question is on margins. Again, margins saw a very sharp improvement this quarter. What seems to be driving that , especially I think since utilization is still at about 73%, like you said ? And then in terms of sustainability for this margin improvement going forward, what would your comments be?
Gaurav Bajaj: Hi, this is Gaurav. Let me answer that question. I think we have been talking about the margin for the past few quarters and I think we have been mentioning that we are making constant effort to go back to our original margin band, which is about 27% to 28%. So I think the work has been happening towards that in terms of the operating model, operating efficiencies, and the leverage. It's not only about the utilization.
Of course, utilization was below 70% at one point of time. Now we are almost inching towards mid-70. So every 1% increase in utilization also helps at least 25 to 30 basis points on the margins. So that is helping, one.
Second, I think some of the fixed-price contracts, that increase that has happened, that is also comes sometimes with a better

margins because you are able to have a better optimized and rationalized pyramid on those deals if you are able to deliver and execute on those contracts, the way you have contracted for.
I think third is that pyramid in terms of managing the pyramid and the further hiring. So that is well calibrated in terms of the future requirements, supply -demand state. So that is giving me almost 65 basis points kind of improvement on a quarter -on-quarter basis. And yes, I think

there has been some currency tailwind, which is also helping margins for the current quarter.
So if I have to put in terms of the margin walk, probably 150-155 basis points is coming from the currency movements against most of the cross -currencies has improved compared to the INR. 65 basis points would have come from the operating efficiencies across different levers that is into play.
And also, we have done the salary increase for the rest of the staff for in the organization effective 1st January. So that would be 90 basis points kind of impact on the quarter. So that

sums up to almost 130 basis points improvement in the operating margin on a quarter -on-quarter basis.
Moez Chandani : Understood. And just one last question, if I can squeeze in. So media one of the concerns that were there last year in terms of consolidation, and again that a lot of deals were getting cut. So do you think that phase is behind us now? Or do you think looking at the very strong growth we've had in media, or do you think that the segment is still challenged from a growth perspective for the next few quarters?
Manoj Raghavan: I think, in general, I would say, we are still challenged, the entire media and telecom industry is challenged. But however what has happened for us over the last quarter and the financial year is we had won some large deals that, especially from some of the large customers, those ramp -ups have really started happening. And we've seen those ramp-ups happening in Q3 and Q4 as well.
On top of it, we won a large deal in Q4, which we would be literally taking over the engineering for one of our customers, all their legacy products, and so on. And that's a pretty significant deal for us. And that single deal actually also bumped up our overall growth in this segment.
Having said that, deals are still consolidation deals and cost-takeout deals that are there on the table. And we are still participating in those deals selectively. So overall, yes, I think we're still not out of the woods in this particular industry segment. However, because we have won a few good deals for us, we are able to show this growth.
Moez Chandani : Understood. Thank you so much for taking my questions.
Moderator: Thank you. Your next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Hi, thank you. So just wanted to understand on GenAI, how are the client conversations evolving? Are you seeing clients asking for productivity pass -throughs or pricing discounts if they want you to implement more of GenAI into the projects? Or is it still at a very nascent stage where it's not part of the conversation in a big way so far? And different for the three different industries you cater to?
Manoj Raghavan: Yes, so I think from a Generative AI perspective, I think we are seeing a lot of conversations happening in the media and telecom space, not so much in automotive and healthcare. Yes, there are conversations happening and so on. Those are more in terms of , for example, in the automotive space, there's a lot of interest from OEMs and customers in terms of how do you manage for example, cybersecurity and confidentiality requirements and so on and so forth, right?
So that's why we have built our own DevStudio.ai toolchain to address some of the concerns that customers keep asking us, right? So I th

ink in both in automotive and healthcare, there are

those initial conversations happening. There is an interest to see how we can use some of these technologies for better efficiencies and so on.
Not so much conversations around cost and cost-takeout and so on at this point in time. But media and telecom, we see a lot more customers asking if can we use GenAI to overall what do you say, help in efficiencies at the same time also manage with their budget situation.
Bhavik Mehta: And any sense on what could drive this different customer behavior between, let's say, automotive and media? Is it because media is under more pressure right now and hence the clients are more desperate for cost efficiency versus the other two sectors?
Manoj Raghavan: Yes, I think automotive in some sense, it's still very regulated and automotive software development follows certain processes. And using a generic AI tool will not, it'll be very difficult for automotive companies to pass various regulatory requirements and so on, right?

And that is why you need to build custom tools for automotive. Healthcare is also the same, right? It's more a very regulated industry.
Whereas media and telecom that sort of very, very strong regulatory requirement is not there in terms of , that if you if you do something, it's not going to cause an accident or kill somebody and so on.
Nitin Pai: Yes, and maybe I can just add to that. I think in general, the telecom industry, especially telcos, are actually at the forefront of deploying data centers, building the infrastructure and the connectivity that you need to deliver AI and GenAI. So to that extent, in many ways, I would say they are ahead of the curve, at least between industries.
Nitin Pai: In terms of being ready, in terms of being comfortable and already having sorted out some of the key questions around how do you deliver.
Bhavik Mehta: Got it. And just lastly, Gaurav, how should we think about the trajectory of margins from here on? Because it's been increasing since the last three quarters, which is good to see. Should we continue to expect similar kind of expansion even next year or do you think it could slow down a bit, given that most of the levers have been utilized in FY '26?
Gaurav Bajaj: So Bhavik, I think we will have a sustained effort in terms of improvising our margins from here. Probably it will not have a huge uptick on a quarter -on-quarter basis. Probably it would be more gradual increase or the improvement that will happen on a quarter -on-quarter basis.
And also, it needs to be tightly aligned with the top-line growth.
So focus would be on the top-line as well as the bottom -line. But you know, some of the margin will come back as we see some of the growth coming back and most of our verticals start to deliver on the top- line. Having said that, of course, there could be a quarter where the margin can have a left or right shift depending upon some of the one -timers and other events.
For example, if whenever in the quarter we have to do salary hikes, there could be an impact in those quarters for the margins. But overall, if we have to see in the mid to long- term, probably

I think the idea is that if we can exit the next financial year somewhere near to 27% kind of a margin , not for the full year, but maybe for the exit of this financial year Q4.
Bhavik Mehta: And just a clarification, is 27% at the EBITDA level or the PBT level?
Gaurav Bajaj: I mean at the PBT level.
Bhavik Mehta: Okay, got it. Thank you.
Moderator: Thank you. The next question comes from the line of Abhishek Shindadkar from InCred Equities. Please go ahead.
Abhishek Shindadkar: Hi, sir. Thanks for the opportunity and congrats on a good quarter. Sorry, this could be a repeat, I joined a little late. But just

wanted to understand the Healthcare & Life Sciences traction. The anticipation was that the deals won earlier could help traction in terms of growth for the current quarter. Was the -- did Healthcare perform as anticipated at the start of the quarter, or was there any mid -quarter or late-quarter challenges in terms of delay in decision - makings, so on and so forth?
Manoj Raghavan: Yes, I think I discussed that earlier in a question that came up earlier. Yes , we were hoping on a couple of deals because we were very close to signing those deals, and those were large deals that could have really helped us with improving the numbers. Unfortunately, both those deals did not come through in the quarter, and they have been pushed to Q1.
So I think it is more a shift of some deals. At the same time, there have been a few projects that have also closed. So a combination of that has created this situation for us. But I think I'm very confident and hopeful that we will be able to recover in Q1.
Abhishek Shindadkar: Understood. Sir, just a clarification . So this planned out or this happen ed more in March or was it a phenomenon starting January itself? Just trying to understand the behavior of the clients in this context?
Manoj Raghavan: In fact, these deals started in October itself. It was more, we were hoping that it will definitely close, but it took 6 months. And that was the delay. We were not expecting that it would take so much of time to close these deals.
Abhishek Shindadkar: Understood, sir. That's very helpful. And the second question, again, maybe a repetition, I just wanted to get clarification. So when there was a question about margins, our answer suggested that we are okay to let go margins in the interim to win larger deals. Is the understanding right?
Because what I'm trying to understand is, we are also talking of a 27% PBT number for next year. And at the same time, we also made a comment about leaving margins on the table for growth. So I'm just trying to put a context to both these commentaries.
Manoj Raghavan: No, the 27% we talked about was the exit margin in Q4 this financial year. It's not the margin for the year, okay? So that is very clearly, and that is where we were aiming for , right? I think

today, we are upwards of 25.6 in Q4 last financial year, we want to take it to 27 in Q4 FY '27, right? So that's the indication that Gaurav talked about.

I don't think we made a statement that we are leaving money on the table or we want to -- it's not a generic strategy that look, from now on, we will drop rates and go out. Yes , there could be certain specific deals which are from existing customers, which are large deals, and we feel that we would not want to let competition in or we want to vacate that space.

Sure, for those cases, we'll definitely look at seeing how we can be competitive. But as a generic strategy, we still definitely want to improve our margins and we have not given any guideline to our sales team or to our finance team that we can drop our margins.

Abhishek Shindadkar: Super helpful, sir.

Nitin Pai: Yes, if I may just add a line. Also note that even in those deals, there is a path to improving margins. It's not that you would win it and it would stay where it is, right? The understanding is there are some deals, they constitute a small percentage of your incremental revenues every quarter.

Some of those deals may need that investment period ranging from a quarter to more, but the expectation is over the longer -term, especially because you're going for longer -term foundational revenue baselines, you would start to recover some of that margin back and hopefully you would improve well beyond too.

Abhishek Shindadkar: Perfectly understood, Nitin sir. Thank you for taking my questions and best wishes for the next year.

Nitin Pai: Thank you so much, Abhis

hek.

Moderator: Thank you. Your next question comes from the line of Prateek, an Individual Investor. Please go ahead.

Prateek: Yes. Can you please share the margin breakdown for this quarter once again in terms of what led to the 130 bps Q -o-Q increase?

Gaurav Bajaj: Sure, Prateek. I think I mentioned earlier also. But quickly, just to summarize, what we are saying is 155 basis points from the currency, 65 basis points from the operating leverage, and then we have a 90 basis points impact due to the salary hikes that have been done during the quarter. So that adds up to 130 basis points.

Prateek: Understood. That's it from my side. Thank you.

Moderator: Thank you. Your next follow -up question comes from the line of Rishi Mody from RDM Advisory LLP . Please go ahead. Rishi sir, your line is unmuted. Please proceed with your question.

Rishi Mody : Hi, can you hear me?

Moderator: Yes, sir. We can hear you now.

Rishi Mody: Yes, hi. So, Manoj, one fundamental question on how the market is behaving. How is competition behaving in terms of pricing aggressiveness, especially with AI benefits being priced into, say, contracts? Are you seeing rationality or irrationality in the market currently and how are we tackling this?

Manoj Raghavan: No, I don't think we have seen irrationality in general, right? Because see, ER&D is still a very, very specialized -- it is not that we can use AI or GenAI across the board, right? So having said that, yes, we have seen a few contracts where there has been competition that has priced very, very aggressively, and we are also a little bit surprised.

We don't know whether it is because that they have used GenAI or they have assumed that GenAI will lead to certain productivity. See, GenAI, I don't think we can use GenAI as -- you can cut and paste in all situations, right? That is a very wrong way of looking at GenAI. And there are -- I know that there are a few competition who are pretty aggressive in using some of this.

But even customers are very, very careful before they accept a complete GenAI -based solution and so on, right? So largely, I would say, we are not seeing irrationality that you indicated.

There are a few cases here and there, but we are not sure whether it is GenAI or some other factor that are playing.

Rishi Mody: Got it. And are we being conservative, moderate, or aggressive in pricing and in efficiencies from AI in our bids?

Manoj Raghavan : No, so we are definitely looking at AI, and we have in all the projects that we are bidding for, there is a component of it which we attribute to AI and we track it. And we want to see how we can use that to really improve

our efficiency, productivity, and ultimately, margins, right?
So those are things that we are definitely tracking internally. So I wouldn't say that we are aggressively going overboard. At the same time, we are not conservative at all.
Nitin Pai: Yes, so Rishi, if I may, I think much more than cost, I think we are double -clicking on value. I think what GenAI does, coupled with domain expertise, is that I think it allows you to move up the time to market and quality factors as much as cost. And I think in the ER&D space, that is invaluable. At times, it's much more valuable than simply cost, because engineering cost is a fraction of your overall product and product development cost. So, I think the opportunity is actually in enhancing value rather than reducing cost.
Rishi Mody: Understood. So bigger contracts should, or at least execution speed for existing contracts is more likely to be the outcome for us rather than, say, cost efficiencies, which might be for other traditional IT services. Is that understanding, correct?
Nitin Pai: Yes, although I don't want to generalize that again. But all I'm saying is that the simple factor of only cost is not the only consideratio

n.

Rishi Mody: Got it. Thank you. This is helpful. That's it from my end. We can move on to the next one.
Nitin Pai: Thanks Rishi.
Moderator : Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra : Hi, thanks for the opportunity. My question is on the transportation vertical. Obviously, we have seen a good recovery there. And now it's stabilized also. And you mentioned in the PPT that 77% is from the OEMs. So, if you can share some more light in terms of how the Tier 1 portfolio has been doing and how most of the recovery is from the OEM portfolio, and how the Tier 1 portfolio has stabilized.
And also, in terms of the overall spending or the recovery that we have seen from transportation, is it only from the top client recovery and the ramp-up of deals that we have won, or is it higher spending across the OEMs, both in the US and the European geography?
So how is the mix, and what is the confidence that we move to a double -digit growth there in the transportation vertical?
Manoj Raghavan : Yes, so definitely recovery is broad-based, I would say. It's not just as you said; OEMs contribute more than 77% today. And these OEMs are primarily, of course, spread across, right? It's not just US and Europe that we are talking of. We are also talking about India; we are talking about Japan.
And we are also talking to some Chinese OEMs and so on, still early days. But I think those are the -- so essentially, for us, it's a global market and we are not really constrained to only one geography. Tier 1 portfolio, I would say, continues to shrink. Tier 1s, I mean, if you look at it, are having a tough time given that OEMs are taking more and more responsibilities and so on.
However, we are deeply entrenched with a few Tier 1s and that business definitely continues.
Yes, so deal sizes also with Tier 1s are smaller and so on, right? So, for us, growth will continue to come from the OEMs.
Amit Chandra : Okay. And as you mentioned from the AI side that the adoption of AI, especially in transportation OEMs, is less versus the other verticals, but are we also seeing -- in terms of the impact of renewals when the contracts come for renewals -- AI-led deflationary impact or higher discounts that the OEM clients are asking in terms of the AI benefits? Or obviously in terms of the higher spend related to AI, it's not seen, but are we seeing the impact on the cost side or in terms of higher discounts in terms of renewals?
Manoj Raghavan : I think it's very, very early days, right? So, it's not as if we have contract renewals coming every now and then and so on. At least those contracts that have come up for renewals, we have not seen the impact of AI.

But having said that, I think it's very difficult to predict 6 months to 12 months down the line what will be the change in the buying behavior of OEMs. Today, I think AI or GenAI is not the most important thing that OEMs focus on.
Thing that OEMs focus on. It's more on value and how are we able to support them with the various projects that they have. And it's about the people that you have and how you are able to deliver value to them, right? So, that's the more focus, not so much on AI and GenAI at this point. But as I said, 6 months, 9 months, 12 months later, it's very difficult to predict what sort

of demands will come in.
Amit Chandra: Okay. And so, on the margins part, obviously, we have not been adding headcount and we have enough capacity. So, till what growth rate or till what kind of growth you think that the existing capacity is sufficient or we need to add capacity maybe in the next one or two quarters?
Manoj Raghavan : Yes, we are at 73% utilization. So, I think we can go all the way up to 80% or slightly more than 80%, right? It's

not that we're not adding people. We're adding people wherever we need them. But we're not aggressively adding headcount, right? We are really metering the headcount additions and so on. Only when there is a real requirement do we go out and hire, right? So, yes , I think we can, once the utilization touches 80% or 82%, that is when I think we will be looking at adding more in larger numbers, right?
Amit Chandra: Okay. Okay, sir. Thank you and all the best.
Moderator : Thank you. The next question comes from the line of Ankur Pant from IIFL. Please go ahead.
Ankur Pant : Hi. Thank you for taking my question. My question is around the fact that last quarter for FY '27, we were aspiring for a double -digit growth for the business overall for FY '27 and led by transportation and healthcare verticals. Now, this quarter, healthcare has been a bit of a disappointment. And last quarter, if I remember correctly, we were expecting growth in transportation in Q4. We've come out at flattish. So, just comparing your expectations for FY '27, how was it last quarter? And what would be the aspiration as we start FY '27?
Manoj Raghavan : Yes, I think a lot of things have happened in the quarter, right? Geopolitical situation has changed. Customer spend when we started, when we last quarter, when we talked about it, we had high hopes that, of course, transportation would continue the growth momentum as well as, Healthcare and Life Sciences will be able to get back to growth. And I've explained the reasons why Healthcare and Life Sciences . I think automotive, we have governed the circumstances, governed the challenges and so on.
I think we have done reasonably well to exit, flat or, small growth, right? So, today, I mean, sitting today, looking at what is happening around the world and the conversations we are having with customers and so on. I think for us overall, we might be looking at a single digit, higher single digit growth for the financial year. We may not look at a double -digit growth.
Ankur Pant: And that, and the verticals that would lead it would again be transportation now?

Manoj Raghavan: Transportation, yes. I mean, we ideally would want all the three businesses to grow, right? We've had a very difficult, I would say, 12 months where multiple businesses went into a downswing at different quarters and so on. But from now on, we are really hoping that all the three businesses will start showing growth.
Ankur Pant: Yes. And the other question is now, given the tough geopolitical issues that we have had in this quarter, did we see clients now pushing back on the signing of deals or decision -making cycles getting slightly elongated, which may again mean that the recovery that we were expecting may also get pushed back by a quarter or two? Are you seeing signs of that as well in this quarter?
Manoj Raghavan: We are seeing both sides, right? We have also announced deals that we have won in the quarter. We also know that there are cases where the deals have been pushed off. So, there is no one answer to your question, right? It is, both are happening.
Ankur Pant: Sure, but the expectation of recovery that you had, is that still, I mean, are you still hopeful of the same trajectory or does that get pushed off a little bit, seeing what is happening around?
Manoj Raghavan: Which is where we -- when we look, when we started -- when we came in the last quarter, we were hoping for a double -digit growth aspirations for the quarter. But looking at the situation today, maybe, I would be a little more conservative and say maybe a higher single digit is what we should look at.
This could change in the next three to six months, right, when we look at the deal momentum and so on. Sitting today, the visibility that we have, conversations that we are having and the deals we have closed and the deals that we are purs

uing, this is what we feel.
Moderator: Our next question comes from the line of Mayur Matani from Mahesh Kumar & Company.
Mayur Matani: My question is regarding, pertaining to the fixed- price contracts that we have. So, over a period of time, we have seen that our fixed -price contracts have now increased quite a lot. And I believe that fixed -price contracts have a better margin trajectory. So, with regards to signing more OEM deals, how do you see that trajectory going forward on a sustainable basis? Is there a further scope to increase the fixed -price contracts?
Manoj Raghavan: No. So, yes, some of the deals, large deals that we have closed are on fixed -price contracts.

The challenge is that if you do not execute on those fixed- price contracts correctly, then it could also lead to revenue leakages and profitability dip. So, it is not advisable that we continue to shift more and more of our business to fixed price.
So, I think that is a careful decision that we need to take because the entire processes in the organization, the SMEs that we have -- the architects that we have . Any deal that we pick, we also need to be able to execute it, deliver on time with the margins. Only then we can show the margins.

So, it is in some sense a double -edged sword. So, we will be a little careful in terms of how this goes. It is not our objective suddenly to move to a 70% or an 80% fixed price. That will be putting too much of risk on us.
Mayur Matani: With regards to your transportation verticals, we have been talking that whenever there is a slowdown that structurally you see that some of the orders or some of the projects, new projects might get offshored. So, are you seeing that traction or there is indecisiveness from the customer's side currently?
Manoj Raghavan: No, we are seeing a lot of that. Especially when there is a need in the customer space that they have to continue their engineering activities and there 's a slowdown. The only option for such customers is to see, hey, can they do more with less? With less of a budget, can they do more?
And that is where best -cost countries like us and companies like us come into play.
So yes, I think we continue to see such customers who are looking at which is the right organization that can deliver outcomes without too much of oversight. Because if you are doing offshore, it means a lot of the work the OEM has to hand over .
And they should have the confidence that Tata Elxsi is a company that can take up this complex work and deliver outcome remotely. And that is the track record that we have. And that is why customers trust us with a lot more offshore delivery.
Mayur Matani: We have been speaking about it quite a lot. But over the past one or two years, I think that has not reflected in the overall revenues. So when do you think that change might happen? Or is it due to the fact that the profitability of the legacy players are impacted? That is why we are not getting that kind of business?
Manoj Raghavan: So if you look at it, the industry went through massive -- what do you say, situation over the last I would say 12 to 18 months . So it is not as if such deals have not happened. Such deals are happening. Some of them are ramping up as per plan. Some of those ramp- ups are still slow. So it 's a work in progress. So we are seeing the shift happening.
Mayur Matani: Okay. And last question with regards to the -- yes, sorry, please continue.
Nitin Pai: If I may just add, I'm just adding a little perspective. I think you have to remember all our revenues and growth or lack of it is organic. A lot of the growth that we have seen across many of the peers that we see in the industry has been actually coming from inorganic. Real organic growth has been lacking. If you ask me, not very different. I think what is different for us is the fact that you will see that consistent offshore track delivery.
Nobody else carries that kind of an offshoring capability. Two is you are seeing that gradual but consistent shift to fixed price. Rightly, like Manoj said, the intent is not to simply improve margins; it is to make sure that we can continue to deliver greater and greater value. But the most important point I think everybody has to remember is ER&D is not very large deals locked in for five years and so on.

It is a set of projects that continue to run off. So every quarter, you will lose 10% to 15% revenues; you have to make it up with new contracts. So that is the challenge. It is not the proposition or the value that we carry; it is the ability for you to continuously refill that funnel, right?
Mayur Matani: Right. Okay, thanks a lot. And last question is with regards to the media vertical. So we have been telling that media is still not out of the woods. So do you think that in the media vertical, if we are able to manage the revenues over a three-to -five -year horizon, do you see that trajectory changing? Or what circumstances may bring the revenue in the media and telecom vertical back?
Nitin Pai: Yes, so if I may, again, I think two, three things. One is that we have seen a plus, minus, plus,

minus. So there are some quarters of growth, there are some quarters of degrowth. So the media and telecom vertical for us has been very volatile. And overall, it has not delivered growth. And that is fundamentally reflecting the state of industry, which is whether it is the telecom operators or whether it is the large media streaming companies and content studios . They have all been under tremendous pressure for top-line growth. And therefore, a lot of the focus has been bottom line. And bottom line means then it's more of an efficiency and cost takeout game rather than an innovation game. So to that extent, I think what we have really done very, very well if you ask me over the last six quarters is the building of confidence both in ourselves as in customers that we can execute. We can win, and execute very, very well on large consolidation deals. So remember that we have typically not played that game too much. We've always been about do the new and less about consolidate. We will take over what you are doing, we'll make sure t hat efficiencies are delivered.

So it has been always less of that, more of do the new. I think that muscle that we have built, whether it is in automotive, whether it is in media and communications . I think is the biggest single factor that you are able to go there and win $ 100 million deals that you are able to go there and win $50 million deals.

I think that creates that muscle and discipline to say, look, can we build a foundation of revenues that even if there is some volatility, you can stay protected? And hopefully, there is growth in certain quarters, there is growth in certain areas. But the real big answer will be that innovation has to come back to the industry for true big upticks. And you will s ee moderate growth in our view.

Manoj Raghavan: And also, the industry is also going through a lot of mergers and acquisitions. M&A is happening. So that is also sort of what happens when two media companies come together -- there is duplication of engineering.

So there is a lot of resources available and there is no need to really depend on an external supplier to come in and support them and so on. So those things are also happening.

Mayur Matani: Right. Thanks, thanks a lot. And one last question, if I may. We were looking at some new verticals, so i f you can share something on it?

Manoj Raghavan : So I think we were focusing on, for example, the aerospace and defense is one vertical that we are looking at. And we have some very exciting thin

gs happening there. But it is very difficult to -- I mean, unless these result in some large revenues and so on, it is very difficult to practically tell you what is happening.

We are doing some very, very good work with the defense organizations in India, with HAL, with the Aeronautical Development Agency, some large deals that we are bidding for. We are also working with some global players there. So I think till we reach a size, I think we will continue to invest there.

We continue to build capabilities and also win those initial projects and trial projects and so on; we will keep you updated there. We have also started focusing on the battery energy storage. That is a big opportunity because of all the data centers that are being built, especially because of AI and GenAI, a lot of power is needed, right? And for that, battery energy storage is in huge demand i n the market.

And that is something that we have picked up and that is something that we would -- and of course, even for EV , you know, powering up EV in remote locations and so on, you need that battery energy storage. So that is something we have incubated, and I think the coming financial year, we hope that that will be a reasonably sized vertical for us.

So we will make those announcements at the appropriate time. We've also started focusing a little bit on the manufacturing side. We've built certain capabilities, we've won some initial customers. That is another area we continue to invest. Again, so all those three areas we continue to build that muscle, build that strength, do those initial projects, build those capabilities. And we are hoping that look, next four to six quarters at least one or two of these will start showing results.

Mayur Matani: Sure. Thanks. Thanks a lot.

Nitin Pai: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you. Thank you to all the investors for the call today. I think we are still optimistic that FY'27 will be a growth year for us. And as I said, the growth has to be led uniformly across the three verticals. And that would be the focus for us as we enter into the new financial year.

Thank you so much for your time today.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

Call: Jul 2026

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uly 17 , 2026
BSE L imited National Stock Exchange of India L imited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
NSE Symbol : TATAELXSI
Dear Sirs/Madam,
Sub: Transcript of the Investors’ Conference Call for the quarter ended June 30, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors’ Conference Call held on July 14, 2026, on the
Audited Financial Results of the Company for the quarter ended June 30, 2026.
The transcript o f the earnings conferen ce call is als o available on the Company’s website at www.tataelxsi.com .
This is for your informatio n and records.
Thanking you,
Yours faithfully,
For Tata Elxsi Limited
Sneha V
Company Secretary & Compliance Officer
Encl: As above

“Tata Elxsi Limited
Q1 FY ‘26-27 Earnings Conference Call ”
July 14, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. NALIN RANA – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA ELXSI
LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 26- 27 Earnings Conference Call of Tata Elxsi Limited, hosted by E& Y. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from E &Y. Thank you and over to you, sir.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the western side. Before we proceed to the call, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risks that could cause further results, performance or achievements that differ significantly from what is expressed or imp lied by s uch forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Nalin Rana, Chief Financial Officer, and Ms. Neha V., Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session.
We would appreciate your cooperation in restricting yo urself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.
Manoj Raghavan: Thank you, Shashank. Very good evening to everybody who's joined us today for the Q1 FY 27 investor call. I hope all of you are fine and doing well. I'm pleased to announce that Tata Elxsi has passed a key milestone of crossing more than INR1,000 crores of quarterly reporting operating revenues by delivering INR1,021.1 crore s in the first quarter of FY 27. In constant currency terms, our revenue grew by 6.5% year -on-year and 1.3% quarter -on-quarter.
The growth was led by our major verticals, transportation and media and communic

ation,
which grew 6.7% and 11.5% respectively year -on-year in constant currency. We see this performance as a reflection of the strength and relevance of our unique design -led and AI - enabled engi neering capabilities, supported by large strategic engagements in our chosen industries. We posted an EBITDA of INR216 crore s, which grew at 15.7% year -on-year and an EBITDA margin of 21.2%.
The media and communication business delivered robust growth of 4.7% quarter -on-quarter in natural currencies and 2.9% quarter -on-quarter in constant currencies, which translate to a year-on-year growth of 22.2% in natural currencies and 11.5% in constant currencies. The strong performance was enabled by the ramp -up of key engagements which we announced in the previous quarters and large programs with global operators and broadcasters.

Our transportation business, which contributes more than 55% of the SDS segment revenue, reported a resilient performance in an otherwise challenged macro environment with a growth of 6.7% year -on-year in constant currency and 13.3% year -on-year in natural currency. This was led by large automotive OEM engagements and strategic off -road and aerospace deal wins. We continue to strengthen o ur pivots towards OEM and today 78% of our automotive revenues is from our OEM customers.
The healthcare business exited near flat with a -0.3% quarter -on-quarter in constant currency, reflecting the muted global healthcare business environment. The anticipated momentum was staggered by delayed deal awards from some of our key customers. We however remain
excited about the long-term prospects of this segment.
We continue to invest through scaling our newly launched platforms such as ViTel , and AnaTel , reimagining our offerings with AI, GenAI and taking center stage in medtech and healthcare events, setting ourselves to capture emerging opportunities. In the quarter gone by, we have accelerated our efforts to expand platform -led offerings. Our Neuron platform portfolio has enabled Sky in Europe to transition towards zero- touch network operations with enhanced cybersecurity, delivering upto 30% to 70% efficiencies in various parameters.
Our AI -led material intelligence platform ViTel also inked a strategic d eal with a global medtech company. We are executing upon our future -focused strategy and will continue to intensify our investments in specialized talent, rigorous upskilling, AI -powered platforms, tools and infrastructure that strengthens our human plus AI plus domain proposition. These forward -looking investments will enable us to stay at leading edge of technology advancements while accelerating value creation for our customers.
The US region performed well for us across verticals led by new deal wins and deal ramp -ups. Some of these strategic programs demand quick ramp -up at onshore for transition support and initial stabilization. We have incurred additional cost of deploying forward teams as well as specialist third -party contractors to help accelerate transitions and mitigate visa delays for our engineers.
This is partly reflected in our onsite -offshore ratio and bottom -line performance and should ease over the next two to three quarters. We are firmly focused on sustainable growth, deepening our engagements with key customers and positioning ourselves to shape and win strategic long -term deals and add marquee customers. We look forward to carrying the growth momentum to subsequent quarters while remaining steadfast on our operational rigor and business discipline. Thank you and over to Shashank for the Q&A session.
Moderator: Thank you very much. We will now begin with the question-and-answer session. Your first

question comes from the line of Bhavik Mehta with JP Morgan. Please go ahead.
Bhavik Mehta : Hi, thank you. So, a couple of questions. Firstly, Manoj, if you

can give some outlook on your
three verticals given, you know, the Middle East conflict still remains in place. So, you know, how are the discussions with clients evolving on spending intentions for the next few quarters?

And if you can, you know, segregate it across the three verticals, how they're different. And secondly is on margins. You did talk about some onshore investments and subcontractors as well. So how should we think about the margin trajectory going forward? I mean, is this like a one-time thing which is in the base now or it will just continue for the next few quarters? So any color on the margin outlook as well for the year?
Manoj Raghavan: Sure. I think, I mean, upfront let me tell you, I think it was a reasonable quarter for us because two of our larger businesses, which is transportation and the media and communication vertical, had a pretty decent performance. I think media and communication vertical had been sort of unde rperforming for quite some time and I think with some of the deals that we closed in the previous quarters, we've finally been able to ramp up fully.
So, I think as we speak, there are deals that we are chasing, there are some pretty large consolidation deals in the media and telecom space and some of these we are very, very confident we should be able to swing in our favor. So, I think over the next two to three quarters, we strongly believe that we will be able to continue our growth in the media and communication vertical.
From the transportation vertical, yes, I think the Europe situation is a little we have to wait and watch , given the challenges in the German market and so on. We have not been affected as much and the deals that we have closed, we continue to execute. There is some slowdown in the new deals . But having said that, I think for us, the US market, we were able to really grow, not just the automotive revenues but also the adjacency revenues including the off -road and farm and equipment, as well as the aerospace and defense segment.
So overall when we look at it from a transportation business, yes, there is softness in Germany in particular, but we strongly believe that all the other adjacencies and the efforts that we're
putting in other markets including Asia, including India, I think we've seen some pretty very good deals that we've closed, over the last, couple of quarters and these ramp-ups are happening as we speak .
So, I strongly believe that for both our media communication and transportation, we should see, growth, over the next two to three quarters . That visibility is coming in as we speak.
Healthcare again, it's a little bit of a moving target. It's a smaller business for us, less than 10% of our revenues come from healthcare, but it's a very, very important business for us because we strongly believe we have built fantastic capabilities including a lot of AI, GenAI related tools that we have built for this particular market.
As you know, in this particular industry, the deal pi pelines, the deal closures, would take some time. There's some very good conversations happening. I wish we had a better, story to say and we were really hoping that look, Q1 would be a growth story. Unfortunately, some of the deals
that we have, we have been discussing, we've still not been able to close it and complete the paperwork and so on.

So having said that, in the mid-term to long -term, this is an area that we're investing in. We have built fantastic capabilities and we strongly believe that this will eventually, in this financial year, we will see growth in the healthcare and life cycle, life sciences space. So, this is somewhere we’re definitely continuing our investments .
On the margin side, I will request Nalin to give you an overview. I think we have had some one-timers t

hat have hit us in the quarter, but definitely we have a plan to grow back and if you
look at it over the four quarters, really look at how we can get back to our margin profile. So, I will hand it over to Nalin to answer tha t question.
Nalin Rana: Thanks, Manoj. So, if we look at our EBIT margin, so our EBIT margin has decreased 330 bps on a sequential basis and increased 80 bps on Y -o-Y basis. So, looking at the change in margin

in three buckets, right, to give you some color.
So, the first bucket is cross -currency gains that we have got in the quarter. That's about 40 bps to 50 bps. Then we have in this quarter around 150 bps of one -off costs or short -term costs. And there's a third bucket of 220 bps which is towards inves tments in people, go -to-market and capabilities. Now taking these, the second and third buckets one by one, right? So, 150 bps. So, 150 bps this quarter, we had to incur some transition costs for some of our large consolidation deals that are taking place. Second one is there was some one-time costs that we also took towards retention of select employees who we believe are sort of critical for the business.
Third one here, there were costs in relation to a particular customer that we had to incur in this particular, in this quarter, which we do not anticipate going forward. And the fourth is upfronting of certain annual costs. So, these are absolutely standard costs, pretty much fixed on an annual basis, but we had to for various reasons upfront some of these costs in this quarter.
So, this bucket, the way we should think about it is most of these would go away in the next quarter. Some of these will transition over the next couple of quarters.
Then there's this third bucket of about 220 bps to 230 bps. Now this is on account of few factors. One is investment in onsite sales and delivery. In this quarter we saw, significant ramp -up in some of our US -based deals. So, we had to ramp up our delivery there. Lot of this ramp -up we had to do through subcontractors because of A , the short timelines, B, also visa restrictions that are existing in the industry.
In addition to this, we've applied for visas of our own people who are, who will sort of supplement these contractors or replace them over a period of time, r ight? Then there were costs again for these deals, there were costs related to ramp -up of these deals. Then we are, as mentioned by Manoj earlier, ramping up our investments in specialized talent, AI tools and infrastructure.
Lastly, we had, very recently a Chapter 11 in one of our customers, which sort of led to higher provisions for the quarter, which you'll be able to see in the financials.

Then the second bucket, the way I would think about it is, these are little stickier , but also should go away over a period of time. So subcontractors, we'll look to make optimize those by moving some workstreams offshore or our own employees replacing the subcontractors over a period of time and finally leave only the critical sort of resources that are there. And similarly, customer -related ramp -up costs, as sort of our deals get ramped up and stabilized, I think these should also stabilize over a period of time.
So, just to recap, the first bucket around 150 bps, they should go away more quickly. Second bucket s hould improve over a period of time.
Bhavik Mehta: Okay, got it. That’s helpful. Thank you.
Moderator: Thank you. Your next question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management Private Limited. Please go ahead.
Vimal Jamnadas Gohil: Yes, thank you so much. Sir, just one follow -up on the margin question. In the other expenses line item, which is about INR135 -odd crore s, are there any forex losses also that are being, that are built in this particular quarter?
Nalin Rana: Yes, so this is what actually I referred to . Oth

er expenses ’ large increas e can be attribute d to two items. One is a Chapter 11 at one of our customers where we had to provide for the receivables on a conservative basis. The second one related to upfronting of certain sort of annual costs. So not, I would say not a big forex item, but these were sort of the two main drivers.
Vimal Jamnadas Gohil: Okay. Fair enough, sir. Sir, I missed on, missed out on the auto OEM contribution in this quarter. How much was that?
Manoj Raghavan: 78%.
Vimal Jamnadas Gohil: 78. All right. And sir, lastly, we've been talking about revenues from adjacencies. When can we see some sort of quantification of disclosure as to how much are we getting from these adjacencies?
Manoj Raghavan: I think in this financial year at some point in time, we will definitely be able to disclose. Hopefully, by end of the financial year, we should be in a position to tell you exactly.
Vimal Jamnadas Gohil: All right. Awaiting that, sir. Thank you so much and all the best.
Manoj Raghavan: Thank you.
Moderator: Thank you. Your next question comes from the line of Ravi Menon with Axis Capital. Please go ahead.
Ravi Menon: Thanks for the opportunity and congrats on a really good performance in the media and communication segment. Just wanted to check what's the pipeline like in transportation and are

you seeing automakers especially look at new hybrid platforms? What sort of role can you play

in that? And in the media and communication segment, one of your top customers, it's undergoing a corporate restructuring. Any changes to your engagement that might come either positively or negatively from that?
Manoj Raghavan: I think coming to the MCV, we are discussing with our customers at this point in time. There is, there is no clarity in terms of is it going to affect our business or not. If you ask me, I would say that it'll only help us. It could be positive because we have not deeply penetrated the NBCU piece. So that is an opportunity for us to really go there. So at this point in time, there's nothing to inform in terms of 'I s it going to affect us or not '. We are keenly watching that space.
From an automotive customer's perspective, we've already discussed . I think globally, yes, both in the US and in APAC, Japan and India, I think we've seen a, we've seen traction . There are a lot of large deals that we are bidding for. Continental Europe is a little bit of a wait and watch, as we speak. Though there ar e opportunities that we are bidding for and there are large deals that we have placed, given the uncertainty in the market we're not sure on the pace at which some of these decisions will happen. So, I think there's a little bit of a wait and watch there. But otherwise, overall automotive industry, I think, we should see some good growth coming in, minus Europe.
Ravi Menon: Thank you so much, sir . And the overall headcount is down a little bit. So what's the hiring plan, especially for fresh college graduates this year? And how does that compare to the last year's fresh college graduate hiring?
Manoj Raghavan: I think we'll, we are on a wait and watch, right? I think our utilization is just above 75% or so right now. We still have some leeway to go. We have been hiring freshers as we speak, but the numbers have been pretty small. So I think, hiring fresh grads, we will only look at it as our growth momentum picks up .
So, it'll be very, very moderated the way we go ahead and hire, especially with now AI and GenAI also coming in, we wouldn't want and go and hire a hug e bunch of freshers. So it's a, as I said, it's a wait and watch. We are hiring freshers, but it's at a very moderated level. I think last quarter we would have added about 100 or 150 engineers from the colleges. So, it's a small number that we add.
Ravi Menon: Thanks. And given the current market,

you think it's actually preferable to hire laterals because it's still fairly easy?
Manoj Raghavan: Yes, laterals only very, very specific, where there is a need, right? Most of our focus is utilizing our bench a nd utilizing our existing team members . And of course, focusing on retaining our key talent .
Ravi Menon: And could you talk a bit about the sales investment that you made?
Manoj Raghavan: So I think both in US as well as in Europe, we have added sales headcount. We've also added advisors to support us in some of the large deal pursuits. Apart from that, we've also spent in

terms of events that we participated in to build our brand and also to gain visibility in the larger market space. These are specialized events. We're not going after those large events and so on. For each of our industry vertical s, there are specialized events and that's something that we have focused on and spending money.
Ravi Menon: Thank you so much, sir. Best of luck.
Manoj Raghavan: Yes, thank you.
Moderator: Thank you. Your next question comes from the line of Moez Chandani from Ambit Capital.
Moez Chandani: Yes, hi. Good evening and thank you for taking my question. My first question was on your overall growth expectations for FY27. I think you've said last quarter that you probably would be aspiring for a high-single -digit sort of a number. Is that something which is still the aspiration given issues that you've outlined in transportation? Or do you think it would be more, say, closer to the mid -single -digit number for the year?
Manoj Raghavan: No, so our aspiration continues to be the same. W e just need our healthcare business also to fire up , and then I'm sure that we will be able to get to that sort of a growth rate that we are aspiring. So I think we're not changing our aspirations.
Moez Chandani: Okay. Understood. And then secondly, just broadly on, I think in a previous question you briefly touched

upon AI and that's impacting some of your hiring, but how have your
conversations with clients been on the AI implementation? What are your clients saying and is
that impacting, say, your volume growth or your T&M projects going forward?
Nitin Pai: So maybe I'll take that question , Moez. This is Nitin here. I think AI , in general, on one hand
in product engineering, given the fact that the industries that we operate in are largely mission -
critical, especially automotive and healthcare, has been very careful and measured in the first
place, especially when it comes to implementing it into the SDLC process, into products that
will deploy in the future , so there is a certain amount of care and caution that is being
exercised.
But having said that, I think we are driving a very strong path of providing a path of
transformation aided by tw o parts. One is the platform -led offerings that we're building. So
what we're saying is it's not so much about AI for itself. Each of these industries require
solutions that are tailor -made to their context that provide for coverage of certain aspects of
cybersecurity, of FMEA and so on that are very specific to those industries.
So to that extent, I think what we're doing is we're taking a very domain plus AI, if I may, view of each of these industries and
we're saying, look, you don't have to transform a ll at once, but
we will provide a platform -led approach that allows you to take your SDLC part by part and
still connect it up at the end.
So what we're actually seeing is that kind of a measured, calculated adoption. And I think
we're doing very well there. So to that extent, I don't see deflation, I don't see shri nkage, I don't

see any of that, w e rather see opportunities. But having said that, I think the overriding
problem is and point is the spend that is being earmarked for AI unfortu

nately is also kind of
curtailing R&D spend, if I may. So I think that's the larger perspective rather than anything
else.
Moez Chandani: Got it. Thank you. That's all my questions.
Moderator: Thank you. Your next question comes from the line of Amit Chandra with HDFC Securities. Please go ahead.
Amit Chandra: Yes, thanks for the opportunity. So my question is on the increased investments that we have
been doing. So if you can elaborate a bit more on what are the investments around? So these
are mostly like platform inves tments or you're spending more on R&D or is it more related to
client -specific engagements that we have? As you said, we are investing more in
subcontracting, investing more in onsite and is it fair to say that the new deals that we are
taking, they are like initially low margin deals?
Manoj Raghavan: Yes, so these investments d efinitely are around bu ilding specialized talent pool, that is
definitely there. We talked about the AI infrastructure that is needed that we are building. So
and also all the tools and the cloud investments that are needed to deliver value to our
customers. So it's a combination of all of that which are the investments.
And, of course, in some of the large deals that we have taken, there is also the transition cost.
There is some bubbling of costs that happens because these are typ ically 3 year or 5 year deals
wherein in the first quarter of commencement of the deal, there is some amount of bubble cost
that, that comes in. So these are all the investments that we are doing and that is sort of
affected our margins in this quarter.
Amit Chandra: Okay. And in the transportation vertical, obviously OEM is now 78% of the automotive
revenue. So like within the OEM bucket, how are you seeing the top client and the non-top
client moving? And also if you're seeing some softness in some of the OEM accounts,
especially what is happening in the European region? So if you can provide the commentary
on what is happening with the OEMs?
Manoj Raghavan: Yes, so the top, top customer has been pretty st eady for us. So that's definitely a positive. And
I've already indicated the softness in the OEMs in Germany. I mean, we have, there are large
deals that we've already closed. Those ramp -ups are going a little slow there , as a result of
which we have not been able to achieve what we expect ed to achieve in Q1 . But I'm hopeful
that over the coming quarters, we will be able to ramp up to the expectations. The good part is
we've had a good recovery in the US as well as in the APAC region. And all that has actua lly
contributed to the growth in the automotive segment for us.
Amit Chandra: Okay. And lastly on the subcontracting part, if you can quantify the subcontracting cost and what is it as a
percentage of revenue in this quarter versus last quarter?
Manoj Raghavan: I'm not sure whether we can give specific details of the subcontracting cost.

Nitin Pai: Amit, maybe this is Nitin here. I can just provide one slice which is if you look at our onsite - offshore ratio, you'll see that the ratio has shifted by about a percent about 90 basis points, 0.9%. So you can kind of and this a ll happened within one quarter. S o you can look at that part and assume that a fair part of that is what we contracted out. And that has an associated impact on margins.
Amit Chandra: Okay, sir. Thank you and all the best.
Nitin Pai: Thank you.
Moderator: Thank you. Your next question comes from the line of Karthik with RK Investments. Please go ahead.
Karthik: Yes, okay. Thank you. I was talking about this whole (inaudible) impact of using A I autonomous tools on the software coding and the fact that it might hit the engineering R&D higher than traditional IT services . So I wanted to understand how Tata Elxsi is protecting their margin if in such impact like this. And th

e second question is on, on the slide on transitioning to platform -led engineering. So wanted to understand how aggressively you're deploying these platforms like Neuron in terms of addressing this pricing pressure. Anything more on how the clients are using these proprietary p latforms?
Nitin Pai: So Karthik, this is Nitin here again. Maybe I'll take those two questions. From the first part, as far as the impact of AI on the SDLC, I think the point I was trying to make is when you're working with B2B customers in the chosen industries that we operate in, which is healthcare, media telecom, as well as automotive and transportatio n, you tend to have one, very large codebases. Two, these have been built over many, many, many years, so this is not fresh code. Three, these are fairly complex and built by multiple teams. So first you have to understand the scale, size and complexity of the problem. Like they say, a car has a hundred times more code than a Boeing 777- 747 does . So that's the complexity we're talking of. part two, while we tend to think of software coding as the biggest part of what work is done, the reality is that product planning, feature planning, architecture, requirements capture, requirements mapping, regulatory alignment to the multiple countries that these products would be deployed in, actually is a bigger part of the problem than actual coding.
Coding is just one part of the whole cycle. And that is where we believe that while AI can come in and you can say that look, software code I can write C++ code 20% faster, 30% faster and so on, but the net impact of that part of saving in the entire lifecycle is not too high. That is part one.
Part two is customers are not as much focused on cost savings as they are on whether it delivers productivity or quality. Becaus e in the ranking of CTQ, cost, time and quality - I think for the industries that we operate , the metric is inverted. It's quality, time and then cost comes last. So to that extent, I think the proposition stays strong, which is Tata Elxsi, leading -edge technology capabilities, deep domain expertise, now backed by AI.

And I think that is the proposition that we're offering, all of course, delivered from India at scale. I think this is the real, if I may, t agline that we're delivering on. And I believe tha t is still very, very relevant now and going forward.
Your second question was to do with our own platforms. If you think about it, there are two types of investments that we're making. One is in platforms like TETHER and N EURON and so on, which go into the customer products and services because it's transforming their products and services. And I think NEURON, that's why we took a lot of time to craft the, the value that our customer is deriving. So the press release that we made with Sky, I think clear ly calls out multiple dimensions on which we're delivering value, whethe r it's efficiencies, whether it is au tonomous operations, whether it i s customer experience and so on.
The same is with our connectivity platforms, right? Because these are customer -facing . Investments that we're making in platforms like ViTel , AnaTel or DevStudio are more to do with how do you accelerate the software development lifecycle of the customer. So this is something that end consumers will not see. This is something that pro vides efficiencies but more focused on quality and time saving for rather than on cost, right?
So that is the view we're taking. T raction is fantastic. Reception is fantastic. Adoption, we believe will be thoughtful and calibrated simply because customers are not going to jump on the first platform they see. I think they're taking a very careful long-term view of what are we doing, who are we working with, how do we make sure that what we are taking on and adopting is supported for the long term. So I thin

k these are decisions that customers take very
thoughtfully and carefully and hopefully the proposition that Tata Elxsi provides both as a brand and as a capability stands us well.
Karthik: So if I have to summarize, you're saying the first one, there is not much of a deflatory impact
as such because the cost of the R&D stuff is much, much lesser in the whole pipeline. And for the second one, you're saying it's a long- term view, it doesn't have anything to do with the
billing rates right now, it's a really a long -term view?
Nitin Pai: Correct. But it definitely is making a positive impact on our win ratios and win nability because
it is definitely having a halo effect even as we speak on what we offer to customers and what
customers believe we are capable of for their long -term transformation.
Karthik: Okay. Yes. Thank you, Nitin.
Nitin Pai: Thank you so much, Karthik.
Moderator: Thank you. Your next question comes from the line of Sulabh Govila with Morgan Stanley.
Please go ahead.
Sulabh Govila: Yes, thank you for taking my question. So I had two questions, both on the investments that
we made in the quarter. So one is on the onsite investments in delivery that you spoke about.
So historically we've excelled at an offshore-centric delivery model. So should we see that this
investment on the onsite front as a change in the nature of demand versus what we used to do

earlier and this is more structural or you would say that this is more tactical and specific to a
few projects?
Manoj Raghavan: Yes, I think, you kn ow, as I said, right, some of the large consolidation deals that we've won
needed, you know, onsite resources to be available. But over the long term, the business model
is to, you know, move a lot of that work offshore. So we're not, we're not moving away from a
business model per spective. You know, we would be in that, you know, 75/25, 75 bein g
offshore and 25 being onsite. Today I think it is 74/26 or so, it's just a 1% that we've moved,
but we will over the, over the subsequent few quarters as Nalin exp lained, you know, we will
be able to, you know, move a lot of this work back offshore and, you know, we're not changing
our business model if that is the question.
Sulabh Govila: Okay, okay. Understood. And secondly, you know, a large part of the costs that you
mentioned, they were either transition -related or ramp -up related. So is this specific to a
particular vertical or is this broad -based? And the benefit of this investment on revenue, have
we already seen that in this quarter or should we see that in the coming quarter?
Manoj Raghavan: We've seen, you know, partially we've seen the uptick in revenue both in our media and
communication vertical as well as in the transportation vertical, primarily if you look at it from a US geography perspective. I think our US geography has grown pretty well and I think that
is one of the reasons over the subsequent quarters, you will see us, moving back to offshore -
based execution.
Sulabh Govila: Understood. Understood. Thanks for taking my question.
Manoj Raghavan: Thank you.
Moderator: Thank you. Your next question comes from the line of Karan Uppal with PhillipCapital India. Please go ahead.
Karan Uppal: Yes, hi. Thanks for the opportunity. Just a question on the transportation vertical. So last
quarter US OEMs have commented pretty strongly in terms of R&D investment either on
SDVs or investment in hybrid platforms. So are you seeing any traction on, on these areas
from, from the US OEMs? And secondly, do you expect the transport vertical to start growing from Q2 onw ards sustainably?
Manoj Raghavan: A lot of the deals that we are discussing and a lot of the deal pipeline is based on SDV, s o that
continues. As I've explained, you know, earlier, you know, both US and APAC regions, we are
seeing good deal pipeline and g

ood conversions as we speak. Europe is a little moderated right
now. We would wait and watch in terms of specifically Continental Europe given all the
troubles that the OEMs there are facing. But having said that, I think overall both automotive and adjacen cies, we see growth happening in, in subsequent quarters.
Karan Uppal: Okay. Got it. Manoj, can you just help us with the broad split of the transport vertical within
US, Europe and APAC, if that is something which you can share?

Manoj Raghavan: I think for us still it is Europe heavy. If I'm not mistaken, close to, close to slightly more than
40% of our revenues would come from Europe and about roughly, roughly about 25 %, 30%

coming from US and rem aining from APAC. So Europe is still the number one geography for
us from an automotive perspective.
Karan Uppal: Got it. So despite pressures in Europe, you are still expecting the US and APAC to basically
offset that and help?
Manoj Raghavan: Yes, Yes.
Karan Uppal: Thanks. And just on margins, so shall we expect 19% EBIT margins as, as the floor from here on we should expect improvement in margins? How should we think about it from a next three
quarters perspective?
Nalin Rana: Sure. So Karan, as mentioned, you know, there is one bucket of costs which we would se e for
which we are, which should go away, you know, in the next one or two quarters, around 150
bps or so. Although this will be partially offset by, or this will be offset by, you know, wage
hikes that we have planned. So, you know, we had done a cycle of wage hikes last year in October for juniors and in Jan for seniors.
We are implementing a company -wide revision in Q2 to remain competitive in retaining our
talent, right, that we are investing in and that we want to retain who have done projects, valuab le projects, etc etera. So next for the next quarter I would say the margins will be sort of
a combination of two things, impact of wage hikes coming in, but also impact of som e of these
one-offs going away.
So it will be sort of a balance of these two things. Post that, you know, once the wage hikes are
fully sort of baked in, we should sort of see a ramp-up in margins as we go through the rest of the year as sort of our revenues pick up and wage hike is sort of already built in. So there
should be a seque ntial ramp -up as we move towards Q4.
Karan Uppal: Got it. Thanks a lot and all the best.
Nalin Rana: Thank you.
Moderator: Thank you. Your next question comes from the line of Abhishek Shindadkar with InCred
Capital. Please go ahead.
Abhishek Shindadkar: Hi, thanks for the opportunity. My first question is regardi ng this one -time cost that we had to
bear for a customer. Probably I missed the customer vertical, but I presume it is US and
transportation. But what I wanted to understand, is this a generic trend that customers are
asking, you know, the vendors to onboard subcontractors because we heard a similar trend in one of the other IT companies as well? And, you know, just wanted to understand what could
be our reaction in case, you know, there are other customers who come back with some similar
demands? That's the first question.

The second question is on the wage hikes from 2Q. Can you just quantify given that we are
doing it for a company-wide versus staggered last year? And the third one is for Nitin. Nitin,
you mentioned that the AI spend is curtailing ER&D. I mean, that was a comment you made.
Can you just elaborate in terms of what are the clients thinking given that, you know, the
perception was that ER&D is something, that would given its revenue generating may not be paused immediately? Thank you for taking my question.
Manoj Raghavan: Yes, I think I'll answer the first question in terms of contractors . Customers are not asking us
to take

on contractors . What is happening in the US with H -1B visas , hard to come and so on,
when we win a large deal, for transition and so on, we need to have our own people out there
maybe for one quarter or a couple of quarters and then move work offshore and so on.
So, at any given point of time, we have a limited set of visas that are available. So we need to
augment the team with contractors so that we do due diligence and we do the transition within
the timelines and so on. So that is what this increase in one-time costs are. We have never seen
customers asking us specifically to onboard specific consultants or contractors. So that's not
something that we have seen .
Nalin Rana: On the wage hikes. So, wage hikes, you know, I would say that at this stage we are still sort of,
you know, working through it, right? And there are couple of elements there. So , while we are
doing it, it's a company-wide hike for all eligible employees . And given we have a lot of
employees who have sort of joined us at different points of time, there's a set of employees who are not eligible for a wage hike as of now. Again, this wage hike is a combination, the
hike is a combination of variable and, you know, fixed, etc etera.
Manoj Raghavan : I think we'll get back at the end of Q2, right? We don't want to give you a number at this point in time.
Nitin Pai: And on the last question, Abhishek, on the point about whether AI has an impact on curtailing
R&D spend, I meant it in the context of where budgets get allocated. So ultimately R&D, some
of it is strategic, some of it is discretionary.
So, when you are spending money and you have to now decide where you want to spend

money, I think you see certain companies prioritizing AI because obviously it seems like the flavor of the day, the need of the day, the priority of the day. So, to that extent, it does have a little bit of an impact on how much budget is being allocated to R&D, right? So that is the point that I was trying to make.
Abhishek Shindadkar: So, this is more about right shifting of the budgets rather than deferment or let's say perpe tual deferment, right?
Nitin Pai: That's correct .
Abhishek Shindadkar: Got it. Thank you. That was all my questions.
Nitin Pai: Thanks, Abhishek.

Moderator: Thank you. Your next follow -up question comes from Sulabh Govila with Morgan Stanley. Please go ahead.
Sulabh Govila: Yes, hi. Thanks for the opportunity again. So, my question was on the wage hike. You also mentioned when you talked about the investments, you also mentioned that there were certain interventions that you had to do for retention of selec t employees during the quarter. And now we are also talking about, you know, preponement of wage hikes. I'm just trying to understand - the attrition in the industry right now doesn't appear to be high. So, I'm just trying to understand, you know, what you're seeing differently which is, you know, leading to some of these initiatives at your end.
Manoj Raghavan: Yes, so, our attrition is around 16% today. So it's not about how much your attrition is, it's also about - are you able to ensure that all your ke y critical talent are taken care of, right? So , I think with the, with the number of GCCs coming into India and aggressive hiring and so on, especially for AI -ready talent that really understands domain and digital technologies, you know, there is still a huge demand.
Though you might say at an overall level in the industry the demand is muted, but for very, very niche specific talent that we carry, I think there is a still a huge demand. So we need to ensure that we take care of that talent and, and whatever we're doing is to ensure that, you know, while our revenue, clock picks up and we are seeing traction in the market, we don't want to be in a situation where we are struggling to service th

em and, you know, we have to go out and hire, right? So , we really want to retain the key talent that we have.
Sulabh Govila: Understood, sir. Thank you. Thank you for taking my question.
Moderator: Thank you. Your next question comes from Rishi Mody with Mody Advisory. Please go ahead.
Rishi Mody: A couple of quick q uestions. On the media and communications piece, in the previous quarter you mentioned that the industry growth had not yet picked up. We've done well in this quarter. At least wanted to know whether the broader industry has picked up or it's largely us outperforming. And if it's not the industry pick up, when do you see the industry picking up and how much delta can we capture just from the industry growth?
Manoj Raghavan: I think the media and communication industry in general and the vertical for ours, I think over the last few quarters have been going through, a very turbulent sort of ups and downs , but I think, you know, over the last two quarters, what we've seen is we've seen some large consolidation deals from, some of our customers. And this industry is also going through a lot of M&As, right, as we speak , and there are a lot of strategic decisions that customers are taking and so on.
Now what has helped us is in two such transactions is that we were the incumbent and we were, you know, providing s ignificant engineering outsourcing, we were the prime vendors in a couple of these deals, right, couple of these customers, there were significant M&As that have happened.

And as a result of which, suddenly we had access to a much larger pool of, you know, projects to focus on. And when an M&A happens, of course the customer is trying to see how to optimize and how to move work to vendors that are lot more offshore -centric so that their overall cost can come down. So, I think our value proposition in terms of domain, you know, digital as well as offshore -centric really clicked with some of these, you know, customers which have gone through these M&As and so on. And I think that has helped us really win some deals which means essentially, we have been able to eat into our competition ’s pie of

business by showing superior execution and superior offshoring and offshore capabilities. And that has helped us in this business.
Rishi Mody: Right. So, Manoj, just to get my understanding right, we were already onboarded with the companies which acquired other companies and rather than got acquired by other companies and hence the new target company we were able to replicate the same thing. So , on the larger front, would you say more of our customers have been acquirers in this consolidation phase or now do we see our companies getting acquired and hence we have to get re -evaluated by the acquirer?
Manoj Raghavan: It is both, right? In many cases our customers were the acquirer, but there were one or two cases where our customers have also been acquired. But that also has, so the acquiring company did not have a footprint in India. Okay? So that helped us because they looked at our operations, they looked at how we are delivering and suddenly they realized that Yes , Tata Elxsi is a valuable partner which they want to engage with.
Rishi Mody: Okay. So, we are not being re -evaluated largely any of these acquisition -led re -evaluations that normally happen.
Manoj Raghavan : Yes.
Rishi Mody : That's great news .
Manoj Raghavan : All that has happened, we were able to show a superior value, right, through our offshoring.
Rishi Mody : Got it, got it. One on the recent, all of these immigration changes that keep happening, right? Visa fees keep getting altered, H1B quotas keep getting altered. Do we have provisions in our contracts with our customers that say if there's an unreasonable amount of change , and that you have to bear or like , who absorbs the hit on

these externalities , and if you could just give me an understanding how that s hapes up?
Manoj Raghavan: No, the, the usual visa fees that go up and so on, right, not just in US but in UK and Germany and many other places, right, that that we have to absorb, right? When I say absorb, of course there is a COLA increase that we negotiate year -on-year and so on. So, in some way , we do get, I mean, in quite a few customers we manage to get some amount of increase and so on. It is not as if that oh, okay your visa fees have gone up by $2,000, so hey customer, customer will pay exactly tha t $2,000 to us, right? It's more an overall , it is bundled into our cost of operations and it's bundled into our hourly rate, and that's how we manage it. But, when you

talk about H1B like $100,000 and so on, no customer is willing to pay that. So that is something we can't go back to customers.
Rishi Mody: Right. So, then we will have to increase our onshore mix as we go ahead, right? If we get higher growth out of the US market.
Manoj Raghavan: Yes, so that is where, if we don't have the visas, we depend on third -party contractors and so on. We have MOUs and partnerships with a set of companies. We depend on them to really help us in the short term.
Rishi Mody: And these US contracts that we currently have, I'm assuming , the new contracts you c ould price in a higher ons hore mix, but the existing ones I don't think you can alter. Would these be largely long-term contracts , and hence our profitability on these existing contracts reduces versus our estimate when we bid in?
Nitin Pai: No, so just to clarify, ex isting contracts where you already have onsite people deployed, there is no change in cost. Right? It is only where you are trying to win new contracts or you have winning new projects which then demand new people to be sent for the transition phases. That is the only point where you would have all these questions raised . I'm not very clear what the question is about ?
Rishi Mody: I'll just explain it quickly. We assume let's say 80% of our offshore mix, 20% would be onsite for a contract, for example, but b ecause of say these visa issues, you are required to have more onsite employees and the mix turns from 80/20 to 75/25. Does that happen?
Nitin Pai: No, no, Rishi, I think you're getting it wrong. First of all, we operate 90/10. We have the best offshoring metrics anywhere. Our intent is always to keep it there because that is the proposition. So, for a given contract, ratios will not increase. It's not that customers are starting to prefer more onsite. Please understand, this is not a Covid reversal where I 'm saying customers are now starting to prefer more onsite. Nobody is. The need for onsite is determined by the kind of deal that you're taking up, the complexity of what you're trying to take on, the transition time that it takes to capture knowledge , whether from the customer itself or from somebody else and the ability to architect and bring it back. Just to be clear.
Rishi Mody: Okay. All right. Finally, just a quick one, utilization rate , if you could just spell it out for this quarter.

Manoj Raghavan: 74.7%. Just getting to 75.
Rishi Mody: Okay. All right. Fine. Ye s, that's it from my end. Thank you.
Nitin Pai: Thank you, Rishi.
Moderator: Thank you. Your next question comes from the line of Randhir Kumar Singh with Randhir HUF . Please go ahead.
Randhir Singh: Hello.

Manoj Raghavan: Yes, sir. Please proceed.
Randhir Singh: Thanks for taking my question, sir. In Q2 also, due to wage hikes, there could be an impact on margins and from H2, margins will ramp up properly. Am I understanding correctly, sir?
Nalin Rana: So, Randhir, a small difference to what you're saying. Q2 we'll see a wage hike impact, but tha

t will also be offset to a large extent because of some of the one- time or the higher costs that we saw in this quarter going away. So, there is an offsetting element to a large part of that cost. Now how much gets offset where exactly we land up is a function of what exactly the wage hike numbers end up being, how much sort of costs go away, our own revenue growth. So, it will be a combination of few t hings.
Randhir Singh: Thank you, sir.
Nalin Rana: Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. I now hand the conference over to the management for closing comments.
Manoj Raghavan: Yes, dear investors, thank you, thank you for the time. Interesting times , and I think at least from our major markets and major verticals that we have, I'm very happy that we have been able to show growth, a decent growth especially in the media and communication business. If you compare with competition and what we hear commentary from lot of our competition, I think our automotive or transportation business has also done reasonably well.
So, our focus is to really continue growth on both of these large verticals for us. At the same time, focusing on our healthcare business to see , how to get it back to a growth path, right? So that's the focus for us and of course margin improvement , and seeing how we can digest the wage hike at the same time, and also look at seeing how we can remove all the one-timers , and still show a, a profitable quarter in, in Q2, right?
So that's going to be the focus for us in Q2 and subsequent quarters Q3 and Q4. So, I think , Q1 has gone reasonably well for us, even if you look at comparatively Q1 of last financial year, I think we have done pretty well , and I hope that we'll be able to continue this growth path in the subsequent quarters. So, thank you and look forward to talking to you again in, in Q2. Ye s, bye-bye.
Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you everyone for joining us and you may now disconnect your lines. Thank you.